



**BECAUSE
TOMORROW
MATTERS**

ANNUAL REPORT

**20
20**



Underpinning the breadth of CapitaLand's activities is our continuous dialogue with our stakeholders which helps to shape our business as we aim to build sustainable communities. We place significance on our conversations and share our story with care and consideration for all involved. This annual report is part of that process and the motif we have chosen for this year's report reflects our focus on maintaining communication with our stakeholders with transparency and clarity.



BY WEATHERING THE CHALLENGES
TOGETHER WITH OUR TENANTS,
WE AIM TO BUILD GREATER RESILIENCE
IN CMMT'S RETAIL ECOSYSTEM.

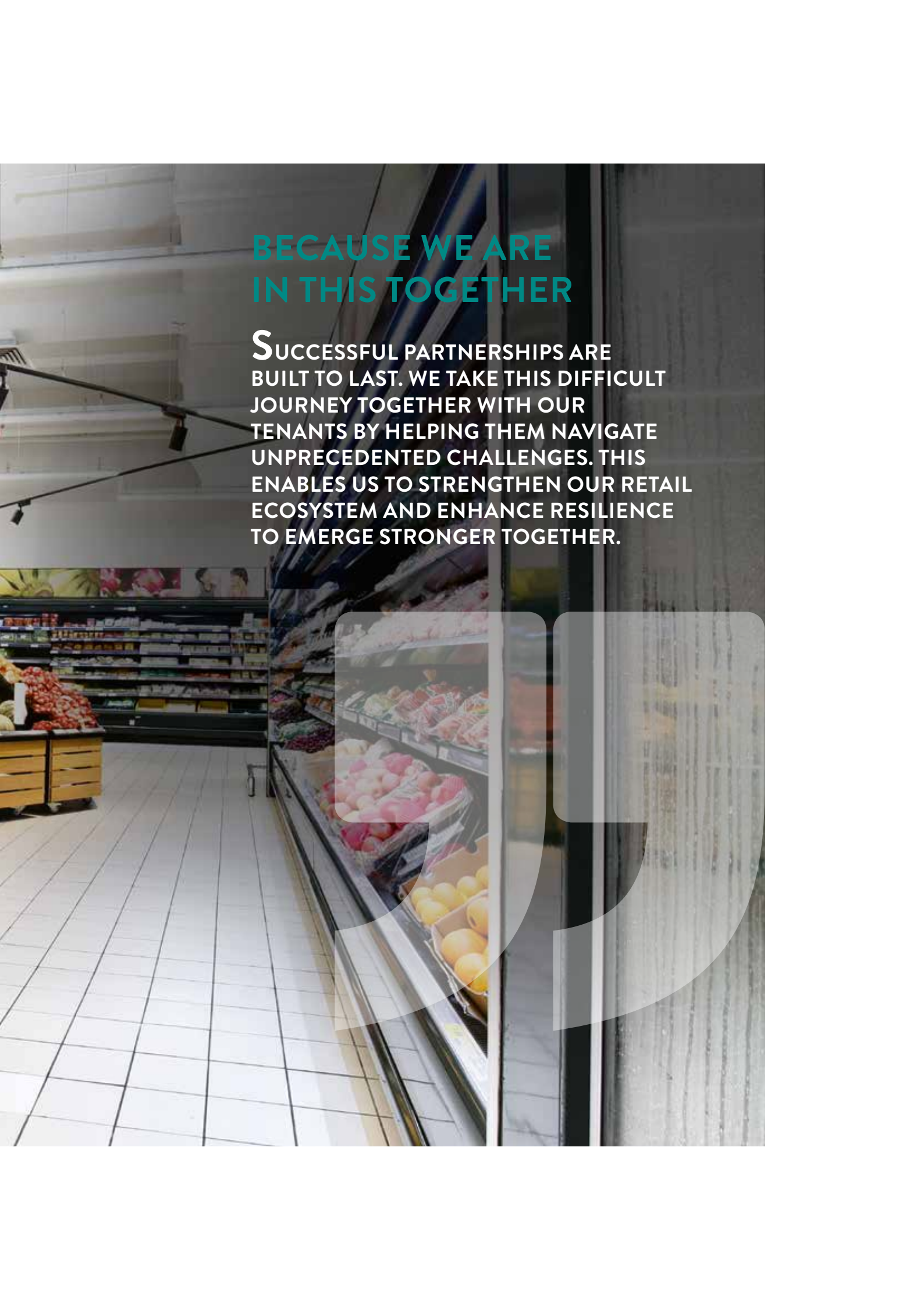
LOW PECK CHEN
CEO



**BECAUSE
TOMORROW
MATTERS**



TESCO,
THE MINES



BECAUSE WE ARE IN THIS TOGETHER

SUCCESSFUL PARTNERSHIPS ARE BUILT TO LAST. WE TAKE THIS DIFFICULT JOURNEY TOGETHER WITH OUR TENANTS BY HELPING THEM NAVIGATE UNPRECEDENTED CHALLENGES. THIS ENABLES US TO STRENGTHEN OUR RETAIL ECOSYSTEM AND ENHANCE RESILIENCE TO EMERGE STRONGER TOGETHER.

CAPITASTAR

BECAUSE ADAPTABILITY IS KEY

IN A YEAR WHERE THE GLOBAL ECONOMY WAS IMPACTED BY CHANGE, OUR ABILITY TO QUICKLY ADJUST OUR STRATEGIES ENSURED THAT WE REMAIN RELEVANT. ROLLING OUT DIGITAL INITIATIVES HELPED OUR RETAILERS STAY INNOVATIVE AND LED TO NEW OPPORTUNITIES FOR THEM TO CONNECT WITH THEIR CUSTOMERS.

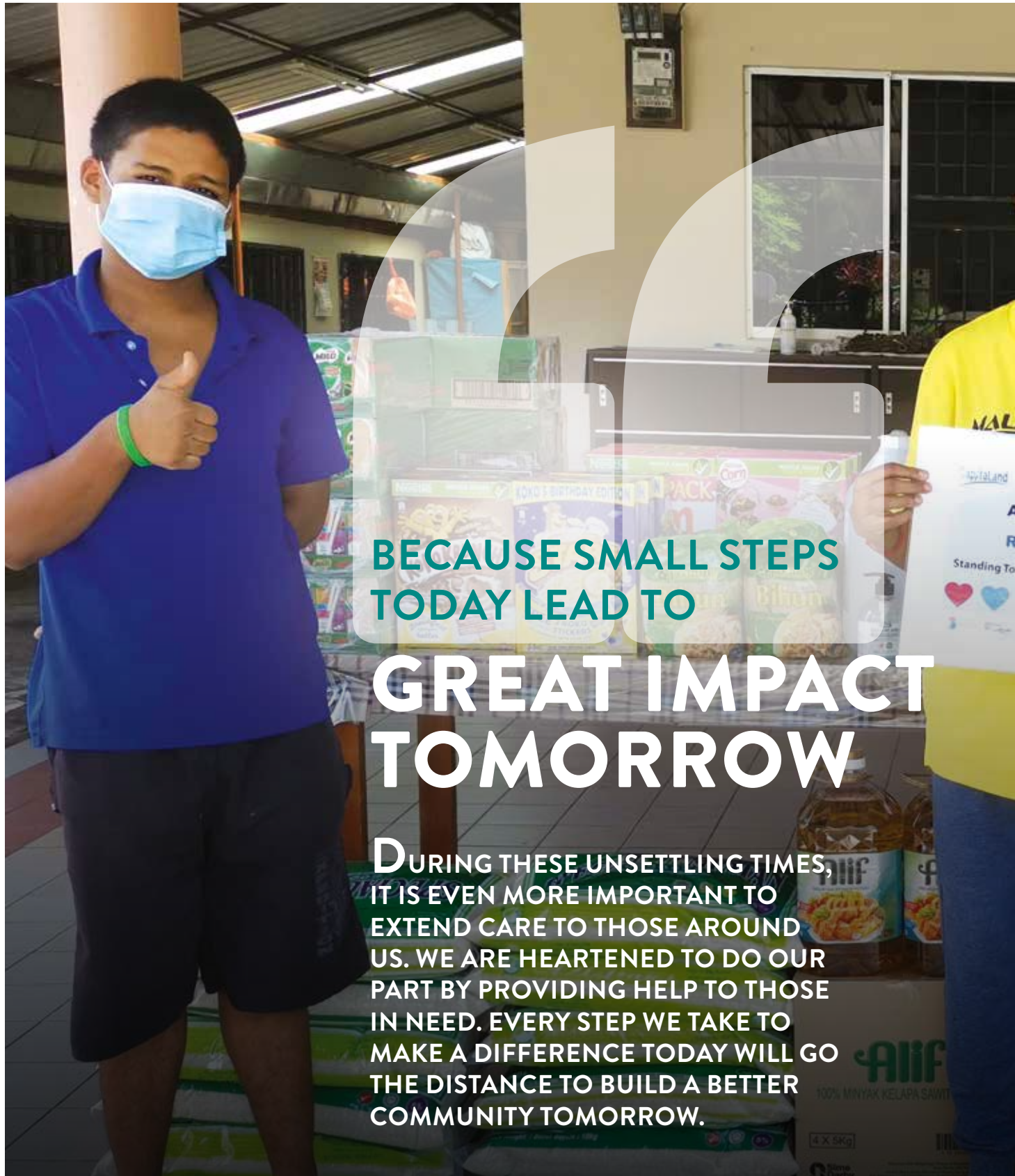


BECAUSE SAFETY IS OUR PRIORITY

THE HEALTH AND WELL-BEING OF OUR COMMUNITY WILL ALWAYS REMAIN OUR TOPMOST CONCERN. OUR COMMITMENT TO UPHOLDING SAFETY LED US TO STEP UP PRECAUTIONARY MEASURES AND IMPLEMENT GREATER HEALTHCARE PRACTICES, TO CREATE POSITIVE RETAIL EXPERIENCES AND DELIVER PEACE OF MIND.



GURNEY
FOOD HALL,
GURNEY PLAZA



BECAUSE SMALL STEPS
TODAY LEAD TO

GREAT IMPACT TOMORROW

DURING THESE UNSETTLING TIMES,
IT IS EVEN MORE IMPORTANT TO
EXTEND CARE TO THOSE AROUND
US. WE ARE HEARTENED TO DO OUR
PART BY PROVIDING HELP TO THOSE
IN NEED. EVERY STEP WE TAKE TO
MAKE A DIFFERENCE TODAY WILL GO
THE DISTANCE TO BUILD A BETTER
COMMUNITY TOMORROW.



RM CARING
HOME

CORPORATE PROFILE

CapitaLand Malaysia Mall Trust (CMMT), listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010, is a shopping mall-focused real estate investment trust in Malaysia with an income-producing and geographically diversified portfolio of five shopping malls and a complementary office block. With a market capitalisation of approximately RM1.3 billion as at 31 December 2020, the total asset value of CMMT is about RM4.0 billion.

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes in Malaysia. CMMT's portfolio of quality assets is strategically located in key urban centres across Malaysia: Gurney Plaza in Penang; three in Klang Valley – a majority interest in Sungei Wang Plaza¹ in Kuala Lumpur; 3 Damansara Property² in Petaling Jaya; and The Mines in Seri Kembangan; and East Coast Mall in Kuantan, Pahang.

CMMT is managed by CapitaLand Malaysia Mall REIT Management Sdn. Bhd. – a joint venture between Singapore-listed CapitaLand Limited, one of Asia's largest diversified real estate groups, and Malaysian Industrial Development Finance Berhad. MTrustee Berhad is the trustee for CMMT.

- 1 CMMT's interest in Sungei Wang Plaza comprises
 - (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and
 - (ii) 100.0% of the car park bays in Sungei Wang Plaza.
- 2 3 Damansara Property comprises 3 Damansara and 3 Damansara Office Tower

OUR VISION

To be Malaysia's leading shopping mall real estate investment trust through value creation and continuous innovation.

OUR MISSION

To deliver long-term and sustainable distribution of income and potential capital growth to Unitholders

FOR INVESTORS

Deliver sustainable total returns

FOR TENANTS

Create profitable opportunities

FOR SHOPPERS

Create delightful shopping and lifestyle experiences

FOR EMPLOYEES

Provide opportunities to realise personal potential and achieve professional growth

FOR THE COMMUNITY

Promote social responsibility and environmental sustainability



CONTENTS



18

2020 INITIATIVES

45
TRADING & YIELD PERFORMANCE

47
PROPERTY PORTFOLIO

48
PROPERTY SUMMARY

49
GURNEY PLAZA

51
EAST COAST MALL

53
SUNGEI WANG PLAZA

55
3 DAMANSARA PROPERTY

57
THE MINES

59
MARKETING & PROMOTIONS

64
INDEPENDENT RETAIL MARKET
OVERVIEW

75
TRUST STRUCTURE
ORGANISATION STRUCTURE

76
BOARD OF DIRECTORS

82
TRUST MANAGEMENT

83
CORPORATE GOVERNANCE

112
AUDIT COMMITTEE REPORT

115
STATEMENT OF RISK MANAGEMENT
AND INTERNAL CONTROL

118
ENTERPRISE RISK MANAGEMENT

122
SUSTAINABILITY MANAGEMENT

130
FINANCIAL STATEMENTS

186
STATISTICS OF UNITHOLDERS

189
NOTICE OF ANNUAL GENERAL MEETING
PROXY FORM
CORPORATE INFORMATION

10
VALUE CREATION

11
SALIENT FEATURES OF CMMT

12
YEAR IN BRIEF

14
2020 HIGHLIGHTS

16
FINANCIAL HIGHLIGHTS

18
2020 INITIATIVES

23
COVID-19 RESPONSE

26
TENANTS SPEAK

28
IN CONVERSATION WITH
CHAIRMAN & CEO

34
OPERATIONS REVIEW

38
FINANCIAL REVIEW

41
CAPITAL MANAGEMENT

43
INVESTOR & MEDIA RELATIONS

23

COVID-19 RESPONSE



VALUE CREATION

INTEGRATED RETAIL AND CAPITAL MANAGEMENT PLATFORMS

CMMT enjoys access to CapitaLand's unique integrated retail real estate platform, combining the best of retail real estate management and capital management capabilities.

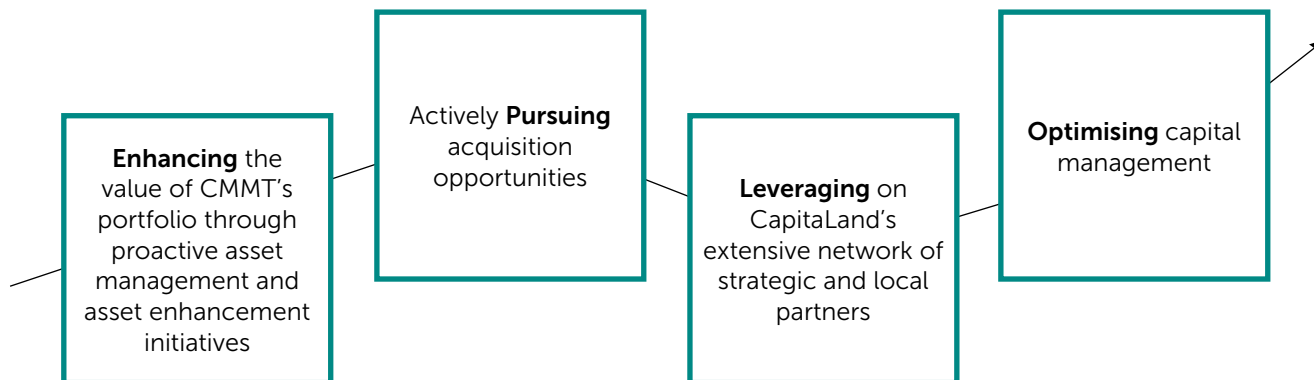
RETAIL REAL ESTATE MANAGEMENT

RETAIL REAL ESTATE CAPITAL MANAGEMENT



INVESTMENT STRATEGIES

The key financial objective is to provide Unitholders with long-term and sustainable distribution of income and potential capital growth. Specifically, the aim is to seek the increase of cash flow, income and the value of CMMT's properties and consequently, continued growth through the following strategies:



INVESTMENT OBJECTIVE

The principal investment objective of CMMT is to invest, on a long-term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed¹, the REITs Guidelines² and/or by the Securities Commission Malaysia, with a view to providing Unitholders with long-term and sustainable distribution of income and potential capital growth.

The Manager believes that CMMT has achieved its investment objective for the financial year ended 31 December 2020.

Future Prospects of the Market

The Manager views the Malaysian retail sector to be resilient in the long term and will continue to pursue the abovementioned investment strategies. For more information on the markets in which CMMT invests in, refer to the section 'Independent Retail Market Overview' in CMMT's Annual Report 2020.

¹ The trust deed dated 7 June 2010 (as amended and restated on 28 October 2020) entered into between the Manager and the Trustee.

² Guidelines on Listed Real Estate Investment Trusts.

SALIENT FEATURES OF CMMT

Fund Name	CapitaLand Malaysia Mall Trust (CMMT)
Fund Category	Real Estate Investment Trust
Fund Type	Income
Fund Duration	CMMT shall terminate on the earlier of: › the occurrence of any of events listed in Clause 25.2 of the Deed¹; or › the expiration of a period of twenty-one (21) years after the death of the last survivor of the issue now living of His Majesty, the current Yang di-Pertuan Agong of Malaysia or until such further period as the law may permit.
Authorised Investments	Real estate, non-real estate assets, cash, deposits and money market instruments in accordance with the REITs Guidelines ² and the Deed.
Authorised Investments Limits	› At least 75% of CMMT's total asset value must be invested in real estate that generates recurrent rental income at all times; and › Such other investments or limits as may be permitted by SC and/or the REITs Guidelines.
Distribution Policy	Payout policy ratio: › At least 90.0% of CMMT's distributable income of each financial year. › Semi-annual distribution payment for the six-month period ending 30 June and 31 December of each year.
Borrowing Limitations	Up to 60.0% (FY 2019: 50.0%) of CMMT's total asset value at the time the borrowings or financing facilities or deferred payment arrangements are incurred. As announced by the Securities Commission on 12 August 2020, the gearing limit for Malaysia Real Estate Investment Trusts was temporarily increased from 50% to 60% until 31 December 2022.
Performance Benchmarks	› FTSE Bursa Malaysia Kuala Lumpur Composite Index › FTSE Bursa Malaysia EMAS Index › Bursa Malaysia REIT Index
Revaluation Policy	Valuation of investment properties are carried out: › Annually based on independent professional valuation; and › When a real estate is to be acquired or disposed by CMMT.
Management Fee	› Base Fee: up to 1.0% per annum of the value of Deposited Property³ (FY 2020 actual: 0.29%) › Performance Fee: up to 5.0% per annum of NPI (before Management Fee) (FY 2020 actual: 4.75%) › Acquisition Fee: up to 1.0% of the purchase price of any Authorised Investments directly or indirectly acquired by the Trustee on behalf of CMMT › Divestment Fee: up to 0.5% of the sale price (after deducting the interest of any co-owners or co-participants) of any Authorised Investments directly or indirectly sold or divested by the Trustee on behalf of CMMT
Financial Year	1 January 2020 to 31 December 2020
Listing Market	Main Market of Bursa Malaysia Securities Berhad
Minimum Investment	100 units per board lot
Bursa Securities Stock Name/Code	CMMT 5180

1 The Deed dated 7 June 2010 (as amended and restated on 28 October 2020) entered into between the Manager and the Trustee.

2 Guidelines on Listed Real Estate Investment Trusts.

3 As defined in the Deed, the value of Deposited Property is equal to all the assets of CMMT (total asset value).

YEAR IN BRIEF

JANUARY

- › CMMT has put in place precautionary measures at its properties in line with the health authorities' guidelines in response to the onset of COVID-19.
- › CMMT announced an annual distribution per unit (DPU) of 6.25 sen for the period 1 January 2019 to 31 December 2019.
- › Announced the dissolution of the Corporate Disclosure Committee of the Manager with effect from 1 February 2020.

FEBRUARY

- › A distribution of 3.03 sen per unit for the period from 1 July 2019 to 31 December 2019 was paid to Unitholders.
- › Opening of MinNature, Malaysia's largest 3D printed miniature exhibition, at JUMPA@Sungei Wang.

MARCH

- › CapitaLand and CMMT implemented a series of support measures to help alleviate the operating pressures of retail partners across all CapitaLand malls in Malaysia, benefitting tenants operating more than 1,800 stores.
- › CapitaLand and CMMT provided 14 days rental waiver to affected tenants who provide non-essential services or supplies following the implementation of the Movement Control Order from 18 to 31 March 2020.

APRIL

- › The Manager announced that CMMT is committing up to RM35.0 million of rental relief, inclusive of the 14-day rental waiver, to support its shopping mall tenants who provide non-essential services or supplies.

MAY

- › CapitaLand and CMMT distributed COVID-19 care packages worth RM212,000 to affected communities in Malaysia. Beneficiaries include about 4,000 underprivileged children from 80 orphanages in the Klang Valley, Kuantan and Penang as well as 300 needy families in Johor.
- › Announced the establishment of a Distribution Reinvestment Plan (DRP), subject to authorities and Unitholders' approval, to provide Unitholders with the option to reinvest all or part of the distributions received into new CMMT units.
- › CMMT announced a DPU of 0.98 sen for the period 1 January 2020 to 30 March 2020.

JUNE

- › Organised a virtual non-deal roadshow for major local investors.
- › Introduced a new supermarket operator – Tesco, at The Mines to strengthen the mall's neighbourhood positioning.
- › Held a virtual Annual General Meeting of CMMT and all resolutions, including the proposed DRP, were approved by Unitholders.
- › Gurney Plaza was selected by Penang state government to be showcased for its best practices in adherence with COVID-19 safety and precautionary measures to ensure shopper safety and well-being in a shopping mall.

JULY

- › Announced the resignation of Mr Ronald Tay Boon Hwee as Non-Independent Non-Executive Director with effect from 6 July 2020.
- › Announced the appointment of Mr Jonathan Yap Neng Tong as Non-Independent Non-Executive Director with effect from 6 July 2020.
- › CMMT's DPU for the period 1 April 2020 to 30 June 2020 was 0.03 sen, which resulted in a total of 1.01 sen for the 1H 2020 income distribution. The DRP was applied on the 1H 2020 income distribution where the gross electable portion was 0.505 sen per unit representing 50% of the income distribution.
- › Gurney Plaza is the first shopping mall to be certified by the Penang state government's COVID-19 Accreditation Programme for adherence to strict hygiene and safety standards.
- › Majlis Bandaraya Petaling Jaya awarded 3 Damansara with a 5-star rating for public toilet cleanliness.
- › CapitaLand and CMMT rewarded shoppers with CashBack STARVouchers as part of the month-long Cash Back Now campaign.

AUGUST

- › CMMT re-fixed the interest rate for part of the existing fixed rate secured term loan for two years.

SEPTEMBER

- › Gurney Plaza completed the asset enhancement initiative to create a contemporary food hall on Level 4 to offer more dining options for shoppers.

OCTOBER

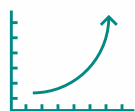
- › A distribution of 1.01 sen per unit which pertained to the period from 1 January 2020 to 30 June 2020 was paid to Unitholders. The Manager announced it had issued and allotted a total of 5,783,864 new units, which represented approximately 39.4% of the total number of new CMMT units, had all the entitled unitholders of CMMT elected to reinvest their respective electable portion under the DRP in new CMMT Units.
- › Announced the resignation of Mr Ng Chih Kaye and YBhg Dato' Mohammed bin Haji Che Hussein as Independent Non-Executive Directors and cessation as Members of the Audit Committee with effect from 1 October 2020.
- › Announced the appointment of Mr Lui Chong Chee and Encik Mohd Yusof bin Hussian as Independent Non-Executive Directors and members of the Audit Committee with effect from 1 October 2020.
- › Official opening of Gurney Food Hall – the upscale contemporary food hall that showcases an intricate concept comprising a variety of details based on local elements with each zone – The Pier, The Port, The Palm and The Patio, representing the landmarks in Penang.
- › CMMT announced a DPU of 1.13 sen for the period 1 July 2020 to 30 September 2020.

NOVEMBER

- › Launch of signature eDeals - STARVoucher, available exclusively on CapitaStar.
- › The Securities Commission Malaysia had registered the Fourth Amended and Restated Deed of CMMT on 25 November 2020.

DECEMBER

- › CMMT jointly collaborated with Grab, Southeast Asia's largest mobile technology company, with the initial inclusion of Gurney Plaza, East Coast Mall and The Mines in GrabMart Mix & Match, an on-demand everyday goods delivery service.



GROSS
REVENUE

RM261.4
million

RM342.3 million
in 2019



NET PROPERTY
INCOME

RM133.5
million

RM202.1 million
in 2019



DISTRIBUTABLE
INCOME

RM61.8
million

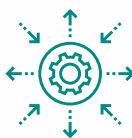
RM128.0 million
in 2019



DISTRIBUTION
PER UNIT

3.00 sen

6.25 sen in 2019



MARKET
CAPITALISATION

RM1.3
billion

RM2.1 billion
in 2019



PORTFOLIO
OCCUPANCY RATE

86.6%

93.8% in 2019



ANNUAL SHOPPER
TRAFFIC

32.4
million

56.7 million in 2019



NO. OF
COMMITTED LEASES

1,175
leases

1,303 leases in 2019



NET LETTABLE
AREA

3.1
million sq ft

3.0 million sq ft
in 2019

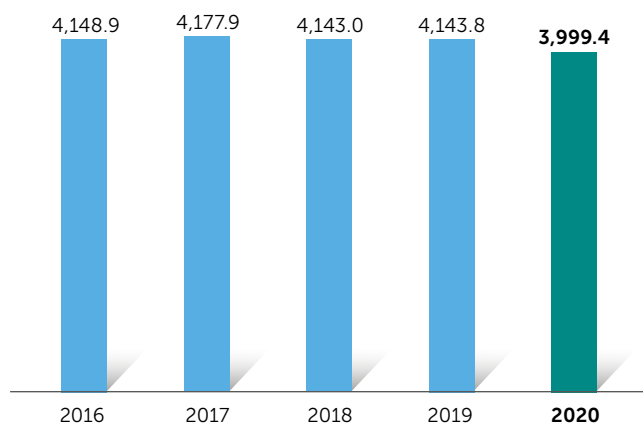
A miniature figure of a woman in a green and red sari, standing next to a basket of colorful vegetables. The figure is wearing a green top with floral patterns and a red sari with gold borders. She has a yellow flower in her hair and a gold necklace. In the background, another figure in a yellow sari is visible. The foreground shows a basket filled with various vegetables like tomatoes, cucumbers, and bell peppers.

MINNATURE,
JUMPA@
SUNGEI WANG

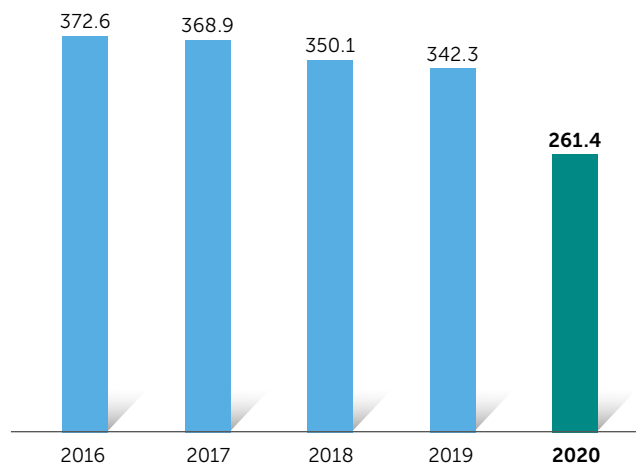
2020 HIGHLIGHTS

FINANCIAL HIGHLIGHTS

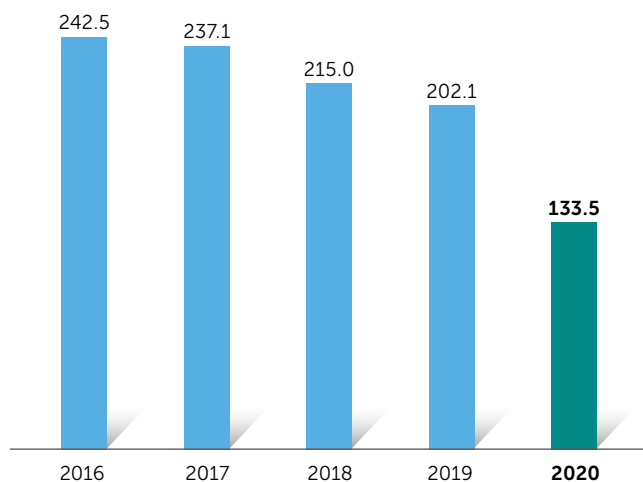
TOTAL ASSETS (RM mil)



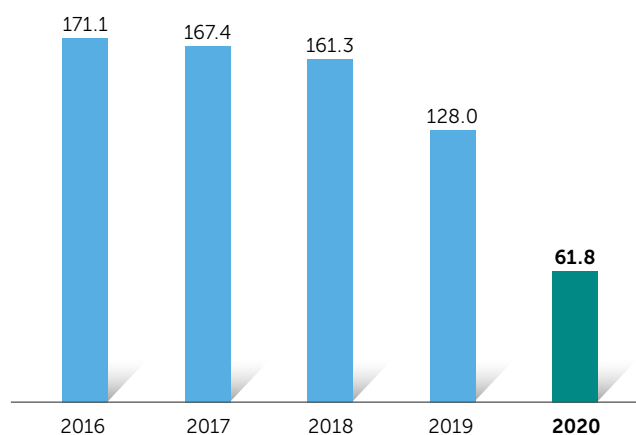
GROSS REVENUE (RM mil)



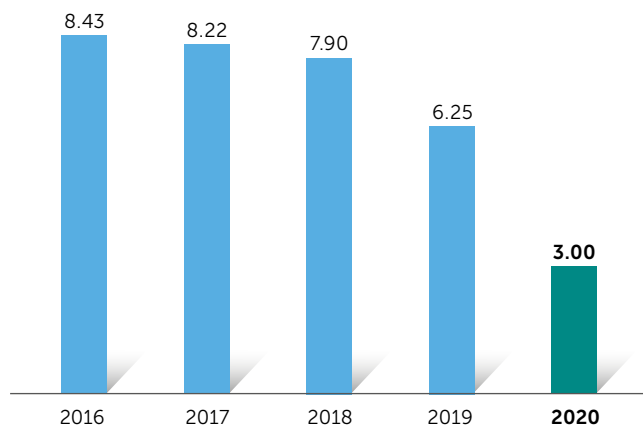
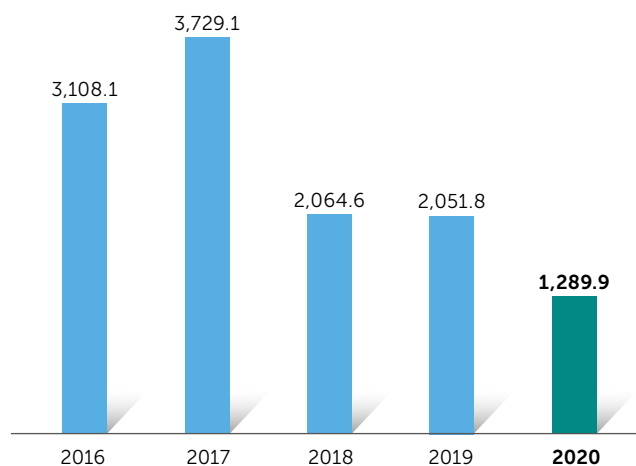
NET PROPERTY INCOME (RM mil)



DISTRIBUTABLE INCOME (RM mil)



DISTRIBUTION PER UNIT (SEN)

MARKET CAPITALISATION¹ (RM mil)

1 Based on the closing market price of the respective financial year.

CMMT Group Performance Highlights (RM mil)	FY 2020	FY 2019	FY 2018	FY 2017	FY 2016
Gross Rental Income	210.3	266.9	271.2	289.4	292.9
Car Park Income	14.6	23.1	24.2	24.5	24.6
Other Revenue	36.5	52.3	54.7	55.0	55.1
Gross Revenue	261.4	342.3	350.1	368.9	372.6
Net Property Income	133.5	202.1	215.0	237.1	242.5
Distributable Income	61.8	128.0	161.3	167.4	171.1
Distribution Per Unit (Sen)	3.00	6.25	7.90	8.22	8.43
Distribution Yield ¹ (%)	4.80	6.25	7.82	4.49	5.51
Annual Total Return ² (%)	(34.5)	5.2	(40.5)	25.0	17.0
Average Total Return (3 years) (%)	(23.3)	(3.4)	0.5	14.8	9.3
Average Total Return (5 years) (%)	(5.6)	1.8	2.5	7.1	8.3
(Loss) / Earnings Per Unit (Sen)	(4.11)	3.55	6.64	7.97	8.27
Management Expense Ratio ³ (%)	0.8	0.9	0.9	0.9	0.9

CMMT Group Financial Position Highlights (RM mil)	FY 2020	FY 2019	FY 2018	FY 2017	FY 2016
Portfolio Property Valuation	3,895.0	4,035.0	4,019.0	3,966.0	3,938.0
Total Assets	3,999.4	4,143.8	4,143.0	4,177.9	4,148.9
Total Borrowings ⁴	1,411.6	1,376.7	1,321.9	1,341.0	1,316.7
Unitholders' Funds	2,443.9	2,601.9	2,666.6	2,687.2	2,685.6
Net Asset Value (NAV) Before Final Income Distribution	2,443.9	2,601.9	2,666.6	2,687.2	2,685.6
Net Asset Value (NAV) After Final Income Distribution	2,402.8	2,539.8	2,587.3	2,604.1	2,599.7
NAV Per Unit Before Final Income Distribution (RM)	1.1842	1.2681	1.3045	1.3187	1.3220
NAV Per Unit After Final Income Distribution (RM)	1.1643	1.2378	1.2657	1.2779	1.2797

CMMT Group Capital Management Highlights	FY 2020	FY 2019	FY 2018	FY 2017	FY 2016
Gearing Ratio (%)	35.7	33.7	32.5	32.8	32.4
Unencumbered Assets as % of Total Assets	28.1	28.3	28.0	29.7	30.4
Average Term to Maturity (years)	3.5	4.4	4.8	5.7	6.8
Interest Coverage (times)	2.1	3.0	3.2	3.7	3.8
Average Cost of Debt (%)	4.1	4.4	4.5	4.4	4.5

1 Based on the closing market price of the respective financial year.

2 Annual total return is equal to the DPU plus capital appreciation (in sen) during the year divided by the opening unit price at the beginning of the financial year.

3 Refers to the expenses of CMMT excluding property operating expenses and interest expense but including the Manager's management fees, expressed as a percentage of average net assets.

4 Before deducting unamortised transaction costs.

CMMT Group refers to the consolidation of CMMT and its wholly owned subsidiary, CMMT MTN Berhad. Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

2020 INITIATIVES

GURNEY PLAZA ASSET ENHANCEMENT INITIATIVE

Gurney Food Hall is an upscale contemporary food hall located on Level 4 and features a modern and cosy interior design. The food hall showcases an intricate concept comprising a variety of details based on local elements with each zone — The Pier, The Port, The Palm and The Patio, representing landmarks in Penang. With a seating capacity of 600, the spacious food haven features local heritage street food and international delights.



FRESH OFFERINGS @ GURNEY PLAZA



New international fashion and cosmetics brands introduced to Northern region as part of our efforts to elevate mall's positioning



More food and beverage options, including patisserie, to refresh mall's offerings



2020 INITIATIVES

FRESH OFFERINGS @ EAST COAST MALL

New-to-market brands that were introduced to East Coast region



Introduced more food and beverage brands to refresh shopper experience



FRESH OFFERINGS @ SUNGEI WANG PLAZA & 3 DAMANSARA



New tenants introduced at Sungei Wang Plaza



More variety of service-related offerings were introduced to shoppers and the office community at 3 Damansara



2020 INITIATIVES

FRESH OFFERINGS @ THE MINES

New food
and beverage
brands



Several specialty
concept stores
were introduced
to offer more
telecommunication-
related services
at DigitaMart on
Level 4



New
fashion
brands to
refresh mall's
offering



Introduced new
supermarket
operator to
strengthen
the mall's
neighbourhood
positioning



COVID-19 RESPONSE

As we navigate through the global COVID-19 pandemic which has adversely impacted our daily lives and disrupted businesses, CMMT as a responsible corporate citizen committed to weather the challenges together with our retail partners and emerge stronger.

In financial year 2020, CMMT introduced a wide range of support measures for its retail partners to help alleviate their cash flow and operational difficulties. These include:



FINANCIAL SUPPORT

- › Committed up to RM35 million rent relief for non-essential services tenants which included 14-day rent waiver from 18 to 31 March 2020 and a second tranche of rent relief in a staggered manner
- › Flexible payment arrangement from May to December 2020
- › 15% electricity discount from April to September 2020, as announced by the Government, were passed to eligible tenants



OPERATIONAL SUPPORT

- › Flexible operating hours throughout Movement Control Order and Conditional Movement Control Order from 18 March to 9 June 2020
- › Guidance on safety and hygiene standards
- › Sharing of resources for various services such as sanitising and disinfecting; installation of social distancing markers and procurement of surgical masks and hand sanitisers
- › Complimentary parking ranging from 2 hours to full day from March to June 2020



MARKETING SUPPORT

- › CapitaStar's Cash Back Now campaign
- › Complimentary roadshow space and advertising platform
- › Social media support



Offline and online collaboration with Lazada



Facebook Live Hour



Tenants participating in the Lazada collaboration

COVID-19 INITIATIVES

CMMT continues to place the well-being of our employees, tenants and shoppers as our top priority. We remain vigilant with the necessary precautionary measures in place. These include stepped up frequency of cleaning and disinfection in the malls, with a focus on key touch points at the common areas such as lift buttons, handrails and touch screens. We have also deployed the use of innovative technologies to enhance our cleaning and disinfecting routines. All high contact areas in all CMMT malls including lifts and lift buttons, door entrance buttons, handrails, touch screens, toilet cubicles and basins, family rooms and customer service counters have been coated with an anti-microbial disinfectant. Complementing the anti-microbial coating, we continue to clean and disinfect all high contact touch points at stepped up frequencies. All lift cars have also been installed with PhotoPlasma air disinfection system and this technology will energise atmospheric air into a plasma state, in turn eliminating air-borne and surface microorganisms such as virus and bacteria. The PhotoPlasma air disinfection system in lift cars is complemented by anti-microbial coating and general cleaning procedures to disinfect lift surfaces.

In recognition of our efforts in hygiene and safety standards, Gurney Plaza is the first shopping mall to be certified by the Penang state government's COVID-19 Safety Accreditation programme for adherence to strict hygiene and safety standards.



Installation of PhotoPlasma air disinfection system



Anti-microbial coating is applied on all high contact areas



Care Ambassadors provide the necessary support and assistance to shoppers



Gurney Plaza is the first shopping mall to be certified by the Penang state government's COVID-19 Safety Accreditation Programme

Offline and online Facebook Live Hour events

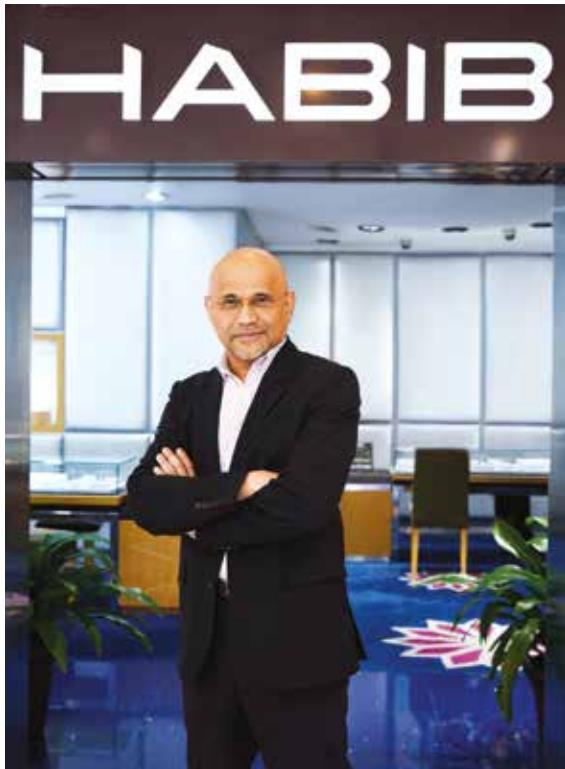


The month-long Cash Back Now campaign to boost tenant sales and reward shoppers



For a safe and contactless shopping experience, STARVouchers can be redeemed through the CapitaStar app

TENANTS SPEAK



HABIB JEWELS SDN. BHD.

2020 was certainly a year full of unexpected surprises. Following the establishment of the standard operating procedures and precautionary measures which are now considered the new norms, we have experienced a lot of new opportunities and adversities, giving rise to new and creative ways to continue thriving in our business. HABIB truly appreciates the proactive support displayed by the CMMT team towards their tenants and shoppers. The management team professionally addresses tenants' concerns while finding innovative ways to drive traffic and tenants' sales. Owing to this symbiotic relationship between HABIB, CapitaLand and CMMT, we are confident to growing our respective businesses together in the future.

Dato' Sri Meer Sadik Habib
Managing Director



A-LOOK EYEWEAR SDN. BHD.

The global COVID-19 pandemic has badly affected the Malaysia retail sector and our business has not been spared. At the start of the crisis, CMMT has been a proactive landlord and approached us in offering support to help us go through the challenges. We appreciate their gesture and the support has helped us in reducing our operating pressure as we focus on stabilising our business during this difficult period.

Dato' Terry Ngeow
Managing Director



MAX FASHION (LIFESTYLE RETAIL MALAYSIA SDN. BHD.)

We opened in East Coast Mall in 2018 and have since enjoyed a great partnership with CMMT. CMMT has always stayed ahead of retail trends and is one of the first few shopping mall owners to introduce asset enhancement initiatives. These initiatives help to ensure that CMMT shopping malls remain relevant over the years and have greatly benefitted our business.

Anil Konidena
CEO, Head of South East Asia, Landmark Group, Singapore



MR D.I.Y. GROUP (M) BERHAD

CapitaLand and its sponsored-REIT CMMT have been MR. D.I.Y.'s key business partners for the past six years following the opening of our first store in CapitaLand malls at Gurney Plaza in 2015. Today, we operate seven stores in CapitaLand malls throughout Malaysia including an outlet in Singapore. As a tenant, we have certainly benefited from CapitaLand's efficient tenant support and countless innovative marketing initiatives. Our partnership has been undeniably dynamic as both parties are committed towards delivering a convenient and unique shopping experience to all our customers. We look forward to forging stronger ties and expanding our footprint into other CMMT malls in the years to come.

Andy Chin

Group Vice President, Marketing

EVOLUTION WELLNESS GROUP

We have three locations with CapitaLand malls in Malaysia and multiple other locations across the region with the wider CapitaLand Group. We have always appreciated both CapitaLand and CMMT's professional approach to mall and tenant management. They show a true understanding of our business and of what makes both the Landlord and Tenant successful within a mutually beneficial win-win partnership. We certainly hope to expand this relationship in the future as CMMT continues to grow, and our business is always on the lookout for new winning locations.

Matt Smith

Head of Leasing, Asia



STARBUCKS

Starbucks Malaysia has been proudly working with CapitaLand for many years to offer great locations for our customers to come together over a great cup of their favorite beverage. We find CapitaLand to be a very supportive and accommodating landlord that is a pleasure to work with. We continue to look forward to working with them as we grow the Starbucks business in Malaysia.

Sydney Quays

Group CEO of Berjaya Food Berhad

Managing Director of Starbucks Malaysia & Brunei



IN CONVERSATION

WITH CHAIRMAN & CEO

HOW WAS 2020 FOR CAPITALAND MALAYSIA MALL TRUST (CMMT)?

COVID-19, which began as a health emergency, eventually led to a global economic crisis in 2020. From the onset of the COVID-19 outbreak, we had put in place precautionary measures across our properties in accordance with guidelines from the local authorities. We also deployed the use of innovative technologies to enhance our cleaning and disinfecting routines to protect the health of our shoppers, tenants and employees.

To contain the spread of the virus, the Malaysian Government implemented a nationwide Movement Control Order¹ (MCO) from 18 March 2020, followed

by a Conditional Movement Control Order (CMCO) from 4 May 2020. The mandated closure during MCO dealt a blow to shopping mall tenants who operate non-essential services or supplies. To help alleviate their cash flow and operating difficulties, we have drawn up a comprehensive support package and taken the necessary measures to build resilience in and ensure the long-term viability of CMMT's retail ecosystem.

Following the resumption of economic activities under the Recovery Movement Control Order (RMCO) and with most of our tenants having reopened from June 2020, we were heartened to see footfall recovery despite safe management measures in place. We also launched marketing support initiatives to drive traffic back to our malls and accelerate digital adoption among tenants via CapitaStar. To provide a safe and convenient shopping experience, CMMT malls are onboard GrabMart which enables shoppers to buy from different retail tenants from same mall through the Grab app and have their purchases delivered to their doorsteps at a single delivery charge.



DAVID WONG CHIN HUAT
Chairman

¹ Under the MCO, all government and private premises were mandated to close, except those providing essential services, such as supermarkets, pharmacies, clinics and banks. Food and beverage operators were open strictly for deliveries and take-aways only.

To strengthen CMMT's financial position amidst the uncertainties, various cost containment measures were implemented, including deferring non-essential operational and capital expenditure and renegotiation of procurement contracts. Strengthening the balance sheet via continued prudent and proactive capital management is another priority for CMMT. We also established the Distribution Reinvestment Plan (DRP) to offer additional flexibility to Unitholders to receive future income distribution in cash, units or a combination of cash and units. The DRP provides Unitholders with an opportunity to enhance and maximise the value of their unitholdings in CMMT by investing in DRP units at a discount. As a show of solidarity with all stakeholders, the CMMT Board and the CEO have voluntarily opted for a reduction in board fees and salaries from April 2020.

HOW WAS CMMT'S FINANCIAL PERFORMANCE IN FY 2020?

The year 2020 was a highly challenging one for the retail industry, arising from the impact of the COVID-19 pandemic. CMMT's financial performance for the financial year ended 31 December 2020 (FY 2020) reflects the impact of vacancies and uncertainties caused by COVID-19. CMMT recorded a net property income (NPI) of RM133.5 million, a 33.9% decline from NPI of RM202.1 million in FY 2019, mainly attributed to the rental relief granted to Affected Tenants² that were required to close during MCO.

For the year under review, CMMT recorded a gross revenue of RM261.4

million. Total comprehensive loss was RM84.5 million, after accounting for an unrealised net fair value loss on investment properties of RM157.9 million. CMMT's distributable income of RM61.8 million for FY 2020 was 51.7% lower than FY 2019 due to lower NPI. This led to the corresponding decline in DPU by 52.0% to 3.00 sen.

PLEASE TELL US MORE ABOUT THE TENANT SUPPORT PACKAGE.

In response to the unprecedented challenges brought about by COVID-19, CMMT committed up to RM35.0 million in rental relief to help Affected Tenants to journey with them through this difficult period in FY 2020. In addition, CMMT also rolled out other initiatives, including flexible payment arrangement for rentals, flexible operating hours for

LOW PECK CHEN
Chief Executive Officer



² Shopping mall tenants providing non-essential services or supplies that were mandated to close during the Movement Control Order and the Conditional Movement Control Order.

IN CONVERSATION WITH CHAIRMAN & CEO

tenants and marketing assistance efforts. We also passed through the 15% electricity discount from April to September 2020 to eligible tenants as provided for by the Government's economic stimulus package.

HOW DID THE COVID-19 PANDEMIC AND LOCKDOWN AFFECT CMMT'S CAPITAL MANAGEMENT? DOES CMMT HAVE THE ABILITY TO CONTINUE TO BORROW AND FUND ITS WORKING CAPITAL OR FUTURE ACQUISITIONS?

During the year, CMMT focused on stabilising the portfolio and strengthening cash flow and liquidity. We implemented cost containment measures to conserve cash whereby DRP serves part of the purpose. To manage capital management prudently and proactively, CMMT re-fixed the interest rate for part of the existing fixed rate secured term loan for two years. The interest rate



The refreshed Giant outlet at Sungei Wang Plaza

lock-in exercise was timely because of the low interest rate environment, as such the average cost of debt for FY 2020 was lowered to 4.1% per annum from 4.4% per annum a year ago. As at 31 December 2020, CMMT locked in 81.0% (FY 2019: 83.0%) of its total borrowings at fixed rates. We will continue the effort to lock in part of the remaining fixed rate borrowings in 2021.

On 12 August 2020, the Securities Commission Malaysia announced that the gearing limit for a REIT should not exceed 60.0% of its total assets, against the previous gearing limit of 50.0%. The temporary increase in the gearing headroom till 31 December 2022 provides some relief for REITs to manage headwinds arising from the COVID-19 pandemic. As at 31 December 2020, CMMT Group's total borrowings stood at RM1.4 billion³, translating to a healthy gearing level of 35.7% (FY 2019: 33.7%), notwithstanding the appraised property valuation was lower by 3.5% year-on-year to RM3.9 billion. There is no near-term refinancing requirement until 2022.

The current gearing level of 35.7% provides a debt headroom of approximately RM1.1 billion⁴ to fund potential acquisitions and asset enhancement initiatives (AEI). Considering the fluidity of the COVID-19 situation, we remain prudent in cost and capital management and will continue to optimise financing cost and tap on a wider range of financing options to maintain balance sheet resilience and manage cost of debt.

HOW DID COVID-19 IMPACT THE PORTFOLIO PERFORMANCE?

CMMT's shopping malls registered an annual shopper traffic of 32.4 million in 2020, which was 42.8% lower from the 56.7 million achieved in 2019. As businesses reopened under the RMCO, we saw an encouraging resumption of shopper activities despite the social distancing measures in place, and the rebound in tenant sales even outpaced the return of shopper traffic. Tenant sales per square foot (psf) for 2020 had recovered to about 81.0% of 2019's level.

³ Before deducting unamortised transaction costs.

⁴ Based on the original statutory limit of 50.0%.



From April to June 2020 shopper traffic and tenant sales were hard hit following the movement restrictions imposed by the MCO and CMCO. Following that in the third quarter of 2020, shopper traffic and tenant sales psf saw a recovery of about 145.4% and 20.2% respectively on a quarter-on-quarter basis on the back of the RMCO. In October 2020, CMCO was re-introduced due to the resurgence of COVID-19 transmissions and our malls' shopper traffic contracted at the start of the CMCO but recovered gradually towards the year-end festive period. Although shopper traffic for October to December 2020 declined 15.3%, tenant sales psf for the same period grew 3.9% from the previous quarter.

Given that the potential impact of COVID-19 is fluid and evolving, the recovery of the retail sector remains uncertain. As a result, the portfolio occupancy rate as at 31 December 2020 declined to 86.6% from 93.8% a year ago, while rental reversion for the portfolio eased by 11.8%.

THE KLANG VALLEY MALLS CONTINUE TO BE CHALLENGING FOR CMMT. WHAT IS YOUR STRATEGY IN REVIVING THESE MALLS? IN ADDITION, CMMT HAD SPENT APPROXIMATELY RM52.0 MILLION ON JUMPA@SUNGEI WANG AEI TO REVIVE SUNGEI WANG PLAZA. PLEASE GIVE US AN UPDATE ON JUMPA.

New shopping malls have opened in the Klang Valley over the past few years and more are slated to open in the future, COVID-19 notwithstanding. The pandemic and oversupply of retail space have affected retailer sentiments and the lead time required when signing and renewing leases.

To manage the challenges, we rolled out flexible leasing strategies for some of our new and existing tenants during the year. To strengthen the suburban mall positioning for The Mines and 3 Damansara, we brought in new anchor tenants as well as diversified the tenant mix within each mall. At The Mines, Tesco supermarket and

several specialty concept stores were introduced to offer a fresh grocery shopping experience and more telecommunication-related services at DigitaMart respectively. The cinema operator at 3 Damansara had recently upgraded to include a family-friendly hall while shoppers can now access more service-oriented offerings for their convenience. We will continue to step up efforts in diversifying the F&B mix for both suburban malls. The Mines will explore bringing in experiential concepts, while 3 Damansara will further strengthen its beauty-related offerings and edutainment for multigenerational families and the office community.

Since 2013, Sungei Wang Plaza (SWP) has experienced several disruptions including the construction of the underground Mass Rapid Transit system and the closure and demolition of Bukit Bintang Plaza. In response, the rental of CMMT's parcels in the mall adjusted to the prevailing market conditions. In 2018, we saw the opportunity to embark on a sizeable AEI following the departure of the former anchor tenant. Now known as JUMPA@Sungei Wang (JUMPA), the revamped area is envisioned as a vibrant and energetic lifestyle zone that will enhance and revitalise our other parcels in SWP. JUMPA offers experiential retail, F&B, 'athleisure' and family entertainment spread across five levels and was well-received by locals and tourists when it opened in September 2019.

A few months after JUMPA's opening, COVID-19 hit. SWP was adversely impacted by the travel ban – be it international or interstate, as well as

IN CONVERSATION WITH CHAIRMAN & CEO



the work-from-home arrangements as its pre-COVID-19 shopper profile largely comprised tourists and the surrounding office community. Some tenants had since exited due to operational challenges from the MCO whilst experiential trades such as Camp5 Beast Park and MinNature were unable to operate under the movement restriction orders. Despite the challenges brought about by the pandemic and travel ban, we are confident that the positioning of JUMPA remains relevant and will continue to strengthen its appeal and tenant mix.

WITH THE REINTRODUCTION OF PANDEMIC RESTRICTIONS, THE RECOVERY OF THE RETAIL SECTOR REMAINS UNCERTAIN. IS CMMT ON THE LOOKOUT FOR ACQUISITION OPPORTUNITIES AND HAS CMMT CONSIDERED INVESTING INTO OTHER ASSET CLASSES?

Our immediate focus is to stabilise the portfolio and support our tenants in navigating this challenging period.

As CMMT's mandate is to invest, on a long-term basis, in income-producing real estate which is currently predominantly used for retail purposes and located primarily in Malaysia, we are open to exploring opportunities



A photo of the new PlayPlus hall for children and families at the newly-revamped GSC theater at 3 Damansara

should they be compelling investment propositions, taking into consideration our current operating climate, aggregate leverage and risk profile. Moving forward, we do not rule out the possibility of asset class diversification as long as sustainable distribution to Unitholders can be delivered in the long term.

WHAT WERE THE MAJOR ACHIEVEMENTS IN 2020?

Precautionary measures in accordance with the local authorities' guidelines have been implemented at all CMMT properties. The health and well-being of our stakeholders remain our top priorities and innovative tech solutions have also been rolled out to enhance the malls' cleaning and disinfecting routines. In recognition of our efforts in this area, Gurney Plaza is the first shopping mall to be certified by the Penang state government's COVID-19 Safety Accreditation programme for adherence to strict hygiene and safety standards.

Despite the challenging operating environment, CMMT remains focused in our commitment towards enhancing unitholder value through sustainable asset enhancement initiatives. We embarked on an asset enhancement initiative aimed at reinforcing Gurney Plaza as Penang's premier lifestyle destination. We reconfigured the layout on Level 4 to improve shopper circulation with the creation of a contemporary food hall that was completed in September 2020. With a seating capacity of 600, the spacious 33,000 sq ft food haven features local heritage street food and international delights.

On the community front, we continued to reach out to underprivileged children, with a focus on those who were impacted by COVID-19. CMMT and its sponsor, CapitaLand, distributed COVID-19 care packages worth RM212,000 to affected communities in Malaysia. Beneficiaries included about 4,000 underprivileged

children from 80 orphanages in the Klang Valley, Kuantan and Penang as well as 300 needy families in Johor.

Through active participation and representation in the Malaysian REIT Managers Association (MRMA), CMMT was part of the task force that spearheaded the appeal to the Government for support and relief measures for its members in view of the unprecedented impact of COVID-19. As the representative industry body for M-REITs, the MRMA presented the proposals to the Economic Action Council for due consideration.

WHAT CAN WE EXPECT IN FY 2021?

As the global economy is expected to head for a contraction in 2020 from the impact of COVID-19, Malaysia's annual gross domestic product growth for the full year of 2020 is expected to contract by 4.5%⁵. Globally, we are witnessing a resurgence of COVID-19 infections and tightening of pandemic restrictions in many parts of the world. In Malaysia, a nationwide state of emergency until 1 August 2021 has been declared by the Government and the movement restriction orders have been reinstated in all states from 13 January 2021. Meanwhile, the Government's vaccination programme is expected to be implemented from February 2021 over a period of 12 months. In view of the challenging operating conditions and economic uncertainties, consumer and retailer sentiments are expected to remain subdued.

During this period, we will continue to strike a balance between rental reversions and occupancy to ensure portfolio stability. With the reintroduction of movement restriction order, we will continue to provide customised support to our tenants' business recovery amidst the

operational restrictions to overcome this unprecedented challenge. To ensure we are ready for the eventual economic recovery, we will continue to adopt a disciplined approach on cost discipline and prioritise cost containment measures. On the liquidity front, we maintain a healthy and adequate financial position to meet our financial and operational obligations. We will continue to deepen our digital marketing initiatives to support our tenants' omnichannel strategy to ensure business sustainability.

Backed by our sponsor CapitaLand, one of Asia's largest diversified real estate groups, CMMT's fundamentals remain solid and we are able to tap on CapitaLand's unique integrated retail real estate platform, combining the best of retail real estate management and capital management capabilities.

As we continue to prioritise the well-being of our employees, tenants and shoppers, the CMMT Board would like to assure our stakeholders that we are committed to proactively manage our business and will take the necessary measures to strengthen CMMT's portfolio and ensure long-term viability.

ACKNOWLEDGEMENTS

Since the onset of COVID-19, the Ministry of Health and all healthcare frontline teams have been at the forefront working diligently to ensure our safety. We want to record our appreciation to each and every healthcare worker and enforcement personnel who are working hard to curb the spread of COVID-19.

Meanwhile, our operations staff too have shown extraordinary dedication and commitment in keeping our malls safe and clean to serve the

communities. We would like to express our gratitude and applaud them for their dedication. We would also like to thank Unitholders, tenants, shoppers and business partners for their continued support.

On behalf of the Board members, we would like to take this opportunity to record our gratitude to Mr Ng Chih Kaye and Dato' Mohammed bin Haji Che Hussein who retired from the Board, and Mr Ronald Tay Boon Hwee who stepped down from the Board during the year. We wish to express our deepest appreciation to Mr Ng and Dato' Mohammed Hussein for their guidance as non-executive independent directors with CMMT; and Mr Tay for his invaluable contributions to the Board over the past years.

We are pleased to welcome Mr Lui Chong Chee and Encik Mohd Yusof bin Hussain to the Board. With their rich experience in the fields of real estate and accounting, we look forward to tapping their insights to deliver the mission of CMMT. We also welcome Mr Jonathan Yap Neng Tong, President of CapitaLand Financial, to the Board and look forward to his guidance.

David Wong Chin Huat
Chairman

Low Peck Chen
Chief Executive Officer

10 February 2021

OPERATIONS REVIEW

VALUE CREATION

The Manager proactively undertakes retail and asset management initiatives to continually refresh and introduce new experiences in CMMT's malls to enhance their attractiveness.

In 2020, CMMT embarked on an asset enhancement initiative aimed at rejuvenating Gurney Plaza and enhancing shopper experience. We improved shopper circulation on Level 4 with the creation of a contemporary food hall. The rejuvenation works amounted to RM13.3 million and was completed in the third quarter of 2020. With a seating capacity of 600 pax, the spacious 33,000 sq ft food haven features local heritage street food to international delights.



LEASE RENEWALS AND NEW LEASES

For the leases that expired in 2020, the rental of the first year of the renewed/new lease term eased by 11.8% on a portfolio basis against preceding rental rates at the end of typical three-year leases. The lower rental reversion was mainly due to the lower performance from the malls as a result of movement control order measures implemented to contain the spread of the COVID-19. Until the challenging situation normalises, CMMT's ongoing priority remains on stabilising its portfolio and building greater resilience in its retail ecosystem.

Summary of Renewals/New Leases

(excluding newly created and reconfigured units)
(as at 31 December 2020)

Property	Number of Renewals/ New Leases	Change in Rental Rates ¹ (%)
Gurney Plaza	111	(7.4)
East Coast Mall	69	(1.5)
Sungei Wang Plaza	27	(23.1)
3 Damansara Property	24	(16.8)
The Mines	79	(33.1)
CMMT Portfolio	310	(11.8)

¹ Change in the current rental rates versus the preceding rental rates.

PORTFOLIO LEASE EXPIRY PROFILE

The portfolio lease expiry remained spread out as at 31 December 2020, with 41.0% and 34.6% of the leases by gross rental income due for renewal in 2021 and 2022 respectively, with the balance expiring from 2023 onwards. For the portfolio lease expiry profile as at 31 December 2020 by gross rental income, 7.8% is made up by the lease expiry cases of anchor and mini anchor tenants. About 622 leases are due to expire in 2021.

Portfolio Lease Expiry Profile

(as at 31 December 2020)

	Number of Leases	% of Gross Rental Income
2021	622	41.0
2022	333	34.6
2023 and beyond	205	24.4

Portfolio Lease Expiry Profile for 2021

(as at 31 December 2020)

Property	Number of Renewals	% of Gross Rental Income	% of Net Lettable Area
Gurney Plaza	190	16.7	10.8
East Coast Mall	100	8.2	5.8
Sungei Wang Plaza	99	3.0	4.5
3 Damansara Property	88	6.0	11.4
The Mines	145	7.1	12.9
CMMT Portfolio	622	41.0	45.4

Most of the tenancies for each CMMT property typically have a three-year lease term.

TOP 10 TENANTS

CMMT's gross rental income is well distributed within its portfolio of about 1,175 leases. Collectively, the 10 largest tenants accounted for about 14.4% of the total gross rental income.

10 Largest Tenants of CMMT

(as at 31 December 2020)

Tenant	Trade Sector	% of Gross Rental Income
Parkson Elite / Parkson	Departmental Store	5.6
Padini Concept Store	Fashion / Accessories	1.4
Golden Screen Cinemas	Leisure & Entertainment / Sports & Fitness	1.2
CGS-CIMB Securities Sdn. Bhd.	Others	1.1
Uniqlo	Fashion / Accessories	0.9
Watsons	Beauty / Health	0.9
F.O.S	Fashion / Accessories	0.9
JD Sports / JD Sports, King of Trainers	Leisure & Entertainment / Sports & Fitness	0.8
Nando's	Food & Beverage	0.8
MR D.I.Y.	Houseware / Furnishings	0.8
Total		14.4

OPERATIONS REVIEW

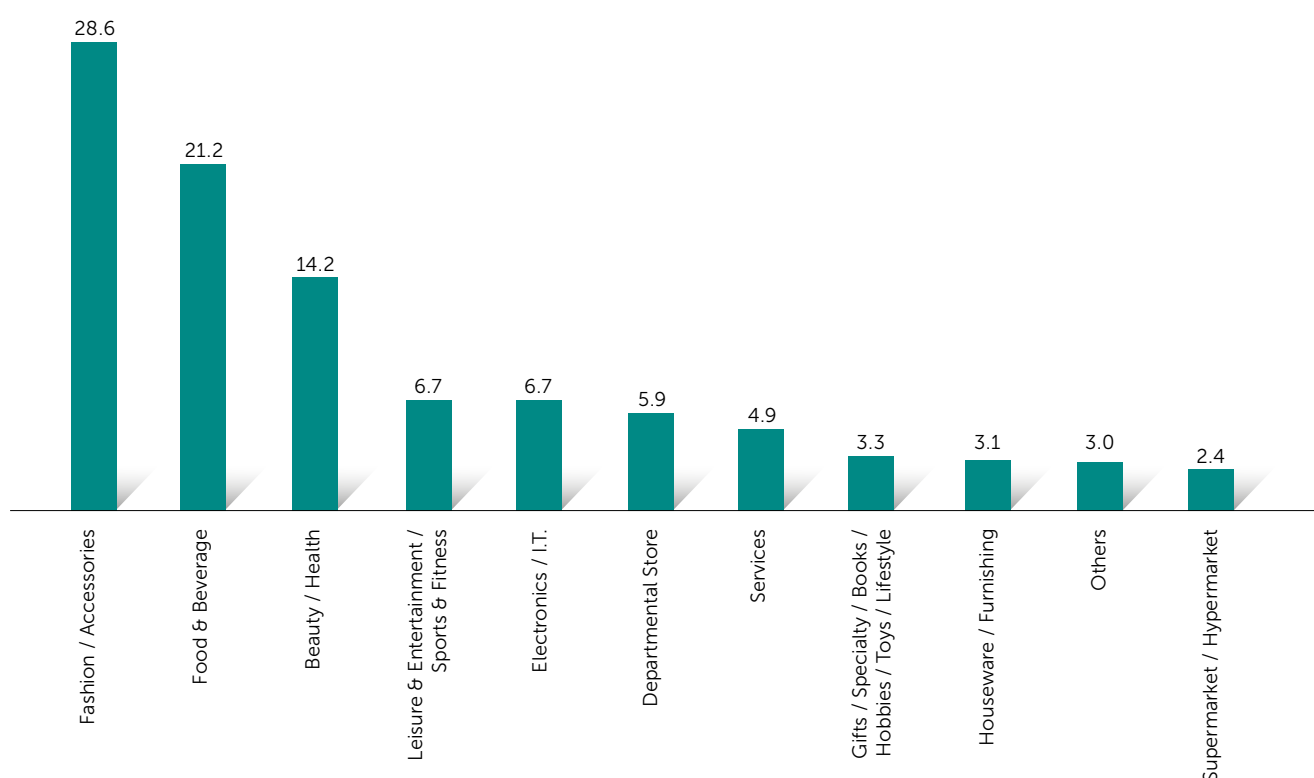
TRADE SECTOR ANALYSIS

CMMT's portfolio is well diversified and leverages on many different trade sectors for rental income. As at 31 December 2020, Fashion / Accessories remained the largest contributor to gross rental income at 28.6% of the total portfolio. The Food & Beverage trade remained the second largest contributor to gross rental income at 21.2%.

PORTFOLIO TRADE SECTOR ANALYSIS

(% of Gross Rental Income)

(as at 31 December 2020)



OCCUPANCY RATE

As a result of active mall management, proactive leasing strategy and access to CapitaLand's extensive network of local and international retailers, CMMT's occupancy rate has remained stable throughout the years. Given that the potential impact of COVID-19 is fluid and evolving, the recovery of the retail sector remains uncertain. As a result, the portfolio occupancy rate as at 31 December 2020 declined to 86.6% from 93.8% a year ago.

Occupancy Rate

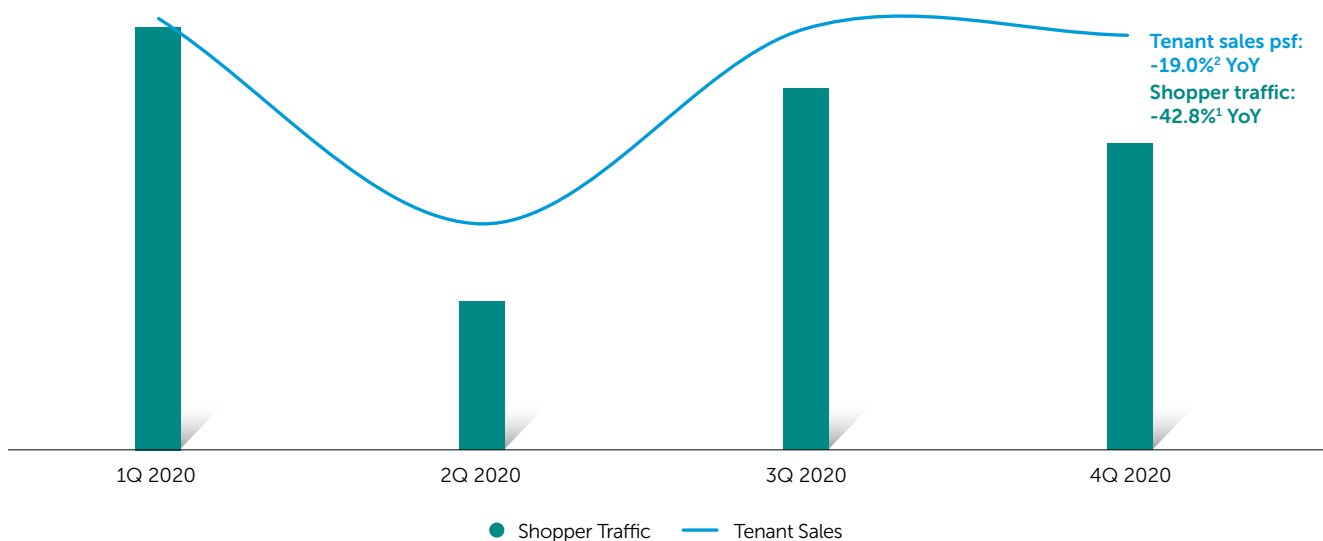
(%)

As at 31 December	2020	2019	2018	2017	2016
Gurney Plaza	98.6	99.8	99.9	99.4	99.1
East Coast Mall	97.4	99.5	99.0	98.9	98.4
Sungei Wang Plaza	64.2	82.0	75.3	90.1	91.0
3 Damansara Property	77.0	92.8	92.3	91.6	93.0
The Mines	85.2	90.5	89.1	94.4	98.0
CMMT Portfolio	86.6	93.8	93.2	95.4	96.5

SHOPPER AND VEHICULAR TRAFFIC

Shopper and vehicular traffic has been affected by the restriction in business activities and strict social distancing measures in force due to COVID-19. CMMT's shopping malls registered an annual shopper traffic of 32.4 million in 2020, which was 42.8% lower from the 56.7 million achieved in 2019. Vehicular traffic registered at 5.4 million in 2020, or 30.9% lower than 2019's record of 7.9 million.

Shopper Traffic and Tenant Sales Quarterly Performance



- 1 Shopper traffic and tenant sales were impacted by the MCO (18 March to 3 May) and CMCO (4 May to 9 June) implemented by the Government to curb the spread of COVID-19. Subsequently, CMCO was reinstated in Klang Valley from 14 October followed by Penang from 9 November.
- 2 Change in tenant sales per square foot.

From April to June 2020 shopper traffic and tenant sales were hard hit following the movement restrictions imposed by the Movement Control Order (MCO) and Conditional MCO (CMCO). Shopper traffic had declined 65.1% while tenant sales per square foot (psf) fell 16.5% on a quarter-on-quarter basis.

As businesses reopened under the Recovery MCO (RMCO) from 10 June 2020, we saw an encouraging resumption of shopper activities and the rebound in tenant sales even outpaced the return of shopper traffic. From June to September 2020, shopper traffic and tenant sales psf saw a recovery of about 145.4% and 20.2% respectively on a quarter-on-quarter basis on the back of the RMCO.

In October 2020, CMCO was re-introduced due to the resurgence of COVID-19 transmissions and CMMT malls' shopper traffic contracted at the start of the CMCO but recovered gradually towards the year-end festive period. Although shopper traffic for October to December 2020 declined 15.3%, tenant sales psf for the same period grew 3.9% from the previous quarter.

For the full year 2020, tenant sales psf declined 19.0% against 2019's level.

FINANCIAL REVIEW

GROSS REVENUE

Gross revenue for FY 2020 of RM261.4 million was RM80.9 million or 23.6% lower than FY 2019. The decrease was largely due to slower retail activities amidst the various movement control orders (MCOs) which continue to be enforced at the date of this report. During the MCOs, tenants which are not categorised as essential services (Affected Tenants) were not allowed to operate their businesses. To alleviate the burden of Affected Tenants, CMMT had committed up to RM35.0 million of rental relief to support the Affected Tenants, the relief given was deducted against gross revenue. In addition, CMMT had passed on the full 15% discount on electricity to mall tenants in response to the stimulus package as announced by the Malaysian Government. The decrease in gross revenue was partially mitigated with the revenue contribution from JUMPA@Sungei Wang following the completion of asset enhancement initiative in September 2019 and the successful launch of Gurney Food Hall at Gurney Plaza in October 2020.

Gross Revenue by Property	FY 2020 RM'000	FY 2019 RM'000	Change (%)
Gurney Plaza	121,423	152,488	(20.4)
East Coast Mall	49,483	63,906	(22.6)
Sungei Wang Plaza	20,094	25,409	(20.9)
3 Damansara Property	29,299	43,483	(32.6)
The Mines	41,100	56,990	(27.9)
Total	261,399	342,276	(23.6)

NET PROPERTY INCOME

Net property income (NPI) for FY 2020 of RM133.5 million was RM68.6 million, or 33.9%, lower than FY 2019. The decrease was a result of the abovementioned decrease in gross revenue, which translated into lower NPI for CMMT Group. The outstation malls comprising of Gurney Plaza and East Coast Mall fared better compared with the Klang Valley malls and continue to be the main contributors to CMMT Group. The lower NPI was also exacerbated by higher provision for doubtful debts of RM5.9 million that was mainly due to slower collection which translated into higher expected credit loss from the Affected Tenants.

Net Property Income by Property	FY 2020 RM'000	FY 2019 RM'000	Change (%)
Gurney Plaza	80,630	108,624	(25.8)
East Coast Mall	30,019	42,484	(29.3)
Sungei Wang Plaza	(2,408)	900	(>100.0)
3 Damansara Property	8,289	20,500	(59.6)
The Mines	16,971	29,612	(42.7)
Total	133,501	202,120	(33.9)

DISTRIBUTIONS

For FY 2020, CMMT declared a distribution per unit (DPU) of 3.00 sen. During the financial year, CMMT made two income distributions to Unitholders, totaling RM82.9 million or 4.04 sen per unit, which comprised (i) a final income distribution for FY 2019 of 3.03 sen per unit for the period from 1 July 2019 to 31 December 2019, which was paid on 28 February 2020 and (ii) the first income distribution for FY 2020 of 1.01 sen per unit for the period from 1 January 2020 to 30 June 2020, which was paid on 13 October 2020. In respect of the first income distribution for FY 2020, CMMT introduced the Distribution Reinvestment Plan (DRP) where Unitholders may elect to convert the income distribution received (net of withholding tax) into new CMMT units. A total of 5,783,864 of new units was issued out of 14,697,431 units eligible under the DRP, representing a take-up rate of 39.4%. For the final income distribution for the period from 1 July 2020 to 31 December 2020, CMMT intends to apply the DRP on the distribution per unit of 1.99 sen, and will be distributed to Unitholders on 23 March 2021. The total DPU from 1H 2020 and 2H 2020 of 3.00 sen represents a payout of approximately 100% of CMMT's FY 2020 distributable income of RM61.8 million.

Distribution History

	Period End	DPU Sen	Distributions RM'000
FY 2016			
1-Jan-16	30-Jun-16	4.20	85,189
1-Jul-16	31-Dec-16	4.23	85,931
Total		8.43	171,120
FY 2017			
1-Jan-17	30-Jun-17	4.14	84,234
1-Jul-17	31-Dec-17	4.08	83,140
Total		8.22	167,374
FY 2018			
1-Jan-18	30-Jun-18	4.02	82,034
1-Jul-18	31-Dec-18	3.88	79,314
Total		7.90	161,348
FY 2019			
1-Jan-19	30-Jun-19	3.22	65,822
1-Jul-19	31-Dec-19	3.03	62,169
Total		6.25	127,991
FY 2020			
1-Jan-20	30-Jun-20	1.01	20,759
1-Jul-20	31-Dec-20	1.99	41,071
Total		3.00	61,830

FINANCIAL REVIEW

FINANCIAL POSITION

The total assets for CMMT Group were RM3,999.4 million as at 31 December 2020 compared to RM4,143.8 million as at 31 December 2019. The decrease of RM144.4 million was mainly due to the fair value losses recognised for the valuations of the Klang Valley malls at the balance sheet date. Cash and cash equivalents have reduced by RM12.7 million to RM71.9 million at balance sheet date due to lower gross revenue and slower collection from Affected Tenants.

Total borrowings increased by RM34.8 million to RM1,411.6 million¹ at the balance sheet date due to drawdown of revolving credit facilities to fund capital expenditure works and working capital during the financial year. For more details, please refer to the Capital Management section of CMMT's Annual Report 2020.

Unitholders' fund for CMMT Group as at 31 December 2020 was RM2,443.9 million, a decrease of RM158.0 million from 31 December 2019 mainly attributable to the valuation loss from Investment Properties. The change in the Unitholders' funds was mainly a result of FY 2020 profit contribution which was impacted by the valuation loss from Investment Properties. Additional CMMT units were issued during the financial year in respect of the management fees payable in units and Distribution Reinvestment Plan exercise which saw a total of 5,783,864 units being converted at the issue price of RM0.6683 per unit.

VALUATIONS AND PROPERTY YIELD

CMMT Portfolio	Valuation (RM mil)			Property Yield (%)		Capitalisation Rate (%)	
	31 Dec 2020	31 Dec 2019	Increase/ (Decrease)	FY 2020	FY 2019	31 Dec 2020	31 Dec 2019
Gurney Plaza	1,665	1,665	–	4.8	6.5	6.75	6.75
East Coast Mall	579	577	2.0	5.2	7.4	7.00	7.25
Sungei Wang Plaza	475	538	(63.0)	(0.5)	0.2	7.00	7.00
3 Damansara Property	496	540	(44.0)	1.7	3.8	6.50	6.50
The Mines	680	715	(35.0)	2.5	4.1	7.00	7.00
CMMT Portfolio	3,895	4,035	(140.0)	3.4	5.0		
Less: Additions			(17.9)				
FY 2020 Net Fair Value Losses			(157.9)				

As at 31 December 2020, the valuation for Gurney Plaza, Sungei Wang Plaza and The Mines were conducted by Nawawi Tie Leung Property Consultants Sdn. Bhd. The valuation for East Coast Mall was conducted by Savills (Malaysia) Sdn. Bhd. while the valuation for 3 Damansara and 3 Damansara Office Tower (collectively known as 3 Damansara Property) was conducted by PPC International Sdn. Bhd.

1 Before deducting unamortised transaction costs.

CAPITAL MANAGEMENT

The Manager continues to rigorously monitor the cash position and borrowings of CMMT Group with the view of strengthening its capital structure and competitive position.

BORROWINGS

The Manager's capital management strategy involves adopting and maintaining an appropriate prudent leverage level to ensure optimal returns to Unitholders, while maintaining flexibility in respect of future capital expenditure or acquisitions.

In August 2020, CMMT Group re-fixed the interest rate at a lower interest rate for part of the existing fixed rate secured term loans for two years. The interest rate risk management initiative paved the way for CMMT to limit the adverse impact on the cost of debt in the event of an increase in market interest rate and banks' cost of funds. As at 31 December 2020, the CMMT Group locked in 81.0% (FY 2019: 83.0%) of its total borrowings at fixed rates.

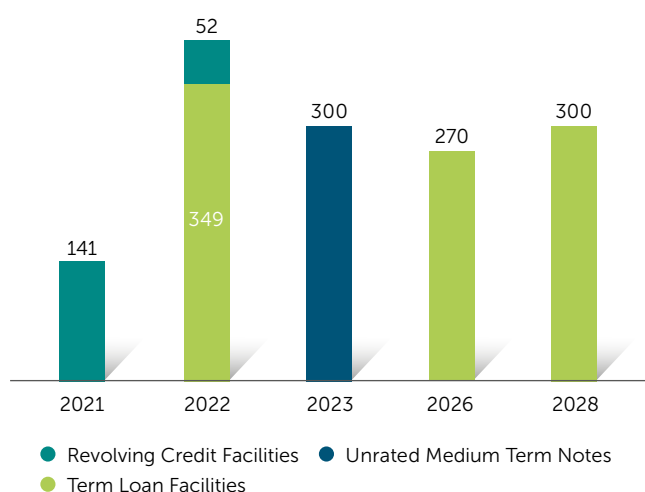
The total borrowings of the CMMT Group as at 31 December 2020 was RM1,411.6million¹ (FY 2019: RM1,376.7 million) at a healthy gearing level of 35.7% (FY 2019: 33.7%). In response to the COVID-19 pandemic, the Securities Commission Malaysia has also temporarily increased the gearing limit from 50% to 60% until 31 December 2022. This provides CMMT Group a comfortable debt headroom to increase its borrowings to fund asset enhancement initiatives or working capital needs. The average cost of debt for CMMT Group for FY 2020 was at approximately 4.1% per annum (FY 2019: 4.4% per annum), and the average term to maturity for outstanding debts was 3.5 years (FY 2019: 4.4 years). The lower cost of debt for the financial year was possible due to the decrease in Bank Negara Malaysia's Overnight Policy Rate (OPR) by a total of 125bps and re-fixing part of the Group's fixed rate term loans. The Group will continue to seek opportunities to re-fix portion of fixed rate term loans in view of the low interest rate environment. Of the properties in the portfolio, Sungei Wang Plaza² and East Coast Mall remain unencumbered, providing CMMT with further financial flexibility.

DEBT PROFILE

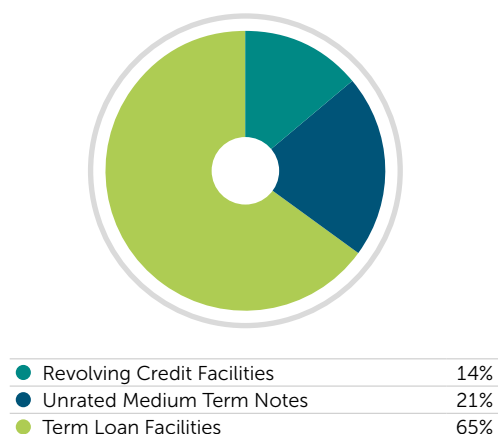
The debt maturity and diversified sources of funding profile for the CMMT Group as at 31 December 2020 were as follows:

DEBT MATURITY PROFILE

(RM million)



DIVERSIFIED SOURCES OF FUNDING



¹ Before deducting unamortised transaction costs.

² CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

**CAPITAL
MANAGEMENT****CASH FLOWS AND LIQUIDITY**

The Manager proactively monitors its cash and liquid reserves to ensure that adequate funding is available for distribution to the Unitholders as well as to meet any short-term liabilities.

CASH AND CASH EQUIVALENTS

As at 31 December 2020, the cash and cash equivalents of CMMT Group stood at RM71.9 million, a decrease of RM12.7 million compared to FY 2019. The decrease was mainly the result of the cash outflows of RM22.5 million and RM103.3 million from investing and financing activities respectively and offset by the cash inflows of RM113.1 million from operating activities.

OPERATING ACTIVITIES

CMMT Group's operating net cash inflow for FY 2020 was RM113.1 million, a decrease of RM78.3 million from the preceding year. The decrease was mainly attributed to the lower Net Property Income coupled with the slower collection in view of the various movement controls affecting the retail business.

INVESTING ACTIVITIES

Net cash used in investing activities for the financial year of RM22.5 million was mainly resulted from cash outflows of RM1.5 million incurred on plant and equipment and RM22.5 million on AEI works and capital expenditure, including payments for previous years' capital expenditure. The impact of these cash outflows were partly mitigated by interest income of RM1.5 million as a result of active cash management.

FINANCING ACTIVITIES

Net cash used in financing activities for the financial year of RM103.3 million was mainly attributed to income distribution to Unitholders of RM79.1 million, interest paid of RM58.8 million and net drawdown of revolving credit facilities of RM34.8 million to finance capital expenditure works and working capital needs during the financial year.

INVESTOR & MEDIA RELATIONS

CapitaLand Malaysia Mall Trust (CMMT) is committed to the principles of delivering timely, objective and transparent information to our stakeholders. Our stakeholders include Unitholders, potential retail and institutional investors, analysts and the media. Guided by our Unitholders' Communication and Investor Relations Policy, we advocate a regular, effective and fair communication channel with our stakeholders. The senior management and investor relations team proactively engage with the investment community to articulate strategy, performance and prospects to aid them in their investment decisions.

Despite the disruptions caused by COVID-19 in 2020, the management and the IR team continued to regularly engage with CMMT stakeholders locally and globally through participation in one-on-one meetings, post-results briefings, teleconferences and roadshows to provide timely updates on the evolving COVID-19 developments and latest financial performance and prospects. Timely and regular engagement was crucial to articulate strategy, performance and prospects to aid them in their investment decisions.

During the year, CMMT participated in the in the Maybank Investment Bank's Malaysia REITS: The Past, The Present and The Outlook forum and shared insights on CMMT's strategy, business prospects and market environment to outreach to institutional investors. CMMT is a member of the Malaysian Investor Relations Association (MIRA) and the Malaysian REIT Managers Association (MRMA).

As at 31 December 2020, eight analysts covered CMMT and we monitor analyst, market and media reports closely as part of ongoing best practices. As part of best corporate governance practices, financial results are released immediately after the Board of Directors meetings followed by conference calls to the investment community to brief them on the financial performance, performance analysis of the assets and earnings outlook for the following quarter and financial year.

The annual general meeting (AGM) is an important communication channel with Unitholders. Following the extension of time permitted by Bursa Malaysia as a result of the movement control order implemented by the Government to contain COVID-19, CMMT held its deferred AGM that was arranged as a fully virtual general meeting on 19 June 2020. Unitholders were encouraged to submit their questions prior to the fully virtual AGM and the Board of Directors and management team addressed their concerns and feedback during the virtual session. Following the conclusion of the AGM, the voting results were uploaded on Bursa Malaysia and made available on CMMT's website. The Manager's responses to substantial and relevant questions were also uploaded on CMMT's website within 24 hours while the minutes of the AGM were also made available on CMMT's website for greater transparency.

General information on CMMT including property portfolio details, investor presentations and annual reports is updated regularly on the corporate website (www.cmmt.com.my). All news releases, presentation, circulars and announcements are also made available on both CMMT and Bursa Malaysia websites. CMMT's unit price performance information is also available on CMMT's website with 15-minutes lag time. Investors and the general public may sign up for email alerts to receive the latest updates on CMMT. They can also post queries to CMMT via a dedicated 'Ask Us' email address and queries are answered promptly.

UNITHOLDER & MEDIA ENQUIRIES

If you have any enquiries or would like to find out more about CMMT, please contact:

Jasmine Loo

Investor Relations and
Corporate Communications

Tel : +603 2279 9888
Fax : +603 2279 9889

Email : ask-us@cmmt.com.my
Website : www.cmmt.com.my

INVESTOR & MEDIA RELATIONS

Research Coverage

Research Institutions	Date of Report	Recommendation	Target Price (RM)
1 AllianceDBS Research Sdn. Bhd.	25 January 2021	Hold	0.65
2 CGS-CIMB Securities International Pte. Ltd.	25 January 2021	Hold	0.603
3 Kenanga Investment Bank Berhad	25 January 2021	Market Perform	0.565
4 Maybank Investment Bank Berhad	25 January 2021	Hold	0.63
5 MIDF Amanah Investment Bank Berhad	25 January 2021	Neutral	0.63
6 RHB Research Institute Sdn. Bhd.	25 January 2021	Neutral	0.56
7 TA Securities Holdings Berhad	25 January 2021	Buy	0.71
8 UOB Kay Hian Securities (M) Sdn. Bhd.	25 January 2021	Hold	0.60
Average Target Price			0.619

Investor & Media Relations Calendar 2020

First Quarter	- Full Year 2019 results press release followed by media and analysts' briefing - CapitaLand and CMMT introduce support measures for retailers in Malaysia press release - CapitaLand and CMMT offer 14 days rental waiver for tenants that provide non-essential services or supplies press release
Second Quarter	- CMMT commits up to RM35.0 million of rental relief to support affected tenants press release - CapitaLand and CMMT distribute COVID-19 care packages worth RM212,000 to affected communities in Malaysia press release - First Quarter 2020 results press release followed by analysts' briefing - Engagement with institutional investors (Non Deal Roadshow) - CMMT Annual General Meeting
Third Quarter	- First Half 2020 results press release followed by analysts' briefing - DBS Vickers CapitaLand Group Virtual Corporate Day - M-REITs: The Past, The Present and The Outlook
Fourth Quarter	- Third Quarter 2020 results press release followed by analysts' briefing - MRMA-APREA REIT Forum 2020: M-REITs: Navigating The New Normal

TRADING & YIELD PERFORMANCE

As at 31 December 2020, CMMT's closing market price registered a decline of 37.5% at RM0.625 compared to RM1.00 as at 31 December 2019 while its market capitalisation was approximately RM1.3 billion. Trading volume in 2020 was approximately 205 million units, which translated to an average daily trading volume of approximately 830,000 units.

CMMT'S 5-YEAR TRADING PERFORMANCE

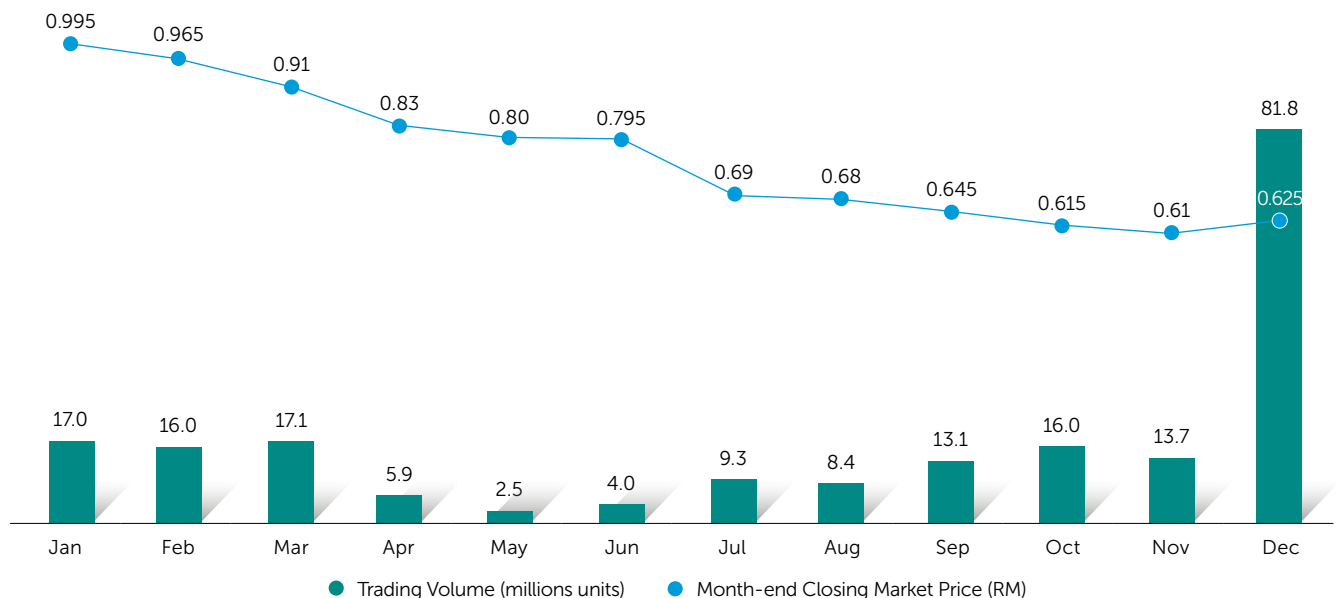
Trading Highlights	FY 2020	FY 2019	FY 2018	FY 2017	FY 2016
Opening Market Price (RM per unit)	1.00	1.01	1.83	1.53	1.38
Closing Market Price (RM per unit)	0.625	1.00	1.01	1.83	1.53
Highest Traded Price (RM per unit)	1.02	1.13	1.47	1.83	1.61
Lowest Traded Price (RM per unit)	0.59	1.00	0.99	1.39	1.35
Total Trading Volume (million units)	204.8	181.5	257.3	326.9	427.8
Capital Appreciation ¹ (%)	(37.5)	(1.0)	(44.8)	19.6	10.9
Market Capitalisation ² (RM million)	1,289.9	2,051.8	2,064.6	3,729.1	3,108.1
Units in Circulation ³ (unit '000)	2,063,846	2,051,753	2,044,176	2,037,753	2,031,458

1 Based on the opening and closing market price of the respective financial year.

2 Based on the closing market price of the respective financial year.

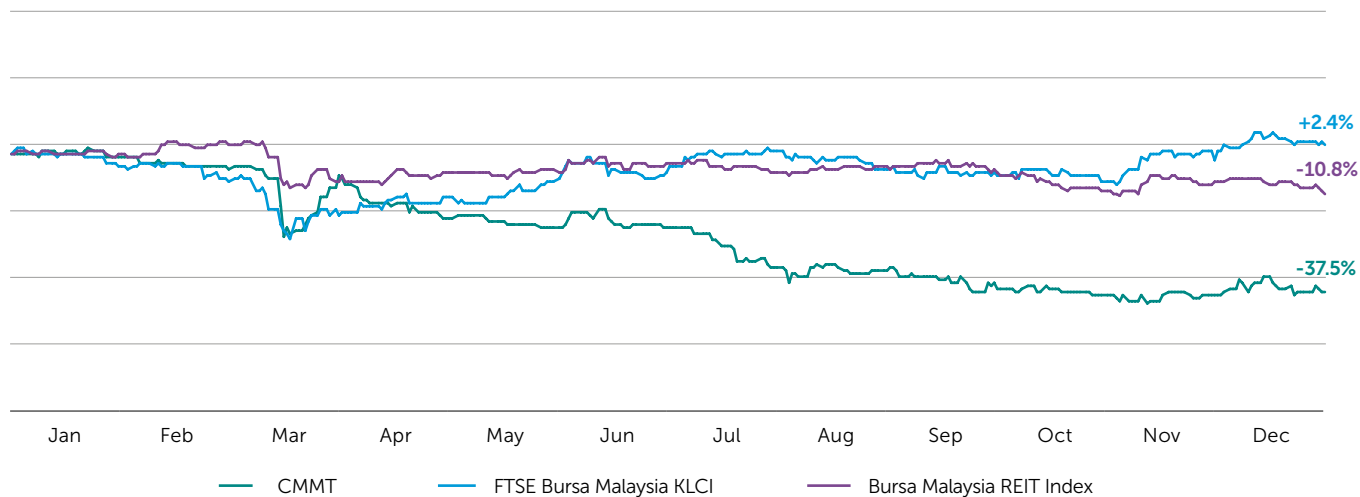
3 Units in circulation at the end of the financial year.

CMMT'S MONTHLY TRADING PERFORMANCE FOR 2020

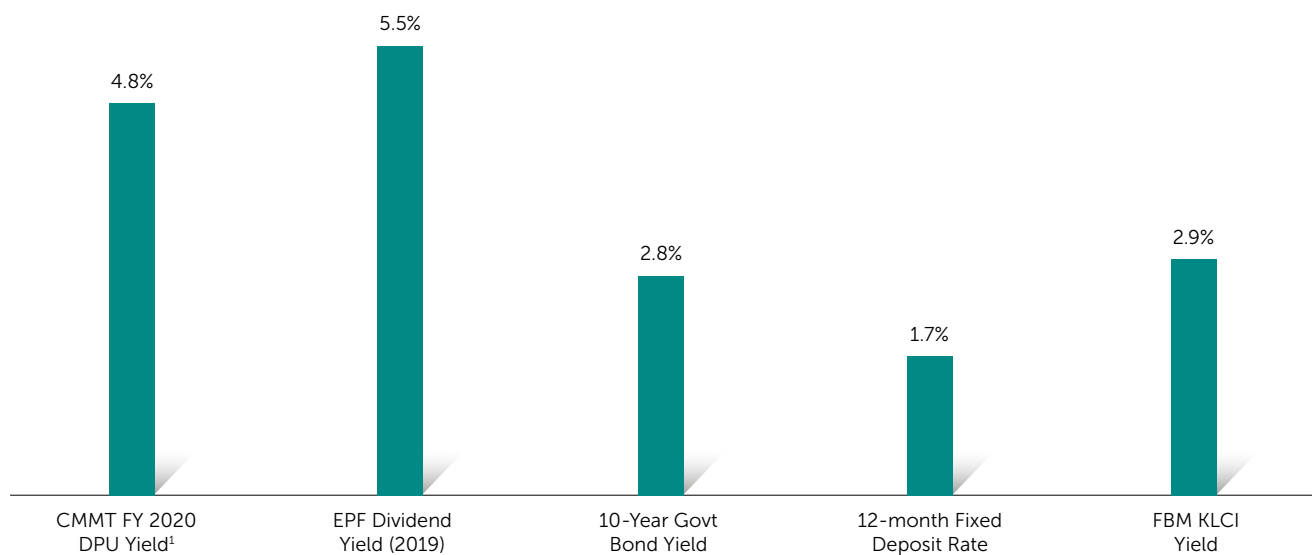


TRADING & YIELD PERFORMANCE

CMMT'S PRICE TRENDS FOR 2020



COMPARATIVE YIELDS VERSUS OTHER INVESTMENTS



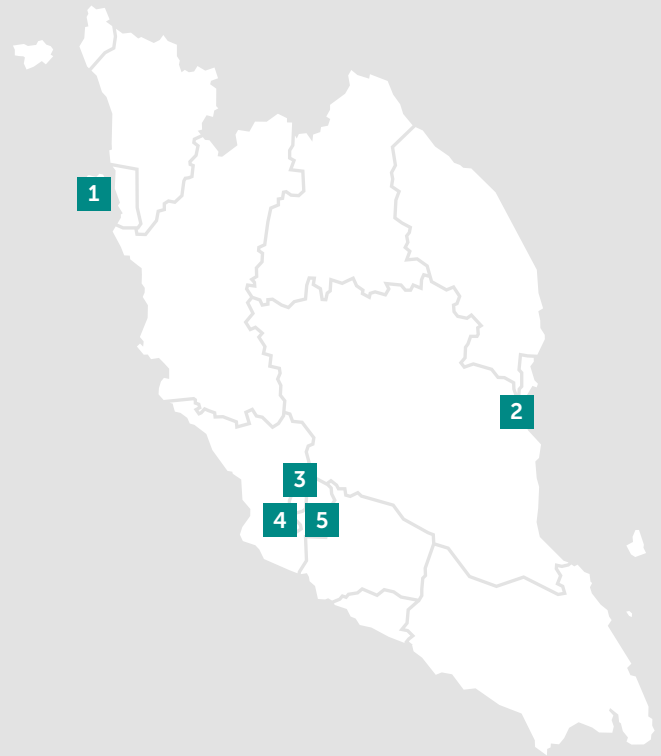
As at 31 December 2020

Source: Bloomberg, Bank Negara Malaysia, Employee Provident Fund

¹ Based on DPU of 3.00 sen for the period 1 January 2020 to 31 December 2020 and the closing market price of RM0.625 on 31 December 2020.

PROPERTY PORTFOLIO

CMMT'S PORTFOLIO PROVIDES BOTH INCOME AND GEOGRAPHICAL DIVERSIFICATION TO UNITHOLDERS, COMPRISING STRATEGICALLY LOCATED SHOPPING MALLS AND A COMPLEMENTARY OFFICE BLOCK IN THE KLANG VALLEY, PENANG AND PAHANG.



1 Gurney Plaza, Penang



2 East Coast Mall, Kuantan, Pahang



3 Sungei Wang Plaza, Kuala Lumpur



4 3 Damansara Property, Petaling Jaya, Selangor



5 The Mines, Seri Kembangan, Selangor

PROPERTY SUMMARY

	Gurney Plaza	East Coast Mall	Sungei Wang Plaza	3 Damansara Property		
				Retail	Office Tower	The Mines
Gross Floor Area (sf ft)	1,253,314	1,033,848 ¹	511,103 ²	639,477	129,630	1,150,798
Net Lettable Area (sq ft)	886,981	466,572	411,631	467,141	101,258	733,787
Number of Committed Leases	415	203	164	125	8	260
Committed Occupancy (%)	98.6	97.4	64.2	77.0		85.2
Weighted Average Lease Expiry (years)	1.54	1.52	1.71	1.00		1.17
Car Park Lots	1,836	1,101	1,298	1,759		1,282
Year of Completion	2001 ³	2008	1977	2008	2009	1997
Acquisition Price (RM mil)	1,015.0 ⁴	310.0	724.0	540.0		530.0
Market Value/ Net Book Value ⁵ (RM mil)	1,665.0	579.0	475.0	496.0		680.0
Gross Revenue (RM mil)	121.4	49.5	20.1	29.3		41.1
Net Property Income (RM mil)	80.6	30.0	(2.4)	8.3		17.0
Shopper Traffic (mil)	9.4	6.2	7.0	4.2	–	5.6
Key Tenants	Parkson Elite, Padini Concept Store, Mercato, JD Sports, Popular, F.O.S, Uniqlo, BritishIndia, Habib Jewels and Watsons	Parkson, Aeon Big, Golden Screen Cinemas, Padini Concept Store, Max Fashion, Al-Ikhsan, Pizza Hut, Sushi King, Nando's and Uniqlo	Giant, F.O.S, Esquire Kitchen, Daiso Japan, Caring Pharmacy, U-Village, KFC, CMY Audio & Visual, MagicBoo Beauty and MR D.I.Y.	CGS-CIMB Securities Sdn. Bhd., Golden Screen Cinemas, Star Media Radio Group Sdn. Bhd., Kingdom Palace Restaurant, TBM, Cotton On, Uniqlo, MR D.I.Y., Three Little Pigs & The Big Bad Wolf, and Fancier		TGV Cinemas, Dees Simplicity, Tesco, Watsons, Starbucks, KFC, YFS Concept Store, Tewah, Switch and Celebrity Fitness

1 As per required by the authorities in Kuantan to be inclusive of the car park area.

2 Equal to 47,483 sq m, representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza.

3 The completion of Gurney Plaza and Gurney Plaza Extension was in 2001 and 2008 respectively.

4 Equals to RM800.0 million for Gurney Plaza and RM215.0 million for Gurney Plaza Extension.

5 Equals to carrying value.

Data as at 31 December 2020 unless otherwise stated.

Gross revenue, net property income and annual shopper traffic were for the financial year ended 31 December 2020.

PROPERTY DETAILS

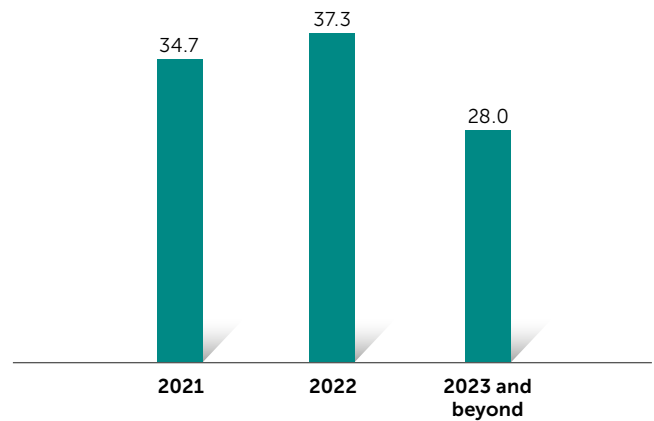
GURNEY PLAZA

Strategically located along the popular Gurney Drive promenade in Penang, Gurney Plaza is situated in one of the prime real estate areas in the island. Opened in July 2001, the nine-storey Gurney Plaza has undergone regular asset upgrading initiatives and today, it is widely recognised as the leading premier lifestyle shopping mall in Northern region and the preferred destination for shopping, dining and entertainment under one roof catering to both locals and tourists.

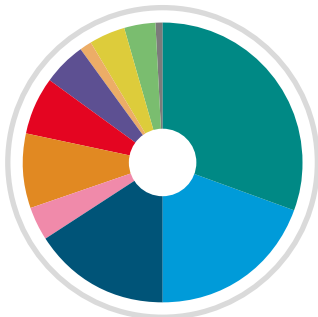
Centre Management Office
Lot No. 170-06-01, Level 6
Persiaran Gurney
10250 Penang, Malaysia
Tel: +60 4 222 8222
Fax: +60 4 228 6666
Website: www.gurneyplaza.com.my



LEASE EXPIRY PROFILE
% of Gross Rental Income



TRADE SECTOR ANALYSIS
% of Gross Rental Income



Fashion/Accessories	30.6	Electronics/I.T.	5.1
Food & Beverage	19.5	Supermarket/Hypermarket	1.5
Beauty/Health	15.9	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.1
Services	3.8	Houseware/Furnishings	3.6
Departmental Store	8.6	Others	0.7
Leisure & Entertainment/ Sports & Fitness	6.6		

TRADE SECTOR ANALYSIS
% of Net Lettable Area



Fashion/Accessories	19.7	Electronics/I.T.	4.9
Food & Beverage	14.7	Supermarket/Hypermarket	2.7
Beauty/Health	9.6	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	6.6
Services	2.9	Houseware/Furnishings	5.3
Departmental Store	20.7	Others	1.2
Leisure & Entertainment/ Sports & Fitness	11.7		

PROPERTY DETAILS

Title Particulars	
Title¹	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town Daerah Timor Laut, Negeri Pulau Pinang
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	(FIRST GRADE) The land comprised in the title: a) shall not be affected by any provision of the National Land Code (Code) limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and b) subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years shall revert to the State only if the proprietor for the time being dies without heirs; and the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).
Encumbrances²	There was a lease of part of the land in favour of Parkson Corporation Sdn. Bhd. registered on 13 October 2004 via presentation no. 0799SC2004029845 for a period of fifteen (15) years commencing from 3 August 2001 to 2 August 2016 that remains endorsed on the title. There is a charge on the land in favour of Public Bank Berhad vide presentation no. 0799SC2011034916 registered on 5 October 2011.
Endorsements	Transfer of ownership by Gurney Plaza Sdn. Bhd. (Company No. 141240-K) to AmTrustee Berhad (Company No. 163032-V) registered on 5 October 2011 vide presentation no. 0799SC2011034910. An easement in favour of Gurney Plaza over the vehicle ramp of G Hotel to enable, among other things, the visitors of Gurney Plaza to use the vehicle ramp for the purpose of accessing Basements 1 and 2 of Gurney Plaza. An easement in favour of Gurney Plaza over part of Basement 2 of G Hotel to enable the owner of Gurney Plaza access to the exhaust fan room located on Basement 2 of G Hotel. An easement in favour of G Hotel over part of Basement 2 of Gurney Plaza to enable G Hotel access to its car parks on Basement 2 of Gurney Plaza. An easement in favour of G Hotel over part of the al-fresco area located between Gurney Plaza and G Hotel. An easement in favour of Gurney Plaza in respect of the roadway along the main entrance of G Hotel fronting Gurney Drive. An easement in favour of G Hotel in respect of the roadway along the main entrance of Gurney Plaza fronting Gurney Drive. An easement in favour of G Hotel over part of the landscape park to allow the use of buggies, carts, trishaws or similar conveyances through over and along part of the landscape park for the purpose of ferrying guests, employees, luggage, baggage and the like to and from G Hotel. An easement in favour of the landscape park over the driveway of Pine and Maple Towers for the purpose of access to and from the landscape park. Change of name registered on 20 March 2017 vide presentation no. 0799B2017002419 from AmTrustee Berhad to MTrustee Berhad; Change of no. from 163032-V to 163032-V; Change of type of identity from S to S.
Other Matters Relating to the Title	Nil

1 The title HS(D) 17259 Lot 5626 is one of the sub-divided titles resulting from a sub-division application for the master title Geran 97112, Lot 2903 and the financing documentation for Gurney Plaza makes reference to this master title. The adjacent landscape park is on another subdivided title which was HS(D) 17261 Lot 5628 which is now under a final title Geran 130393 Lot 5628.

2 The encumbrances pertain to the title HS(D) 17259 Lot 5626. The title Geran 130393 Lot 5628 is unencumbered.

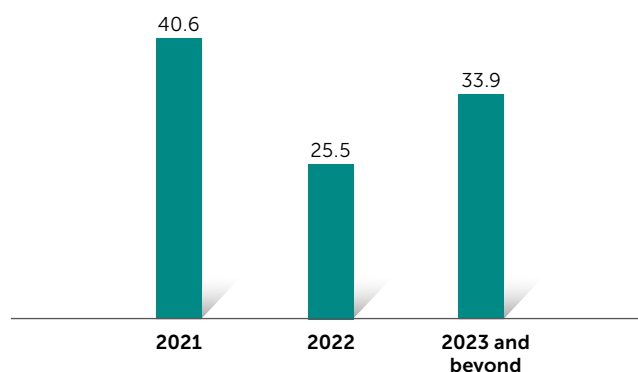
EAST COAST MALL

East Coast Mall is strategically located in the heart of Kuantan's city centre in Pahang, which is the third largest state in Malaysia by geographical size. East Coast Mall is a four-storey shopping mall with one level of basement and car parks located on the rooftop, third floor, ground and basement levels. It is a modern family lifestyle mall and is part of the Putra Square development, which also comprises Zenith Hotel, Menara Zenith as well as the Sultan Ahmad Shah International Convention Centre. Within a walking distance from other local attractions and amenities such as the Darul Makmur Stadium and the Urban Transformation Centre, Kuantan, the four-storey East Coast Mall is recognised as the leading mall in Kuantan with its established mix of domestic and international retailers. Besides local patronage, the mall also attracts shoppers from towns within the neighbouring states of Terengganu and Kelantan, and tourists visiting the east coast of Peninsular Malaysia.

Centre Management Office
Lot L3-01A, Level 3
Jalan Putra Square 6, Putra Square
25200 Kuantan
Pahang Darul Makmur, Malaysia
Tel: +60 9 565 8688
Fax: +60 9 565 8699
Website: www.eastcoastmall.com.my

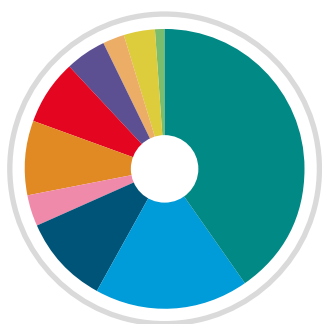


LEASE EXPIRY PROFILE
% of Gross Rental Income



TRADE SECTOR ANALYSIS

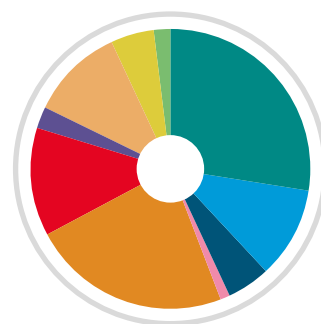
% of Gross Rental Income



Fashion/Accessories	40.5	Electronics/I.T.	4.9
Food & Beverage	17.6	Supermarket/Hypermarket	2.4
Beauty/Health	10.3	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	3.7
Services	3.7	Houseware/Furnishings	0.9
Departmental Store	8.5	Others	0.0
Leisure & Entertainment/ Sports & Fitness	7.5		

TRADE SECTOR ANALYSIS

% of Net Lettable Area



Fashion/Accessories	27.7	Electronics/I.T.	2.5
Food & Beverage	10.5	Supermarket/Hypermarket	10.9
Beauty/Health	4.9	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	5.0
Services	1.2	Houseware/Furnishings	1.7
Departmental Store	23.0	Others	0.0
Leisure & Entertainment/ Sports & Fitness	12.6		

PROPERTY DETAILS

Title Particulars	
Title	H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Tenure	Leasehold interest for 99 years expiring on 18 December 2106.
Restrictions-in-Interest	This land shall not be transferred, leased or charged save with the prior written approval of the State Authority.
Express Conditions	This land shall be used as a commercial building only.
Encumbrances	Nil
Endorsements	Transfer of land by Pasdec Corporation Sdn. Bhd. (Company No. 55031-P) to MTrustee Berhad (Company No. 163032-V) registered on 25 October 2011 vide presentation no. 9818/2011. Change of address from Tingkat 22, Bangunan Ambank Group, 55, Jalan Raja Chulan, 14 to B-2-9 (Aras 2), Pusat Perdagangan Kuchai, No. 2, Jalan 1/127, Off Jalan Kuchai Lama, 14 registered on 29 November 2016 vide presentation no. 4036/2016.
Other Matters Relating to the Title	Revision of quit rent from RM 38,910 to RM94,692 according to Section 101 of the National Land Code starting 1 January 2020.

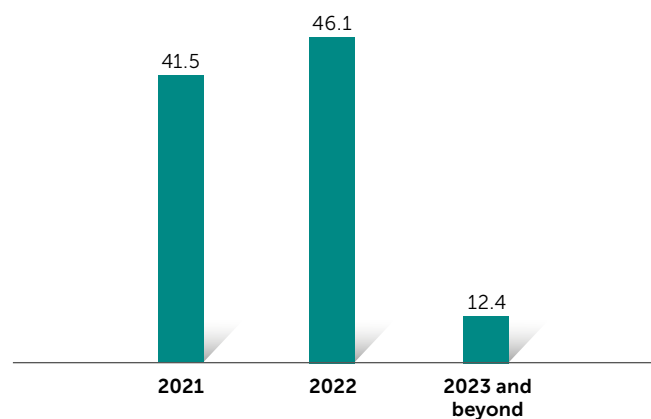
SUNGEI WANG PLAZA

Sungei Wang Plaza, which translates as 'the river of gold', opened in 1977 and is one of the most popular shopping centres in Kuala Lumpur's prime shopping and commercial precinct – the 'Golden Triangle' – an area that comprises three bordering streets, namely Jalan Bukit Bintang, Jalan Sultan Ismail and Jalan Imbi. A one-stop shopping centre 'for all kinds of everything', the 11-storey Sungei Wang Plaza is well-known for its unique blend of specialty stores and entertainment outlets that appeals to the mass market. Being strategically located in the Bukit Bintang shopping precinct, it also commands strong patronage from local and international tourists. At end-September 2019, a new and vibrant energetic lifestyle zone known as JUMPA@Sungei Wang was unveiled to shoppers upon the completion of the asset enhancement initiative to reconfigure the annex space offering a fresh retail experience with a focus catering to the young and young-at-heart shoppers.

Centre Management Office (for CMMT strata parcels only)
 Lot No. 6F-111, Level 6 (SWP Box No. 129)
 Jalan Sultan Ismail
 50250 Kuala Lumpur, Malaysia
 Tel: +60 3 2117 0288
 Fax: +60 3 2117 0388
 Website: www.sungeiawang.com

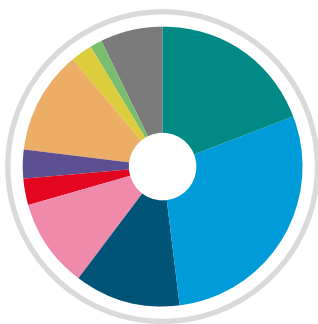


LEASE EXPIRY PROFILE
 % of Gross Rental Income



TRADE SECTOR ANALYSIS

% of Gross Rental Income



Fashion/Accessories	19.3	Electronics/I.T.	3.5
Food & Beverage	28.8	Supermarket/Hypermarket	11.7
Beauty/Health	12.4	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.6
Services	10.3	Houseware/Furnishings	1.4
Departmental Store	0.0	Others	7.1
Leisure & Entertainment/Sports & Fitness	2.9		

TRADE SECTOR ANALYSIS

% of Net Lettable Area



Fashion/Accessories	15.0	Electronics/I.T.	5.3
Food & Beverage	17.1	Supermarket/Hypermarket	8.6
Beauty/Health	7.4	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.4
Services	15.0	Houseware/Furnishings	3.7
Departmental Store	0.0	Others	8.8
Leisure & Entertainment/Sports & Fitness	14.7		

PROPERTY DETAILS

Title Particulars	
Title	205 parcels, each with individual strata title ¹ , in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur. ²
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land must be used for commercial building only. Development on the land must comply with the development order issued by the Datuk Bandar, Kuala Lumpur.
Encumbrances	There is a lease of part of the land to Tenaga Nasional Berhad registered on 31 December 1993 vide presentation no. 21493/1993 for a period of 30 years commencing from 15 March 1993 to 14 March 2023.³ Strata title bearing Geran 11043/M1/3/312 is subject to a lease of land in favour of Premier Honour Sdn. Bhd. registered on 26 March 2012 vide Presentation No. 9564/2012 for 30 years starting 31 August 2008 to 31 August 2038. Strata title bearing Geran 11043/M1/6/673 is subject to a private caveat registered in favour of Capitaland Malaysia Mall REIT Management Sdn. Bhd. (Company No. 819351-H) on 17 May 2018 vide presentation no. PDB5942/2018.
Endorsements	Grant of an easement for a perpetual term registered on 22 August 2001 vide presentation no. PDSC15174/2001.⁴ Grant of an easement for a perpetual term registered on 22 August 2001 vide presentation no. PDSC15175/2001.⁴ Strata title bearing Geran 11043/M1/3/312 is subject to an easement for a perpetual term registered on 5 November 2020 vide presentation no. PDSC32847/2020.⁵ Strata title bearing Geran 11043/M1/6/673 is subject to an easement for a perpetual term registered on 5 November 2020 vide presentation no. PDSC32845/2020.⁵ Strata title bearing Geran 11043/M1/B1/11 is subject to an easement for a perpetual term registered on the land on 5 November 2020 vide presentation no. PDSC32846/2020.⁵ Registration of Sungei Wang Plaza Management Corporation (SWPMC) on 21 November 2008 vide presentation no. PDN1183/2008.⁴ The 205 Individual Strata Titles are imposed with individual parcel rent according to Section 4C of the Strata Titles Act 1985, Gazette No. P.U (B) 380 dated 8 August 2019 starting from 1 January 2020.
Other matters relating to the title	Revision of quit rent from RM70,696.00 to RM81,301.00 according to Section 101 of the National Land Code starting 1 January 2006.⁴ Issuance of duplicate issue document of title pursuant to Section 175 (1) (a)/(b) or Section 187B(1) (a)/(b) of the National Land Code 1965 vide presentation no. PDC3138/2018 registered on 22 November 2018.⁴ Cessation of quit rent starting from 1 January 2018 according to Section 23C(1)(b)(i) of the Strata Titles Act 1985, Gazette No. P.U (B) 174/2017 dated 30 September 2017.⁴

- 1 The strata title held under Geran 11043/M1/3/312 is subject to a lease registered in favour of Premier Honour Sdn. Bhd. on 26 March 2012 vide presentation no. 9564/2012. The said lease is for a period of 30 years starting from 31 August 2008 to 30 August 2038.
- 2 The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in SWPMC.
- 3 This lease of part of the land to Tenaga Nasional Berhad is endorsed on the master title to Sungei Wang Plaza.
- 4 The endorsements are stated on the master title to Sungei Wang Plaza, which is registered in the name of SWPMC.
- 5 These easements relate to three easement agreements between MTrustee Berhad ("MTB") and UDA Holdings Berhad ("UDA") whereby UDA agreed to grant to MTB a right of way from the entrance of Basement 1 and over the ramps of Bukit Bintang Plaza to access Levels 4 and 5 of Sungei Wang Plaza and MTB in turn agreed to grant to UDA the right of way over part of Basement 2 of Sungei Wang Plaza.

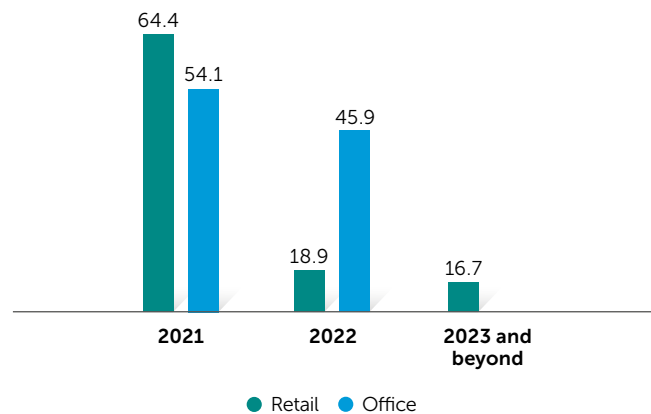
3 DAMANSARA PROPERTY

3 Damansara Property, which comprises 3 Damansara and 3 Damansara Office Tower, is part of an integrated commercial development which is strategically located at the intersection of two major highways, making it easily accessible from Kuala Lumpur and various parts of Petaling Jaya. With its positioning as the preferred dining, entertainment and gourmet shopping destination, 3 Damansara is a four-storey mall that offers a good selection of dining options, established retailers and a hypermarket, which appeals to the residents from the surrounding established and affluent residential estates as well as workers from the neighbouring office catchment. The 12-storey 3 Damansara Office Tower is seamlessly connected to the mall via an overhead covered link bridge.

Centre Management Office
Lot B3-01, Basement B3
No. 3, Jalan SS20/27
47400 Petaling Jaya
Selangor Darul Ehsan, Malaysia
Tel: +60 3 7663 2888
Fax: +60 3 7663 2899
Website: www.threedamansara.com

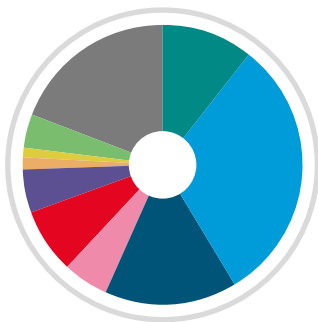


LEASE EXPIRY PROFILE
% of Gross Rental Income



TRADE SECTOR ANALYSIS

% of Gross Rental Income



Fashion/Accessories	10.8	Electronics/I.T.	5.2
Food & Beverage	30.8	Supermarket/Hypermarket	1.3
Beauty/Health	15.2	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	1.0
Services	5.3	Houseware/Furnishings	4.1
Departmental Store	0.0	Others	18.9
Leisure & Entertainment/ Sports & Fitness	7.4		

TRADE SECTOR ANALYSIS

% of Net Lettable Area



Fashion/Accessories	6.1	Electronics/I.T.	3.7
Food & Beverage	17.6	Supermarket/Hypermarket	26.6
Beauty/Health	9.5	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	0.6
Services	2.7	Houseware/Furnishings	6.9
Departmental Store	0.0	Others	15.1
Leisure & Entertainment/ Sports & Fitness	11.2		

PROPERTY DETAILS

Title Particulars	
Title	2 parcels; Geran 54431/M1/B4/2 and Geran 54431/M1/B4/1, each with individual strata titles for the mall and office building respectively, erected on land held under Master Title Geran 54431, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor. There is also a provisional strata title for the provisional block held under Geran 54431/P1, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor.
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	Commercial
Encumbrances	The strata title bearing Geran 55431/M1/B4/2, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor is subject to a charge secured for a principal sum registered in favour of CIMB Bank Berhad (Company No. 13491-P) on 21 November 2018 vide presentation no. 57229/2018. The strata title bearing Geran 55431/M1/B4/1, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor is subject to a charge secured for a principal sum registered in favour of CIMB Bank Berhad (Company No. 13491-P) on 21 November 2018 vide presentation no. 57229/2018.
Endorsements	Amendment made pursuant to Section 380 of the National Land Code 1965 vide presentation no. 2337/2018.¹ Amendment made pursuant to Section 380 of the National Land Code 1965 vide presentation no. 2340/2018.²
Other matters relating to the title	Nil

1 Endorsement relates to Geran 54431/M1/B4/2, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor.

2 Endorsement relates to Geran 54431/M1/B4/1, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor.

THE MINES

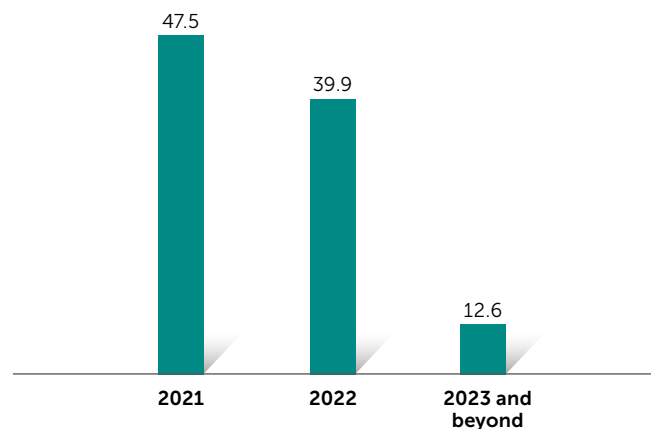
The Mines, well-known for its Venetian-like internal water canal, is located at the south of the federal district of Kuala Lumpur in Seri Kembangan town centre. The five-storey suburban family mall is linked to Mines 2, Mines International Exhibition & Convention Centre, Philea Mines Beach Resort and The Mines Resort & Golf Club, and targeted at residents residing and working in the southern region of Kuala Lumpur and Selangor. It underwent an asset enhancement exercise in 2008-2009 which involved the creation of an extension wing and a dedicated drop-off area for the convenience of shoppers. The Mines offers a wide variety of retail, F&B, homewares and family edutainment options.

Centre Management Office
Box No. 228, Level 4 Centre Management Office
The Mines, Jalan Dulang, MINES Resort City
43300 Seri Kembangan
Selangor Darul Ehsan, Malaysia
Tel: +60 3 8949 6288
Fax: +60 3 8949 6388
Website: www.the-mines.com.my



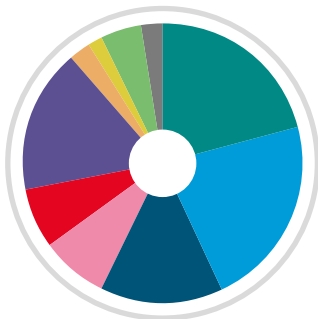
LEASE EXPIRY PROFILE

% of Gross Rental Income



TRADE SECTOR ANALYSIS

% of Gross Rental Income



Fashion/Accessories	21.1	Electronics/I.T.	16.8
Food & Beverage	22.0	Supermarket/Hypermarket	2.5
Beauty/Health	14.3	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	1.6
Services	7.7	Houseware/Furnishings	4.7
Departmental Store	0.0	Others	2.4
Leisure & Entertainment/ Sports & Fitness	6.9		

TRADE SECTOR ANALYSIS

% of Net Lettable Area



Fashion/Accessories	24.2	Electronics/I.T.	7.4
Food & Beverage	10.5	Supermarket/Hypermarket	6.4
Beauty/Health	8.5	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	1.9
Services	7.7	Houseware/Furnishings	11.1
Departmental Store	0.0	Others	8.0
Leisure & Entertainment/ Sports & Fitness	14.3		

**PROPERTY
DETAILS**

Title Particulars	
Title	H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Restrictions-in-Interest	The land cannot be transferred, leased or charged without the prior consent of the State Authority.
Express Conditions	Commercial building
Encumbrances	There is a charge in favour of Malaysian Trustees Berhad, registered vide presentation no. 117870/2016 on 30 December 2016.
Endorsements	Transfer of ownership by Mutual Streams Sdn. Bhd. (Company No. 79107-P) to MTrustee Berhad (Company No. 163032-V) registered on 23 September 2010 vide presentation no. 98339/2010. An easement between The Mines and Mines International Exhibition and Convention Centre registered vide presentation no. 117530/2009 on 15 December 2009 pursuant to an easement agreement made between Mutual Streams Sdn. Bhd. and the owner of Mines International Exhibition and Convention Centre. Change of address from Tingkat 22, Bangunan AmBank GR, 55, Jalan Raja Chulan, 14 to B-2-9 (Tingkat 2), Pusat Perdagangan Kuchai, No. 2 Jalan 1/128, Off Jalan Kuchai Lama, 14 registered on 28 October 2016 vide presentation no. 52655/2016.
Other matters relating to the title	Revision of quit rent from RM84,975 to RM84,975 according to Section 101 of the National Land Code starting 1 January 2017.

MARKETING & PROMOTIONS

PORTFOLIO-WIDE ACTIVITIES

In 2020, we continued to invest in marketing support initiatives to focus on building shopper and tenant loyalty in the midst of COVID-19. In view of the pandemic, we accelerated digital adoption among tenants to enhance sales while providing shoppers with a safe and convenient experience to shop in CMMT malls.

CAPITASTAR

CapitaStar is CapitaLand's multi-store, multi-mall loyalty initiative that offers shoppers with additional benefits over and above existing credit card and store rewards. All CMMT malls participate in this card-less loyalty programme.

The CapitaStar app had been enhanced with new features to provide shoppers with a seamless and contactless engagement. These features include:

Secret Deals

Aside earning STAR\$®, CapitaStar members were also rewarded with instant seasonal electronic vouchers and special gift redemptions upon the successful uploading of their receipts through the app.

Electronic Voucher

From November 2020, CapitaStar members are able to redeem electronic vouchers worth RM10 and RM50 using their STAR\$® and utilise the vouchers across more than 150 outlets in CMMT's portfolio.

Seamless Parking Rebates

Across CMMT's portfolio of malls, all the carpark payment machines have been upgraded with a seamless parking rebate feature which allows CapitaStar members to redeem parking rebates using their STAR\$® and redeem parking rebates in various denominations of up to RM10.

CASH BACK NOW

As part of the marketing efforts to support tenants' business recovery during the Recovery Movement Control Order period and fortifying the membership of CapitaStar, the Cash Back Now campaign was organised in July 2020. With a minimum spend of RM50 in a single receipt, CapitaStar members received an instant rebate worth RM5 for their subsequent purchase. The month-long campaign helped to drive shoppers to the malls and encourage in-store spending.

GRABMART MIX & MATCH

CapitaLand and CMMT jointly collaborated with Grab in its digital approach to provide a safe and convenient shopper experience and is one of the omnichannel retailing strategies to expand our reach to more shoppers. In line with CapitaLand's shift towards a safe and contactless shopping experience, shoppers can now enjoy the convenience of shopping at CMMT malls digitally. Shoppers can mix and match their orders from different stores in the same mall and have the orders delivered to them by paying one delivery fee.



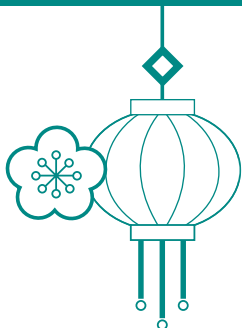
The Cash Back Now campaign was organised to boost tenant sales and reward shoppers

MARKETING & PROMOTIONS

GURNEY PLAZA

Rhythm of Lights

- › In celebration of Chinese New Year, Gurney Plaza's centre atrium was transformed into the illuminating streets of Shanghai. Welcoming the traditional essence of the city, mesmerising and colourful neon signages filled the heart of Gurney Plaza; taking shoppers back to the year 1920. Upon entering, shoppers were greeted by a 12 feet interactive and conventional tram, situated along its track on the urban streets. Beside it, on a picturesque platform with a mixture of signages as a backdrop, rests a pulled rickshaw looking out towards a pink-coloured diner; decorated with glowing neon colours in shapes of Chinese delicacies. Aside the Instagrammable and photo-opportunity landmarks, a luxurious boutique located opposite the diner provides shoppers a chance to browse through a wide range of attires fit for the occasion.



COACH Reopening Party

- › To celebrate its newly redesigned store at Gurney Plaza, COACH invited Hong Kong celebrity couple Edwin Siu and Priscilla Wong alongside local actress Nur Fazura and other guests for its grand reopening party. In conjunction with the Chinese New Year theme, guests were treated to several activities such as calligraphy and dragon beard candy demonstration.

Disney Tsum Tsum Mid-Autumn Festival

- › In conjunction with Mid-Autumn Festival, Gurney Plaza took on a different approach to celebrate the annual Mid-Autumn Fair with Disney Tsum Tsum. Shoppers were enthralled with the adorable Disney Princesses, Monsters Inc., Winnie the Pooh, and Alice in Wonderland characters as they shopped for their favourite mooncakes.



Gurney Food Hall Opening

- › The contemporary Gurney Food Hall was launched officially on 15 October 2020 by Tourism Malaysia northern region director Ahmad Husni Ahmad Basri and Penang Global Tourism chief executive officer Ooi Chok Yan. Hosted by local television host and actress Adriana Adnan, there were various performances including an exhilarating opening performance by award-winning percussion group, BatteryHeadz, and rap performance by Emcee Wey. About 100 CapitaStar members were rewarded with food vouchers and Gurney Food Hall merchandise.



The official launching of Gurney Food Hall with representatives of Gurney Plaza and Tourism Malaysia

Gurney Plaza Presents Hello! London

- › Shoppers look forward to Gurney Plaza's festive decorations and Christmas festivities were no different despite the COVID-19 disruptions. As shoppers were unable to travel abroad in 2020, London was brought alive at the heart of the mall providing shoppers with the opportunity to experience its magic as they shop for gifts. Presenting Hello! London, shoppers were mesmerised by the 40 feet tall Christmas tree decked out in red ribbons, gold ornaments and glistening lights. There were plenty of other Instagrammable opportunities with iconic London elements like the red telephone box, underground station signage and double-decker bus. The festive cheer radiated from facades of joyfully-decorated homes, pubs, restaurants and boutiques – inspired by those along Portobello Road in the affluent Notting Hill district of West London. Daily light shows further enlivened the festive experience.



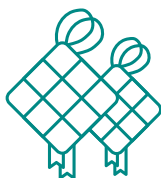
EAST COAST MALL

Prosperous Chinese New Year

- › To celebrate the prosperous Chinese New Year, the mall's main concourse was transformed to feature a giant paper cutting pavilion to symbolize prosperity in the Year of the Metal Rat. The pavilion was surrounded by the other 11 zodiac animals which symbolised good luck and bring wealth and health to the shoppers. Various activities were organised including Chinese New Year dance performance, acrobatic lion and dragon dances, meet-and-greet with Prosperity God of Fortune as well as red packet redemptions.

Riang Raya 2020

- › As the Hari Raya celebrations took place during the Conditional Movement Control Order period, shoppers were reminded to observe social distancing when they visited East Coast Mall. CapitaStar members were rewarded with 2X Star Rewards and a Top Spender contest was held.



Happy Deepavali 2020

- › To celebrate the festival of lights, East Coast Mall's main entrance was decorated with the colourful traditional kolam, diya and peacock to bring prosperity, blessings and happiness. To encourage spending, the first 500 shoppers with a minimum spending of RM150 were rewarded with an exclusive L'Occitane gift set.



Christmas Winterland 2020

- › East Coast Mall's main concourse was transformed into a Christmas Winterland with a giant Christmas tree together with ice-house surrounded by reindeer, polar bears and snowman. Shoppers were able to experience a White Christmas and to celebrate the season of giving, redemption campaigns and a top spender contest were held to reward shoppers.



Shoppers adhering to social distancing as they waited for their turn to experience Christmas Winterland

MARKETING & PROMOTIONS

SUNGEI WANG PLAZA

Sungei Wang Plaza's marketing and promotional activities are organised through Sungei Wang Plaza's Management Corporation (SWPMC). To keep shoppers engaged during the various phases of movement control, SWPMC organised social media campaigns which included #KiteRayaKite Video Contest and Tik Tok Laugh Challenge. In conjunction with the Mid-Autumn festival in September 2020, Sungei Wang Walk along Jalan Sultan Ismail was decorated with colourful paper lanterns to be transformed into Sky Wish Lantern Street.

MinNature at JUMPA@Sungei Wang

- Describing itself as the largest permanent indoor miniature and train exhibition in Asia and the third largest in the world, MinNature officially opened its outlet at JUMPA@Sungei Wang in February 2020. The opening ceremony was officiated by Dr. Tan Awang Besar, secretary to the Department of Tourism Policy of the Ministry of Tourism, Arts and Culture. Members

of media and other social media influencers were also able to experience over 100 heritage and iconic buildings around Malaysia in miniaturised form as well as over 10,000 other figurines that depict Malaysian life in the 13,000 sq ft exhibition space.



The opening of MinNature was officiated by Dr Tan Awang Besar, secretary to the Department of Tourism Policy of the Ministry of Tourism, Arts and Culture

3 DAMANSARA

Gaya Raya Bersama 3 Damansara

- In conjunction with the Hari Raya festivities, 3 Damansara organised the Gaya Raya Bersama 3 Damansara campaign. Throughout the month leading up to Hari Raya, a series of one-minute video tutorials that focused on fashion styling Muslim headgear were on the mall's social media pages. As the festivities took place during the Movement Control Order period, the social media campaign was initiated to increase 3 Damansara brand awareness in a fun and meaningful manner. To keep the audience engaged, they had to re-create the look and pair it with their favourite baju Raya and the top 10 best styles won 'Duit Raya' courtesy from the mall.

The Home Chef

- As more shoppers had to stay home in 2020 due to COVID-19, The Home Chef social media campaign was initiated to celebrate the home chefs and encourage them to share their creative creations. The campaign also featured the chefs from various participating tenants who shared their tips and recipes with the audience.

Sama-Sama Merdeka 63 Bersama 3 Damansara

- To commemorate Malaysia's 63rd National Day celebration, the mall organised the Sama-Sama Merdeka 63 Bersama 3 Damansara social media campaign where the first



20 shoppers that answered the trivia correctly walked away with a limited-edition Merdeka mug.

3D Top Eats

- To promote the variety of dining options at 3 Damansara, the 3D Top Eats social media campaign featured familiar favourites such as Nando's, Kingdom Palace Restaurant, Mu Tong Yu Steamboat, Rakuzen, Oiso Korean Traditional Cuisine & Cafe, Union Artisan Coffee and Powerplant. Shoppers had to answer several questions based on the videos that were posted and stood a chance to win a feast of dining vouchers from participating tenants.

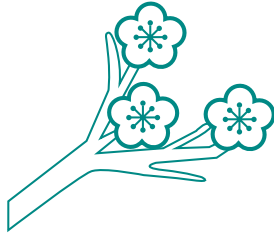


The 3D Top Eats social media campaign to promote the variety of dining options

THE MINES

Wonderful Spring CNY

- › To celebrate the Lunar New Year, a huge snow playland at the centre court was the main attraction at The Mines and offered shoppers with a different experience. The festive mood was further livened up with bright and red Chinese New Year decoration, cultural performances and workshops that captivated shoppers.



Grocery Shopping Bonanza

- › In conjunction with the opening of Tesco, the Grocery Shopping Bonanza was held from mid-June to August 2020 to boost awareness among the community. Shoppers who spent a minimum of RM150 were rewarded with Tesco cash vouchers through the "Shop & Dip" instant cash voucher redemption.

Mooncake e-deal Redemption

- › To celebrate the mooncake festival, a digital campaign was organised where CapitaStar members were able to redeem their favourite mooncakes through the CapitaStar e-deal.

Facebook Live Bonus Hour

- › The Mines organised a social media marketing campaign for several tenants to promote children-related products to cater to the family oriented audience as part of its positioning as a neighbourhood mall. The maiden Facebook Live Bonus Hour initiative was well received by the tenants.

B1F1 Delicious Treats

- › Partnering with Maxis and several food and beverage tenants, the month-long B1F1 Delicious Treats campaign took place in August 2020. Under the Recovery Movement Control Order period, this campaign was organised to help tenant with their sales and draw more shoppers to the mall.



Social media campaigns such as Facebook Live Bonus Hour to promote tenants' products

INDEPENDENT RETAIL MARKET OVERVIEW



Prepared by: JLL Property Services (Malaysia) Sdn. Bhd.
Date: 10 February 2021

1.1 MACROECONOMIC & DEMOGRAPHIC OVERVIEW

The global economic growth for the year 2020 is estimated at -3.5% by the International Monetary Fund (IMF). The global economy was seen to be slowly climbing out from one of the worst global recessions experienced during the Great Lockdown in April. Most countries slowly reopened whilst some reinstated partial lockdowns to protect susceptible populations. The whole year's estimate, therefore, reflects better-than-anticipated second quarter gross domestic product (GDP) out-turns, mostly in advanced economies, where activity began to improve sooner than expected after lockdowns were scaled back in May and June, as well as indicators of a stronger recovery in the third quarter.

While nations were debating on measures to take to counter COVID-19, the Malaysian government was among the earliest to enter into a lockdown. It was among the countries that showed success in the flattening of the COVID-19 curve in the first wave of the pandemic. This allowed the reopening of the economy after the Movement Control Order (MCO). Consequently, Bank Negara Malaysia (BNM) reported that the country's economic growth shrank by 2.7% in the 3Q 2020 compared to the sharper contraction of 17.1% in 2Q 2020. In view of the resurgence in COVID-19 cases, the Ministry of Finance (MOF) has estimated Malaysia's GDP to contract by 4.5% in 2020.

The latest available quarterly figures show that the domestic demand contracted at a slower pace, recording a smaller decline of 3.3% in the 3Q 2020 (2Q 2020: -18.7%), driven by improvements in both consumption and investment activity. Private consumption recovered significantly from the trough in the second quarter to record a smaller contraction of 2.1% in 3Q 2020 (2Q 2020: -18.5%). This was supported by the improved household spending and stimulus measures such as wage subsidies, sales tax reduction for cars as well as the move of allowing the Employees Provident Fund (EPF) fund withdrawals to EPF contributors.

According to BNM report, household spending was mainly supported by gradual recovery in income conditions, while investment activity benefitted from the ease of containment measures.

Wages for the private services sector registered a smaller contraction of 2.5% (2Q 2020: -6.4%). This improvement was driven by tourism-related services subsectors, such as wholesale and retail trade; food and beverage and accommodation; transport and storage; as well as health; education; and arts and entertainment.

Unemployment rate has risen to levels not seen since the 1985/86 recession, when it touched 7.4% at the end of 1986. COVID-19 containment measures and weak demand led firms to undertake cost-cutting actions such as retrenchments, pay cuts and unpaid leaves. These factors weighed on employment and income conditions, especially in 2Q 2020. With the reopening of the economy, positive rehiring activity and lower job losses helped reduce the unemployment rate which contracted to 4.7% in 3Q 2020 (cf. 2Q 2020: 5.1%) as demand conditions normalised.

The headline inflation was seen to be less negative at -1.4% in 3Q 2020 (2Q 2020: -2.6%) reflecting higher domestic retail fuel prices in line with the recovery of global oil prices. However, it remained negative as retail fuel prices remained significantly lower than the last year's corresponding quarter level.

BNM cut overnight policy rate (OPR) to a record low of 1.75% in July 2020. The reduction is an additional policy stimulus to accelerate the pace of economic recovery. BNM in January 2021 announced that the OPR rate remains unchanged at 1.75% as they do not foresee the economy being as badly affected as it was in 2Q 2020 and in all likelihood should improve further in 2Q 2021.

The government also offered a 6-month blanket loan moratorium as an aid to curb COVID-19 impact. Having ended on 30th September 2020, it has been extended for targeted groups which lost their jobs during the pandemic until 31st December 2020. It was announced during Budget 2021, that there will be no further extension of the moratorium, but assistance may be provided to eligible borrowers.

Malaysia received about 4.3 million international tourists and receipts of RM12.6 billion between January and September 2020. This reflects a drastic decline by 78.6% and 80.9% year-on-year (y-o-y) from 20.1 million visitors and RM66.1 billion receipts, for the same period last year. This was due to the closure of international

borders (simultaneous to the MCO) since 18th March, as part of the government's proactive decision in its efforts to curb the spread of the pandemic here. The top five (5) tourist generating markets continue to be dominated by Singapore, Indonesia, China, Thailand and India.

In 4Q 2020, MOF announced the highest ever Malaysia Budget allocation of RM322.5 billion (or 20.6% of GDP), to help drive domestic demand, shore up confidence and aid economic recovery. Positive global developments i.e. improved economic outlook amid greater clarity on the direction of US policies following the end of US Presidential Election, and positive development surrounding the approval and deployment of COVID-19 vaccines helped to improve investor sentiment.

1.2 IMPACT AND OUTLOOK ON RECOVERY FROM COVID-19, IN THE GLOBAL, REGIONAL AND LOCAL CONTEXT

IMF projects global growth to rebound by 5.5% in 2021, reflecting a moderate turnaround after a downturn in 2020. Progress with vaccines and treatments, as well as changes in the workplace, persistent social distancing by consumers to reduce transmission, may allow activity to return more rapidly to pre-pandemic levels than currently projected, without triggering repeated waves of infection. IMF recommends a further extension of fiscal countermeasures into 2021 to lift growth above the forecast, which factors in only the measures implemented and announced so far.

The Asia and Pacific region are seen to recover tentatively, but at multiple speeds. Excluding China, the regional economic activity was anticipated to shrink by 2.2% in 2020, due to a sharper-than-expected downturn in key emerging markets notably in India, the Philippines and Malaysia. China, on the other hand, managed a 2.3% growth in 2020. The regional economy is forecasted to rise by 6.9% in 2021 as activities are seen to normalize in the emerging market economies as aided by the stronger recovery in China and developed economies like the United States and the Euro area with better access to vaccines.

With the improved global and regional outlook, anticipated improvement in global trade, shored up by the significant stimulus spending allocated by the MOF, Malaysia's GDP is expected to grow between 6.5% and 7.5% in 2021, after a 4.5% contraction in 2020 according to the Economic Report 2021 published by MOF.

As of 10th February 2021, Malaysia has a total of 251,604 confirmed COVID-19 cases which constitutes only 0.8% of the total population. Possibly due to a more youthful population with a median age of 29 years, Malaysia suffered less than 1% death rate and a recovery rate, as high as 79%. COVID-19 was not seen impacting patients by ethnicity as was the case in the United Kingdom. According to the International Labour Organisation, the most vulnerable communities to COVID-19 in Malaysia includes 2.1 million elderly, 2.8 million B40 households (households with median income less than RM4,850), an estimated 3 million migrant workers and the urban poor living in public housing projects. Selangor, Johor and Wilayah Persekutuan Kuala Lumpur hold the top three (3) ranking in the number of cases reported in the past 14 days by states.

MOF has stated that as the country recovers from the impact of COVID-19, the domestic economy will return to a more sustainable growth path. As the focus will be on multiplying foreign direct investment (FDI), building up productivity and re-instilling consumer confidence, the government is also looking at giving continuous essential support for small and medium enterprises (SMEs) to prosper in the new environment, including the potential for expanding globally.

After a low economic performance in 2020 due to the COVID-19 pandemic, the Malaysian economy is expected to rebound firmly in 2021. This is in line with the expectation of a more synchronised global recovery. Nevertheless, downside risks to the growth outlook remain, attributed to the resurgence of COVID-19 cases and the time span of containment measures, both domestically and globally. Additionally, geopolitical tensions, volatility in financial and commodity markets together with prolonged trade and tech war may hamper the recovery pace. In view of this, the Government will continue to promote resilient and sustainable economic growth, at the same time safeguarding the welfare of the people.

Following a severe impact on global economy and sharp contraction of local economy, the Government announced a series of economic stimulus packages starting with the RM35 billion PENJANA package on 5th June 2020 to propel businesses and stimulate the economy.

In addition, the government has unveiled PERMAI, its fifth economic stimulus package on 18th January 2021, worth RM15 billion spread over 22 initiatives. This is following the implementation of the second movement control order (MCO 2.0)

INDEPENDENT RETAIL MARKET OVERVIEW

in seven states from 13th January 2021 to curb the rising number of COVID-19 cases. On 19th January 2021, another six states have been put under MCO 2.0, thus bringing the entire Malaysia under MCO 2.0 except Sarawak.

Allocations to support business continuity includes enhancement of Wage Subsidy Programme 3.0 under SOCSO to assist employers, expansion of the Prihatin Special Grant Plus assistance to cover

500,000 SMEs and special tax deduction to companies that provide at least a 30% reduction of rental on business premises to SMEs and non-SMEs until June 2021, to name a few. In addition, the targeted repayment assistance (TRA) scheme will continue to be made available to those who need it during this MCO 2.0. This stimulus package is expected to ensure the people's well-being, business continuity and economic resilience during and after MCO 2.0.

1.3 MAIN ECONOMIC INDICATORS

State	2015	2016	2017	2018	2019	2020
GDP at Constant 2015 Prices (RM billion)¹						
Malaysia	1,176.9	1,229.3	1,300.7	1,362.8	1,421.4	1,357.7
W.P. Kuala Lumpur ²	180.9	193.4	213.2	229.1	244.2	–
Selangor	268.8	286.3	313.0	333.7	357.8	–
Penang	78.1	83.5	89.2	93.3	97.7	–
Pahang	49.5	53.2	58.9	59.3	61.0	–
Real GDP Growth (%)¹						
Malaysia	5.0	4.5	5.8	4.8	4.3	-4.5
W.P. Kuala Lumpur ²	5.3	6.0	7.6	6.8	6.0	–
Selangor	5.7	4.8	7.2	6.8	6.7	–
Penang	5.5	5.6	5.2	5.1	3.8	–
Pahang	4.4	2.9	7.3	3.0	3.7	–
GDP at Current Prices (RM billion)¹						
Malaysia	1,176.9	1,249.7	1,372.3	1,447.5	1,510.7	1,439.4
GDP per Capita at Current Prices (RM)³						
Malaysia	37,739.0	39,505.0	42,834.0	44,679.0	46,450	–
W.P. Kuala Lumpur	97,060.0	103,506.0	113,182.0	121,293.0	129,472	–
Selangor	43,513.0	45,506.0	49,013.0	51,528.0	54,995	–
Penang	46,020.0	48,633.0	51,115.0	52,937.0	55,243	–
Pahang	30,754.0	32,688.0	35,754.0	35,554.0	36,474	–
Mean Monthly Household Income⁴						
Malaysia	6,546	6,958	7,417	–	7,901	–
W.P. Kuala Lumpur	11,458	11,692	12,651	–	13,257	–
Selangor	8,648	9,463	9,974	–	10,827	–
Penang	6,317	6,771	7,137	–	7,774	–
Pahang	4,604	5,012	5,278	–	5,667	–
Domestic Aggregate Demand in Current Prices (RM billion)⁵						
Private Consumption	635.1	684.7	759.7	830.8	671.2	–
Private Investment	198.2	211.5	234.5	245.7	121.3	–
Public Consumption	154	157	167.1	173	201.3	–
Public Investment	106.3	107.4	109.4	104.6	61.3	–

State	2015	2016	2017	2018	2019	2020
Malaysia Retail Trade (RM billion)⁶	371.5	403.8	450.3	500	537.6	511.0
Malaysia Retail Trade Index (2010=100)	135.9	145.6	159.4	175.3	190.6	179.0
Consumer Price Index⁷ (Average Prices) (2010=100)						
Malaysia	112.8	115.2	119.5	120.7	121.5	120.1
Peninsular Malaysia	113.2	115.4	120.3	121.5	122.4	121.1
Core Inflation (%)⁸	2.1	2.1	2.2	1.6	1.5	(1.2)
Consumer Sentiment⁹ Index (every 4Q of the year)	69.6	73.7	82.6	96.8	82.3	85.2
Consumer Sentiment Index Growth Rate (%)	–	5.9	12.1	17.2	-15.0	3.5
Population ('000)¹⁰						
Malaysia	31,186	31,634	32,023	32,382	32,523	32,657
W.P. Kuala Lumpur	1,780	1,790	1,793	1,790	1,783	1,774
Selangor	6,178	6,292	6,381	6,475	6,506	6,538
Pulau Pinang	1,698	1,718	1,744	1,763	1,768	1,774
Pahang	1,608	1,627	1,647	1,665	1,671	1,679
Unemployment Rate (%)¹¹	3.1	3.4	3.4	3.3	3.3	4.5
Overnight Policy Rate (%)¹²	3.3	3.0	3.0	3.3	3.0	1.75
Base Lending Rate (%)¹¹	6.8	6.7	6.7	6.9	6.7	5.49
Base Rate (%)¹¹	3.8	3.7	3.6	3.9	3.7	2.43
Tourist Arrivals¹³ (million persons)	25.7	26.8	26.0	25.8	26.1	4.3 (Jan-Sep'20)
Tourist Receipts¹³ (RM billion)	69.1	82.1	82.1	84.1	86.1	12.6 (Jan-Sep'20)

Sources (2020 full year data are not released as at 10 February 2021)

- Department of Statistics Malaysia (DOSM)
 - 2015 – 2019 data is based on Department of Statistics Malaysia (DOSM), Gross domestic product (GDP) by States: National Accounts
 - 2020 data is a projection by Economic Outlook 2021 report by Ministry of Finance (MOF)
- Includes W.P. Putrajaya
- Department of Statistics Malaysia (DOSM)
 - 2015 – 2019 data is based by Department of Statistics Malaysia (DOSM), Gross domestic product (GDP) by States: National Accounts
- Department of Statistics Malaysia (DOSM)
 - 2015 – 2020 data are from Pocket Statistics by State
- Ministry of Finance (MOF)
 - Economic Outlook 2020/2021 Report
- Department of Statistics Malaysia (DOSM)
 - Performance of Wholesale & Retail Trade December 2020
- Department of Statistics Malaysia (DOSM)
 - Consumer Price Index Malaysia December 2020
- Bank Negara Malaysia (BNM)
 - 2020 data is extracted from 3Q 2020 Quarterly Reports
- Malaysia Institute of Economics Report (MIER)
 - Consumer Sentiments Survey Report for the 4Q 2020
- Department of Statistics Malaysia (DOSM)
 - 2015 – 2019 data is based by DOSM, Malaysia @ a Glance
 - 2020 data is a projection by DOSM, Population Quick Info
- Department of Statistics Malaysia (DOSM)
 - Monthly Highlights and Statistics in December 2020
- Bank Negara Malaysia (BNM)
 - OPR Decision and Statement
- Tourism Malaysia
 - Figures for 2020 are for the first 9 months (January-September 2020)

INDEPENDENT RETAIL MARKET OVERVIEW

2.1 RETAIL MARKET OVERVIEW & TRENDS

Retail malls have slowly evolved from being a shopping destination displaying purchase items to an engaging space where it houses many activities targeted at households, working population, different age groups and interest groups. Being traditionally anchored by departmental stores and cinemas with more sizeable formats, there are now mini-anchors taken up by attractive sectors such as bookstores, indoor leisure centres, etc.

Retail landlords are becoming more creative and strategic in changing or refreshing the trade mix and continuously updating their malls by undertaking asset enhancement initiatives (AEIs) with the need to stay relevant and evolve with the rapid changes in the retail environment.

New attraction and retail concepts

Newly refurbished annex block JUMPA@Sungei Wang which opened in 2019 has welcomed the opening of MinNature in 2020, introducing a vibrant offering of shopper experience in the mall. The 13,000 sq ft MinNature showcases the largest permanent indoor miniature and train exhibition in Asia and the third largest of its kind in the world. The goal of MinNature is to showcase the cultural heritage of Malaysian buildings throughout the country. Over 10,000 pieces of miniature models were carefully laid in place to make the exhibits come to life. The layout is free from barriers so the children can get close to the models.

Toppen Shopping Centre in Johor Bahru which opened in November 2019 claims to be the first-ever mall in Malaysia to have an open rooftop for public use, where families can dine alfresco style, and kids can entertain themselves at the on-site playground or water play area. This Ikano Group mall's recreational facility also includes a built-in skate park. Online gamers meanwhile will also be happy to know that the mall houses the second outlet of Malaysia's e-sports centre known as The Pantheon. The venue can host e-sports tournaments and viewing parties, as well as act as a venue for gamers to meet up and battle it out side-by-side, through games like Dota 2.

Another mall in Kuala Lumpur has also announced to host an e-sports centre. In December 2020, Malaysian Esports took a step forward as Esports Business Network (EBN) announced Malaysia's Esport City, which will be opening in Quill City Mall in 2021. The first of its kind RM4 million

full-serviced EBN Esports City will be located on the top floor of Quill City Mall taking up around 64,600 sq ft, making it the biggest Esports facility in Southeast Asia. EBN Esports City also follows the Strategic Plan for Esports Development which was launched by the Ministry of Youth and Sports Malaysia as a blueprint for the development and growth of the country's Esports industry.

KL East Mall, Sime Darby Property Bhd's first wholly owned retail mall, opened its doors to the public in November 2020. KL East Mall houses a Decathlon outlet amongst its other list of tenants, as well as two entertainment & leisure-based tenants i.e., Asia's premier indoor rock-climbing gym Camp5 and Blue Ice-Skating Rink among its key tenants. This is Camp5's sixth outlet after opening in JUMPA@Sungei Wang, 1 Utama Shopping Mall, KL Eco City Mall, Utropolis Marketplace and Paradigm Mall Johor Bahru.

Meanwhile, Uniqlo opened a 15,100 sq ft roadside store in December 2020 located at DA Square @ Damansara Avenue, marking the company's continuous expansion in this country. Following successful launches in South Korea, Taiwan, Thailand and the Philippines, Malaysia is the fifth country outside Japan and the third in Southeast Asia to have a Uniqlo roadside store. This new Uniqlo outlet is a new store type for Malaysia which features its own car park facilities and disabled-friendly accessibility. Despite opening during the middle of the pandemic, the store received a warm welcome with many customers and fans flocking to the store from day one.

Major asset enhancement initiatives in malls

In Penang, the newly completed Gurney Food Hall located on the fourth floor at the main wing of Gurney Plaza is arguably the current largest upscale food court on Penang Island. Officially open since October, its area of 33,000 sq ft can fit a maximum seating capacity of 600 pax and a total of six restaurants and 25 physical stalls with three pre-built container and food caravan concept stalls. Shoppers will be spoilt for choice as a myriad of well-loved Penang street food, local and international cuisines suitable to both Muslims and non-Muslims are offered.

The new Gurney Food Hall visualises a modern and cosy interior design and the intricate concept comprising a variety of details based on local elements that is close to Penangites' hearts, with each zone representing landmarks in Penang. These four concepts are The Pier,

The Port, The Palm and The Patio. Social media-savvy visitors will find it one of the most attractive food courts around.

There were two major refurbishment works undertaken in Kuala Lumpur malls in 2020, involving Suria KLCC and Starhill Gallery. Suria KLCC has carried out its anchor-to-specialty space reconfiguration in 2020 covering an area of around 108,900 sq ft left vacant by its previous anchor tenant, Parkson departmental store. Re-opened in two separate phases, the reconfigured space now has a total of 72 tenants, 40 of them being the first stand-alone stores in Malaysia and exclusive to Suria KLCC. The tenants range from international and local retailers covering fashion, food and beverage (F&B), and cosmetic brands.

YTL's Starhill Gallery is currently undergoing a refurbishment slated to reopen in early 2021 as The Starhill. Positioned as the "Home of the Tastemakers", The Starhill will offer a concept that seamlessly infuses hospitality into the retail experience in one vertical seven-floor development. Under the refurbishment, four floors of the mall will be dedicated for retail space, while the top three floors are planned for hotel rooms which have been creatively converted from retail.

The mall, which sits directly opposite Pavilion Kuala Lumpur, is connected to the five-star JW Marriott Kuala Lumpur hotel and The Ritz-Carlton Kuala Lumpur hotel by a link bridge. Retail in The Starhill will be occupied by designer boutiques, bespoke men's tailoring, couture jewellery and timepieces, which will operate alongside bistros and restaurants featuring renowned chefs and baristas. The entire Level 1 shall be anchored by the first flagship branch of a Taiwan's bookstore in Southeast Asia, known as Eslite Spectrum.

Enhanced car park payment system for better shopping experience

Many malls in Malaysia now adopt cashless payment options for the parking system to provide better shopping experience for the shoppers. Most of them offer the shoppers with the option to use the Touch 'n Go and credit cards on top of the usual ticketing system. There are several malls that push the standards by enhancing their parking and payment systems. This includes license plate recognition technology, ticketless parking and payment via e-wallet options.

Foreign retailers and brands debut in Malaysia

Several new foreign retailers and brands announced their debut in Malaysia, i.e. David Rocco's Dolce Vita (Suria KLCC), Gordon Ramsey Bar & Grill (Sunway Resort), Don Don Donki (Lot 10), Eslite Spectrum (The Starhill), Taco Bell (Cyberjaya & The Gardens Mall), and Five Guys (Sky Avenue, Genting Highlands). These new retailers and brands are foreseen to offer shoppers new choices and different retail experiences, which will help to draw customers to the respective malls or retail establishments.

Eslite, which created the world's first 24-hour bookstore, has established over 40 stores across Taiwan, Hong Kong, mainland China and Japan, many of which have become quintessential destinations for visiting tourists. Eslite Spectrum shall encompass a wider range of services, which includes F&B and performing arts and will have a special escalator from The Starhill's new atrium entrance which will lead shoppers directly to its outlet.

A popular South Korean convenience store known as CU, is announced to be brought to Malaysia by the homegrown convenience store chain MyNews Holdings Bhd. MyNews plans to open 500 CU stores in Malaysia over the next five years. MyNews, which currently operates some 570 outlets in the country, is not concerned about the issue of cannibalisation between MyNews stores and the CU stores or market saturation impacting growth, due to its view that the market in Malaysia is still young and growing, with the market penetration rate still low.

2.2 IMPACT AND OUTLOOK ON RECOVERY FROM COVID-19

The decline in tourist arrivals have greatly affected the tourism sector, including shopping expenditure especially for those retailers who were dependent on foreign tourists. Retail Group Malaysia (RGM) has reported that several retailers which operated at tourist spots such as at KLCC, Bukit Bintang and etc. reported that their sales have dropped about 80% since January 2020.

The pandemic has not only affected the tourism industry but has led shoppers to shy away from malls. Retail outlets also had to incur additional costs by hiring more cleaners to clean and sanitize public areas, administration of staff to take visitors' temperature levels and provision of more hand sanitizers at strategic locations.

INDEPENDENT RETAIL MARKET OVERVIEW

The impact to the retailers in Malaysia was more severe in 2Q 2020 with the implementation of lockdown or mitigation measures to curb the spread of COVID-19, namely Movement Control Order (MCO) starting from 18 March to 3 May 2020. During the MCO, only essential services tenants/stores were allowed to open, namely, food & beverage (F&B) outlets, supermarkets & grocers, supermarket areas within department stores, convenience stores, and pharmacies.

The implementation of a more relaxed Standard Operating Procedures (SOPs) during Conditional Movement Control Order (CMCO) starting from 4 May 2020, replacing the MCO, has allowed almost all retail sectors to reopen, except for barbers & hair salons, beauty parlours, as well as entertainment & leisure tenants such as cinemas, karaoke centres and etc. Nevertheless, with strict social distancing measures enforced, limiting the number of people to shop and dine-in, shopping centres and retailers were not able to operate at full capacity, compared to the pre-COVID-19 period.

The Recovery Movement Control Order (RMCO) starting from 10 June 2020 brought optimism to the retail industry recovery with more relaxed rules for Malaysians in line with the improving COVID-19 situation in the country. However, the recovery progress was derailed with the still ongoing third spike from October 2020. According to the Malaysia Shopping Malls Association (PPK), this resulted in lower footfall in malls in October and recovered in December to between 35% and 50% of footfall.

Despite the challenging situation, the retail malls are integral to the success of townships, having served not only to provide basic necessities, the shopping experience, entertainment and leisure but, in some cases, also to foster community building. Once the pandemic is under control and the situation returns to normal, malls will be here to stay. After all, visiting and spending time at the malls has in the past and will continue to remain a popular activity for Malaysian families.

3.1 RETAIL SUPPLY IN W.P. KUALA LUMPUR, SELANGOR, PENANG AND PAHANG

According to the Valuation and Property Services Department (JPPH) of the Ministry of Finance Malaysia, Malaysia's total retail stock which includes shopping centres, retail arcades and hypermarkets stand at 181.3 million sq ft as of 3Q 2020, an increase of 2.5% from 3Q 2019. A large percentage of the retail space is located within shopping centres, at 74.7% from the total retail stock in 3Q 2020. Selangor and W.P. Kuala Lumpur contribute 42.5% to the total national shopping centre stock, followed by Penang and Pahang at 9.5% and 3.0%, respectively. The total retail space per capita in Malaysia increased to 5.6 sq ft per person in 3Q 2020 from 5.4 sq ft per person in 3Q 2019, with the total shopping centre space per capita standing at 4.1 sq ft per person in 3Q 2020.

3.1.1 Shopping Centre Stock in Malaysia as at 3Q 2020

State	No. of properties	Total Space (sq ft)	Percentage of Total Space in Malaysia (%)
W.P. Kuala Lumpur	70	27,580,825	20.4
W.P. Putrajaya	2	889,787	0.7
W.P. Labuan	1	280,540	0.2
Selangor	88	29,871,168	22.1
Johor	70	19,577,231	14.5
Penang	41	12,943,837	9.5
Perak	36	5,949,929	4.4
Negeri Sembilan	30	3,425,073	2.5
Melaka	22	4,673,255	3.4
Kedah	37	4,891,719	3.6
Pahang	25	4,020,457	3.0
Terengganu	10	1,239,054	0.9
Kelantan	8	2,133,330	1.6
Perlis	4	237,990	0.2
Sabah	40	7,432,742	5.5
Sarawak	68	10,199,366	7.5
Malaysia	552	135,346,303	100.0

Source: The Valuation and Property Service Department (JPPH) of the Ministry of Finance Malaysia. Adjustments have been made for rounding accuracy.

3.1.2 Per Capita Retail Stock and Shopping Centre Stock in Malaysia and Selected States as at 3Q 2020

State	Malaysia	W.P. Kuala Lumpur	Selangor	Penang	Pahang
Retail Stock (sq ft)	181,268,275	33,706,399	40,156,559	19,708,916	4,468,203
Shopping Centre Stock (sq ft)	135,346,303	27,580,825	29,871,168	12,943,837	4,020,457
Percentage of Shopping Centre Stock out of Retail Stock (%)	74.7	81.8	74.4	65.7	90.0
Population 2020 ^e	32,657,300	1,773,700	6,538,100	1,773,600	1,678,600
Retail Stock per capita (sq ft per person)	5.6	19.0	6.1	11.1	2.7
Shopping Centre Stock per capita (sq ft per person)	4.1	15.5	4.6	7.3	2.4

Source: The Valuation and Property Service Department (JPPH) of the Ministry of Finance Malaysia & Department of Statistics Malaysia (DOSM)

e Estimates

The population estimates for the year 2020 adopted for the per capita calculation is derived from the the mid-year population estimate based on the 2010 Population and Housing Census of Malaysia 2010 published by the Department of Statistics Malaysia (DOSM).

INDEPENDENT RETAIL MARKET OVERVIEW

3.2 FUTURE RETAIL SUPPLY IN W.P. KUALA LUMPUR, SELANGOR, PENANG AND PAHANG

W.P. Kuala Lumpur & Selangor

Greater Kuala Lumpur (which comprise of W.P. Kuala Lumpur and part of Selangor) continued to lead the pack in providing Malaysia with more new malls amid the soft market sentiment and the adverse impact of COVID-19. JLL estimates approximately 7.9 million sq ft and 5.5 million sq ft of new notable retail space to be ready by 2023 in the W.P. Kuala Lumpur and Selangor, respectively.

Significant future malls in the W.P. Kuala Lumpur are the Mitsui Shopping Park Lalaport KL (2021, 1.0 million sq ft) and Pavilion Bukit Jalil (2021, 1.8 million sq ft), The Exchange Mall @ TRX (2022, 1.3 million sq ft), Merdeka 118 Mall (2022, 1.0 million sq ft) and Pavilion Damansara Heights (2022, 1.1 million sq ft). Whilst in Selangor, IOI City Mall Phase 2 (1.0 million sq ft) and Empire City Mall (2.5 million sq ft) are the two most significant that are scheduled for completion in 2021 and 2022, respectively.

Penang

JLL estimates a total supply of about 6.3 million sq ft of NLA to be completed in Penang. Penang Times Square Phase 3 (230,000 sq ft), Sunway Carnival Shopping Mall (extension, 350,000 sq ft) and Penang Sentral Phase 2 (409,000 sq ft) are the three new malls that are slated for completion in 2021.

The Sunshine Central (900,000 sq ft) and GEM Mall (1.12 million sq ft) is likely to be completed in 2022, and in 2023, four more malls, two of which will be located in the IJM's The Light Waterfront Penang (totaling 1.16 million sq ft) and the other two will be located on the island i.e. Penang World City and Sunway Valley City (approximately 1.0 million sq ft each) as well as Phase 4 of Penang Times Square (112,000 sq ft).

Pahang

The incoming retail projects scheduled for completion in 2021 include Complex KWRC Phase 1 (232,400 sq ft) and Street Retail @ Kota SAS, followed by KIP Mall Indera Mahkota (117,000 sq ft) and AEON Mall in Tanjung Lumpur (727,600 sq ft) in 2022.

3.2.1 Future Supply of Retail Space in Shopping Centres in Selected States

State	Future Shopping Centre Stock ('000 sq ft NLA) 2021-2023	Future Shopping Centre Supply
W.P. Kuala Lumpur	7,907	2021: The Starhill (refurbishment), Mitsui Shopping Park Lalaport KL, Retail Podium@Datum Jelatek, Pavilion Bukit Jalil 2022: The Exchange Mall, Merdeka@118, Pavilion Damansara Heights, Mall @ The Loft Maju KL 2023: Retail Podium@KLCC Lot L, L1, M
Selangor	5,474	2021: Setia City Mall - Phase 2, IOI City Mall - Phase 2, KSL Esplanade Mall 2022: Mitsui Outlet Park KLIA - Phase 3, Empire City Mall 2023: meta_mall
Penang	6,281	2021/2023: Penang Times Square - Phase 3 & 4 2021: Sunway Carnival Shopping Centre (extension), Penang Sentral - Phase 2 2022: Sunshine Central, GEM Mall 2023: The Light Waterfront Mall - Phase 1 & 2, The Light Mixed Commercial Mall, Penang World City, Sunway Valley City
Pahang	1,077	2021: KWRC Complex - Phase 1, Street retail @ Kota SAS 2022: KIP Mall Indera Mahkota, AEON Tanjung Lumpur TBC*: Kuantan Waterfront Mall
Source: JLL Research *TBC: To be confirmed		

3.3 RETAIL STOCK AND OCCUPANCY

Total available retail space particularly shopping complexes in Malaysia increased by 2.5% in 3Q 2020, compared with the same period last year. The occupancy rate of retail space (shopping complex) in Malaysia decreased by -2.0% from 79.5% in 3Q 2019 to 77.5% in 3Q 2020. Moving forward, occupancy rates are expected to decline further due to the negative impact of the pandemic on business operations that may prompt tenants to consider downsizing, closing down non-profitable branches or exercising

their contraction rights to reduce occupational costs. However, the pandemic does not halt all retail expansion. It appears that certain retailers are continuing to expand and are opening in shopping complexes. Retailers are confident that the pandemic will not last forever and things will return to normal. Also, despite the emergence of e-commerce, they feel that the brick-and-mortar store is here to stay as consumers are still willing to visit the physical stores for goods and services.

3.3.1 Occupancy Rates of Retail Space (Shopping Complex) in Malaysia as at 3Q 2020

State	Total Space (sq ft)	Occupied Space (sq ft)	Occupancy Rate (%)
W.P. Kuala Lumpur	33,706,399	27,761,605	82.4
W.P. Putrajaya	925,911	750,136	81.0
W.P. Labuan	307,955	297,084	96.5
Selangor	40,156,559	31,640,269	78.8
Johor	26,583,066	19,910,093	74.9
Penang	19,708,916	14,365,716	72.9
Perak	10,313,969	8,758,155	84.9
Negeri Sembilan	6,429,816	4,483,380	69.7
Melaka	6,839,274	4,329,133	63.3
Kedah	6,340,583	4,729,550	74.6
Pahang	4,468,203	3,197,632	71.6
Terengganu	2,225,221	1,609,849	72.3
Kelantan	3,681,900	3,327,983	90.4
Perlis	601,379	601,379	100.0
Sabah	8,111,998	6,402,798	78.9
Sarawak	10,867,126	8,289,495	76.3
Malaysia	181,268,275	140,454,257	77.5

Source: The Valuation and Property Service Department (JPPH) of the Ministry of Finance Malaysia. Adjustments have been made for rounding accuracy.

3.4 CAPITAL VALUES

There were no retail transactions in 2020, as Malaysian retail was hit tremendously by the COVID-19 pandemic, bringing retail investment activity to a standstill. In 2019, there were only two retail transactions, one in Wilayah Persekutuan Kuala Lumpur and another one in Penang, with investment values of RM1,480 million (or RM1,678 psf) and RM153 million (or RM376 psf) respectively.

In terms of value per sq ft recorded in the past five years, it is apparent that transactions for shopping malls outside of Greater Kuala Lumpur

and its fringe locations were much lower, between RM380 psf and RM580 psf. Based on historical mall transactions, the capital values and yields have varied widely, primarily due to several factors of location and performance factors of the malls.

No retail transactions were recorded in Pahang for the past five years, with the last transaction in 2011 when 441,342 sq ft NLA of East Coast Mall was sold to CapitaLand Malaysia Mall Trust (CMMT) for a purchase consideration of RM310 million (RM702 psf).

INDEPENDENT RETAIL MARKET OVERVIEW

4.1 RECENT SHOPPING MALL TRANSACTIONS

4.1.1 Capital Values from Shopping Centre Transactions from 2016 to 2020

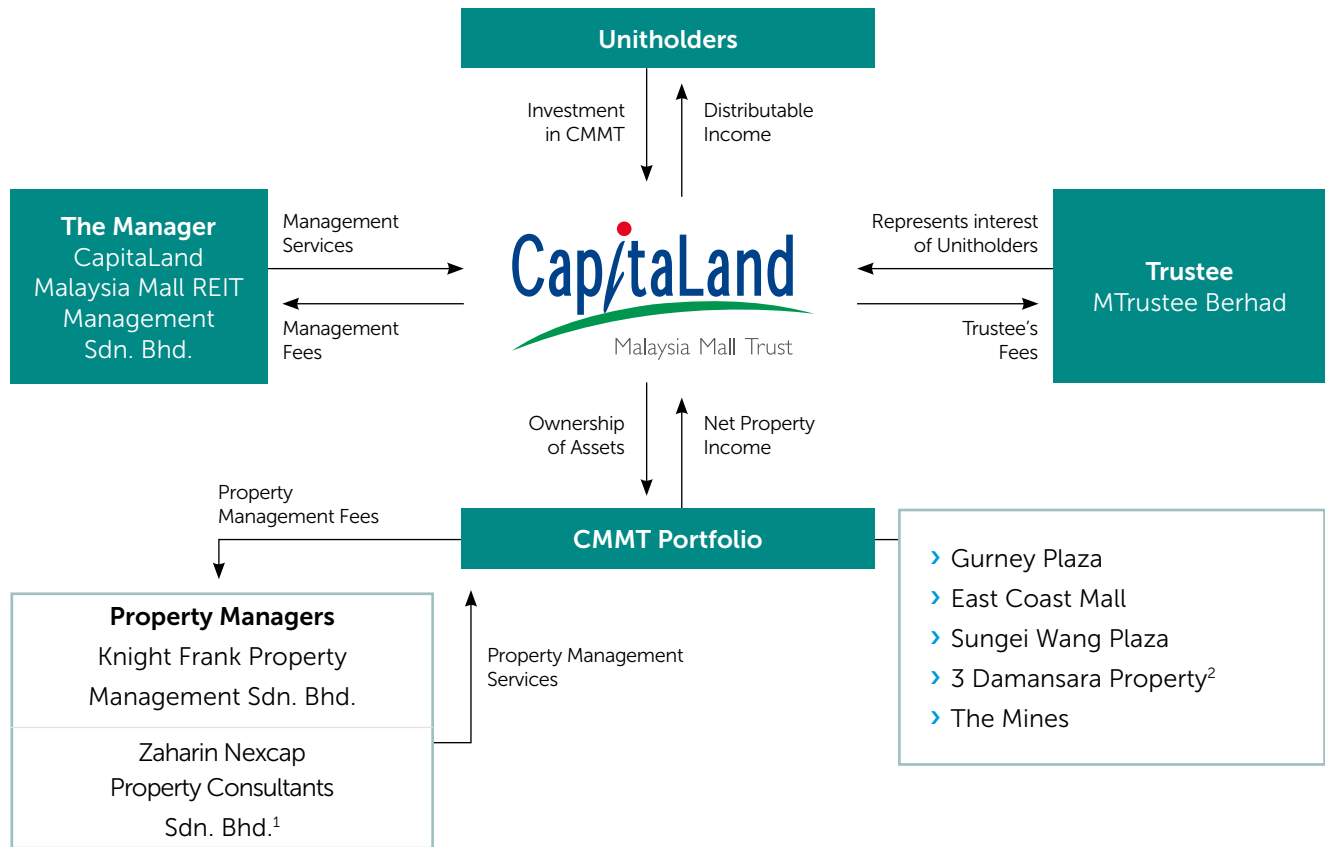
State	Year	NLA (sq ft)	Transaction Price (RM Million)	Capital Value (RM psf)	Purchaser
W.P. Kuala Lumpur					
Pavilion Bukit Jalil Mall ¹	2019	1,800,000	1,480.0	1,678	Regal Path Sdn. Bhd.
Elite Pavilion Mall ²	2017	241,929	580.0	2,397	Pavilion Real Estate Investment Trust
M3 Mall	2017	182,609	105.0	575	LBS Bina Group Bhd
Selangor					
SStwo Mall ³	2018	460,000	180.0	391	DK-MY Properties Sdn. Bhd.
AEON Mahkota Cheras Shopping Centre ⁴	2017	211,405	87.8	415	Foremost Wealth Management Sdn. Bhd.
Empire Shopping Gallery	2017	350,000	570.0	1,629	Pelaburan Hartanah Bhd
Penang					
1st Avenue Mall, Georgetown ⁵	2019	407,076	153.0	376	Ideal United Bintang International Berhad
Pahang					
–	–	–	–	–	–
Johor					
1 Segamat Mall	2016	223,439	104.0	465	Hektar Real Estate Investment Trust
Negeri Sembilan					
AEON Mall Seremban 2	2016	372,807	215.0	577	AEON REIT Investment Corp.
Perak					
AEON Mall Kinta City	2016	530,181	208.0	392	KIP REIT

Source: JLL Research, REIT Prospectuses and Annual Reports, Bursa Malaysia Announcements

Source

- 1 The purchase consideration of RM1,480 million was for 49% stake in the under-construction 5-storey shopping mall to be known as Pavilion Bukit Jalil Mall.
- 2 The acquisition price includes Elite Pavilion Mall, along with related assets and rights comprised of the extension-connections, subway linkage and 50 car park bays.
- 3 SStwo Mall is permanently closed down since 2015 and expected to reopen as medical centre in 2021.
- 4 AEON Mahkota Cheras Shopping Centre is now known as BMC Mall.
- 5 The purchase consideration represents a discount of 30.45% from the market value of the property at RM220 million.

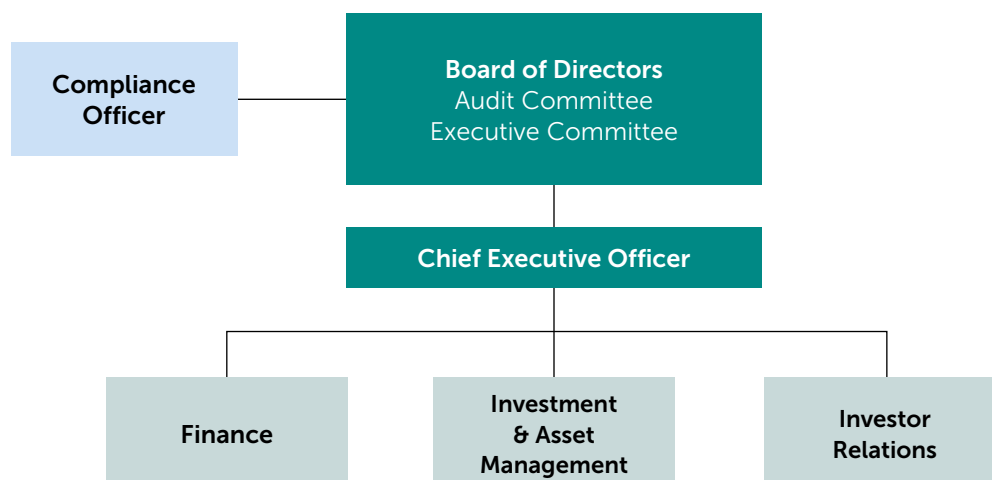
TRUST STRUCTURE



1 Zaharin Nexcap Property Consultants Sdn. Bhd. only manages CMMT's interest in Sungei Wang Plaza.

2 Refers to 3 Damansara and 3 Damansara Office Tower

ORGANISATION STRUCTURE



BOARD OF DIRECTORS



DAVID WONG CHIN HUAT



LOW PECK CHEN



TUAN HAJI ROSLI BIN ABDULLAH



MOHD YUSOF BIN HUSSIAN



LUI CHONG CHEE



TAN BOON PENG



JONATHAN YAP NENG TONG



LIM CHO PIN ANDREW GEOFFREY

DAVID WONG CHIN HUAT, 72

SINGAPOREAN (MALE)

CHAIRMAN

NON-EXECUTIVE INDEPENDENT DIRECTOR

- › Bachelor of Laws, University of Singapore
- › Master of Laws, University of London

Date of first appointment as a Director and Deputy Chairman

6 July 2012

Date of appointment as Chairman

1 November 2012

Length of service as a Director (as at 31 December 2020)

8 years 5 months

Board committees served on

- › Nil

Present directorship of public company and listed issuer

- › Nil

Present principal commitments

- › National Trades Union Congress (NTUC) U Care Fund, Singapore (Chairman of the Board of Trustees)
- › NTUC Endowment Fund Management Committee (Chairman)

Background and working experience

- › Director of Singapore Labour Foundation (From 2001 to 2010)
- › Chairman of Bedok Citizen's Consultative Committees (From 1989 to 2007)
- › Member of Public Service Commission, Singapore (From 1998 to 2015)
- › Ramdas & Wong, Advocate and Solicitor (From 1974 to 2020)

Award

- › Public Service Star (BBM) in 1991 and BBM(L) in 2005 awarded in conjunction with the Singapore National Day

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- › Nil

LOW PECK CHEN, 46

MALAYSIAN (FEMALE)

CHIEF EXECUTIVE OFFICER

EXECUTIVE NON-INDEPENDENT DIRECTOR

- › Bachelor of Accounting (First Class Honours), University of Malaya
- › Member of the Malaysian Institute of Accountants
- › Chartered Financial Analyst® and Member, CFA Institute

Date of first appointment as an Alternate Director and Deputy Chief Executive Officer

19 September 2014

Date of appointment as a Director and Chief Executive Officer

1 November 2014

Length of service as a Director (as at 31 December 2020)

6 years 2 months

Board committees served on

- › Executive Committee (Member)

Present directorship of public companies and listed issuers

- › CMMT MTN Berhad
- › Milky Way Properties Berhad

Present principal commitments

- › Vice Chairman of Malaysian REIT Managers Association

Background and working experience

- › Head of Finance of CapitaMalls Malaysia REIT Management Sdn. Bhd. (now known as CapitaLand Malaysia Mall REIT Management Sdn. Bhd.) (From June 2010 to September 2014)
- › Finance Manager of CapitaLand Retail Malaysia Sdn. Bhd. (From September 2008 to June 2010)
- › Finance Manager/Accountant of Halim Mazmin Berhad (From February 2004 to August 2008)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- › Nil

BOARD OF DIRECTORS

TUAN HAJI ROSLI BIN ABDULLAH, 67

MALAYSIAN (MALE)

NON-EXECUTIVE INDEPENDENT DIRECTOR

- › Post-Graduate, Diploma in Accounting, Universiti Malaya
- › Bachelor in Economics (Honours), Universiti Malaya
- › Master in Business Administration, Universiti Kebangsaan Malaysia
- › Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants

Date of first appointment as a Director

6 July 2012

Length of service as a Director (as at 31 December 2020)

8 years 5 months

Board committees served on

- › Audit Committee (Chairman)

Present directorship of public company and listed issuer

- › Dagang NeXchange Berhad
- › Malaysia Airports Holdings Berhad

Past directorship in other listed company held over the preceding three years

- › Chairman and Independent Director of i-Vcap Management Sdn. Bhd.
- › Independent Director and Chairman of the Audit Committee of Bank Pembangunan Malaysia Bhd
- › Independent Director and Chairman of the Audit Committee of Keretapi Tanah Melayu Bhd

Background and working experience

- › Chief Executive Officer and Registrar of Malaysian Institute of Accountants (From 2009 to 2012)
- › Adviser to Economic Planning Unit of Government of Malaysia (2008)
- › Senior General Manager of Putrajaya Holdings Sdn. Bhd (From 1996 to 2007)
- › Financial Controller/General Manager of Finance of Kuala Lumpur International Airport Berhad (From 1994 to 1996)
- › Director of Corporate Services at the Accountant General Department of Ministry of Finance (From 1993 to 1994)
- › Bursar of Universiti Putra Malaysia (From 1991 to 1993)
- › Chief Accountant at the Government Pension Department of Public Service Department (From 1989 to 1991)
- › Chief Accountant in the Ministry of Education of Government of Malaysia (From 1983 to 1987)
- › Chief Accountant in the Ministry of Works of Government of Malaysia (From 1981 to 1983)

- › State Treasurer of the State of Kelantan (From 1978 to 1980)
- › Accountant, Accountant General's Office, Federal Treasury in the Ministry of Finance of Government of Malaysia (From 1976 to 1977)

Award

- › Johan Setia Mahkota (J.S.M.), awarded by His Majesty Yang DiPertuan Agong on 1 June 2002

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- › Nil

MOHD YUSOF BIN HUSSIAN, 71

MALAYSIAN (MALE)

NON-EXECUTIVE INDEPENDENT DIRECTOR

- › Fellow of Chartered Certified Accountants, United Kingdom
- › Member of Chartered Institute of Purchasing and Supply, United Kingdom
- › Member of the Malaysian Institute of Accountants

Date of first appointment as a Director

1 October 2020

Length of service as a Director (as at 31 December 2020)

3 months

Board committees served on

- › Audit Committee (Member)

Present directorship of public company and listed issuer

- › Tune Insurance Malaysia Berhad
- › NanoMalaysia Berhad

Past directorship in other listed company held over the preceding three years

- › Independent Director and Audit Committee member of Boilermach Holdings Berhad

Background and working experience

- › Various positions, Re-engineering being the last position of Shell Malaysia (1986 to 1999)
- › Finance and Administration Manager cum Company Secretary, PTM Thompson Advertising Sdn. Bhd., an affiliate of J. Walter Thompson Group in USA (1976 to 1985)
- › External Auditor, Coopers & Lybrand (now known as PwC Malaysia) (1971 to 1976)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- › Nil

LUI CHONG CHEE, 60

SINGAPOREAN (MALE)

NON-EXECUTIVE INDEPENDENT DIRECTOR

- › Bachelor of Science, New York University, United States of America
- › Master of Business Administration, New York University, United States of America

Date of first appointment as a Director

1 October 2020

Length of service as a Director (as at 31 December 2020)

3 months

Board committees served on

- › Audit Committee (Member)

Present directorship of public company and listed issuer

- › Nil

Past directorship in other listed company held over the preceding three years

- › Executive Director of Far East Orchard Limited

Background and working experience

- › Managing Director and Chief Executive Director of Far East Orchard Limited (2014 to 2019)
- › Group Chief Financial Officer of Raffles Medical Group Ltd (2011 to 2014)
- › Various senior management positions with the CapitaLand Group, including Group Chief Financial Officer of CapitaLand Limited; Chief Executive Officer of CapitaLand Residential Limited and CapitaLand Financial Limited (2001 to 2010)
- › Managing Director of Citicorp Investment Bank (Singapore) Limited (1998 to 2001)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- › Nil

BOARD OF DIRECTORS

TAN BOON PENG, 54

MALAYSIAN (MALE)

NON-EXECUTIVE INDEPENDENT DIRECTOR

- › Master of Arts and Bachelor of Arts, University of Cambridge, United Kingdom

Date of first appointment as a Director

1 April 2019

Length of service as a Director (as at 31 December 2020)

1 year 9 months

Board committees served on

- › Nil

Present directorship of public company and listed issuer

- › Hap Seng Consolidated Berhad

Background and working experience

- › Various positions, Regional Head of Equity Capital Markets being the last position at CIMB Group (From 2003 to 2016)
- › Head of Singapore Research and Coordinator of the Singapore/Malaysian Research Product of Indosuez W.I. Carr Securities (S) Pte Ltd (From 2000 to 2001)
- › General Manager - Research of RHB Institute Sdn. Bhd. (From 1999 to 2000)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- › Nil

JONATHAN YAP NENG TONG, 53

SINGAPOREAN (MALE)

NON-EXECUTIVE NON-INDEPENDENT DIRECTOR

- › Bachelor of Science in Estate Management (Honours), National University of Singapore
- › Master of Science in Project Management, National University of Singapore

Date of first appointment as a Director

6 July 2020

Length of service as a Director (as at 31 December 2020)

5 months

Board committees served on

- › Executive Committee (Chairman)

Present directorship of public company and listed issuer

- › Nil

Present principal commitments

- › CapitaLand Limited (President, CapitaLand Financial)
- › Institute of South Asian Studies, National University of Singapore (Member, Management Board)
- › Real Estate Investment Trust Association of Singapore (REITAS) (President)

Background and working experience

- › Group Chief Operating Officer, Ascendas-Singbridge Pte.Ltd. (From July 2018 to June 2019)
- › Group Chief Financial Officer, Ascendas-Singbridge Pte. Ltd. (From September 2017 to June 2019)
- › Chief Investment Officer and Head of Real Estate Funds, Ascendas-Singbridge Pte. Ltd. (From June 2015 to November 2017)
- › Assistant Group Chief Executive Officer for Overseas Funds & India, Ascendas Pte Ltd (From July 2012 to May 2015)
- › Head of Real Estate Funds, Ascendas Pte Ltd (From January 2008 to May 2015)
- › Executive Director and Chief Executive Officer, Ascendas Property Fund Trustee Pte. Ltd. (From June 2007 to September 2014)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- › Nil

LIM CHO PIN ANDREW GEOFFREY, 51

SINGAPOREAN (MALE)

NON-EXECUTIVE NON-INDEPENDENT DIRECTOR

- › Bachelor of Commerce (Economics), University of Toronto, Canada
- › Master in Business Administration, Rotman School of Business, University of Toronto, Canada
- › Chartered Financial Analyst® and Member, CFA Institute

Date of first appointment as a Director

15 April 2018

Length of service as a Director (as at 31 December 2020)

2 year 8 months

Board committees served on

- › Audit Committee (Member)
- › Executive Committee (Member)

Present directorship of public company and listed issuer

- › Nil

Present principal commitments

- › Accounting for Sustainability Circle of Practice (Member)
- › Accounting Standards Council (Member)
- › CapitaLand Group (Group Chief Financial Officer)
- › Institute of Singapore Chartered Accountants' CFO Committee (Member)
- › Singapore Sports Council (Director)

Past directorship in other listed company held over the preceding three years

- › CapitaLand Mall Trust Management Limited (Manager of CapitaLand Mall Trust)

Background and working experience

- › President of Real Estate Investment Trust Association of Singapore (REITAS) (From 4 May 2018 to 25 September 2020)
- › Group Chief Financial Officer (Designate) of CapitaLand Limited (From 25 November 2016 to 31 December 2016)
- › Managing Director and Head of SEA Coverage Advisory of HSBC Global Banking (From January 2016 to December 2016)
- › Managing Director and Head of SEA Real Estate of HSBC Global Banking (From January 2015 to December 2015)
- › Managing Director, SEA Investment Banking of HSBC Global Banking (From April 2013 to December 2014)
- › Director, SEA Investment Banking of HSBC Global Banking (From April 2010 to March 2013)

- › Associate Director, Investment Banking of HSBC Global Banking (From April 2007 to March 2010)
- › Associate, Investment Banking of HSBC Global Banking (From July 2004 to March 2007)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- › Nil

Notes:

In addition to the earlier disclosure, none of the Directors have:

- (a) any family relationship with any Director of the Manager and/or major unitholder of CMMT; and
- (b) any conflict of interest with CMMT.

TRUST MANAGEMENT

LOW PECK CHEN

CHIEF EXECUTIVE OFFICER AND
EXECUTIVE NON-INDEPENDENT DIRECTOR

Assisted by the management, Peck Chen is responsible for executing CMMT's strategy and its day-to-day operations. Please refer to her profile in Board of Directors, CMMT's Annual Report 2020.

SOON YEONG CHYAN, 51

MALAYSIAN (MALE)
CHIEF FINANCIAL OFFICER

- › Bachelor of Accounting, University of Malaya
- › Malaysian Institute of Certified Public Accountants (member)
- › Malaysian Institute of Accountants (member)

Date of appointment

10 December 2019

Working Experience

Yeong Chyan began his career with Price Waterhouse, currently known as PwC. He has more than 20 years of working experience in the field of auditing as well as in leading and managing the full spectrum of finance functions of companies involved in various industries including plantation and integrated palm oil manufacturing; property development and investment; and investment holdings.

Responsibilities

Yeong Chyan leads the finance team and is responsible for CMMT's financial management functions including the financial and management reporting, taxation, budgeting, treasury and all other finance-related matters.

MATTHEW LOH WOEL LIEH, 38

MALAYSIAN (MALE)
DEPUTY HEAD, INVESTMENT & ASSET MANAGEMENT

- › Bachelor of Commerce, Deakin University, Australia

Date of appointment

1 July 2018

Working Experience

Matthew has worked for a reputable conglomerate in Malaysia and a government-linked real estate company in Singapore and China. He has more than 15 years of experience in the real estate industry covering financial feasibility study, capital structuring, due diligence, valuation and strategic planning.

Responsibilities

Matthew heads the investment and asset management department of the Manager. He is responsible for formulating and executing investment and divestment strategies to enhance CMMT's portfolio returns. He is also in charge of developing and implementing asset management strategies to maximise income and improve asset value of properties through asset enhancement initiatives.

JASMINE LOO PIK KWAN ABDULLAH, 42

MALAYSIAN (FEMALE)
SENIOR MANAGER, INVESTOR RELATIONS &
CORPORATE COMMUNICATIONS

- › Bachelor of Arts (English Language), University Putra of Malaysia

Date of appointment

1 October 2014

Working Experience

Jasmine began her career in advertising and media with New Straits Times Press and subsequently joined The Edge Communications Sdn. Bhd. as a journalist specialising in real estate. She was instrumental in setting up the corporate communications division for Bolton Berhad prior to joining the Manager. She has more than 15 years of experience in investor relations, corporate communications and media relations.

Responsibilities

Jasmine is responsible for building rapport and facilitating transparent communications with various stakeholders including CMMT's Unitholders, potential and existing institutional investors, analysts and media. She is also responsible for formulating and implementing overall investor relations strategy, production of annual report and corporate communications function for the Manager.

GRACE YAP MEI WAN, 53

MALAYSIAN (FEMALE)
COMPLIANCE OFFICER
HEAD, LEGAL, SECRETARIAT, COMPLIANCE &
RISK MANAGEMENT

- › LLB (Honours) degree, University of Nottingham, England
- › Barrister at Law, England (1991)
- › Advocate & Solicitor, High Court of Malaya (1993)

Date of appointment

14 November 2011

Working Experience

With more than 25 years of experience, Grace served as a practicing lawyer for seven years and since the year 2000, she has been an in-house legal counsel in both public listed and private limited companies. She was instrumental in assisting large and diversified corporations with asset acquisitions; corporate finance; property development; conveyancing; project management as well as corporate advisory matters.

Responsibilities

Grace helms the portfolios of legal, secretariat, compliance and risk management for the Manager.

CORPORATE GOVERNANCE

OUR ROLE

We, as the Manager of CMMT, set the strategic direction of CMMT and make recommendations to the Trustee, in its capacity as trustee of CMMT on any investment or divestment opportunities for CMMT and the enhancement of the assets of CMMT in accordance with the stated investment strategy for CMMT. The research, evaluation and analysis required for this purpose are coordinated and carried out by the Manager.

As the Manager, we have general powers of management over the assets of CMMT. Our primary responsibility is to manage the assets and liabilities of CMMT for the benefit of the Unitholders of CMMT. We do this with a focus on generating rental income and enhancing asset values over time so as to maximise returns from the investments and ultimately, the distribution and total returns to Unitholders.

Our other functions and responsibilities of the Manager include:

- (a) using our best endeavour to conduct CMMT's business in a proper and efficient manner in the best interests of the Unitholders;
- (b) preparing annual business plans for review by the Directors of the Manager, including forecasts on revenue, net income and capital expenditure, explanations on major variances in previous years' financial results, written commentaries on key issues and underlying assumptions for rental rates, operating expenses and other relevant assumptions;
- (c) ensuring compliance with relevant laws and regulations, including but not limited to the Companies Act 2016, the Capital Markets and Services Act 2007 (CMSA), the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Malaysia) (Listing Requirements), the Securities Commission's (SC) Guidelines on Listed Real Estate Investment Trusts (REITs Guidelines), Licensing Handbook, written directions, notices, codes and other applicable guidelines issued by SC and/or Bursa Malaysia and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its Unitholders as well as any updates and amendments to such relevant laws and regulations;
- (d) attending to all regular communications with Unitholders; and
- (e) supervising Knight Frank Property Management Sdn. Bhd. and Zaharin Nexcap Property Consultants Sdn. Bhd. (collectively, the Property Managers), which pursuant to the property management agreements, perform the day-to-day property management functions (including leasing, marketing & promotion, operations coordination and other property management activities) for CMMT's properties namely Gurney Plaza, Sungei Wang Plaza¹, 3 Damansara and 3 Damansara Office Tower, The Mines and East Coast Mall.

The Manager also considers sustainability issues (including environmental and social factors) as part of its responsibility. CMMT's environmental, sustainability and community outreach programmes are set out on pages 125 to 129 of the CMMT's Annual Report 2020. Please refer to the Sustainability Management section of CMMT's Annual Report 2020.

The Manager administers the enterprise risk management and ensures that internal controls are in place to mitigate and manage the risks as set out in the Enterprise Risk Management section of CMMT's Annual Report 2020.

CMMT, constituted as a trust, is externally managed by the Manager. The Manager appoints experienced and well qualified personnel to run its day-to-day operations.

1 CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

CORPORATE GOVERNANCE

The Manager was appointed in accordance with the terms of the deed dated 7 June 2010 (as amended, supplemented or restated from time to time) (Trust Deed). The Trust Deed outlines certain circumstances under which the Manager can be removed, including by notice in writing given by the Trustee upon the occurrence of certain events, or by resolution passed by a simple majority of Unitholders present and voting at a meeting of Unitholders duly convened held in accordance with the provisions of the Trust Deed.

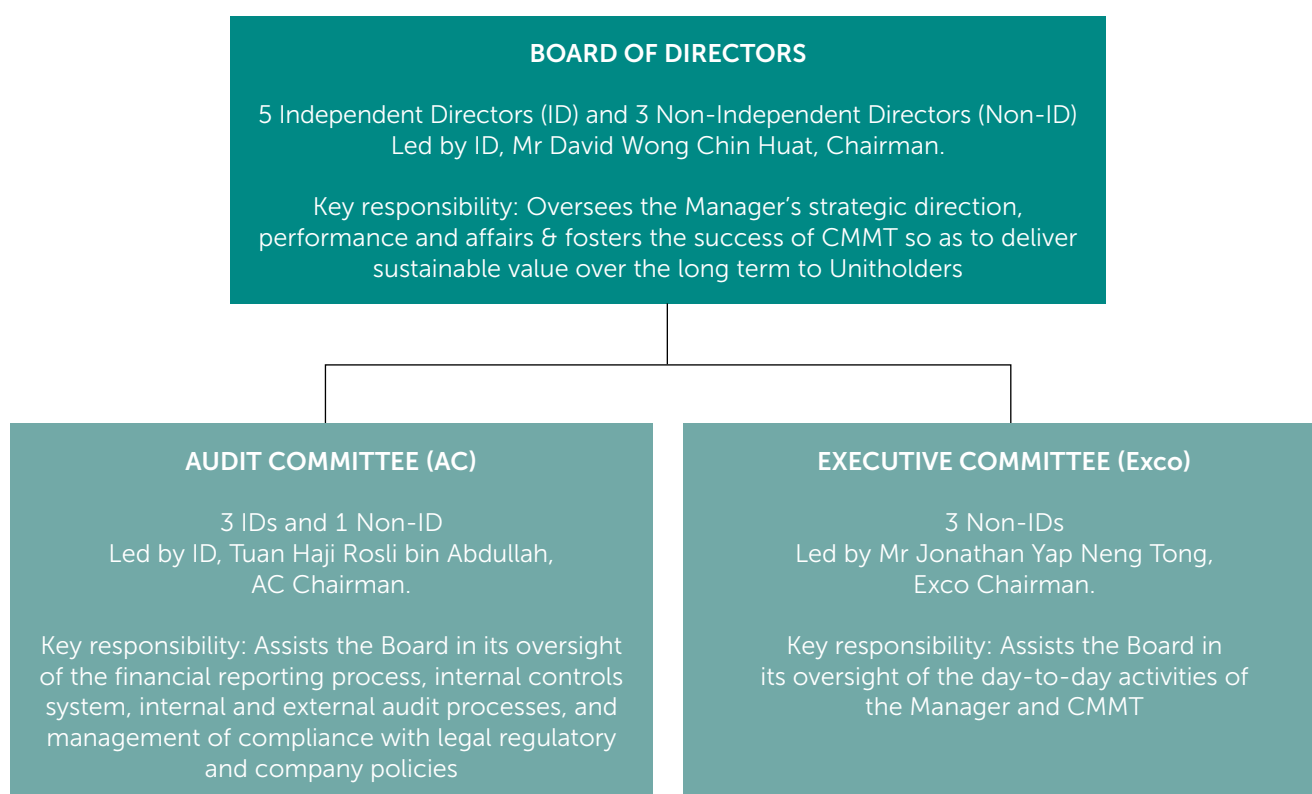
The Manager is a subsidiary of CapitaLand Limited (CapitaLand or CL) which also holds a significant unitholding interest in CMMT. CapitaLand is a long-term real estate developer and investor, with a vested interest in the long-term performance of CMMT. CL's significant unitholding in CMMT demonstrates its commitment to CMMT and as a result, CL's interests is aligned with that of other Unitholders. The Manager's association with CapitaLand provides the following benefits, among other things, to CMMT:

- (a) a stable pipeline of property assets through CapitaLand's development activities;
- (b) wider and better access to banking and capital markets;
- (c) fund raising and treasury support; and
- (d) access to a bench of experienced management talent.

OUR CORPORATE GOVERNANCE FRAMEWORK AND CULTURE

The Manager embraces the tenets of good corporate governance, including accountability, transparency and sustainability. It is committed to enhancing long-term Unitholder value and has appropriate people, processes and structure to direct and manage the business and affairs of the Manager with a view to achieving operational excellence and delivering CMMT's long-term strategic objectives. The policies and practices developed meet the specific business needs of the CMMT and provide a firm foundation for a trusted & respected business enterprise.

Our corporate governance framework is set out below:



The Board of Directors (Board) sets the tone from the top and is responsible for the Manager's corporate governance standards and policies, underscoring their importance to the Manager and CMMT.

This Corporate Governance Report (Report) sets out the corporate governance practices for financial year (FY) 2020 with reference to the principles of the Malaysian Code on Corporate Governance (Code).

Throughout FY 2020, the Manager has complied in general with the principles of corporate governance laid down by the Code and substantially, with the underlying provisions of the Code. Where there are deviations, appropriate explanations are provided in this Report. This Report also sets out additional policies and practices adopted by the Manager which are not provided in the Code.

BOARD MATTERS

Intended Outcome 1.0

Every company is headed by a board, which assumes responsibility for the company's leadership and is collectively responsible for meeting the objectives and goals of the company.

Practice 1.1: The board should set the company's strategic aims, ensures that the necessary resources are in place for the company to meet its objectives and review management performance. The board should set the company's values and standards and ensure that its obligations to its shareholders and other stakeholders are understood and met.

The Board oversees the strategic direction, performance and affairs of the Manager, in furtherance to the Manager's primary responsibility in fostering the success of CMMT so as to deliver sustainable value over the long term to Unitholders. It provides overall guidance to the management team (Management), led by the Chief Executive Officer (CEO). The Board works with Management to achieve CMMT's objectives and long-term success and Management is accountable to the Board for its performance. Management is responsible for the execution of the strategy for CMMT and the day-to-day operation of CMMT's business.

The Board establishes goals for Management and monitors the achievement of these goals. It ensures that proper and effective controls are in place to assess and manage business risks and compliance with requirements under the Listing Requirements, REITs Guidelines as well as any other applicable guidelines prescribed by Bursa Malaysia, SC or other relevant authorities and such other applicable laws. It also sets the disclosure and transparency standards for CMMT and ensures that obligations to Unitholders and other stakeholders are understood and met. The goals and achievements of CMMT are set in the Balance Scorecard approved by the Board and measured at the end of each financial year. The Board also receives periodic reports on the risks, compliance, conflicts of interest and internal controls managed and applied by Management for CMMT and the Manager.

The Directors are fiduciaries and are collectively, as the Board and individually, are obliged at all times to act honestly and objectively in the best interests of CMMT. Consistent with this principle, the Board is committed to good ethics and integrity of action and has adopted a Board Code of Business Conduct and Ethics (Board Code) which provides that every Director is expected to, among other things, adhere to the highest standards of ethical conduct. All Directors are required to comply with the Board Code. This sets the appropriate tone from the top in respect of the desired organizational culture and assists the Board in ensuring proper accountability by the Manager. In line with this, the Board has a standing policy that a Director must not allow himself or herself to get into a position where there is a conflict between his or her duty to CMMT and his or her own interests. Where a Director has a conflict of interest in a particular matter, he or she will be required to disclose his or her interest to the Board, recuse himself or herself from deliberations on the matter and abstain from voting on the matter. Every Director has complied with this policy, and where relevant, such compliance has been duly recorded in the minutes of meeting or written resolutions.

Furthermore, the Directors have the responsibility to act with due diligence in the discharge of their duties and ensure that they have the relevant knowledge to carry out and discharge their duties as Directors, including understanding their roles as executive, non-executive, and IDs, the business of CMMT and the environment in which CMMT operates. The Directors are also required to dedicate the necessary effort, commitment and time of their work as Directors, and are expected to attend all meetings of the Board, unless unusual circumstances make attendance impractical.

CORPORATE GOVERNANCE

Board Committees

The Board has established various Board Committees to assist in the discharge of its functions. These Board Committees are the Audit Committee (AC) and the Executive Committee (Exco). The Corporate Disclosure Committee was dissolved with effect from 1 February 2020 and the Board now undertakes all the responsibilities for approving corporate disclosures other than certain non-material and routine disclosures which approvals are delegated to Management.

All the Board Committees have clear written terms of reference setting out their respective composition, authorities and duties. Each of these Board Committees operates under delegated authority from the Board with the Board retaining overall oversight. The decisions and significant matters discussed at the respective Board Committees are reported to the Board on a periodic basis. The minutes of the Board Committee meetings which record the key deliberations and decisions taken during these meetings are also circulated to all Board members for their information. The composition of the various Board Committees is set out under the Corporate Information section of CMMT's Annual Report 2020. The duties and responsibilities of the Board Committees are set out in this Report.

The Board may form other Board Committees from time to time as dictated by business imperatives. The composition of each Board Committee is also reviewed as and when there are changes to Board membership and is managed to ensure an equitable distribution of responsibilities among Board members, to maximise the effectiveness of the Board and to foster active participation and contribution from Board members. Diversity of experience and appropriate skills are considered in the composition of the respective Board Committees.

Meetings of Board and Board Committees

Board and Board Committee meetings are scheduled prior to the start of each financial year in consultation with the Directors. The Constitution of the Manager (Constitution) permits the Directors to participate in Board and Board Committee meetings via audio or video conference. If a Director is unable to attend a Board or Board Committee meeting, he or she may provide his or her comments to the Chairman or the relevant Board Committee chairman ahead of the meeting and these comments are taken into consideration in the deliberations. The Board and Board Committees may also make decisions by way of written resolutions. In addition to scheduled meetings, the Board may also hold ad hoc meetings as and when required by business imperatives.

At each scheduled Board meeting, the Board is apprised, amongst others, of the following:

- (a) significant matters discussed at the AC meeting which is typically scheduled before the Board meeting;
- (b) AC's recommendation on CMMT's periodic and year-end financial results following AC's review of the same;
- (c) decisions made by Board Committees in the period under review;
- (d) updates on the CMMT Group's business and operations in the period under review, including market developments and trends, as well as business initiatives and opportunities;
- (e) financial performance, budgetary and capital management related matters in the period under review, including any material variance between any projections in budget or business plans and the actual results from business activities and operations;
- (f) any risk management issues that materially impact CMMT's operations or financial performance;
- (g) updates on key Unitholder engagements in the period under review, as well as analyst views and market feedback; and
- (h) prospective transactions which Management is exploring.

This allows the Board to develop a good understanding of the progress of CMMT Group's business as well as the issues and challenges faced by CMMT, as well as promotes active engagement with Management.

The Manager adopts and practises the principle of collective decisions and therefore, no individual Director influences or dominates the decision-making process. There is mutual respect and trust among the Directors and therefore the Board benefits from a culture of frank and rigorous discussions. Such discussions conducted on a professional basis contribute to the dynamism and effectiveness of the Board. The Board composition is such that there is diversity in views and perspectives which enriches deliberations and contributes to better decision-making by the Board. At Board and Board Committee meetings, all the Directors actively participate in discussions, and particularly, they engage in open and constructive debate and will challenge the Management on its assumptions and recommendations.

A total of four Board meetings were held in FY 2020. A table showing the attendance record of the Directors at meetings of the Board and Committees in FY 2020 is set out on page 110 of the Corporate Governance section of CMMT's Annual Report 2020. The Manager believes in the manifest contribution of its Directors beyond attendance at formal Board and Committee meetings. To judge a Director's contributions based on his attendance at formal meetings alone would not do justice to his overall contributions, which include being accessible to Management for guidance or exchange of views outside the formal environment of Board and Board Committee meetings. In addition to the formal meetings held in FY 2020, Management has received and benefitted from the strategic guidance of the Board through the Directors having had many interactive sessions with Management in person and also through electronic means.

Directors' Development

In view of the increasingly demanding, complex and multi-dimensional roles of a Director, the Board recognises the importance of continuous training and development for its Directors so as to equip them to discharge the duties and responsibilities of their office based on their abilities as Directors. The Manager has in place a training framework to guide and support the Manager towards meeting the objective of having a Board which comprises individuals who are competent and possess up-to-date knowledge and skills necessary to discharge duties and responsibilities. Newly appointed Directors who have no prior experience as a director of a listed issuer are provided with training on the roles and responsibilities of a director of a listed issuer in accordance with the listing rules of the MMLR.

Upon appointment, each Director is provided a copy of the Director's Manual (which includes information on a broad range of matters relating to the role, duties and responsibilities of a director). All Directors, upon appointment, also undergo an induction programme which focuses on orientating the Director to CMMT's business, operations, strategies, organisation structure, responsibilities of the CEO and other persons having authority and responsibility for planning, directing and controlling the activities of the Manager (key management personnel), as well as financial and governance practices. Through the induction programme, the new Director also gets acquainted with members of Management which facilitates their interaction at Board meetings.

Following their appointment, Directors are provided with opportunities for continuing education in areas such as Directors' duties and responsibilities, changes to regulations and accounting standards and industry-related matters, so as to be updated on matters that affect or which may enhance their performance as Directors or Board Committee members. The Directors may also recommend suitable training and development programmes to the Board. In FY 2020, the training and professional development programmes for the Directors included seminars conducted by experts and senior business leaders on board practices and issues faced by boards. The Directors also regularly receive reading materials on topical matters or subjects as well as updates on regulatory changes and their implications. The Board has been continuously briefed and updated on the Corporate Liability Provision under Section 17A of the Malaysian Anti-Corruption Commission (Amendment) Act 2018 ("MACC Act") and the gap analysis addressed with the policies and procedures put in place by Management for the Manager's compliance as guided by the Guidelines on Adequate Procedures issued pursuant to Section 17A(5) of the MACC Act.

All Directors attended the Mandatory Accreditation Programme (MAP) as prescribed by Bursa Malaysia, within four months of their appointments. Training programmes, seminars and conferences attended by the Directors during FY 2020 are set out on page 111 of the Corporate Governance section of CMMT's Annual Report 2020.

CORPORATE GOVERNANCE

Practice 1.2: A Chairman of the board who is responsible for instilling good corporate governance practices, leadership and effectiveness of the board is appointed.

The Board presently comprises eight Directors, five of whom are IDs. The Chairman of the Board is a non-executive ID. Profiles of the Chairman and the Directors are provided in the Board of Directors' Profile section of CMMT's Annual Report 2020.

During FY 2020, the non-executive independent Chairman, Mr David Wong Chin Huat, has been responsible for:

- (a) providing leadership to the Board so that the Board can perform its responsibilities effectively;
- (b) overseeing the Board agenda and interfacing between Management and Board members for delivery of information required at each Board meeting;
- (c) leading all Board meetings and discussions;
- (d) encouraging active participation and allowing dissenting views to be freely expressed by the Directors;
- (e) managing the interface between Board and Management on all other matters;
- (f) ensuring appropriate steps are taken to provide effective communication with stakeholders and that their views are communicated to the Board; and
- (g) leading the Board in establishing and monitoring good corporate governance practices in the Manager.

Practice 1.3: The positions of Chairman and CEO are held by different individuals.

The roles and responsibilities of the Chairman and the CEO are held by separate individuals, in keeping with the principles that there be a clear division of responsibilities between the leadership of the Board and Management and that no one individual has unfettered powers in decision making. The non-executive independent Chairman is Mr David Wong Chin Huat, whereas the CEO is Ms Low Peck Chen. They do not share any family ties. The Chairman and the CEO enjoy a positive and constructive working relationship between them and support each other in their respective leadership roles.

The Chairman provides leadership to the Board and facilitates the conditions for the overall effectiveness of the Board, Board Committees and individual Directors. This includes approving the agenda set for the Board meetings and ensuring that there is sufficient information provided and time given at meetings to address all agenda items, and promoting open and constructive engagement among the Directors as well as between the Board and the Management on strategic issues.

The Chairman devotes considerable time to understanding the business of CMMT, as well as the issues and the competition that CMMT faces. He plays a leadership role by providing oversight, direction, advice and guidance to the CEO. He also maintains open lines of communication and engages with other members of Management regularly, and acts as a sounding board for the CEO on any strategic and significant operational matters.

The Chairman also ensures that the Board works together with Management with integrity, competency and moral authority, and that the Board engages Management in deliberations on strategy, business operations and enterprise risks.

The CEO has full executive responsibilities to manage CMMT's Group business and to develop and implement policies approved by the Board.

The separation of the roles and responsibilities between the Chairman and the CEO and the resulting clarity of roles provide a healthy professional relationship between the Board and Management, facilitates robust deliberations on CMMT Group's business activities and the exchange of ideas and views to help shape CMMT's strategic process thus ensuring an appropriate balance of power, increased accountability and greater capacity of the Board for independent decision-making.

Since the roles of the Chairman and the CEO are held by separate individuals who are not related to each other, whereby the Chairman is an ID, no lead ID is appointed.

Practice 1.4: The board is supported by a suitably qualified and competent Company Secretary to provide sound governance advice, ensure adherence to rules and procedures, and advocate adoption of corporate governance best practices.

The Board is supported by a suitably qualified and competent Company Secretary (the Secretary). The Directors also have separate and independent access to the Company Secretary of the Manager (Company Secretary). The Company Secretary keeps herself abreast of relevant developments. She has oversight of corporate secretarial administration matters and advises the Board and Management on corporate governance matters. The Company Secretary attends Board meetings and assists the Chairman in ensuring that procedures are followed. The Company Secretary also facilitates the induction programme for new Directors and oversees professional development administration for the Directors. The appointment and the removal of the Company Secretary is subject to the Board's approval.

During FY 2020, the Secretary has provided updates on amendments to the Companies Act 2016, REITs Guidelines, Listing Requirements, the Corporate Liability Provision under Section 17A of the MACC Act and other related laws for the Manager's and Board's information.

Practice 1.5: Directors receive meeting materials, which are complete and accurate within a reasonable period prior to the meeting. Upon conclusion of the meeting, the minutes are circulated in a timely manner.

The Manager recognises the importance of providing the Board with complete, adequate and timely information prior to Board meetings and on an on-going basis, to enable the Directors to make informed decisions to discharge their duties and responsibilities.

The Secretary of the Manager works with the Chairman and Management to ensure that Board papers and agendas are provided to each Director at least five working days in advance of the Board meetings so that they can familiarise themselves with the matters prior to the Board meetings.

The Board meets regularly and at each Board meeting, the CEO provides updates on CMMT's business and operations as well as its financial performance. Presentations in relation to specific businesses areas are also made by key executives and external consultants or experts. This allows the Board to develop a good understanding of the progress of CMMT's business as well as the issues and challenges facing CMMT, and also promotes active engagement between the Board and the key executives of the Manager.

In line with the Manager's ongoing commitment to minimise paper wastage and reduce its carbon footprint, the Manager does not provide printed copies of Board and Board Committee meeting materials. Instead, the Directors are provided with tablet devices to enable them to access and review meeting materials prior to and during meetings. This initiative also enhances information security as the meeting materials are made available through a secure channel. The Directors are also able to review and approve written resolutions using tablet devices.

The Manager practices timely circulation of the minutes of the Board and Committee meetings after each meeting. Minutes are complete and accurately reflect the deliberations and decisions of the Board and Board Committees, including whether any Director abstained from voting or deliberating on any matter.

CORPORATE GOVERNANCE

Intended Outcome 2.0

There is demarcation of responsibilities between the board, board committees and management. There is clarity in the authority of the board, its committees and individual directors.

Practice 2.1: *The board has a board charter which is periodically reviewed and published on the company's website. The board charter clearly identifies: -*

- › *The respective roles and responsibilities of the board, board committees, individual directors and management; and*
- › *Issues and decisions reserved for the board.*

The Board's duties and responsibilities have been guided by a Board Charter and in FY 2020 include:

- (a) approving CMMT's broad policies, strategies and objectives;
- (b) approving annual budgets, major funding including capital management proposals, investment and divestment proposals;
- (c) reviewing at least annually the adequacy and effectiveness of the risk management and internal control systems including financial, operational, compliance and information technology controls of CMMT and the Manager;
- (d) reviewing and approving succession plans for Directors;
- (e) reviewing and approving the appointment of and succession plan for the CEO; and
- (f) reviewing and approving the Board's compensation.

The Board Charter is periodically reviewed to reflect changes to the Board's policies, procedures and processes as well as any development in statutes and regulations that may have an impact on the discharge of the Board's duties and responsibilities.

The Board has also adopted a set of internal control which establishes financial approval limits for capital expenditure, investments, divestments, bank borrowings and issuance of debt instruments and this is clearly communicated to Management in writing. The Board has reserved authority to approve certain matters including:

- (a) material acquisition, investments and divestments;
- (b) issue of new units in CMMT (Units);
- (c) income distributions and other returns to Unitholders; and
- (d) matters which involve a conflict of interest for a controlling Unitholder or a Director.

Apart from matters that specifically require the Board's approval, the Board delegates authority for transactions below the Board's approval limits to Board Committees and Management to optimize operational efficiency.

Intended Outcome 3.0

The board is committed to promoting good business conduct and maintaining a healthy corporate culture that engenders integrity, transparency and fairness.

The board, management, employees and other stakeholders are clear on what is considered acceptable behaviour and practice in the company.

Practice 3.1: *The board establishes a Code of Conduct and Ethics for the company, and together with management implements its policies and procedures, which include managing conflicts of interest, preventing the abuse of power, corruption, insider trading and money laundering. The Code of Conduct and Ethics is published on the company's website.*

The Manager adheres to an ethics and code of business conduct policy which deals with issues such as confidentiality, conduct and work discipline, corporate gifts and concessionary offers. Clear policies and guidelines on how to handle work place harassment and grievances are also in place.

The policies and guidelines are published on CapitaLand's Intranet which is accessible by all employees of the Manager. The policies that the Manager has implemented aim to help to detect and prevent occupational fraud mainly in three ways.

First, the Manager offers fair compensation packages, based on practices of pay-for-performance and promotion based on merit to its employees. The Manager also provides various healthcare subsidies and financial assistance schemes to alleviate the common financial pressures its employees face.

Secondly, clearly documented policies and work procedures incorporate internal controls which ensure that adequate checks and balances are in place. Periodic audits are also conducted to evaluate the efficacy of these internal controls.

Finally, the Manager seeks to build and maintain the right organisational culture through its core values, educating its employees on good business conduct and ethical values. This is achieved through orientation training of new employees and periodic training updates for existing employees.

Bribery and Corruption Prevention Policy

The Manager adopts a strong stance against corruption and bribery. In addition to clear guidelines and procedures for the giving and receipt of corporate gifts and concessionary offers, all employees of the Manager are required to make a declaration on an annual basis where they pledge to uphold the Manager's core values and not to engage in any corrupt or unethical practices. This serves as a reminder to all employees to maintain the highest standards of integrity in their work and business dealings. This is in line with the Corporate Liability Provision under Section 17A of the MACC Act which came into force on 1 June 2020.

During FY 2020, the Board reviewed the anti-bribery and anti-corruption policy and adopted the same for the Manager's compliance (ABC Policy). The ABC Policy underpins CMMT Group's strategies in identifying, preventing and managing bribery and corruption issues. The ABC Policy applies to all Directors, managers and employees of the Manager in dealing with external parties in the commercial context. The Manager's zero tolerance policy towards corruption and bribery has been extended to its business dealings with third parties. Pursuant to the ABC Policy, amongst others, the Manager requires that certain agreements incorporate anti-bribery and anti-corruption provisions and communication of the zero tolerance policy towards corruption and bribery is disseminated to all third parties in all correspondences to emphasise the Manager's commitment and seriousness. The ABC Policy is reviewed periodically to ensure that it continues to remain relevant, appropriate and effective to enforce the principles highlighted therein and to ensure continued compliance with the prevailing laws relating to corruption and bribery in Malaysia. A copy of the ABC Policy can be found on CMMT's website at www.cmmt.com.my (Website).

A set of comprehensive communication slides has been established to communicate and disseminate the Corporate Liability Provision under Section 17A of the MACC Act as well as the ABC Policy throughout the CMMT Group through online training modules and other communication channels. The compliance with the policies and procedures put in place as guided by the Guidelines on Adequate Procedures issued pursuant to Section 17A(5) of the MACC Act will be monitored closely, both on an ongoing basis and in conjunction with the annual assessment of the CMMT Group's corruption risks. The annual risk assessment is carried out to identify the corruption risks to which the CMMT Group is exposed to and the appropriateness of the mitigation measures established to minimise the exposure to these risks.

CORPORATE GOVERNANCE

Anti-Money Laundering and Countering the Financing of Terrorism Measures

The Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001 (AMLATFA) lays down various activities which AMLATFA views as unlawful activities and which the Manager must be aware of. The Manager has applied a policy on the prevention of money laundering and terrorism financing and is alert at all times to suspicious transactions. As part of its business operational practices, the Manager performs due diligence checks on its counterparties in order to ensure that it is able to detect any suspicious money laundering and terrorist financing activities and it does not enter into business transactions with terrorist suspects or other high-risk persons or entities.

Under this policy, all relevant records or documents relating to business relations with the CMMT's Group's customers or transactions entered into must be retained for a period of at least seven years following the termination of such business relations or the completion of such transactions.

All prospective employees, officers and Capital Markets Services Representatives Licence (CMSRL) representatives of the Manager are also screened against various money laundering and terrorism financing information sources and lists of designated entities and individuals provided by SC. Periodic training is provided by the Manager to its Directors, employees and CMSRL representatives to ensure that they are updated and aware of applicable anti-money laundering and countering of terrorism financing regulations, the prevailing techniques and trends in money laundering and terrorism financing and the measures adopted by the Manager to combat money laundering and terrorism financing.

Practice 3.2: The board establishes, reviews and together with management implements policies and procedures on whistleblowing.

A whistle-blowing policy and other procedures are put in place to provide the Manager's employees and parties who have dealings with the Manager with well defined, accessible and trusted channels to report suspected fraud, corruption, dishonest practices or other improprieties in the workplace, and for the independent investigation of any reported incidents and appropriate follow up action.

The objective of this policy is to encourage the reporting of such matters so that employees or external parties making any reports in good faith will be able to do so with the confidence that they will be treated fairly and, to the extent possible, be protected from reprisal. The AC reviews all whistle-blowing complaints at its scheduled meetings. Independent, thorough investigation and appropriate follow up actions are then taken. The outcome of each investigation is reported to the AC. All employees of the Manager are informed of this policy which is made available on CapitaLand's Intranet. During FY 2020, the policy was reviewed by the Board and a copy of the policy can be found on the Website.

Intended Outcome 4.0

Board decisions are made objectively in the best interests of the company taking into account diverse perspectives and insights.

Practice 4.1: At least half of the board comprises independent directors. For Large Companies², the board comprises a majority independent directors

The Board has a strong independent element: it presently comprises eight Directors, five of whom (including the Chairman) are IDs. None of the IDs had served on the Board for nine years or longer. Profiles of the Directors are provided in the Board of Directors' Profile section of CMMT's Annual Report 2020 reflecting that there is a majority of IDs on the Board of the Manager being manager of CMMT.

The Board reviews from time to time the size and composition of the Board and each Board Committee, with a view of ensuring that its size is appropriate in facilitating effective decision making, and the composition reflects a strong independent element as well as there is balance and diversity of throughout and in their background. The review takes into account the scope and nature of CMMT Group's operations, and the competition that it faces.

² Large Companies refers to (1) Companies on the FTSE Bursa Malaysia Top 100 Index; or (2) Companies with market capitalisation of RM2 billion and above, at the start of the companies' financial year.

Practice 4.2: The tenure of an independent director does not exceed a cumulative term limit of nine years. Upon completion of the nine years, an independent director may continue to serve on the board as a non-independent director. If the board intends to retain an independent director beyond nine years, it should justify and seek annual shareholders' approval. If the board continues to retain the independent director after the twelfth year, the board should seek annual shareholders' approval through a two-tier voting process

Practice 4.3: The board has a policy which limits the tenure of its independent directors to nine years (Step Up)

The Board assesses annually (and as and when circumstances require) the independence of each Director in accordance with the Listing Requirements, REITs Guidelines and the guidance in the Code. A Director is considered independent if he or she is independent in conduct, character and judgement and:

- (a) has no relationship with the Manager, its related corporations, its major shareholders, CMMT's major Unitholders (being Unitholders who have interests in voting Units with 10% or more of the total votes attached to all voting Units) or the Manager's officers that could interfere, or be reasonably perceived to interfere with the exercise of his or her independent business judgement in the best interests of CMMT;
- (b) is independent from the management of the Manager and CMMT, from any business relationship with the Manager and CMMT, and from every major shareholder of the Manager and every major unitholder of CMMT;
- (c) is not a major shareholder of the Manager or a major unitholder of CMMT;
- (d) is not employed by the Manager or CMMT or their related corporations; and
- (e) has not served on the Board for a continuous period of nine years or longer.

There is a rigorous process to evaluate the independence of each ID. As part of the process:

- (a) each ID provides information on his business interests and confirms, upon appointment, as well as on an annual basis, that there are no relationships which interfere with the exercise of his independent business judgement in the best interests of Unitholders; and such information is reviewed by the Board; and
- (b) the Board also reflects on the respective IDs' conduct and contributions at Board and Board Committee meetings, specifically, whether the relevant ID has exercised independent judgement in discharging his or her duties and responsibilities.

Each ID is required to recuse himself or herself from the Board's deliberations on his or her independence. In appropriate cases, the Board also reviews the independence of an ID as and when there is a change of circumstances involving the ID. In this regard, an ID is required to report to the Manager when there is any change of circumstances which may affect his or her independence.

The Board has carried out the assessment of each of the independence of its IDs for FY 2020 and the paragraphs below set out the outcome of the assessment.

Mr David Wong Chin Huat, Tuan Haji Rosli bin Abdullah, Mr Tan Boon Peng, Mr Lui Chong Chee and Encik Mohd Yusof bin Hussian do not have any relationships which interfere with the exercise of their independence and have therefore demonstrated independence of character and judgement in the discharge of his/her responsibilities as a Director of the Manager in FY 2020. The Board was satisfied that each relevant non-executive Director had acted with independent judgement.

On the bases of the declarations of independence provided by the relevant ID and the guidance in the Code, REITs Guidelines and the Listing Requirements, the Board determined that each of Mr David Wong Chin Huat, Tuan Haji Rosli bin Abdullah, Mr Tan Boon Peng, Mr Lui Chong Chee and Encik Mohd Yusof bin Hussian is an ID. Each of the above Directors had recused himself from the Board's deliberations on his independence.

CORPORATE GOVERNANCE

The Manager believes that Board renewal is a necessary and continual process, for good governance and ensuring that the Board has the skills, expertise and experience which are relevant to the evolving needs of CMMT's business; renewal or replacement of a Director therefore does not necessarily reflect his/her performance or contributions to date. The Board has established the guideline that an ID will serve for an initial two three-year terms and any extension of term up to a maximum period of nine years (inclusive of the initial two terms served) will be individually considered by the Board.

Practice 4.4: Appointment of board and senior management are based on objective criteria, merit and with due regard for diversity in skills, experience, age, cultural background and gender.

Practice 4.5: The board discloses in its annual report the company's policies on gender diversity, its targets and measures to meet those targets. For Large Companies, the board must have at least 30% women directors.

The Board embraces diversity and formally adopted a Board Diversity Policy in FY 2020. The Board Diversity Policy provides that the Board shall comprise talented and dedicated Directors with a diverse mix of expertise, experience, perspectives, skills and backgrounds, with due consideration given to other diversity factors including but not limited to diversity in business or professional experience, age and gender.

The Board believes in diversity and values the benefits that diversity can bring to the Board in its deliberations. Diversity enhances the Board's decision making capability and ensures that the Manager has the opportunity to benefit from all available talent and perspectives.

The Board, in carrying out its duties of determining the optimal composition of the Board in its Board renewal process, identifies possible candidates and makes recommendations of board appointments to the Board whilst considers diversity factors such as age, educational, business and professional backgrounds of its members. Female representation is also considered an important aspect of diversity. The current Board comprises eight members who are professionals with varied backgrounds, expertise and experience including in finance, retail management, investment, real estate, legal and accounting. The current Board has one female member, being the CEO of the Manager.

Practice 4.6: In identifying candidates for appointment of directors, the board does not solely rely on recommendations from existing board members, management or major shareholders. The board utilises independent sources to identify suitably qualified candidates.

Practice 4.7: The Nominating Committee is chaired by an Independent Director or the Senior Independent Director.

The Board undertakes the functions of a nominating committee and therefore, the Manager does not have a separate nominating committee. The Board performs the functions that such a committee would otherwise perform.

The Board is able to undertake the functions of a nominating committee because:

- (a) the Manager is a dedicated manager to CMMT and in general, REITs (including CMMT) have a more focused scope and scale of business compared to those of listed companies. For this reason, the Board's capacity would not be unduly stretched if the responsibilities of a nominating committee were also undertaken by the Board as the Board would be able to give adequate attention to such issues;
- (b) the focused scope of the business of CMMT also means a manageable competency requirement for the Board such that the Board is able to manage the duties of a nominating committee; and
- (c) the IDs form at least half of the Board and the Chairman is an ID which demonstrate that the IDs play a substantive role, and assures the objectivity and independence of the decision-making process concerning nomination. This also mitigates any concerns of conflict which can be managed by having the conflicted Directors abstain from the decision-making process. Further, conflict situations are less likely to arise in matters of nomination.

The Board has a formal and transparent process for the appointment and re-appointment of Directors. All Board appointments are made based on merit and approved by the Board. The Board's scope of duties and responsibilities includes:

- (a) reviewing the size and composition of the Board, succession plans for the Directors, structure and membership of the Board Committees;
- (b) reviewing the process and criteria for the evaluation of the performance of the Board, Board Committees and Directors;
- (c) considering annually and, as and when circumstances require, if a Director is independent; and
- (d) reviewing whether a Director has been adequately carrying out his or her duties as a Director.

Board Composition and Renewal

The Board strives to ensure that there is an optimal blend in the Board of backgrounds, experience and knowledge in business and general management, with expertise relevant to the CMMT Group's business and track record, whereby each Director can bring to the Board an independent and objective perspective to enable balanced and well-considered decisions to be made in the interests of the CMMT Group.

There is a structured process for determining Board composition and for selecting candidates for appointment as Directors. The Board evaluates the Board's competencies on a long term basis and identifies competencies which may be further strengthened in the long term. Board succession planning takes into account the need to maintain flexibility to effectively address succession planning and to ensure that the Manager continues to attract and retain highly qualified individuals to serve on the Board. The process ensures that the Board composition is such that the Board has capabilities and experience which are aligned with CMMT's strategy and environment.

Board succession planning is carried out through the annual review of the Board's composition as well as when a Director gives notice of his or her intention to retire or resign. The Board seeks to refresh its membership progressively and in an orderly manner, whilst ensuring continuity and sustainability of corporate performance.

The Board may retain external consultants from time to time to assist the Board in identifying suitable candidates for appointment to the Board. Candidates are identified based on the needs of CMMT and the relevant skills required, taking into account, among other things, the requirements in the Listing Requirements, REITs Guidelines and the Code, as well as the factors in the Board Diversity Policy. The candidates will be assessed against a range of criteria including their skills and expertise, market and industry knowledge. The Board also considers the qualities of the candidates, in particular whether they are aligned to the strategic directions and values of CMMT. In addition, the Board assesses the candidates' ability to commit time to the affairs of CMMT, taking into consideration their other current appointments.

Intended Outcome 5.0

Stakeholders are able to form an opinion on the overall effectiveness of the board and individual directors.

Practice 5.1: The board should undertake a formal and objective annual evaluation to determine the effectiveness of the board, its committees and each individual director. The board should disclose how the assessment was carried out and its outcome. For Large Companies, the board engages independent experts periodically to facilitate objective and candid board evaluations.

The Manager believes that oversight from a strong and effective Board goes a long way towards guiding a business enterprise to achieving success.

Whilst Board performance is ultimately reflected in the long-term performance of CMMT Group, the Board believes that engaging in a regular process of self-assessment and evaluation of board performance provides an opportunity for the Board to reflect on its effectiveness including the quality of its decisions, and for Directors to consider their performance and contributions. It also enables the Board to identify key strengths and areas for improvement which are essential to effective stewardship and attaining success for CMMT.

CORPORATE GOVERNANCE

As part of the Manager's commitment towards improving corporate governance, the Board has approved and implemented a process to evaluate annually the effectiveness of the Board as a whole and that of each of its Board Committees and individual Directors. As part of the process, a questionnaire is sent to the Directors, and the evaluation results are aggregated and reported to the Chairman of the Board. The overall evaluation results are also shared with the Board and follow up action is taken where necessary with a view to enhance the effectiveness of the Board and individual Directors in the discharge of its or their duties and responsibilities respectively.

Board and Board Committees

The evaluation categories covered in the questionnaire included Board composition, Board processes, strategy, performance and governance, access to information and Board Committee effectiveness. As part of the questionnaire, the Board also considered whether the creation of value for Unitholders has been taken into account in the decision-making process. For FY 2020, the outcome of the evaluation was satisfactory and the Directors on the whole provided affirmative ratings across all the evaluation categories.

Individual Directors

The evaluation categories covered in the questionnaire include Director's duties, contributions, conduct and interpersonal skills, as well as strategic thinking and risk management. For FY 2020, the outcome of the evaluation was satisfactory and each of the Directors on the whole received affirmative ratings across all the evaluation categories.

The Board also recognises that contributions by an individual Director can take different forms including providing objective perspectives on issues, facilitating business opportunities and strategic relationships, and accessibility to Management outside of the formal environment of Board and/or Committee meetings.

Board Evaluation as an Ongoing Process

The Board believes that the performance evaluation should be an ongoing process and the Board achieves this by seeking feedback on a regular basis. The regular interactions among the Directors, and between the Directors and Management, also contribute to this ongoing process. Through this process of engaging its members, the Board also benefits from an understanding of shared norms among Directors which also contributes to a positive Board culture. The collective Board performance and the contributions of individual Directors are also reflected in, and evidenced by, synergistic performance of the Board in discharging its responsibilities as a whole by providing proper guidance, diligent oversight and able leadership, as well as lending support to Management in steering CMMT in the appropriate direction, for the long-term performance of CMMT whether under favourable or challenging market conditions.

Intended Outcome 6.0

The level and composition of remuneration of directors and senior management take into account the company's desire to attract and retain the right talent in the board and senior management to drive the company's long-term objectives. Remuneration policies and decisions are made through a transparent and independent process.

Practice 6.1: The board has in place policies and procedures to determine the remuneration of directors and senior management, which takes into account the demands, complexities and performance of the company as well as skills and experience required. Remuneration policies and decisions are made through a transparent and independent process.

The Board has a formal and transparent procedure for developing policies on Director and executive remuneration, and for fixing the remuneration packages of individual Directors and key management personnel. These policies are in line with CMMT Group's business strategy and the executive compensation framework is based on the key principle of linking pay to performance, which is aligned with the long-term success of CMMT. Pay-for-performance is emphasised by linking total remuneration to the achievement of corporate and individual goals and objectives. The Board has access to independent remuneration consultants for advice on remuneration matters as and when required.

In terms of the process adopted by the Manager for developing and reviewing policies on remuneration and determining the remuneration packages for Directors and key management personnel, the Manager, through an independent remuneration consultant, takes into account compensation benchmarks within the industry, as appropriate, so as to ensure that the remuneration packages payable to Directors and key management personnel are in line with the objectives of the remuneration policies. It also considers the compensation framework of CL as a point of reference. The Manager is a subsidiary of CL which also holds a significant stake in CMMT. The association with the CL Group puts the Manager in a better position to attract and retain better qualified management talent whereby it provides an intangible benefit to the Manager such that it allows its employees to associate themselves with an established corporate group which can offer them the depth and breadth of experience and enhanced career development opportunities.

In FY 2020, an independent remuneration consultant, Willis Towers Watson, provided professional advice on Board and executive remuneration. Willis Towers Watson, the consultant, is not related to the Manager, its controlling shareholder, its related corporations nor to any of its Directors.

Remuneration Policy for Key Management Personnel

The remuneration framework and policy is designed to support the implementation of CMMT Group's strategy and deliver sustainable Unitholder value. The principles governing the Manager's key management personnel remuneration policy are as follows:

Business Alignment

- › Focus on generating rental income and enhancing asset value over time so as to maximise returns from investments and ultimately the distribution and total return to Unitholders.
- › Provide sound and structured funding to ensure affordability and cost-effectiveness in line with performance goals.
- › Enhance retention of key talent to build strong organisational capabilities.

Motivate Right Behaviour

- › Pay for performance – align, differentiate and balance rewards according to multiple dimensions of performance.
- › Strengthen line-of-sight by linking rewards with performance.

Fair & Appropriate

- › Ensure competitive remuneration relative to the appropriate external talent markets.
- › Manage internal equity such that the remuneration systems are being viewed as fair across the CMMT Group.
- › Significant and appropriate portion of pay-at-risk, taking into account risk policies of the CMMT Group, symmetrical with risk outcomes and sensitive to the risk time horizon.

Effective Implementation

- › Maintain rigorous corporate governance standards.
- › Exercise appropriate flexibility to meet strategic business needs and practical implementation considerations.
- › Facilitate employee understanding to maximise the value of the remuneration programmes.

Remuneration for Key Management Personnel

Remuneration for key management personnel comprises a fixed component, variable cash component and employee benefits. A significant proportion of key management personnels' remuneration is in the form of variable compensation, awarded in a combination of short-term and long-term incentives, in keeping with the principle that the interests of key management personnel align with those of Unitholders and that the remuneration framework links rewards to corporate and individual performance. The fixed component for key executives comprises the base salary, fixed allowances and compulsory employer contribution to the employees' Employees Provident Fund. The variable cash component comprises the Balanced Scorecard Bonus Plan which is linked to the achievement of annual performance targets for each key management personnel as agreed at the beginning of the financial year with the Board.

CORPORATE GOVERNANCE

Under the Balanced Scorecard Framework, CMMT Group's strategy and goals are translated to performance outcomes comprising both quantitative and qualitative targets in the dimensions of:

- (a) Financial: This includes targets relating to profitability, distributions, capital structure, capital recycling and risk management;
- (b) Execution: This includes targets relating to occupancy rates, operational efficiency and stakeholder engagement;
- (c) Future Growth: This includes targets relating to portfolio management and asset enhancements; and
- (d) Sustainability: This includes targets relating to talent management, competency development and sustainability corporate practices.

These are cascaded down throughout the organisation, thereby creating alignment across the CMMT Group.

After the close of each year, the Board reviews CMMT Group's achievements against the targets set in the Balanced Scorecard and determines the overall performance taking into consideration qualitative factors such as the business environment, regulatory landscape and industry trends.

In determining the payout quantum for each key management personnel under the plan, the Board considers the overall business performance and individual performance as well as the affordability of the payout for the Manager.

For FY 2020, remuneration for key management personnel comprises a fixed component, a performance-based variable cash component, a performance-based variable equity-based component or cash-based component and market related benefits. For the equity-based or cash-based component, for FY 2020, either shares of CapitaLand or cash was awarded pursuant to the Balanced Scorecard Bonus Plan of CapitaLand.

Practice 6.2: The board has a Remuneration Committee to implement its policies and procedures on remuneration including reviewing and recommending matters relating to the remuneration of board and senior management. The Committee has written Terms of Reference which deals with its authority and duties and these Terms are disclosed on the company's website.

The Board undertakes the functions of a remuneration committee and therefore, the Manager does not have a separate remuneration committee. The Board performs the functions that such a committee would otherwise perform.

The Board is able to undertake the functions of a remuneration committee based on the following:

- (a) the Manager is a dedicated manager to CMMT. In general, REITs (including CMMT) have a more focused scope and scale of business compared to those of listed companies. For this reason, the Board's capacity would not be unduly stretched by reason of it undertaking the responsibilities of a remuneration committee and the Board would be able to give adequate attention to such issues relating to remuneration matters; and
- (b) the IDs form at least half of the Board and the Chairman is an ID, which demonstrates that the IDs play a substantive role and assures the objectivity and independence in the decision-making process concerning remuneration. This also mitigates any concerns of conflict which can be managed by having the conflicted Directors abstain from the decision-making process. Further, conflict situations are less likely to arise in matters of remuneration.

In undertaking this function, the Board considers all aspects of remuneration, including overseeing the design and implementation of the remuneration policy and the specific remuneration packages for each Director and key management personnel. No Director, however, is involved in any decision of the Board relating to his own remuneration.

Intended Outcome 7.0

Stakeholders are able to assess whether the remuneration of directors and senior management is commensurate with their individual performance, taking into consideration the company's performance.

Practice 7.1: There is detailed disclosure on named basis for the remuneration of individual directors. The remuneration breakdown of individual directors includes fees, salary, bonus, benefits in-kind and other emoluments.

The Directors' fees for FY 2020 are shown in the table below. The CEO who is an executive Director, is remunerated as part of the key management personnel of the Manager and does not receive any Director's fees. The non-executive Directors who are employees of the CL Group also do not receive any Directors' fees. The compensation policy for Directors is based on a scale of fees divided into basic retainer fees for serving as Director and additional fees for attendance of and serving on any of the Committees. The framework for the non-executive Directors' fees has remained unchanged from that of the previous financial year.

The compensation package is benchmarked against market, taking into account the effort, time spent and demanding responsibilities on the part of the non-executive Directors in light of the scale, complexity and geographic scope of CMMT Group's business. The remuneration of non-executive Directors is reviewed from time to time to ensure that it is appropriate to attract, retain and motivate the non-executive Directors to provide good stewardship of the Manager. As a show of support and solidarity to tenants and key stakeholders, in line with CapitaLand's action, the Board voluntarily took 5% cut in the total Directors' fees for FY 2020.

Directors' Fees¹

Board Members	FY 2020 (RM)
David Wong Chin Huat	181,481
Tuan Haji Rosli bin Abdullah	148,200
Tan Boon Peng	83,600
Lui Chong Chee ²	37,886
Mohd Yusof bin Hussian ²	32,186
Jonathan Yap Neng Tong ^{3, 5}	75,469
Lim Cho Pin Andrew Geoffrey ⁵	195,330
Ronald Tay Boon Hwee ^{4, 5}	79,012
Dato' Mohammed bin Haji Che Hussein ⁶	91,316
Ng Chih Kaye ⁶	96,066

- 1 Inclusive of attendance fees of (a) RM5,000 (local director) and RM8,000 (foreign director) per meeting attendance in person, (b) RM2,000 per meeting attendance via tele-conference or video conference, and (c) RM2,000 per project or verification meeting subject to a maximum of RM20,000 per Director per annum.
- 2 Appointed as a Director and a Member of the Audit Committee with effect from 1 October 2020.
- 3 Appointed as a Director and a Member of the Executive Committee with effect from 6 July 2020.
- 4 Resigned as a Director and a Member of the Executive Committee with effect from 6 July 2020.
- 5 In respect of the Directors who are nominees of CapitaLand, the Director's fees are payable to CapitaLand Financial Limited.
- 6 Resigned as a Director and a Member of the Audit Committee with effect from 1 October 2020.

CORPORATE GOVERNANCE

Practice 7.2: *The board discloses on a named basis the top five senior management's remuneration component including salary, bonus, benefits in-kind and other emoluments in bands of RM50,000.*

Practice 7.3: *Companies are encouraged to fully disclose the detailed remuneration of each member of senior management on a named basis. (Step Up)*

The Manager has opted not to disclose the top 5 Senior Management's remuneration. In arriving at its decision, the Manager has taken into account the intense competition for talent in the industry, as well as the need to balance the confidentiality and commercial sensitivities associated with remuneration matters. In addition, the remuneration of the CEO and other key management personnel of the Manager is paid out of the fees that the Manager receives (of which the quantum and basis have been disclosed), and is not being borne by CMMT.

Intended Outcome 8.0

There is an effective and independent Audit Committee. The board is able to objectively review the Audit Committee's findings and recommendations. The company's financial statement is a reliable source of information.

Practice 8.1: *The Chairman of the Audit Committee is not the Chairman of the board.*

Practice 8.2: *The Audit Committee has a policy that requires a former key audit partner to observe a cooling-off period of at least two years before being appointed as a member of the Audit Committee.*

Practice 8.3: *The Audit Committee has policies and procedures to assess the suitability, objectivity and independence of the external auditor.*

The AC has established an External Auditors' Independence Guideline that considers among others:

- (a) The competence, audit quality and resource capacity of the external auditor (EA) in relation to the audit;
- (b) The nature and extent of the non-audit services rendered and the appropriateness of the level of fees; and
- (c) The written assurance obtained from the EA confirming that they are, and have been, independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements.

The AC has reviewed the nature and extent of non-audit services provided by the EA during FY 2020 and the fees paid for such services. The AC also undertook a review of the independence of the EA, taking into consideration, among other factors, CMMT's relationship with the EA in FY 2020, as well as the processes and safeguards adopted by the Manager and the EA relating to audit independence. Based on the review and the results of the assessment by Management of the EA in FY 2020, the AC is satisfied that the EA are adequately resourced, effective and independent, the latter of which was confirmed through the provisions of the EA's written confirmation of their independence to the AC. The aggregate amount of fees paid and payable to the external auditors for FY 2020 was RM190,000, of which audit (and audit related) fees amounted to RM181,450 and non-audit fees amounted to RM8,550.

Practice 8.4: The Audit Committee should comprise solely of independent directors (Step Up).

The Chairman of the AC is not the Chairman of the Board. At present, the AC comprises four members, all non-executive, a majority of whom (including the Chairman of the AC) are independent. The members bring with them invaluable recent and relevant managerial and professional expertise in accounting, auditing and related financial management domains. None of the AC members was previously a partner of the incumbent external auditors, KPMG PLT (KPMG), within the period of two years commencing on the date of their ceasing to be a partner of KPMG. The AC also does not comprise former partners of CMMT's incumbent external auditors, KPMG (a) within a period of two years commencing from the date of their ceasing to be partners of KPMG; or (b) who has any financial interest in KPMG.

The AC has explicit authority to investigate any matter within its terms of reference. Management provides the fullest co-operation in providing information and resources, and in implementing or carrying out all requests made by the AC. The AC has direct access to the internal and external auditors and full discretion to invite any Director or key management personnel to attend its meetings. Similarly, both the internal and external auditors have unrestricted access to the AC.

Practice 8.5: Collectively, the Audit Committee should possess a wide range of necessary skills to discharge its duties. All members should be financially literate and are able to understand matters under the purview of the Audit Committee including the financial reporting process.

All members of the AC undertook continuous professional development to keep themselves abreast of relevant developments in accounting and auditing standards, practices and rules.

At present, there is a level of financial literacy amongst the AC members who have sufficient understanding of CMMT's business.

Key Audit Matters

In the review of the financial statements of the CMMT Group for FY 2020, the AC has discussed with Management the accounting principles that were applied and their judgement of items that might affect the integrity of the financial statements and also considered the clarity of key disclosures in the financial statements. The AC reviewed the valuation of the investment properties, being the key audit matter as reported by the EA for FY 2020.

The AC was updated of the valuation methodologies and key assumptions applied by the valuers for the investment properties in arriving at the valuations. Due diligence of the valuers' competency and independence was also presented to the AC.

The AC reviewed the outputs from the valuation process of the investment properties and held discussions with Management to review the valuation methodologies, focusing on significant changes in fair value measurement and key drivers of the changes including the reasonableness of the capitalisation rates adopted by the valuers.

The AC considered the findings of the EA, including their assessment of the appropriateness of valuation methodologies and the key assumptions applied in the valuation of the investment properties.

No significant matter came to the attention of the AC during the review.

The AC was satisfied with the valuation process, the methodologies used and the valuation of the investment properties.

In FY 2020, the AC also met with the internal and external auditors, separately and without Management's presence, to discuss the reasonableness of the financial reporting process, the system of internal controls, and the significant comments and recommendations by the auditors.

In FY 2020, changes to accounting standards, accounting systems and accounting issues which have a direct impact on the financial statements were reported to and discussed with the AC at its meetings.

CORPORATE GOVERNANCE

Intended Outcome 9.0

Companies make informed decisions about the level of risk they want to take and implement necessary controls to pursue their objectives.

The board is provided with reasonable assurance that adverse impact arising from a foreseeable future event or situation on the company's objectives is mitigated and managed.

Practice 9.1: The board should establish an effective risk management and internal control framework.

The Manager maintains an adequate and effective system of risk management and internal controls addressing material financial, operational, compliance and information technology (IT) risks to safeguard Unitholders' interests and CMMT Group's assets.

The Board has overall responsibility for the governance of risk and oversees the Manager in the design, implementation and monitoring of the risk management and internal control systems.

The AC and Exco assist the Board in carrying out the Board's responsibility of overseeing the risk management framework and policies for CMMT Group.

The AC and Exco, guided by their respective terms of reference, and in particular, during FY 2020:

- (a) made recommendations to the Board on CMMT Group's risk strategy, risk appetite and risk limits;
- (b) assessed the adequacy and effectiveness of the risk management and internal control systems established by the Manager to manage risks;
- (c) oversaw the formulation, updating and maintenance of an adequate and effective risk management framework, policies and strategies for managing risks that were consistent with CMMT Group's risk appetite and reported to the Board on its decisions on any material matters concerning the aforementioned;
- (d) made the necessary recommendations to the Board such that an opinion regarding the adequacy and effectiveness of the risk management and internal controls systems could be made by the Board in CMMT's Annual Report 2020; and
- (e) considered and advised on risk matters referred to it by the Board or Management, including reviewing and reporting to the Board on any material breaches of the RAS (as defined below) any material non-compliances with the approved framework and policies and the adequacy of any proposed actions.

Practice 9.2: The board should disclose the features of its risk management and internal control framework, and the adequacy and effectiveness of this framework.

The Manager adopts an Enterprise Risk Management (ERM) Framework which sets out the required environmental and organisational components for managing risks in an integrated, systematic and consistent manner. The ERM Framework and related policies are reviewed annually.

As part of the ERM Framework, the Manager undertakes and performs a Risk and Control Self-Assessment (RCSA) annually to identify material risks along with their mitigating measures. The adequacy and effectiveness of the systems of risk management and internal controls are reviewed at least annually by Management, the AC and the Board.

CMMT Group's Risk Appetite Statement (RAS), incorporating the risk limits, addresses the management of material risks faced by CMMT Group. Alignment of CMMT Group's risk profile to the RAS is achieved through various communication and monitoring mechanisms (including key risk indicators set for Management) put in place across the various functions within the Manager.

More information on the Manager's ERM Framework including the material risks identified can be found in the Enterprise Risk Management section of CMMT's Annual Report 2020.

The internal and external auditors conduct reviews of the adequacy and effectiveness of the material internal controls (including financial, operational, compliance and IT controls) and risk management systems. This includes testing, where practicable, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with corrective measures recommended by the internal and external auditors are reported to and reviewed by the AC and Exco. The AC also reviews the adequacy and effectiveness of the measures taken by the Manager on the recommendations made by the internal and external auditors in this respect.

The Board has received assurance from the CEO, the Chief Financial Officer and the relevant key management personnel of the Manager who have responsibility regarding various aspects of risk management and internal controls that the systems of risk management and internal controls for the CMMT Group are adequate and effective to address the risks (including financial, operational, compliance and IT risks) which the Manager considers relevant and material to its current business environment.

The CEO, the Chief Financial Officer and the relevant key management personnel of the Manager have obtained similar assurances from the respective risk and control owners for the purposes of Board assurance.

Based on the ERM Framework and the reviews conducted by Management and both the internal and external auditors, as well as the assurance from the CEO and the Chief Financial Officer of the Manager, the Board is of the opinion, that the system of risk management and internal controls (including financial, operational, compliance and IT risks) which the CMMT Group considers relevant and material to its current business environment as at 31 December 2020 is adequate. No material weakness in the systems of risk management and internal controls were identified by the Board or the AC in the review for FY 2020.

The Board notes that the systems of risk management and internal control established by the Manager provide reasonable assurance that CMMT Group, as it strives to achieve its business objectives, will not be significantly affected by any event that can be reasonably foreseen or anticipated. However, the Board also notes that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgement in decision making, human error, losses, fraud or other irregularities.

Intended Outcome 10.0

Companies have an effective governance, risk management and internal control framework and stakeholders are able to assess the effectiveness of such a framework.

Practice 10.1: The Audit Committee should ensure that the internal audit function is effective and able to function independently.

The Manager has in place an internal audit (IA) function supported by CapitaLand's Internal Audit Department (CL IA) which reports directly to the AC. CL IA is independent of the activities it audits. The AC has carried out a review and is of the view that the internal audit function performed by CL IA is, effective and independent. CL IA plans its internal audit schedules in consultation with, but independently of, Management and its plan is submitted to the AC for approval prior to the beginning of each financial year. The AC also meets with CL IA at least twice a year without the presence of Management. CL IA has unfettered access to the Manager's documents, records, properties and employees, including access to the AC. During FY 2020, CL IA has conducted all audit assignments pursuant to the 2020 annual internal audit plan as approved by AC and has also on a quarterly basis reported to AC a summary of the Related Party Transactions and Recurrent Related Party Transactions entered into by CMMT.

CORPORATE GOVERNANCE

Practice 10.2: The board should disclose:

- (a) *whether internal audit personnel are free from any relationships or conflicts of interest, which could impair their objectivity and independence;*
- (b) *the number of resources in the internal audit department;*
- (c) *name and qualification of the person responsible for internal audit; and*
- (d) *whether the internal audit function is carried out in accordance with a recognised framework.*

CL IA is adequately resourced and staffed with persons having relevant qualifications and experience. CL IA is a corporate member of The Institute of Internal Auditors Inc. (IIA), Singapore, which is an affiliate of the IIA with its headquarters in the United States of America (USA). CL IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by IIA, and has incorporated these Standards into its audit practices. With respect to FY 2020, the AC has reviewed and is satisfied as to the adequacy and effectiveness of the IA function.

None of the CL IA team members are related to the CEO nor Management. To ensure that internal audits are performed by competent professionals, CL IA recruits and employs suitably qualified professional staff with the requisite skill sets and experience. For instance, CL IA staff who are involved in IT audits have the relevant professional IT certifications and are also members of the Information System Audit and Control Association (ISACA) Singapore Chapter, a professional body administering information system audit and information security certifications that is headquartered in the USA. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CL IA identifies and provides training and development opportunities for its staff to ensure that their technical knowledge and skill sets remain current and relevant.

As of 31 December 2020, CL IA staff strength is at 35 persons, including Head of CL IA.

CL IA is headed by Ms Jenny Tan. She has more than 10 years of experience in Internal Audit, Compliance and Group Finance. Ms Tan has a Masters of Professional Accounting (MPA) from University of Adelaide (Australia) as well as a Masters of Business Administration (MBA) from the University of Leicester (UK).

Intended Outcome 11.0

There is continuous communication between the company and stakeholders to facilitate mutual understanding of each other's objectives and expectations.

Stakeholders can make informed decisions with respect to the business of the company, its policies on governance, the environment and social responsibility.

Practice 11.1: The board ensures there is effective, transparent and regular communication with its stakeholders.

The Manager is committed to keeping all Unitholders, other stakeholders, analysts and the media informed of the performance and changes in CMMT or its business which would likely materially affect the price or value of the Units. This is performed on a timely and consistent basis to assist Unitholders and investors in their investment decisions.

The Manager has in place an Investor Relations and Corporate Communications team which facilitates effective communication with Unitholders, analysts and the media. The Manager also maintains the website which contains information on CMMT including but not limited to current and past announcements and new releases, financial statements, investor presentations and annual reports of CMMT.

The Manager actively engages with Unitholders with a view to solicit and understand their views, and has put in place a Unitholders' Communication and Investor Relations Policy (Policy) to promote regular, effective and fair communication with Unitholders. The Policy, which sets out the mechanism through which Unitholders may contact the Manager with questions and through which the Manager may respond to such questions, is available on the Website. Unitholders are welcomed to engage with the Manager beyond general meetings and they may do so by contacting the Investor Relations department whose details may be found on the Website under the heading "Manager Contacts" or email the Manager at ask-us@cmmmt.com.my.

The Manager has a formal policy on corporate disclosure controls and procedures to ensure that CMMT complies with its disclosure obligations under the Listing Requirements. These controls and procedures incorporate the decision-making process and an obligation on internal reporting of the decisions made.

More information on the Manager's investor and media relations with Unitholders can be found in the Investor & Media Relations section of CMMT's Annual Report 2020.

CMMT's distribution policy is to distribute at least 90.0% of its distributable income (other than gains from the sale of real estate properties by CMMT which are determined to be trading gains), with the actual level of distribution to be determined at the Manager's discretion. FY 2020 saw distributions of approximately 100.0% of CMMT's distributable income to Unitholders.

Intended Outcome 12.0

Shareholders are able to participate, engage the board and senior management effectively and make informed voting decisions at General Meetings.

Practice 12.1: Notice for an Annual General Meeting should be given to the shareholders at least 28 days prior to the meeting.

The Manager is committed to treating all Unitholders fairly and equitably.

All Unitholders enjoy specific rights under the Trust Deed and the relevant laws and regulations. These rights include, among other things, the right to participate in profit distributions. They are also entitled to attend general meetings and are accorded the opportunity to participate effectively and vote at general meetings (including through proxies, if they are unable to attend in person, or if their Units are held through corporations).

All Unitholders were given at least 28 days' notice prior to the Annual General Meeting which is beyond the minimum requirement of 21 days. The notice includes details of the resolutions proposed along with any background information and reports or recommendations that are relevant. The Annual General Meeting of CMMT for 2021 will take place on 31 March 2021. Full details and the notification can be found in the Notice of Annual General Meeting section of CMMT's Annual Report 2020.

Practice 12.2: All directors attend General Meetings. The Chair of the Audit, Nominating, Risk Management and other committees provide meaningful response to questions addressed to them.

Practice 12.3: Listed companies with a large number of shareholders or which have meetings in remote locations should leverage technology to facilitate –

- (a) voting including voting in absentia; and***
- (b) remote shareholders' participation at General Meetings***

**CORPORATE
GOVERNANCE**

CMMT supports the principle of encouraging Unitholders' participation and voting at general meetings. CMMT's Annual Report 2020 is provided to Unitholders within 2 months from the end of CMMT's financial year. Unitholders may download CMMT's Annual Report 2020 from the Website and printed copies of the same are available upon request. More than the legally required and minimum notice period for general meetings is generally provided by CMMT. Unitholders will receive the notices of general meetings and may download these notices from the Website. Notices of the general meetings are also advertised in the press and issued on Bursa Link. The rationale and explanation for each agenda item which requires Unitholders' approval at a general meeting are provided in the notice of the general meeting or in the accompanying circular (if any) issued to Unitholders in respect of the matter(s) for approval at the general meeting. This enables Unitholders to exercise their votes on an informed basis. Unitholders can download CMMT's Annual Report 2020 and notice of the annual general meeting electronically at www.cmmt.com.my while printed copies will be available upon request. Notices of the general meetings are also advertised in the press and issued via Bursa Link. All Unitholders are given the opportunity to participate effectively in and to vote at general meetings.

At the fully virtual AGM of CMMT held on 19 June 2020 ("2020 AGM"), the Manager had leveraged on technology to facilitate remote Unitholders' participation and electronic voting for the conduct of poll on the resolutions for the first time. The entire AGM proceedings were held through Remote Voting and Participation ("RVP") facilities provided by the unit registrar of CMMT, Tricor Investor & Issuing House Services Sdn. Bhd. The administrative details of the AGM as well as the detailed registration and voting procedures were shared with the Unitholders and the same were also published in the Website.

At the 2020 AGM, Management made a presentation to Unitholders to update them on CMMT's performance, position and prospects. The presentation materials were made available to Unitholders on the Website and BursaLink. Unitholders were informed of the rules governing general meetings and were given the opportunity to communicate their views and discuss with the Board and Management matters affecting CMMT. Representatives of the Trustee, Directors (including the chairmen of the respective Board Committees) and key management personnel were present for the entire duration of the 2020 AGM to address any queries from the Unitholders.

To safeguard Unitholders' interests and rights, a separate resolution is proposed for each substantially separate issue at general meetings. To ensure transparency in the voting process and better reflect Unitholders' interest, the Manager conducts electronic poll voting for all the resolutions proposed at the general meetings. One Unitholder is entitled to one vote. Voting procedures and the rules governing are explained and vote tabulation procedures are disclosed at the general meetings. An independent scrutineer is also appointed to validate the vote tabulation procedures. Votes cast, for or against and the respective percentages, on each resolution are tallied and displayed 'live on-screen' to Unitholders immediately at the general meetings. An independent scrutineer is also appointed to validate the vote tabulation procedures. Votes cast for or against and the respective percentages, on each resolution are tallied and displayed 'live' on-screen to Unitholders immediately after each resolution is voted on at the general meeting. The total number of votes cast for or against each resolution and the respective percentages are also announced on Bursa Link after the general meetings. Voting in absentia and by email may only be possible following careful study to ensure that the integrity of information and authentication of the identity of Unitholders through the web are not compromised.

Minutes of the general meeting, recording the substantial and relevant comments made, questions raised and answers provided, are prepared and made available to Unitholders for their inspection upon request. Summary of key matters discussed at the annual general meeting are also made available on the Website.

OTHERS

Dealing with Related Parties

Review Procedures for Related Party Transactions (including Recurrent Related Party Transactions)

The Manager has established internal control procedures to ensure that all Related Party Transactions are made on terms which are the best available for CMMT and which are no less favourable to CMMT than an arm's length transaction between independent parties. In respect of such transactions, the Manager would have to demonstrate to the AC that the transactions are the best available for CMMT and are no less favourable than an arm's length transaction between independent parties which may include obtaining (where applicable) third party quotations or obtaining valuations from independent valuers (in accordance with the REITs Guidelines and the Listing Requirements). The internal control procedures also ensure compliance with the Listing Requirements and the REITs Guidelines.

In particular, the procedures in place include the following:

Related Party Transactions ¹ (RPT) with percentage ratio ² :	Internal Approval, Procedures and Disclosure
Below 0.25%	Audit Committee recommends to Board ⁴
0.25% or more	Audit Committee recommends to Board ⁴ Immediate announcement
5% or more	Audit Committee recommends to Board ⁴ Immediate announcement Independent Adviser Unitholders
25% or more	Audit Committee recommends to Board ⁴ Immediate announcement Independent Adviser Principal Adviser Unitholders
Recurrent Related Party Transactions (RRPT) with percentage ratio ²	Immediate Announcement, Independent Adviser and Unitholders
Below 1% ³	Audit Committee recommends to Board ⁴
1% or more	Audit Committee recommends to Board ⁴ Immediate announcement
¹ RPT of less than RM500,000 or RRPT is noted. ² The calculation is based on the total assets which are the subject matter of the transaction compared with the total assets of CMMT. ³ Periodic review only. ⁴ Board save for interested directors who shall abstain.	

CORPORATE GOVERNANCE

Role of the Audit Committee for Related Party Transactions

The Manager's internal control procedures are intended to ensure that RPT are conducted on terms which are best available for CMMT and which are no less favourable to CMMT than arm's length transaction between independent parties.

The Manager maintains a register to record all Related Parties of CMMT and RPT which are entered into by CMMT (and the basis, including the quotations obtained to support such basis upon which they are entered into). All RPT are subject to regular periodic reviews by the AC, which in turn obtains advice from CL IA, to ascertain that the guidelines and procedures established to monitor RPT, including the relevant provisions of the Listing Requirements and the REITs Guidelines, as well as any other guidelines which may from time to time be prescribed by Bursa Malaysia, the SC or other relevant authority, have been complied with. The review includes an examination of the nature of the transaction and its supporting documents or such other information deemed necessary by the AC. If a member of the AC has an interest in a transaction, he is to abstain from participating in the review and approval process in relation to that transaction.

Details of all RPT entered into by CMMT during the financial year are disclosed on page 173 of the Financial Statements section of CMMT's Annual Report 2020.

Dealing with Conflicts of Interest

The following principles and procedures have been established to deal with potential conflicts of interest which the Manager (including the Directors, executive officers and employees of the Manager) may encounter in managing CMMT:

- (a) The Manager will be a dedicated manager to CMMT and will not manage any other REITs or be involved in any other real property business;
- (b) All executive officers of the Manager will be employed by the Manager;
- (c) All resolutions at meetings of the Board of the Manager in relation to matters concerning CMMT must be decided by a majority vote of the Directors, including at least one ID;
- (d) In respect of matters in which CapitaLand and/or its subsidiaries have an interest, whether direct or indirect, any nominees appointed by CapitaLand and/or its subsidiaries to the Board will abstain from voting;
- (e) In respect of matters in which a Director or his associates have an interest, whether direct or indirect, such interested Director will abstain from voting;
- (f) If the Manager is required to decide whether or not to take any action against any person in relation to any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, the Manager is obliged to consult with a reputable law firm (acceptable to the Trustee) which shall provide legal advice on the matter. If the said law firm is of the opinion that the Trustee, on behalf of CMMT, has a prima facie case against the party allegedly in breach under such agreements, the Manager is obliged to pursue the appropriate remedies under such agreements. The Directors of the Manager have a duty to ensure that the Manager complies with the aforesaid. Notwithstanding the foregoing, the Manager shall inform the Trustee as soon as it becomes aware of any breach of any agreement entered into by the Trustee with an affiliate of the Manager, and the Trustee may take such action as it deems necessary to protect the rights of Unitholders and/or which is in the interests of Unitholders. Any decision by the Manager not to take action against an affiliate of the Manager shall not constitute a waiver of the Trustee's right to take such action as it deems fit against such affiliate; and
- (g) The Board shall comprise at least one-third of IDs. Currently the Board comprises a majority of IDs.

The Manager and the Trustee have been granted a right of first refusal (ROFR) by CapitaLand Mall Asia Limited (CMA) where:

- (a) For so long as the Manager shall remain the manager of CMMT and whereby the Manager and CMA are both subsidiaries of CapitaLand, neither CMA nor any subsidiary of CMA, will (a) purchase any relevant retail property which CMA and/or its subsidiaries may identify and target for acquisition in the future without granting the ROFR to CMMT to purchase such relevant retail property at the offer price and based on the terms and conditions as proposed to the relevant member of CMA and its subsidiaries, subject to various procedural requirements, including notice provisions, as set out in the letters of undertakings; or (b) sponsor or act as the manager of another REIT or any listed company in Malaysia that competes or will compete for the acquisition of relevant retail property, save that (a) and (b) shall not be applicable to any relevant retail property which is the subject matter of any of the following:
 - (i) joint venture or proposed joint venture with CMA and/or its subsidiaries and any third party or parties; or
 - (ii) a proposal made exclusively available to CMA and/or its subsidiaries; or
 - (iii) a fund or proposed fund managed by CMA and/or its subsidiaries.
- (b) In the event CMA should sponsor a Malaysian retail property fund for the acquisition and/or development of relevant retail property, CMA shall endeavour to procure that such fund shall grant to CMMT a ROFR in relation to any relevant retail properties of which the fund wishes to dispose.

This undertaking has the effect of limiting the ability of CMA from undertaking or participating in certain business opportunities, as described above.

Dealing in Securities

The Manager has devised and adopted a securities dealing policy for the Manager's officers and employees which applies the best practice recommendations in the Listing Requirements. To this end, the Manager has issued guidelines to its Directors and employees as well as certain relevant executives of the CL Group, which set out prohibitions against dealings in CMMT's Units (i) while in possession of material unpublished price-sensitive information, (ii) during the periods commencing 30 calendar days before the release of CMMT's quarterly results and up to the time of each announcement of CMMT's financial statements during a financial year. In addition, if any of such affected persons deal in CMMT's Units during the closed periods or outside closed periods under the Listing Requirements, they are required to comply with the conditions as set out in the Listing Requirements. They are also made aware of the applicability of the insider trading laws at all times.

Fees payable to the Manager

The methodology for computing the fees payable to the Manager is contained in Clause 18 of the Trust Deed, details of which are disclosed under Notes to Financial Statements.

The Management Fees, which are contained in Clause 18 of the Trust Deed, are fees earned by the Manager for the management of CMMT's portfolio. The Management Fees are fees earned by the Manager for the management of CMMT's portfolio. The Management Fee should be viewed holistically as a whole which comprise two components, namely the Base Fee and Performance Fee, which are elaborated further below:

Base Fee

The Base Fee enables the Manager to cover operational and administrative overheads incurred in the management of the portfolio. The Base Fee is calculated at a percentage of assets value as the asset value provides an appropriate metric to determine the resources for managing the assets.

CORPORATE GOVERNANCE

Performance Fee

The Performance Fee is calculated in reference to the net property income before payment of the Management Fee, for each Distribution Period based on the unaudited or as the case may be, the audited accounts of the Trust determined for the relevant Distribution Period but subject to reconciliation to the amount calculated by reference to the audited account of the Trust for the relevant Financial Year.

In addition, the Manager is also paid an Acquisition Fee or a Divestment Fee upon the successful completion of an acquisition or divestment respectively. Further details on the Acquisition Fee and Divestment Fee are provided below:

Acquisition Fee

The Acquisition Fee, which is contained in Clause 18.3 of the Trust Deed, is earned by the Manager upon the successful completion of an acquisition. This fee seeks to motivate and compensate the Manager for its efforts expended to continually seek and acquire Distribution Per Unit accretive assets to increase longer term returns for Unitholders. In addition, the Acquisition Fee allows the Manager to recover the additional costs and resources incurred by the Manager in the course of seeking new acquisition opportunities, including but not limited to, due diligence efforts and man hours spent in evaluating the transaction.

Divestment Fee

The Divestment Fee, which is contained in Clause 18.3 of the Trust Deed, is earned by the Manager upon the completion of a divestment. This fee seeks to motivate and compensate the Manager for its efforts expended to maximise value received by CMMT in the event of a divestment. In addition, the Divestment Fee allows the Manager to recover additional costs and resources incurred by the Manager for the divestment, including but not limited to due diligence efforts and man hours spent in marketing and maximising the divestment price.

Composition and Meeting Attendance in FY 2020

Board Members	Composition			Meeting Attendance		
	Audit	Executive Committee	Corporate ⁵ Disclosure Committee	Board Number of Meetings Held: 4	Audit Committee Number of Meetings Held: 4	Executive Committee Number of Meetings Held: 4
David Wong Chin Huat	–	–	Chairman	4/4	N.A.	N.A.
Low Peck Chen	–	Member	–	4/4	N.A.	4/4
Tuan Haji Rosli bin Abdullah	Chairman	–	–	4/4	4/4	N.A.
Tan Boon Peng	–	–	–	4/4	N.A.	N.A.
Lui Chong Chee ¹	Member	–	–	1/1	1/1	N.A.
Mohd Yusof bin Hussian ¹	Member	–	–	1/1	1/1	N.A.
Jonathan Yap Neng Tong ²	–	Chairman	–	2/2	N.A.	2/2
Lim Cho Pin Andrew Geoffrey	Member	Member	Member	3/4	4/4	4/4
Ronald Tay Boon Hwee ³	–	Chairman	Member	2/2	N.A.	2/2
Dato' Mohammed bin Haji Che Hussein ⁴	Member	–	–	3/3	2/3	N.A.
Ng Chih Kaye ⁴	Member	–	–	3/3	3/3	N.A.

N.A. – Not applicable

1 Appointed as a Director and a Member of the Audit Committee with effect from 1 October 2020.

2 Appointed as a Director and a Chairman of the Executive Committee with effect from 6 July 2020.

3 Resigned as a Director and a Chairman of the Executive Committee with effect 6 July 2020.

4 Resigned as a Director and Member of the Audit Committee with effect from 1 October 2020.

5 Dissolved with effect from 1 February 2020.

Training programmes, seminar and conferences attended by the Directors during FY 2020 were:

- › In House training on Overview of the Temporary Measures for Reducing the Impact of Coronavirus Disease 2019 (Messrs Justin Chin)
- › Virtual Board Meetings: In an Era of Social Distancing Boards (Institute of Corporate Directors Malaysia)
- › Invest Malaysia 2020 – Economic Recovery: Policies & Opportunities (Bursa Malaysia and Maybank)
- › Navigating the Pandemic: A Multispeed Recovery in Asia (Asia School of Business)
- › MIA Webinar Series: MPSAS 26 Impairment of Cash Generating Assets (Malaysian Institute of Accountants)
- › Awareness Training on Corporate Liability for Director and Senior Management (Axcelasia Columbus Sdn. Bhd).
- › Audit Committee Institute Virtual Roundtable 2020 – ESG perspective: Managing Recovery and Resilience (KPMG)
- › Citi-REITAS-SGX's C-Suite Singapore REITS & Sponsors Virtual Conference (REITAS)
- › CLF Knowledge Exchange 2 – Fundraising in Public and Private Markets (CLIMB)
- › COVID-19 Take-Overs and Mergers (Securities Industry Development Corporation)
- › Sustainable Real Estate – Trends in Asia and Beyond (HSBC)
- › Navigating Malaysia Competition Law: Future Developments and Emerging Risks After 10 Years of Enforcement (Allen & Gledhill)
- › MRMA x Maybank Investors Virtual Forum (Maybank Investment Bank)
- › CLF Knowledge Exchange 1 – Understanding Private Funds & Capital Management (CLIMB)
- › Invest Malaysia 2020 The Capital Market Conversation (Virtual Series 1) (Bursa Malaysia)
- › In conversation with Malaysia's Minister of Finance & the EPF's Chief Strategy Officer (Credit Suisse HLDGS HK Limited)

AUDIT COMMITTEE REPORT

The Audit Committee (AC) of the Manager was formed on 10 June 2010 to assist the Board in fulfilling its oversight responsibilities for the financial reporting process, the management of risk and system of internal controls, the governance processes, and the audit process for CMMT and the Manager as well as the Manager's process for monitoring compliance with laws and regulatory requirements.

The Board is pleased to present the report of the AC for FY 2020 to provide insights into the manner which the AC has discharged its functions during FY 2020.

(A) COMPOSITION

Presently, the AC consists of four members, all non-executive directors, majority of whom (including the Chairman of the AC) are independent. The members bring with them invaluable and professional expertise in accounting and related financial management domains. None of the AC members was previously a partner in the incumbent external auditors, KPMG PLT (KPMG), in the previous two years, nor do any of the AC members hold any financial interest in KPMG.

The list of the members of the AC are as follows:

- | | |
|---------------------------------|---|
| 1. Tuan Haji Rosli bin Abdullah | Chairman / Non-Executive Independent Director |
| 2. Lui Chong Chee | Member / Non-Executive Independent Director |
| 3. Mohd Yusof bin Hussian | Member / Non-Executive Independent Director |
| 4. Lim Cho Pin Andrew Geoffrey | Member / Non-Executive Non-Independent Director |

(B) MEETINGS AND ATTENDANCE

A total of four AC meetings were held during the financial year under review. The members of the AC and their attendance records are as follows:

	Number of AC Meetings Attended
Tuan Haji Rosli bin Abdullah	4 / 4
Lui Chong Chee ¹	1 / 1
Mohd Yusof bin Hussian ¹	1 / 1
Lim Cho Pin Andrew Geoffrey	4 / 4
Ng Chih Kaye ²	3 / 3
Dato' Mohammed bin Haji Che Hussein ²	2 / 3

1 Appointed as a Member of the AC with effect from 1 October 2020.

2 Resigned as a Member of the AC with effect from 1 October 2020.

(C) SUMMARY OF THE WORK OF THE AUDIT COMMITTEE

Throughout FY 2020 and up until to the date of this report, AC has met its responsibilities in discharging its functions and obligations in accordance with its Terms of Reference (TOR) as described below:

1. Financial Reporting

- (a) Reviewed the quarterly results for all the financial quarters and year-end financial statements, ensuring the integrity of the financial statements of CMMT, and announcements relating to CMMT's financial performance, prior to the approval by the Board for the release of the announcements, focusing particularly on:
 - (i) changes in or implementation of major accounting policy changes;
 - (ii) significant matters highlighted including financial reporting issues, significant judgements made by Management, significant and unusual events or transactions, and how these matters are addressed; and
 - (iii) compliance with accounting standards and other legal requirements.
- (b) Discussed the key audit matters raised by the external auditors with Management and the disclosure thereof in the Auditors' Report for FY 2020.
- (c) Recommended to the Board for its approval, the half-yearly income distribution for payment to the Unitholders.

2. External Auditors (EA)

- (a) Reviewed the EA's report on the conduct of the audit of CMMT's financial statements FY 2020, the findings on significant accounting and financial reporting issues and its impact to the consolidated financial statements of the CMMT Group and, the findings on the internal control system as well as an overview of issues found during the interim audit.
- (b) Reviewed EA's scope of work and audit plans for the year under review to understand their audit methodology, significant risk areas and accounting policies/disclosures and timing.
- (c) Reviewed, in consultation with Management, the performance of the EA and their fees, upon satisfaction of their independence and objectivity including non-audit services rendered by the EA.
- (d) Conducted bi-annual private sessions with the EA and CL IA without the presence of Management to discuss any issues or reservations arising from their audit. No major concerns were highlighted by EA and CL IA and they received full cooperation from Management.

3. CapitaLand Internal Auditors (IA)

The IA function is outsourced and undertaken by CL IA that reports directly to the AC. The IA function was undertaken to provide independent assessments on the adequacy, efficiency and effectiveness of the internal control systems to manage risk exposures of the Manager and the CMMT Group. The AC had full access to the services and advice of the IA and received reports on all audits that were performed.

During FY 2020, CL IA has executed the following IA services:

- (a) A total of three audit assignments were conducted on CMMT and the Manager based on the 2020 IA plan, adhering to the International Standards for the Professional Practice of Internal Auditing (Standards) issued by the Institute of Internal Auditors;
- (b) Conducted regular follow up with Management on agreed corrective actions on outstanding audit issues to ensure key risks and weaknesses were addressed effectively and in a timely manner including the tightening of internal controls, whereby the status of implementation of the IA recommendations were reported to the AC on a quarterly basis; and
- (c) Prepared the annual IA plan and scope for FY 2021 to be deliberated and approved by the AC.

AUDIT COMMITTEE REPORT

The reports from CL IA, including the result of findings, recommendations and Management's responses, were presented to the AC.

During FY 2020, AC monitored and assessed the role, performance and effectiveness of the IA function by reviewing the IA process from time to time and recommended to the Board for approval any changes to the IA process.

A quality assurance review on the CL IA's function was performed by Ernst & Young Advisory Pte Ltd in 2018 and the assessment affirmed that CL IA conformed to the Standards. The next review will be due in 2023.

The total costs incurred by the IA function for FY 2020 amounted to RM150,000.

4. Risk Management and Internal Control

AC also assisted the Board in examining the adequacy and effectiveness of CMMT's ERM Framework and the appropriateness of Management's responses to key risk areas and recommendations for improvements to be implemented. Based on the RCSA exercise conducted annually as well as the quarterly key risk indicator reports presented to AC with insights on the areas of risks, their likelihood, impact and management action on CMMT's operating business, AC was thus able to keep under review the adequacy and effectiveness of CMMT's risk management system along with its risk portfolio, risk levels and risk mitigation strategies. No significant irregularity or deficiency in internal controls came to the attention of AC during FY 2020.

5. Related Party Transactions and Conflicts of Interest

The AC has:

- (a) reviewed and approved processes to regulate the RPT and RRPT (as defined in the Listing Requirements) and ensured compliance with the proper disclosure requirements in accordance with the REITs Guidelines and the Listing Requirements;
- (b) received reports from the Management and CL IA on RPT and RRPT, reviewed and approved RPT and RRPT as required by the internal approval processes; and
- (c) reviewed and assessed from time to time whether additional processes are required to be put in place to manage any material conflicts of interest within the CMMT Group and proposed, where appropriate, the relevant measures for the management of such conflicts for approval by the Board.

AC was satisfied that all RPT and RRPT were in the best interest of CMMT, whereby the terms concluded were made on terms which were the best available for CMMT and which were no less favourable to CMMT than an arm's length transaction between independent parties and the monitoring procedures to regulate such transactions were appropriate and sufficient.

6. Compliance

The AC reviewed the level of compliance of the Manager and CMMT with the REITs Guidelines, Listing Requirements, Companies Act 2016, CMSA, the Deed as well as Corporate Liability Provision under Section 17A of the MACC Act. The AC was satisfied that there were no major non-compliances based on the compliance reports completed by the Management and as reported by the Compliance Officer at the quarterly meetings during FY 2020.

7. Other Matters

- (a) The AC has reviewed and is satisfied with the annual Statements on Corporate Governance, Risk Management and Internal Control and the AC Report for publication in CMMT's Annual Report 2020.
- (b) The AC undertook an evaluation exercise to assess whether the AC has carried out their duties and responsibilities in accordance with its TOR. This is in addition to the annual assessment of the performance and effectiveness of the AC undertaken by the Board.

The AC Report was approved by the Board on 10 February 2021.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

INTRODUCTION

Paragraph 15.26(b) of the Listing Requirements requires the board of directors of any public listed issuer to include in its annual report a statement about the state of internal control of the listed issuer as a group and the Board is guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers.

BOARD'S RESPONSIBILITY

In discharging the Board's stewardship responsibilities, the Board assumes the responsibility for the system of internal controls and risk management as set up by the Manager for CMMT. The Board is responsible for the adequacy and integrity of the system of risk management and internal controls. It is an essential part of the Board's responsibilities to identify principal risks, formulate the risk appetite of the CMMT Group, set the key risk indicators/thresholds and ensure that appropriate systems and policies are in place to manage these risks and review the adequacy and integrity of such internal controls system and policies. However, the Board acknowledges that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgment in decision making, human error, losses, fraud or other irregularities. A sound system of risk management and internal controls therefore provides a reasonable but not absolute assurance that the CMMT Group will not be significantly affected by any event that can be reasonably foreseen as it strives to achieve its business objectives.

RISK MANAGEMENT

Effective risk management is a fundamental part of CMMT's business strategy. The key risks and control measures are described in the Enterprise Risk Management section of CMMT's Annual Report 2020. Recognising and managing risk is central to CMMT's business and to protect Unitholders' interests and value. CMMT operates within guidelines and parameters set by the Board for the Manager and CMMT. Based on the RCSA, transactions are analysed to understand the risks involved. Responsibility for managing risk lies initially with the business unit concerned, working within the overall strategy endorsed by the Board.

The Manager's focus on risk management recognises that risk management is, prima facie, an issue for Management. The ERM Framework supports this focus but provides a structured context for Management to undertake a review of the past performance, and to profile the current and future risks it faces within its areas of responsibility. This risk information is consolidated and used as key input into the risk management review sessions which are held at least once a year to review CMMT's strategic direction in detail, and include specific focus on the identification of key businesses and financial risks which could prevent CMMT from achieving its objectives. Management is then required to ensure that appropriate controls are in place to effectively manage those risks, and such risks and controls are monitored by the AC and Exco respectively on a quarterly basis and by the Board annually. The internal audit plan is developed in conjunction with the risk management programme and is focused on ensuring that the operation of internal controls and assessment reflects the effectiveness and efficiency of the control environment.

The Manager has determined that significant risks for CMMT will likely arise when making property investment decisions and have identified these in the RCSA. Accordingly, the Manager has established procedures to be followed when making such decisions. In accordance with these procedures, the Board requires comprehensive due diligence to be carried out in relation to any proposed investment and a suitable determination is made as to whether the anticipated return on the proposed investment is appropriate, having regard to the level of risk.

The Board usually meets quarterly, or more often if necessary, to review and approve the financial performance of the Manager and of the CMMT Group against a previously approved budget. The Board also reviews the risks to the assets of the CMMT Group and acts upon any comments by EA of CMMT. In assessing business risks, the Board considers the economic environment and property industry risks. The Board and its Exco review and approve all investment decisions and key treasury matters. Management meets monthly to review the operations of the Manager and CMMT and discuss continuous disclosure issues.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

The Manager has a risk identification and management framework for the CMMT Group. The Manager proactively identifies and addresses risks in the CMMT Group. The ownership of these risks lies with the CEO and function heads of the Manager with stewardship residing with the Board. The AC and Exco assist the Board to oversee management in the formulation, updating and maintenance of an adequate and effective risk management framework while the Board reviews the adequacy and effectiveness of the system of risk management and internal controls.

KEY INTERNAL CONTROL PROCESSES

The Manager has put in place systems of internal control and a set of procedures and processes to safeguard the assets of CMMT and in the best interests of Unitholders as well as to manage risk. These are described in the following paragraphs.

The Manager performs an RCSA exercise and maintains a risk register which identifies the material risks faced by the CMMT Group and the internal controls in place to manage or mitigate those risks. The risk register is reviewed and updated at least once a year by the CEO and function heads of the Manager and is also reviewed quarterly by the AC and Exco and annually by the Board. The Exco is tasked to review concurrently and it is reported to the AC as to what approach is taken in identifying and assessing risks and internal controls under the RCSA. The Manager has established an approach on how the risk appetite is defined, monitored and reviewed for CMMT Group. Approved by the Board, the CMMT Group's RAS incorporates the risk limits and addresses the management of material risks faced by the CMMT Group. Alignment of the CMMT Group's risk profile with the RAS is achieved through various communication and monitoring mechanisms (including key performance indicators set for Management) put in place across the various functions by the Manager. Internal auditors conduct audits that involve testing the effectiveness of the material internal control systems for CMMT Group. Any material non-compliances or lapses in internal controls together with proposed corrective measures by the internal auditors are reported to the AC. The system of risk management and internal controls is continually being refined by the Manager and reported to the AC and the Board for their approval.

The Board has also received assurance from the CEO and Chief Financial Officer of the Manager that the risk management and internal control systems in place within the CMMT Group are adequate and effective in addressing the material risks in the CMMT Group in its current business environment including material

financial, operational, compliance and IT risks. The CEO and Chief Financial Officer of the Manager have obtained similar assurances from the function heads of the Manager.

The Board has adopted a set of internal controls which sets out the authority limits for investments and divestments, acceptance of banking facilities or treasury products, budgetary approval, capital and operating expenditure, lease renewals, marketing, professional services expenditure and other operational matters. The Board approves transactions exceeding certain threshold limits, while delegating authority for transactions within those limits to authorised personnel to facilitate operational efficiency. Only authorised personnel are empowered to approve a transaction (including payments) on behalf of the Board.

Internal control procedures are established to ensure that RPT are undertaken in compliance with the REITs Guidelines, the Listing Requirements and the Trust Deed and, are made on terms which are best available for CMMT and which are no less favourable than an arm's length transaction between independent parties. The Manager incorporates into its annual internal audit plan a review of all RPT and RRPT. These established procedures are further explained on pages 107 to 108 of CMMT's Annual Report 2020.

Policies, guidelines and processes are established for dealing with any potential conflicts of interest. This is explained in further detail on pages 108 to 109. In order to deal with any potential conflict of interest situations that may arise, the Manager's policy is that any such transactions carried out for and on behalf of CMMT shall be executed on terms that are best available to CMMT and which are no less favourable to CMMT than transactions between independent parties. The Manager has outsourced its internal audit function to CL IA which reports directly to the AC.

CL IA is adequately resourced and staffed with persons having relevant qualifications and experience. CL IA is a corporate member of The Institute of Internal Auditors Singapore (IIA), which is an affiliate of the IIA with its headquarters in the United States of America (USA). CL IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by the IIA and has incorporated these Standards into its audit practices.

To ensure that internal audits are performed by competent professionals, CL IA recruits and employs suitably qualified professional staff with the requisite skill sets and experience. This includes CL IA staff who are involved in Information Technology (IT) audits having

relevant professional IT certifications. The IT auditors are also members of the Information System Audit and Control Association (ISACA) Singapore Chapter, a professional body administering information system audit & security certifications that is headquartered in the USA. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CL IA identifies and provides training and development opportunities for its staff to ensure their technical knowledge and skill sets remain current and relevant.

The AC reviews the internal audit reports and activities on an on-going basis. The AC also reviews and approves the annual internal audit plan with respect to CMMT. The AC is of the view that the internal audit function performed by CL IA is adequately resourced, effective and independent. Information about CL IA is on pages 103 to 104 of CMMT's Annual Report 2020.

The scope of the internal audit function for FY 2020 included the following:

- (a) Carried out scheduled audit assignments in accordance with the 2020 annual internal audit plan approved by the AC;
- (b) Reported to the AC on key findings and management's agreed actions;
- (c) Updated the AC on the implementation status of management's agreed actions on a quarterly basis;
- (d) Reviewed RPT including RRPT and presented the findings of the review to the AC on a quarterly basis;
- (e) Reporting whistle-blowing cases and investigated various matters when required and as directed by the AC;
- (f) Updated AC on the key observations on the effectiveness of IA function of listed issuers by Bursa Securities; and
- (g) Prepared the 2021 annual internal audit plan for submission to the AC for approval.

The AC has put in place a whistle-blowing policy to provide employees of the Manager with procedures and accessible channels to report suspected fraud, corruption, dishonest practices or other similar matters relating to CMMT and the Manager and also for

independent investigation of any reports by employees with the appropriate follow up action. This whistle-blowing policy has been established and is being reviewed periodically to promote fraud awareness and to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly and, to the extent possible, be protected from reprisals. The adopted whistle-blowing policy is further explained on page 92 of CMMT's Annual Report 2020.

The AC reviews, monitors and evaluates the effectiveness and adequacy of CMMT's internal controls and financial and risk management issues raised by the external and internal auditors, regulatory authorities and Management. The AC also reviews written reports issued by the internal and external auditors and ensures that appropriate and prompt remedial actions are taken by Management where deficiencies in internal controls have been identified. In FY 2020, the issues raised were attended to and responded by Management to the internal and external auditors with agreed actions to be undertaken by Management. The AC also convenes meetings with both external and internal auditors without the presence of Management.

In addition, the AC has undertaken an assessment of the scope, functions and competency of the internal audit function. The AC also reviews and evaluates the procedures established to ensure compliance with applicable legislation, the REITs Guidelines and the Listing Requirements.

The Board reviews and approves, inter alia, the following reports from Management, upon recommendation of the AC and Exco, on a periodic basis:

- (a) CMMT Group's quarterly financial results and major variance explanation against the approved budget for the relevant period;
- (b) Status update of major asset enhancement works carried out on the properties as planned;
- (c) Status update of treasury matters including debt profile, maturity and interest rate management; and
- (d) Status update of other operational matters.

Based on these reviews, the Board opined, with the concurrence of the AC, that there are adequate internal controls in place within CMMT Group addressing financial, operational, compliance and IT risks.

ENTERPRISE RISK MANAGEMENT

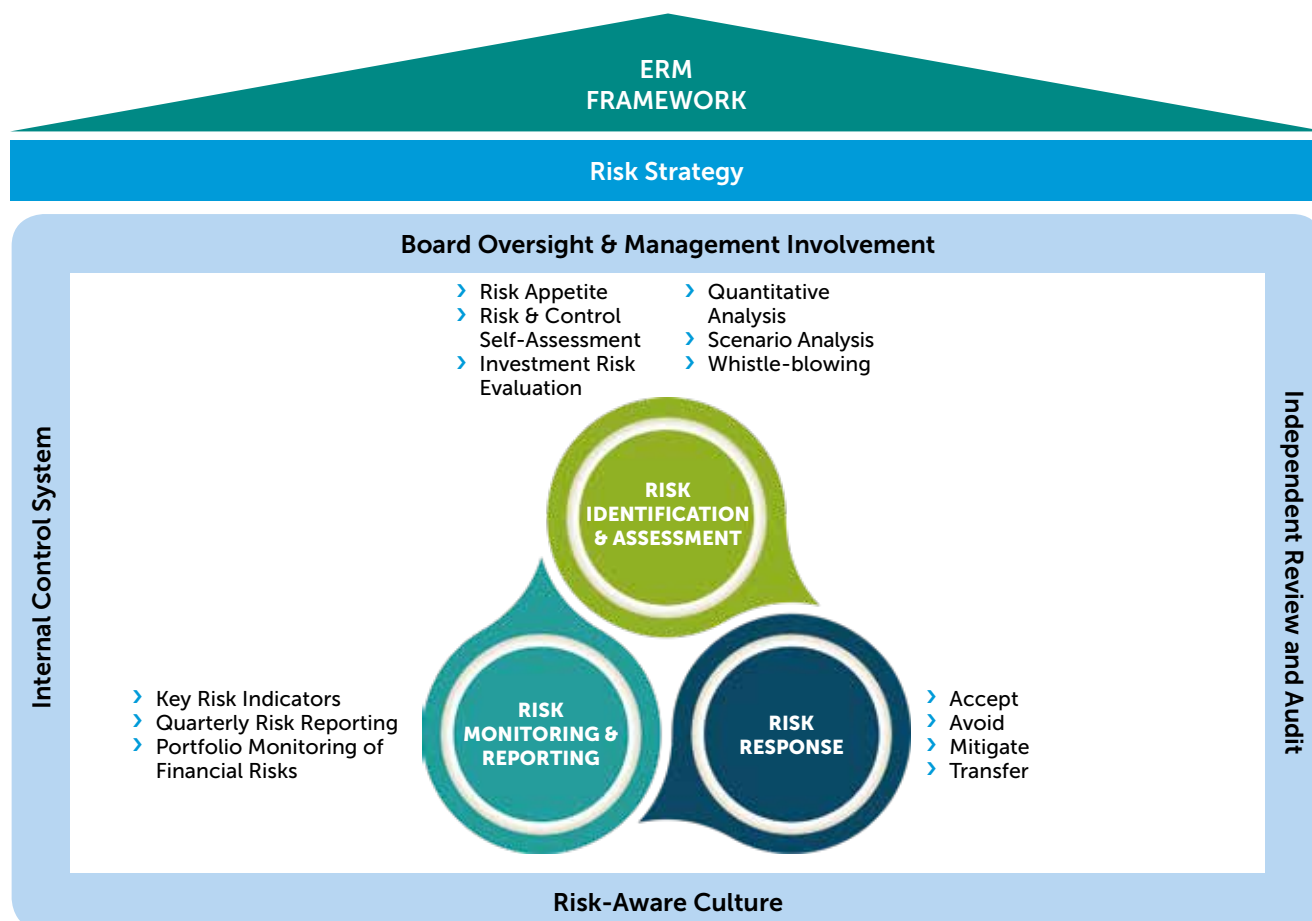
CMMT Group takes a proactive approach to risk management, making it an integral part of CMMT Group's business – both strategically and operationally. The objective is not risk minimisation, but rather the optimisation of opportunities within the known and agreed risk appetite levels set by the Board. The Board takes measured risks in a prudent manner for justifiable business reasons.

GOVERNANCE

The Board is responsible for the governance of risks across CMMT Group. The role of the Board includes determining CMMT Group's risk appetite; overseeing the Manager's Enterprise Risk Management (ERM) Framework; regularly reviewing CMMT Group's risk profile, material risks and mitigation strategies; and ensuring the adequacy and effectiveness of the risk management framework and policies. For these purposes, the Board is assisted by the AC and Exco which provide dedicated oversight of risk management at the Board level, including ad hoc risk matters referred to them by the Board.

The Exco is made up of three non-independent Board members while the AC comprises of three independent Board members and one non-independent Board member. Both the AC and Exco meet on a quarterly basis. The AC and Exco meetings are attended by the CEO as well as other key management personnel of the Manager.

The Board approves CMMT Group's risk appetite, which determines the nature and extent of material risks that the Manager is willing to take to achieve CMMT Group's strategic and business objectives. CMMT Group's Risk Appetite Statement (RAS) is expressed via formal, high-level and overarching statements and accompanying risk limits which determine specific risk boundaries established at an operational level. Taking the interests of all key stakeholders into consideration, the RAS sets out explicit and forward-looking views of CMMT Group's desired risk profile and ensures it is aligned with CMMT Group's strategies and business plans.



The Manager's ERM Framework is adapted from the International Organization for Standardization (ISO) 31000 International Risk Management Standards. It is also guided by the Committee of Sponsoring Organizations of the Treadway Commission (COSO) Internal Control-Integrated Framework and other relevant best practices and guidelines. It specifies the required environmental and organisational components needed to manage risks in an integrated, systematic and consistent manner. The ERM Framework and related risk management policies are reviewed annually and updated in compliance with latest regulatory requirements as well as best practices in the industry.

A robust internal control system and an effective, independent review and audit process underpin the Manager's ERM Framework. While line management is responsible for the design and implementation of effective internal controls using a risk-based approach, CL IA reviews such design and implementation to

provide reasonable assurance to the AC on the adequacy and effectiveness of the risk management and internal control systems.

CMMT Group's ERM programme is based on fostering the right risk culture. CapitaLand's Group Risk Management Department (GRM) conducts regular workshops to enhance risk management knowledge and promote a culture of risk awareness within the CapitaLand Group. Risk management principles are embedded in all our decision-making and business processes. Once a year, the Manager coordinates CMMT Group's RCSA exercise. This requires that the respective risk and control owners to identify, assess and document material risks which includes Environment, Social and Governance (ESG)-relevant risks; along with their key controls and mitigating measures. Material risks and their associated controls are consolidated and reviewed by the Manager before they are presented to the AC, Exco and the Board.

MANAGING MATERIAL RISKS

The Manager takes a comprehensive, iterative approach in identifying, managing, monitoring and reporting material risks across CMMT Group. These material risks include:

Material Risk	Details	Key Mitigating Action
Business Interruption/ Pandemic	- Business disruptions arising from the COVID-19 pandemic have negatively impacted the real estate industry, of relevance to CMMT Group, amongst others, retail, resulting in potential structural disruption in this asset class - It accelerated the pace of pre-existing trends of digital adoption, which has disrupted and transformed the real estate industry to an even greater extent - It also spurred stakeholders' attention on the diversification and resilience in CMMT Group's supply chain	- Continue to place the well-being of our tenants and shoppers, being top priority by adopting contactless technologies and innovative technical solutions to enhance the safety, cleanliness and hygiene at CMMT Group's properties - Future proofing of CMMT Group's business through digitalisation of business operations and processes, innovation and flexibility in CMMT Group's offerings such as accelerating omnichannel solutions, assisting customers with digital transition, optimising the use-of-space, and extending offerings in the new norm - Build collaborative relationships and work closely with supply chain contractors, vendors and suppliers to achieve environmental and social goals through CapitaLand's Supply Chain Code of Conduct¹
Climate Change	- Physical risks such as rising sea levels, violent storms, long intense heat waves, flash floods and fresh water depletion - Transitional risks including potentially more stringent regulations and increased expectations from stakeholders	- Regular reviews of CMMT Group's mitigation and adaptation efforts, which include future proofing our portfolio against changing climatic conditions from the design stage and improving the operational efficiency of our properties, setting targets for carbon emissions, water, energy and waste efficiency - CapitaLand has in place a Group environmental management system which is externally certified to ISO 14001 - For more information, please refer to CapitaLand's Global Sustainability Report 2020, to be published by 31 May 2021

1 CapitaLand is a signatory to the United Nations Global Compact (UNGC). CapitaLand has developed a Supply Chain Code of Conduct which is primarily based on the legal compliance of local laws pertaining to labour, environment, business integrity and ethics, health and safety and establishes expectations on supplier business conduct as it relates to how goods and services are provided to CapitaLand and CapitaLand's clients.

ENTERPRISE RISK MANAGEMENT

Material Risk	Details	Key Mitigating Action
Competition	Keen industry competition from established and new real estate players who are able to attract tenants' and shoppers' attention by meeting their expectations or reacting aptly to market trends	- Constantly strive to differentiate ourselves from our peers by adapting CMMT Group's business and products to the evolving needs of tenants and shoppers, delivering competitive products and services, and engaging shoppers with shopper-centric initiatives and loyalty programmes - Focus on building key enablers that give CMMT Group a competitive advantage amidst competition and digital disruption, such as embarking on digital transformation in our processes, enhancing our data analytics capabilities to speed up data-driven decisions and leveraging on innovation tools and solutions to assist our tenants and shoppers to pivot to the new digital operating model - Incorporate Environmental, Social and Governance (ESG) considerations in CMMT Group's business to reinforce our position as a sustainable REIT
Economic	Exposure to event risks, such as pandemics, political leadership uncertainties/changes, trade wars, economic downturns and sudden changes in real estate related regulations as well as key financial and property markets	- Disciplined approach to financial management and a strategically located portfolio in key urban cities in Malaysia - Actively monitor macroeconomic trends, policies and regulatory changes
Financial	- Exposure to financial risks involving liquidity and interest rates - Volatility of cash flow negatively impacting planned cash generation and cash usage profile	- Proactively review the capital management of CMMT Group to ensure that adequate financial resources are available for the working capital requirements and income distributions - Focus on instilling financial discipline and deploy capital to earn optimal risk-adjusted returns and maintain a strong balance sheet to invest in suitable opportunities - For more information, please refer to the "Financial Risk Management" section set out on pages 165 to 171 of the CMMT's Annual Report 2020
Fraud, Bribery & Corruption	Any form of fraud, bribery and corruption that could be perpetuated by employees, third parties or collusion between employees and third parties including corporate liability involving such persons acting on behalf of CMMT Group and implicating CMMT and the Manager	- Promote an ethical culture at all levels of the Group that builds strong foundations for a leading real estate company through constant education and awareness exercises - Adopt a zero-tolerance stance against fraud, bribery and corruption in the conduct of business and reinforce the importance of integrity – one of the Group's core values. This is also in line with the Corporate Liability Provision under Section 17A of the MACC Act which came into force on 1 June 2020 - Communicate the commitment to integrity from the top through policies in place, such as Fraud, Bribery & Corruption (FBC) Risk Management Policy, Whistle-blowing Policy, Ethics and Code of Business Conduct Policies and Anti-Money Laundering and Countering the Financing of Terrorism Policy - All employees are to sign the CapitaLand Pledge to renew their commitment to uphold CapitaLand's core values annually - All third party communication to include CMMT Group's zero tolerance stand against fraud, bribery and corruption

Material Risk	Details	Key Mitigating Action
Information Technology/ Cyber Security	› Ongoing business digitalisation exposes the business to IT-related threats, which may result in compromising the confidentiality, integrity and availability of CMMT Group's information assets and/ or systems. This may have negative impact to customer experience, financials and/ or regulatory compliance	› Execute CapitaLand's Cyber Security Strategy through ongoing review against existing/evolving threat landscapes and institute measures to minimise vulnerability exposure and manage threat vectors › Roll out ongoing staff IT Security Awareness Training to counter human intervention in the information security chain › Maintain and test IT Security Incident Management Procedure to ensure prompt response and timely remediation to cyber security incident › Engage independent security service providers to conduct vulnerability assessment to further strengthen the IT systems. › Conduct annual Disaster Recovery Plan (DRP) exercise to ensure timely recoverability of business-critical IT systems
Leasing	› Strong competition, poor economic and market conditions due to COVID-19 pandemic are some key factors that could result in key tenants not renewing their leases, adversely affecting the leasing performance of CMMT Group's properties	› Establish and maintain a diversified tenant base and sustainable trade mix › Proactive tenant management strategies which are in line with the malls' positioning are in place › Closely monitor tenants' sales performance and maintain positive relationships and rapport with retailers to build loyalty with CMMT Group's properties
Regulatory & Compliance	› Non-compliance to applicable local laws and regulations in the markets CMMT Group operates in which may lead to hefty penalties/fines and negative publicity	› Maintain a framework that proactively identifies the applicable laws and regulations, and embeds compliance into day-to-day operations › Leverage in-house specialised teams from CapitaLand such as legal, secretariat and compliance that provide advisory services and updates on latest changes to laws and regulations › Report significant regulatory non-compliance cases to the AC and Exco on a quarterly basis for oversight by the Board
Safety, Health & Well-being	› Increased expectations from stakeholders to provide a safe and healthy environment, including well-being, at CMMT Group's properties	› Regular reviews of CMMT Group's mitigation efforts which include work-related safety targets applicable to both CMMT Group and our supply chain › CapitaLand has in place a Group health and safety management system which is externally certified to ISO 45001 › For more information, please refer to CapitaLand's Global Sustainability Report 2020, to be published by 31 May 2021

SUSTAINABILITY MANAGEMENT

REPORTING SCOPE AND PERIOD

This report covers CapitaLand Malaysia Mall Trust (CMMT)'s income-producing and geographically diversified portfolio of five shopping malls and a complementary office block from 1 January to 31 December 2020, unless otherwise indicated. The report forms part of CMMT's Annual Report 2020, a copy of which can be downloaded from www.cmmt.com.my.

BOARD STATEMENT

CMMT places sustainability at the core of what we do. As a responsible real estate investment trust, CMMT contributes to the environmental and social well-being of the communities where our properties are located, as we deliver long-term economic value to our stakeholders. The Board sets CMMT's risk appetite, which determines the nature and extent of material risks that CMMT is willing to take to achieve our strategic and business objectives. The risk appetite incorporates environment, social and governance (ESG) factors such as fraud, corruption and bribery, environment, health and safety. The Board also approves the executive compensation framework based on the principle of linking pay to performance. CMMT's business plans are translated to both quantitative and qualitative performance targets, including sustainable corporate practices and are cascaded throughout the organisation.

SUSTAINABILITY COMMITMENT

As an externally managed real estate investment trust, CMMT is managed by CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (CMRM or the Manager), a 70%-indirect subsidiary of CapitaLand Group (CapitaLand or CL Group). CMMT's properties are managed by Knight Frank Property Management Sdn. Bhd. and Zaharin Nexcap Property Consultants Sdn. Bhd. (collectively known as Property Managers). The Manager and Property Managers are responsible for the property operations across CMMT's portfolio, and abide by CapitaLand's sustainability framework, policies, guidelines, as well as ethics and code of business conduct.

In 2020, CapitaLand unveiled CapitaLand's 2030 Sustainability Master Plan to elevate CL Group's commitment to global sustainability in the built environment given its presence in more than 220 cities and over 30 countries. The Master Plan focuses on three key pillars to drive CapitaLand's sustainability efforts in the ESG pillars, enabling CL Group to create a larger positive impact for the environment and society.

- Build portfolio resilience and resource efficiency,
- Enable thriving and future-adaptive communities as well as
- Accelerate sustainability innovation and collaboration

CAPITADNA

Visions, Mission, Credo and Core Values

CORE VALUES

WINNING MINDSET | ENTERPRISING | RESPECT | INTEGRITY

COMMITMENT TO OUR STAKEHOLDERS

We create great customer value and experiences through high-quality products and services.

**for our
Customers**
Tenants, shoppers,
home owners, residents

We deliver sustainable shareholder returns and build a strong global network of capital partners.

**for our
Investors**
including business
partners

We develop high performing people and teams through rewarding opportunities.

**for our
People**
Staff

We care for and contribute to the economic, environmental and social development of communities.

**for our
Communities**
Government agencies/
NGOs, general public,
environment suppliers/
contractors

CapitaLand identified five pathways to achieve its sustainability objectives and will adapt its strategies as technologies evolve and new scientific data become available:

1. Integrate sustainability in CapitaLand's real estate life cycle

From the earliest stage of its investment process, to design, procurement, construction, operations and redevelopment or divestment, sustainability targets will be embedded in policies, processes, best practices, and key performance indicators of its business operations.

2. Strengthen innovation and collaboration to drive sustainability

CapitaLand will continue to source globally for new ideas and technologies to meet its sustainability ambitions and work with like-minded partners to create shared values.

3. Leverage sustainability trends and data analytics

This allows CapitaLand to track critical performance and progress in water usage, waste management, energy consumption, carbon emission, and health and safety. These measurements along with social indicators are key to driving performance improvement across its operating properties and development projects.

4. Monitor and report progress to ensure transparency

As CapitaLand tracks its sustainability progress, it will continue to validate its performance by external assurance and align its Global Sustainability Report to international standards.

5. Increase engagement and communication with key stakeholders

It is key to build awareness among CL Group's employees, investors, customers and communities, and collectively effect transformational change to achieve CapitaLand's 2030 targets.

Push boundaries of change

To push the boundaries of change, CapitaLand will transit to a low-carbon business that is aligned with climate science. In November 2020, CapitaLand had its carbon emissions reduction targets approved by the Science Based Targets initiative (SBTi) for a 'well-below 2°C' scenario. The targets are in line with the goals of the Paris Agreement to keep global temperature rise well below 2°C in this century. CapitaLand is also developing a new metric, Return on Sustainability, in addition to the regular financial return to measure CL Group's ESG impact.

CapitaLand has also launched the inaugural CapitaLand Sustainability X Challenge (CSXC), an innovation challenge to enable CapitaLand to accelerate its sustainability

efforts and meet its 2030 targets. The CSXC covers seven challenge statements and reflect the key themes and goals in CapitaLand's 2030 Sustainability Master Plan.

CapitaLand aims to be a leader in sustainable finance and secure S\$6 billion through sustainable finance by 2030. Proceeds and interest rate savings from CapitaLand's efforts in sustainable finance can also be used to drive more sustainability initiatives and innovations within the company.

Measured against global benchmarks

CapitaLand was one of the first companies in Singapore to voluntarily publish an annual Global Sustainability Report and externally assure the entire report. Benchmarking against an international standard and framework that is externally validated helps CL Group to overcome the challenges in sustainability reporting that may arise from its portfolio of diverse asset types and geographical presence globally.

CapitaLand is also a signatory to the United Nations (UN) Global Compact and its Global Sustainability Report serves as its Communication on Progress, which will be made available at www.unglobalcompact.org when published.

For its efforts, CL Group is listed in the Global 100 Most Sustainable Corporations Index, Dow Jones Sustainability World Index and Asia-Pacific Index, Global Real Estate Sustainability Benchmark (Global Sector Leader, Diversified-Listed), FTSE4Good Index Series, MSCI Global Sustainability Indexes and The Sustainability Yearbook.

CapitaLand Global Sustainability Report 2020 will be published by 31 May 2021. It will continue to be prepared in accordance with the Global Reporting Initiative Standards: Core option. CapitaLand will continue to apply the Guiding Principles of the International Integrated Reporting Framework and ISO 26000:2010 Guidance on Social Responsibility, and reference the UN Sustainable Development Goals (UN SDGs) and the Taskforce on Climate Related Financial Disclosure. CapitaLand also plans to align its sustainability report to the Sustainability Accounting Standards Board (SASB). It will continue to be externally assured to AA1000 Assurance Standard.

The report will cover the Group's global portfolio and employees, including its listed real estate investment trusts (REITs) and business trusts - CapitaLand Integrated Commercial Trust, Ascendas Real Estate Investment Trust, Ascott Residence Trust, CapitaLand China Trust, Ascendas India Trust and CapitaLand Malaysia Mall Trust, unless otherwise indicated.

SUSTAINABILITY MANAGEMENT

BOARD, TOP MANAGEMENT AND STAFF COMMITMENT INVOLVEMENT

CapitaLand's sustainability management comes under the purview of the CapitaLand Sustainability Council. Reporting to the CapitaLand Board, the Council comprises selected CapitaLand independent board directors and members of the CapitaLand Executive Committee. It is supported by the Group Sustainability Office and various work teams to drive continued progress and improvement in the areas of ESG. CapitaLand's Sustainability Council is chaired by Ms Goh Swee Chen, who is also the president of Global Compact Network Singapore (Singapore chapter of the UN Global Compact).

STRATEGIC SUSTAINABILITY MANAGEMENT STRUCTURE



The work teams comprise representatives from CapitaLand business units and corporate functions. Each business unit also has its own Environmental, Health and Safety (EHS) Committee to drive initiatives in countries where CapitaLand operates with support from various departments. CapitaLand Board is also updated regularly through the Risk Committee and Audit Committee on matters relating to sustainability risks and business malpractice incidents. CapitaLand Board is also updated on the sustainability management performance of CL Group, key material issues identified by stakeholders and the planned follow-up measures.

MATERIALITY

The Manager and Property Managers have a regular review, assessment and feedback process in relation to ESG topics. Key to this is an annual CL Group-wide Risk and Control Self-Assessment exercise which entails the identification, assessment and documentation of material risks and corresponding internal controls. These material risks include fraud and corruption, environmental (e.g. climate change), health and safety, and human capital risks which are ESG-relevant.

CapitaLand identify and review material issues that are most relevant and significant to CL Group and its stakeholders. These are prioritised based on the likelihood and potential impact of issues affecting business continuity and development. For external stakeholders, priority is given to issues important to the society and applicable to CL Group. For more information on stakeholder engagement, please refer to the Social and Relationship Capital, Human Capital and Environmental Capital chapters in the upcoming CapitaLand Global Sustainability Report 2020.

Prioritisation of ESG Material Issues		
Environment	Social / Labour Practices	Governance
Critical		
› Energy efficiency › Climate change and emissions reduction › Water management	› Occupational health & safety › Employment › Stakeholder engagement › Supply chain management	› Compliance › Business ethics › Product and services*
Moderate and emerging		
› Building materials › Construction and operational waste › Biodiversity	› Diversity › Human rights	

* This includes customer health and safety.

CREATING VALUE AND ALIGNMENT TO UNITED NATIONS SUSTAINABLE DEVELOPMENT GOALS(UN SDGS)

In alignment with CapitaLand, CMMT referenced the Guiding Principles of the International Integrated Reporting Council (IIRC) Framework in this report and grouped our material ESG issues into six capitals - Environmental, Manufactured, Human, Social and Relationship, Organisational and Financial. This is also

mapped against eight UN SDGs that are most aligned with CapitaLand Sustainability Master Plan 2030 targets, and where CapitaLand can achieve the greatest positive impact. For more information, please refer to the CapitaLand Global Sustainability Report 2020 which will be published by 31 May 2021.

For CMMT, the key efforts and programmes in relation to these capitals are highlighted in the corresponding table.

Capitals	Material ESG Issues	What CapitaLand Does	2020 CMMT Performance and Value Created
Environmental Capital - Carbon emissions - Energy management - Water stewardship - Waste and resource management	- Energy efficiency - Climate change and emissions reduction - Water management - Building materials - Construction and operational waste - Biodiversity - Stakeholder engagement - Product safety and customer well-being	CapitaLand is committed to: - Reduce water consumption, reuse water and prevent water pollution, especially in countries where the availability of clean water and sanitation are of concern - Transit to low-carbon business and reduce energy consumption through improved energy efficiency and increase use of renewable energy - Green its global operational portfolio by 2030 - Actively embrace innovation to ensure commercial viability without compromising the environment for future generations - Future-proof its developments by addressing the risks of climate change right from the design stage - Preserve the biodiversity of its sites as well as the wider area where possible - Build safe, accessible, vibrant and quality real estate developments to enhance the lives of its shoppers, tenants, serviced residence and hotel guests, homeowners and members of the community	- For 2020, CMMT's operational properties total energy consumption was 52.12 MWh. It was solely contributed by purchased electricity and heating consumption (accounted for about 100%) and there was no contribution from direct energy consumption from gas, diesel and other fuels. For water, total consumption was about 551,922m³ - Energy and Water Usage and Carbon Intensity Reduction: For 2020, the reduction in water usage in m³/m² was 29.48% from the 2009 baseline, and the reduction in carbon intensity (kg/m²) was 30.35% from the 2009 baseline. Energy usage in kWh/m² also reduced by 31.34% from the 2009 baseline. Using a 'Business as Usual' approach, it is estimated that CMMT avoided costs of more than RM28.1 million for utilities since 2009 73% of CMMT portfolio has achieved green rating. We will continue to implement energy and water conservation measures to ensure efficient operations and minimise resource wastage - Retained ISO14001 certification. All CMMT properties have no environmental non-compliance - Safety talks and briefings are given to employees and tenants on a periodic basis, and regular emergency evacuation drills are conducted at least once a year at each property to familiarise both employees and tenants on the emergency response plan - All CMMT properties are subjected to fire safety audits and regular maintenance on safety equipment - All CMMT properties participated in the recycling of waste programme - All CMMT properties participated in the Earth Hour initiative

SUSTAINABILITY MANAGEMENT

Capitals	Material ESG Issues	What CapitaLand Does	2020 CMMT Performance and Value Created
Manufactured Capital - Environmentally sustainable, healthy, safe and accessible quality buildings - Innovative and sustainable construction methods and technologies Human Capital - Health and safety - Job creation and security - Learning and development - Benefits and remuneration  	- Occupational health and safety - Supply chain management - Employment - Diversity - Human rights	- CapitaLand believes that regardless of ethnicity, age or gender, staff can make a significant contribution based on their talent, expertise and experience. CapitaLand adopts consistent, equitable, and fair labour policies and practices in rewarding as well as developing staff under the direct hire of CapitaLand - CapitaLand is a signatory to the UN Global Compact - CapitaLand aims to provide a work environment that is safe and contributes to the general well-being of its staff - Occupational health and safety of our stakeholders is of utmost importance to CapitaLand. This includes all its staff, tenants, contractors, suppliers and the communities that use its properties	Employees of the Manager and Property Managers are identified as CMMT employees. CMMT employees comprise: - A multi-racial workforce - An almost equal proportion of males and females, at a ratio of 44:56 - About 64% of CMMT's employees are aged between 30 and 50 years - About 43% of senior and middle management are women - Average training hours per employee is more than 12 hours - Almost 62% of employees have been with CMMT for five years or longer - Zero incident resulting in staff permanent disability or fatality
Social and Relationship Capital - Stakeholder relations - Social license to operate - Community development - Cross-sectoral Partnership     	- Stakeholder engagement - Products and services (include customer safety and health)	- CapitaLand is committed to building safe, accessible, vibrant and quality real estate developments to enhance the lives of its shoppers, tenants, serviced residence and hotel guests, homeowners and members of the community - CapitaLand is committed to activities that are aligned with its focus on community investment. CapitaLand engages its stakeholders, raising awareness in the areas of philanthropy, environment, health and safety - Promote sustainability within the tenant community - Integrate CapitaLand's ESG performance with financial metrics	COVID-19 has adversely impacted the lives and livelihoods of Malaysians. With support from CapitaLand Hope Foundation, CMMT contributed towards enhancing the health and well-being of underprivileged children through the donations of COVID-19 care packages. Invested about RM212,000 to benefit 4,000 children from 80 orphanages and 300 needy families CMMT committed up to RM35 million rent relief to support our retail tenants affected by COVID-19 Retained ISO14001 certification Refer to Investor & Media Relations, CMMT's Annual Report 2020

Capitals	Material ESG Issues	What CapitaLand Does	2020 CMMT Performance and Value Created
Organisational Capital › Leadership and culture › Corporate Governance › Risk Management	› Compliance › Business Ethics › Stakeholder engagement	› CapitaLand is a signatory to the UN Global Compact › CapitaLand's Supply Chain Code of Conduct influences its supply chain to operate responsibly in the areas of anti-corruption, human rights, health and safety, as well as environmental management › All staff are required to make an annual declaration to uphold CapitaLand's core values and not to engage in any corrupt or unethical practices › Requires third-party service providers and vendors to adhere to anti-bribery and anti-corruption provisions › Requires main contractors to ensure no child labour and forced labour at CapitaLand project sites	› Refer to Corporate Governance, CMMT's Annual Report 2020 › No reported incident relating to discrimination, child labour or forced labour in CMMT
Financial Capital › Sustainable Financing › Earnings › Equity › Investments › Assets		› Combination of operating income from investment properties and trading properties, disciplined capital recycling and growth of fee income › Calibrated balance across product platforms and geographies	› Refer to Financial Highlights, Financial Review and Capital Management, CMMT's Annual Report 2020

SUSTAINABILITY MANAGEMENT

STAKEHOLDER ENGAGEMENT

Stakeholders are groups that CMMT's business has a significant impact on, and those with a vested interest in its operations. Key stakeholders include employees, customers, business associates, builders and suppliers, as well as the investment and local community. Other groups include regulators and key government agencies, non-governmental organisations (NGOs), representatives of the capital market and the media. They are mapped into groups based on their impact on CMMT.

Through the various engagement channels, CMMT seeks to understand its stakeholders' views, communicate effectively with them and respond to their concerns. Engagement channels include dialogues with government agencies, participation at conferences, member representations in industry-related associations, benchmarkings and responding to sustainability surveys.

Stakeholders	Engagement Channel	Issues	Sustainability Report*
Tenants	› Green fit out guide › Joint promotions and strategic partnerships › Tenant shop openings › Tenant satisfaction survey	› Facilities management	Social and Relationship Capital, Environmental Capital
Shoppers	› Marketing and promotional events › Loyalty programmes › Online and mobile platforms › Shopping redemptions and contests › Social media › Shopper survey	› Customer experience	Social and Relationship Capital, Environmental Capital
Investors, analysts and media	› Annual general meetings › Quarterly financial results announcements › Media releases and interviews › Annual reports › Company website › Regular investor and analyst meetings and updates › Roadshows, conferences and meetings › Tour of CMMT's properties	› Operational efficiency, monetary savings, cost avoidance › Return on equity, earnings, business strategy, market outlook › ESG risks and opportunities	Financial Capital, Social and Relationship Capital
Employees	› Regular dialogue sessions with senior management › Regular employee engagement survey › Volunteer programmes › Performance appraisals › Training courses	› Work-life balance › Remuneration and benefits › Employee welfare	Human Capital, Social and Relationship Capital

Stakeholders	Engagement Channel	Issues	Sustainability Report*
Supply Chain – main contractors, vendors, suppliers	› CapitaLand Supply Chain Code of Conduct › Environmental, Health and Safety (EHS) › Policy and quarterly EHS monitoring › Vendor evaluation, including events, meetings and trainings	› Design and quality › Occupational health and safety practices › Workers welfare and well-being › Environmental compliance	Human Capital, Social and Relationship Capital, Environmental Capital
Government/ national agencies/ community and non-governmental organisations (NGOs)	› Longstanding partner of various national programmes › Sustainability reports › Participation in external conferences/forums › Corporate advertisements › Consultation and sharing with academics, NGOs and business associations	› Stakeholder programmes to advocate sustainable tenant/consumer behaviours › Advocating best practices	Social and Relationship Capital

* For more information, please refer to the CapitaLand Global Sustainability Report 2020 which will be published by 31 May 2021.

FINANCIAL STATEMENTS

131

STATEMENTS OF FINANCIAL POSITION

132

STATEMENTS OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME

134

STATEMENTS OF CHANGES IN
NET ASSET VALUE

135

STATEMENTS OF CASH FLOWS

137

NOTES TO THE FINANCIAL STATEMENTS

176

MANAGER'S REPORT

179

STATEMENT BY THE MANAGER

180

STATUTORY DECLARATION

181

TRUSTEE'S REPORT

182

INDEPENDENT AUDITORS' REPORT



STATEMENTS OF FINANCIAL POSITION

As at 31 December 2020

	Note	Group		Trust	
		2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Assets					
Plant and equipment	3	3,491	3,201	3,491	3,201
Investment properties	4	3,895,000	4,035,000	3,895,000	4,035,000
Investment in subsidiary	5	—	—	*	*
Total non-current assets		3,898,491	4,038,201	3,898,491	4,038,201
Trade and other receivables	6	29,047	21,059	28,995	20,923
Amount due from subsidiary	7	—	—	6,709	6,712
Cash and cash equivalents	8	71,876	84,584	65,637	78,346
Total current assets		100,923	105,643	101,341	105,981
Total assets		3,999,414	4,143,844	3,999,832	4,144,182
Equity					
Unitholders' capital	9	2,198,446	2,189,028	2,198,446	2,189,028
Undistributed profits		245,466	412,898	245,481	412,913
Total unitholders' funds		2,443,912	2,601,926	2,443,927	2,601,941
Liabilities					
Borrowings	10	1,269,053	1,242,539	969,839	943,511
Tenants' deposits		33,256	35,492	33,256	35,492
Deferred tax liabilities	11	7,228	19,495	7,228	19,495
Amount due to subsidiary	7	—	—	300,000	300,000
Total non-current liabilities		1,309,537	1,297,526	1,310,323	1,298,498
Borrowings	10	140,760	131,610	140,760	131,610
Tenants' deposits		50,295	53,930	50,295	53,930
Trade and other payables	12	54,910	58,852	54,527	58,203
Total current liabilities		245,965	244,392	245,582	243,743
Total liabilities		1,555,502	1,541,918	1,555,905	1,542,241
Total equity and liabilities		3,999,414	4,143,844	3,999,832	4,144,182
Net assets value (NAV)					
– before final income distribution		2,443,912	2,601,926	2,443,927	2,601,941
– after final income distribution		2,402,841	2,539,757	2,402,856	2,539,772
Units in circulation ('000)	9	2,063,846	2,051,753	2,063,846	2,051,753
NAV per unit (RM)					
– before final income distribution		1.1842	1.2681	1.1842	1.2682
– after final income distribution		1.1643	1.2378	1.1643	1.2379

* Denotes RM2 issued and paid-up share capital in CMMT MTN Berhad.

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Financial Year Ended 31 December 2020

	Note	Group		Trust	
		2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Gross rental income		210,288	266,902	210,288	266,902
Car park income		14,602	23,048	14,602	23,048
Other revenue		36,509	52,326	36,509	52,326
Gross revenue		261,399	342,276	261,399	342,276
Maintenance expenses		(35,263)	(35,788)	(35,263)	(35,788)
Utilities		(40,436)	(53,038)	(40,436)	(53,038)
Other operating expenses	13	(52,199)	(51,330)	(52,199)	(51,330)
Property operating expenses		(127,898)	(140,156)	(127,898)	(140,156)
Net property income		133,501	202,120	133,501	202,120
Interest income		1,512	2,932	1,512	2,932
Other non-operating income		4,958	3,325	4,958	3,325
Fair value losses on investment properties (net)		(157,850)	(30,701)	(157,850)	(30,701)
Net investment (loss)/income		(17,879)	177,676	(17,879)	177,676
Manager's management fee	14	(18,244)	(21,601)	(18,244)	(21,601)
Trustee's fee	15	(400)	(400)	(400)	(400)
Auditor's fee		(181)	(200)	(170)	(193)
Tax agent's fee		(30)	(27)	(26)	(23)
Valuation fee		(281)	(275)	(281)	(275)
Finance costs	16	(58,479)	(61,989)	(58,479)	(61,989)
Other non-operating expenses		(1,277)	(1,089)	(1,292)	(1,100)
Total non-operating and trust expenses		(78,892)	(85,581)	(78,892)	(85,581)
(Loss)/Profit before taxation		(96,771)	92,095	(96,771)	92,095
Taxation	17	12,267	(19,495)	12,267	(19,495)
(Loss)/Profit for the financial year		(84,504)	72,600	(84,504)	72,600
Other comprehensive income, net of tax		–	–	–	–
Total comprehensive (loss)/ income for the financial year		(84,504)	72,600	(84,504)	72,600
Distribution adjustments	A	146,242	55,395	146,242	55,395
Income available for distribution		61,738	127,995	61,738	127,995
Distributable income¹	19	61,830	127,991	61,830	127,991

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Financial Year Ended 31 December 2020

	Note	Group		Trust	
		2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Total comprehensive income for the financial year is made up as follows:					
Realised		61,079	122,796	61,079	122,796
Unrealised		(145,583)	(50,196)	(145,583)	(50,196)
		(84,504)	72,600	(84,504)	72,600
(Loss)/Earnings per unit (sen)	18				
– before Manager's management fee		(3.22)	4.60	(3.22)	4.60
– after Manager's management fee		(4.11)	3.55	(4.11)	3.55
Distribution per unit (DPU) (sen)					
– for the financial year	19	3.00	6.25	3.00	6.25
Income distribution²					
Distribution of 3.22 sen per unit relating to 1.1.2019 to 30.6.2019				–	65,822
Distribution of 3.03 sen per unit relating to 1.7.2019 to 31.12.2019 ³				–	62,169
Distribution of 1.01 sen per unit relating to 1.1.2020 to 30.6.2020				20,759	–
Distribution of 1.99 sen per unit relating to 1.7.2020 to 31.12.2020 ³	19			41,071	–
				61,830	127,991

- 1 The difference between income available for distribution and distributable income is due to the rounding effect of DPU.
- 2 Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.
- 3 The declared final income distribution will be recognised in the immediate subsequent financial year.

	Note	Group		Trust	
		2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Note A					
Distribution adjustments comprise:					
Manager's management fee payable in units		4,915	7,583	4,915	7,583
Depreciation	3	1,251	1,100	1,251	1,100
Amortisation of transaction costs on borrowings	16	834	856	638	636
Tax and other adjustments		(6,341)	(4,340)	(6,145)	(4,120)
Realised portion		659	5,199	659	5,199
Fair value losses on investment properties (net)	4	157,850	30,701	157,850	30,701
Deferred tax (reversal)/expense	17	(12,267)	19,495	(12,267)	19,495
Unrealised portion		145,583	50,196	145,583	50,196
		146,242	55,395	146,242	55,395

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CHANGES IN NET ASSET VALUE

For the Financial Year Ended 31 December 2020

	Unitholders' capital RM'000	Undistributed profits RM'000	Total unitholders' funds RM'000
Group			
At 1 January 2019	2,181,132	485,434	2,666,566
Total comprehensive income for the financial year	–	72,600	72,600
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	7,896	–	7,896
– Distribution paid to unitholders	–	(145,136)	(145,136)
Increase/(Decrease) in net assets resulting from unitholders' transactions	7,896	(145,136)	(137,240)
At 31 December 2019/1 January 2020	2,189,028	412,898	2,601,926
Total comprehensive loss for the financial year	–	(84,504)	(84,504)
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	5,847	–	5,847
– Units issued under the Distribution Reinvestment Plan (net of issue costs)	3,571	–	3,571
– Distribution paid to unitholders	–	(82,928)	(82,928)
Increase/(Decrease) in net assets resulting from unitholders' transactions	9,418	(82,928)	(73,510)
At 31 December 2020	2,198,446	245,466	2,443,912
	Note 9		
Trust			
At 1 January 2019	2,181,132	485,449	2,666,581
Total comprehensive income for the financial year	–	72,600	72,600
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	7,896	–	7,896
– Distribution paid to unitholders	–	(145,136)	(145,136)
Increase/(Decrease) in net assets resulting from unitholders' transactions	7,896	(145,136)	(137,240)
At 31 December 2019/1 January 2020	2,189,028	412,913	2,601,941
Total comprehensive loss for the financial year	–	(84,504)	(84,504)
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	5,847	–	5,847
– Units issued under Distribution Reinvestment Plan (net of issue costs)	3,571	–	3,571
– Distribution paid to unitholders	–	(82,928)	(82,928)
Increase/(Decrease) in net assets resulting from unitholders' transactions	9,418	(82,928)	(73,510)
At 31 December 2020	2,198,446	245,481	2,443,927
	Note 9		

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CASH FLOWS

For the Financial Year Ended 31 December 2020

	Note	Group		Trust	
		2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Cash flows from operating activities					
(Loss)/Profit before taxation		(96,771)	92,095	(96,771)	92,095
Adjustments for:					
Manager's management fee paid/payable in units		4,915	7,583	4,915	7,583
Depreciation	3	1,251	1,100	1,251	1,100
Fair value losses on investment properties (net)	4	157,850	30,701	157,850	30,701
Finance costs	16	58,479	61,989	58,479	61,989
Impairment losses for trade receivables (net)	6	5,923	1,221	5,923	1,221
Interest income		(1,512)	(2,932)	(1,512)	(2,932)
Plant and equipment written off		—	2	—	2
Operating profit before changes in working capital		130,135	191,759	130,135	191,759
Changes in working capital:					
Trade and other receivables		(13,913)	(1,126)	(14,244)	(1,065)
Trade and other payables		2,972	610	3,228	379
Tenants' deposits		(6,104)	125	(5,871)	125
Amount due to subsidiary		—	—	(12,436)	(12,961)
Net cash generated from operating activities		113,090	191,368	100,812	178,237
Cash flows from investing activities					
Acquisition of plant and equipment	3	(1,541)	(2,874)	(1,541)	(2,874)
Capital expenditure on investment properties		(22,454)	(56,542)	(22,454)	(56,542)
Interest received		1,512	2,932	1,512	2,932
Net cash used in investing activities		(22,483)	(56,484)	(22,483)	(56,484)
Cash flows from financing activities					
Distribution paid to unitholders ¹		(79,062)	(145,136)	(79,062)	(145,136)
Interest paid		(58,773)	(60,602)	(46,496)	(47,732)
Payment of financing expenses		(25)	(736) ²	(25)	(176)
Payment of transaction costs related to Distribution Reinvestment Plan		(295)	—	(295)	—
Proceeds from interest-bearing borrowings		102,040	439,432	102,040	439,432
Repayment of interest-bearing borrowings		(67,200)	(384,638)	(67,200)	(384,638)
Withdrawal of pledged deposits from a licensed bank		—	253	—	—
Net cash used in financing activities		(103,315)	(151,427)	(91,038)	(138,250)
Net decrease in cash and cash equivalents		(12,708)	(16,543)	(12,709)	(16,497)
Cash and cash equivalents at 1 January		78,354	94,897	78,346	94,843
Cash and cash equivalents at 31 December		65,646	78,354	65,637	78,346
Cash and cash equivalents at end of the financial year comprise:					
Deposits placed with licensed banks		58,827	55,030	52,595	48,800
Cash and bank balances		13,049	29,554	13,042	29,546
	8	71,876	84,584	65,637	78,346
Less: Pledged deposits	8	(6,230)	(6,230)	—	—
		65,646	78,354	65,637	78,346

1 Non-cash transaction

During the financial year, a portion of the income declared for distribution has been converted into additional units under the Distribution Reinvestment Plan.

2 Included transaction costs of RM560,000 relating to interest-bearing borrowings.

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CASH FLOWS

For the Financial Year Ended 31 December 2020

Reconciliation of movements of liabilities to cash flows arising from financing activities

	At 1 January 2019 RM'000	Net changes from financing cash flows RM'000	Other changes RM'000	At 31 December 2019/1 January 2020 RM'000	Net changes from financing cash flows RM'000	Other changes RM'000	At 31 December 2020 RM'000
Group							
Secured term loans	918,430	–	–	918,430	–	–	918,430
Secured revolving credit	32,943	(6,256)	–	26,687	51,290	–	77,977
Unsecured revolving credit	70,560	61,050	–	131,610	(16,450)	–	115,160
Unrated and secured MTN	300,000	–	–	300,000	–	–	300,000
Less: Unamortised transaction costs	(2,874)	(560)	856	(2,578)	–	824	(1,754)
Total liabilities from financing activities	<u>1,319,059</u>	<u>54,234</u>	<u>856</u>	<u>1,374,149</u>	<u>34,840</u>	<u>824</u>	<u>1,409,813</u>
Trust							
Secured term loans	918,430	–	–	918,430	–	–	918,430
Secured revolving credit	32,943	(6,256)	–	26,687	51,290	–	77,977
Unsecured revolving credit	70,560	61,050	–	131,610	(16,450)	–	115,160
Amount due to subsidiary	300,000	–	–	300,000	–	–	300,000
Less: Unamortised transaction costs	(2,242)	–	636	(1,606)	–	638	(968)
Total liabilities from financing activities	<u>1,319,691</u>	<u>54,794</u>	<u>636</u>	<u>1,375,121</u>	<u>34,840</u>	<u>638</u>	<u>1,410,599</u>

The accompanying notes form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

CapitaLand Malaysia Mall Trust (CMMT or the Trust) is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 28 October 2020) (the Deed) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (the Manager) and MTrustee Berhad (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 25 November 2020. CMMT is regulated by the SC's Guidelines on Listed Real Estate Investment Trusts (REITs Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and regulations.

CMMT is listed on the Main Market of Bursa Securities.

The consolidated financial statements reported for the financial year ended 31 December 2020 relates to the Trust and its subsidiary (the Group).

The principal activity of CMMT is to invest, on a long term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth. The principal activity of the subsidiary is as disclosed in Note 5 to the financial statements. There have been no significant changes in the nature of these activities during the financial year.

For financial reporting purposes, the intermediate and ultimate holding company of the Group are CapitaLand Limited (CL) and Temasek Holdings (Private) Limited respectively. The intermediate and ultimate holding company are incorporated in Singapore.

The principal activity of the Manager is to manage and administer CMMT. The Manager, incorporated in Malaysia, is a subsidiary of CapitaLand Financial Limited which is incorporated in the Republic of Singapore and is a wholly-owned subsidiary of CL.

The Manager's registered office and principal place of business are as follows:

Unit No.1-27, Level 27, Naza Tower
No.10, Persiaran KLCC
50088 Kuala Lumpur

The financial statements were approved by the Manager's Board of Directors on 10 February 2021.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

1. BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards (MFRSs) and International Financial Reporting Standards.

The Group and the Trust has applied the following MFRSs and amendments to MFRSs for the first time for the annual period beginning on 1 January 2020:

- Amendments to MFRS 3, *Business Combinations – Definition of a Business*;
- Amendments to MFRS 101, *Presentation of Financial Statements* and MFRS 108, *Accounting Policies, Changes in Accounting Estimates and Errors – Definition of Material*; and
- Amendments to MFRS 9, *Financial Instruments*, MFRS 139, *Financial Instruments: Recognition and Measurement* and MFRS 7, *Financial Instruments: Disclosures – Interest Rate Benchmark Reform*.

The application of these amendments to standards does not have a material effect on the financial statements.

The following are accounting standards, amendments and interpretations of the MFRSs that have been issued by the Malaysian Accounting Standards Board (MASB) and are applicable to but have not been adopted by the Group and the Trust:

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 June 2020

- Amendment to MFRS 16, *Leases – Covid-19-Related Rent Concessions*.

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 January 2021

- Amendments to MFRS 9, *Financial Instruments*, MFRS 139, *Financial Instruments: Recognition and Measurement*, MFRS 7, *Financial Instruments: Disclosures*, and MFRS 16, *Leases – Interest Rate Benchmark Reform – Phase 2*.

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 January 2022

- Amendments to MFRS 1, *First-time Adoption of Malaysian Financial Reporting Standards (Annual Improvements to MFRS Standards 2018–2020)*;
- Amendments to MFRS 3, *Business Combinations – Reference to the Conceptual Framework*;
- Amendments to MFRS 9, *Financial Instruments (Annual Improvements to MFRS Standards 2018–2020)*;
- Amendments to Illustrative Examples accompanying MFRS 16, *Leases (Annual Improvements to MFRS Standards 2018–2020)*;
- Amendments to MFRS 116, *Property, Plant and Equipment – Proceeds before Intended Use*; and
- Amendments to MFRS 137, *Provisions, Contingent Liabilities and Contingent Assets – Onerous Contracts – Cost of Fulfilling a Contract*.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

1. BASIS OF PREPARATION (continued)

(a) Statement of compliance (continued)

The following are accounting standards, amendments and interpretations of the MFRSs that have been issued by the Malaysian Accounting Standards Board (MASB) and are applicable to but have not been adopted by the Group and the Trust (continued):

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 January 2023

- Amendments to MFRS 101, *Presentation of Financial Statements – Classification of Liabilities as Current or Non-current*.

MFRSs, interpretations and amendments effective for annual periods beginning on or after a date yet to be confirmed

- Amendments to MFRS 10, *Consolidated Financial Statements* and MFRS 128, *Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*.

The Group and the Trust plan to apply the abovementioned accounting standards, amendments and interpretations from the annual period beginning on 1 January 2021 for those amendments that are effective for annual periods beginning on or after 1 June 2020 and 1 January 2021.

The Group and the Trust plan to apply the abovementioned accounting standards, amendments and interpretations from the annual period beginning on 1 January 2022 for those amendments that are effective for annual periods beginning on or after 1 January 2022.

The Group and the Trust plan to apply the abovementioned accounting standards, amendments and interpretations from the annual period beginning on 1 January 2023 for those amendments that are effective for annual periods beginning on or after 1 January 2023.

The initial application of the accounting standards, amendments or interpretations are not expected to have material financial impact to the current and prior period financial statements of the Group and of the Trust.

(b) Basis of accounting

The financial statements have been prepared on the historical cost basis except for investment properties as disclosed in Note 2(d) and financial instruments as disclosed in Note 2(f).

(c) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is the Group's and the Trust's functional currency. All financial information presented in RM has been rounded to the nearest thousand, unless otherwise stated.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

1. BASIS OF PREPARATION (continued)

(d) Use of estimates and judgements

The preparation of the financial statements in conformity with MFRSs requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

There are no significant areas of estimation uncertainty and critical judgement in applying accounting policies that have significant effect on the amounts recognised in the financial statements other than those disclosed in the following notes:

- Note 4 – valuation of investment properties
- Note 11 – deferred tax liabilities

2. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the periods presented in these financial statements, and have been applied consistently by Group entities, unless otherwise stated.

(a) Basis of consolidation

Subsidiary

Subsidiary is an entity controlled by the Trust. The financial statements of the subsidiary are included in the consolidated financial statements from the date of which control commences until the date on which control ceases.

The Trust controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

Investment in subsidiary is measured in the Trust's statement of financial position at cost less any impairment losses.

Business combinations

Business combinations are accounted for using the acquisition method from the acquisition date, which is the date on which control is transferred to the Group.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(b) Foreign currencies

Transactions in foreign currencies are translated to the functional currency of the Group and of the Trust at exchange rates at the dates of transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of transaction. Foreign currency differences arising on retranslation are recognised in profit or loss.

(c) Plant and equipment

(i) Recognition and measurement

Items of plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset and any other costs directly attributable to bringing the asset to working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located.

Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When significant parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

The gain and loss on disposal of an item of plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and is recognised net within "other operating income" and "other operating expenses" respectively in profit or loss.

(ii) Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group or the Trust and its cost can be measured reliably. The carrying amount of the replaced part is derecognised and is charged to profit or loss. The costs of the day-to-day servicing of equipment are recognised in profit or loss as incurred.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(c) Plant and equipment (continued)

(iii) Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant parts of individual assets are assessed, and if a part has a useful life that is different from the remainder of that asset, then that part is depreciated separately.

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment from the date that they are available for use.

The estimated useful lives for the current and comparative periods are as follows:

Computer	2 – 3 years
Office equipment	3 – 5 years

Depreciation methods, useful lives and residual values are reassessed at the end of the reporting period, and adjusted as appropriate.

(d) Investment properties

Investment properties are properties which are owned or held under leasehold interest to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are measured initially at cost and subsequently at fair value with any changes therein recognised in profit or loss for the period in which they arise. Cost includes expenditure that is directly attributable to the acquisition of the investment properties.

Fair value is determined in accordance with the Deed and the REITs Guidelines which requires the investment properties to be valued by independent professional valuers. In determining the fair value, the valuers used valuation techniques which involve certain estimates. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates reflect the current market conditions. The fair value is determined annually based on internal valuation or independent professional valuation. In the prior financial year, the fair value was determined once every six months.

When an investment property is disposed of, the resulting gain or loss is recognised in profit or loss in the year in which the item is derecognised. Investment properties are not depreciated. The properties are subject to continued maintenance and are regularly revalued on the basis mentioned above. For taxation purposes, the Group or the Trust may claim capital allowances on assets that qualify as plant and machinery under the Income Tax Act, 1967.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(e) Leases

(i) As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property, the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commitment date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the leases liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the lessee's incremental borrowing rate.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including office equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

(ii) As a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand alone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Group leases out its investment properties. The Group has classified these leases as operating leases.

The Group recognises lease payments received from investment properties under operating leases as rental income on a straight-line basis over the lease term as part of revenue.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(f) Financial instruments

(i) Recognition and initial measurement

A financial asset or a financial liability is recognised in the statement of financial position when, and only when, the Group or the Trust becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without significant financing component) or a financial liability is initially measured at fair value plus or minus, in the case for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issuance. A trade receivable without a significant financing component is initially measured at the transaction price.

(ii) Financial instrument categories and subsequent measurement

Financial assets

Categories of financial assets are determined on initial recognition and are not reclassified subsequent to their initial recognition unless the Group or the Trust changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change of the business model.

Amortised cost

Amortised cost category comprises financial assets that are held within a business model whose objective is to hold assets to collect contractual cash flows and its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The financial assets are not designated as fair value through profit or loss. Subsequent to initial recognition, these financial assets are measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Interest income is recognised by applying effective interest rate to the gross carrying amount except for credit impaired financial assets (see Note 2(g)(ii)) where the effective interest rate is applied to the amortised cost.

All financial assets are subject to impairment assessment (see Note 2(g)(ii)).

Financial liabilities

The financial liabilities at initial recognition of the Group and of the Trust are classified as amortised cost. Financial liabilities are subsequently measured at amortised cost using the effective interest method.

Interest expense and foreign exchange gains and losses are recognised in the profit or loss. Any gains or losses on derecognition are also recognised in the profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(f) Financial instruments (continued)

(iii) Derecognition

A financial asset or part of it is derecognised when, and only when the contractual rights to the cash flows from the financial asset expire or transferred, or control of the asset is not retained or substantially all of the risks and rewards of ownership of the financial asset are transferred to another party. On derecognition of a financial asset, the difference between the carrying amount of the financial asset and the sum of consideration received (including any new asset obtained less any new liability assumed) is recognised in profit or loss.

A financial liability or a part of it is derecognised when, and only when, the obligation specified in the contract is discharged, cancelled or expires. A financial liability is also derecognised when its terms are modified and the cash flows of the modified liability are substantially different, in which case, a new financial liability based on modified terms is recognised at fair value. On derecognition of a financial liability, the difference between the carrying amount of the financial liability extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

(iv) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group and the Trust currently have a legally enforceable right to set off the amounts and they intend either to settle them on a net basis or to realise the asset and liability simultaneously.

(g) Impairment

(i) Financial assets

The Group and the Trust recognise loss allowances for expected credit losses on financial assets measured at amortised cost. Expected credit losses are a probability-weighted estimate of credit losses.

The Group and the Trust measure loss allowances at an amount equal to lifetime expected credit loss, except for cash and bank balance for which credit risk has not increased significantly since initial recognition, which are measured at 12-month expected credit loss. Loss allowances for trade receivables are always measured at an amount equal to lifetime expected credit loss.

When determining whether the credit risk of a financial asset has increased significantly since the initial recognition and when estimating expected credit loss, the Group and the Trust consider reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information, where available.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of the asset, while 12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within the 12 months after the reporting date. The maximum period considered when estimating expected credit losses is the maximum contractual period over which the Group and the Trust are exposed to credit risk.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(g) Impairment (continued)

(i) Financial assets (continued)

The Group and the Trust estimate the expected credit losses on trade receivables by assessing the risk of loss of each customer individually based on their financial information, past trend of payments and external credit ratings, where applicable.

An impairment loss in respect of financial assets measured at amortised cost is recognised in profit or loss and the carrying amount of the asset is reduced through the use of an allowance account.

At each reporting date, the Group and the Trust assess whether financial assets carried at amortised cost are credit-impaired. A financial asset is credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

The gross carrying amount of a financial asset is written off (either partially or full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Group or the Trust determines that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's or the Trust's procedures for recovery of amounts due.

(ii) Other assets

The carrying amounts of other assets, other than investment properties, are reviewed at the end of each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment loss is recognised in profit or loss.

Impairment losses recognised in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are credited to profit or loss in the financial year in which the reversals are recognised.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(h) Cash and cash equivalents

Cash and cash equivalents consist of cash on hand, bank balances and deposits placed with licensed banks. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged deposits.

(i) Equity instruments

Instruments classified as equity are measured at cost on initial recognition and are not remeasured subsequently. Costs directly attributable to the issue of instruments classified as equity are recognised as a deduction from equity.

(j) Provisions

A provision is recognised if, as a result of a past event, the Group and the Trust have a present legal or constructive obligation that can be estimated reliably, and is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance costs.

(k) Revenue recognition

(i) Rental income

Rental income from leasing of shopping mall shops and space is recognised in profit or loss on a straight-line basis over the term of the lease and such revenue includes base rent, service charges and advertising and promotion fees. Contingent rents, which include gross turnover rent, are recognised as income in the financial year in which they are earned. No contingent rents are recognised if there are uncertainties due to the possible return of amounts received.

(ii) Car park income

Car park income is recognised as income in the financial year in which they are earned.

(iii) Other revenue

Other revenue consists of recovery of utilities charges from tenants, kiosk rental, advertising and other miscellaneous income. These are recognised as income in the financial year in which they are earned.

(l) Interest income

Interest income is recognised as it accrues, using the effective interest method in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(m) Expenses

(i) Property operating expenses

Property operating expenses consist of quit rent, assessment, utilities, property management fee, property management reimbursement, advertising and promotion, maintenance and other property outgoings in relation to investment properties where such expenses are the responsibility of the Group or the Trust and are recognised on an accrual basis in the year in which they are incurred.

(ii) Manager's management fee

Manager's management fee is recognised on an accrual basis using the applicable formula as set out in Note 14.

(iii) Trustee's fee

Trustee's fee is recognised on an accrual basis using the applicable formula as set out in Note 15.

(iv) Finance costs

Finance costs comprise interest expense on borrowings and amortisation of transaction costs on borrowings which are expensed in profit or loss using the effective interest method over the tenure of borrowings.

(n) Tax expense

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable or receivable in respect of previous financial years.

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities in the statements of financial position and their tax bases. Deferred tax is not recognised for the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting period and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Where investment properties are carried at fair value in accordance with the accounting policy set out in Note 2(d), the amount of deferred tax recognised is measured using the tax rates that would apply on the sale of those assets at their carrying values at the reporting date unless the property is depreciable and is held with the objective to consume substantially all the economic benefits embodied in the property over time, rather than through sale. Deferred tax assets and liabilities are not discounted.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(o) Earnings per unit

The Group and the Trust present basic and diluted earnings per unit. Basic earnings per unit is calculated by dividing the total return by the weighted-average number of units outstanding during the year. Diluted earnings per unit is determined by adjusting the total return and the weighted-average number of ordinary units outstanding, for the effects of all dilutive potential units.

(p) Operating segments

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' results are reviewed and used by the Group's Chief Operating Decision Makers for strategic decision making and resources allocation.

(q) Fair value measurements

Fair value of an asset or a liability, except for lease transactions, is determined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market or in the absence of a principal market, in the most advantageous market.

For non-financial asset, the fair value measurement takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair value are categorised into different levels in a fair value hierarchy based on the input used in the valuation technique as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that the Group can access at the measurement date.
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3: unobservable inputs for the asset or liability.

The Group recognises transfers between the levels of the fair value hierarchy as of the date of the event or change in circumstances that caused the transfers.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

3. PLANT AND EQUIPMENT

	Computer RM'000	Office equipment RM'000	Total RM'000
Group and the Trust			
Cost			
At 1 January 2019	3,431	6,281	9,712
Additions	217	2,657	2,874
Write-off	–	(263)	(263)
At 31 December 2019/1 January 2020	3,648	8,675	12,323
Additions	322	1,219	1,541
Write-off	(22)	(35)	(57)
At 31 December 2020	3,948	9,859	13,807
Accumulated depreciation			
At 1 January 2019	2,986	5,297	8,283
Depreciation for the financial year	199	901	1,100
Write-off	–	(261)	(261)
At 31 December 2019/1 January 2020	3,185	5,937	9,122
Depreciation for the financial year	248	1,003	1,251
Write-off	(22)	(35)	(57)
At 31 December 2020	3,411	6,905	10,316
Carrying amounts			
At 1 January 2019	445	984	1,429
At 31 December 2019/1 January 2020	463	2,738	3,201
At 31 December 2020	537	2,954	3,491

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

4. INVESTMENT PROPERTIES

	2020 RM'000	2019 RM'000
Group and the Trust		
At 1 January	4,035,000	4,019,000
Capital expenditure capitalised	17,850	46,701
Fair value losses (net)	(157,850)	(30,701)
At 31 December	3,895,000	4,035,000

Investment properties refer to shopping malls and office block which primarily generate rental income from leasing out retail shops and space to third parties via lease or licence agreements. CMMT's lease agreements generally contain an initial non-cancellable period of three years and subsequent renewals are negotiated with the lessee. The rental rates are negotiated based on prevailing market rates and are pre-agreed over the lease tenure. Gross turnover rent of RM9,224,000 (FY2019: RM14,058,000), which represents CMMT's contingent rent, was recognised as income in the financial year.

Gurney Plaza, The Mines and 3 Damansara Property, collectively valued at RM2,841,000,000 (FY2019: RM2,920,000,000), are pledged as securities for borrowings as disclosed in Note 10. East Coast Mall and CMMT's 205 strata titles in Sungei Wang Plaza are unencumbered as at the reporting date.

Details of the investment properties are as follows:

	Date of acquisition	Location	Tenure	Fair value at 31 December 2020 ¹ RM'000	Fair value at 31 December 2019 ² RM'000	% of fair value to NAV at 31 December 2020 ³ %	% of fair value to NAV at 31 December 2019 ³ %
Gurney Plaza	14 Jul 2010 & 28 Mar 2011	Penang	Freehold	1,665,000	1,665,000	68.1	64.0
East Coast Mall	14 Nov 2011	Pahang	Leasehold ⁴	579,000	577,000	23.7	22.2
Sungei Wang Plaza ⁵	14 Jul 2010	Kuala Lumpur	Freehold	475,000	538,000	19.4	20.7
3 Damansara Property	10 Jul 2015	Selangor	Freehold	496,000	540,000	20.3	20.8
The Mines	14 Jul 2010	Selangor	Leasehold ⁴	680,000	715,000	27.8	27.5
				3,895,000	4,035,000		

1 Based on valuation carried out on 31 December 2020.

2 Based on valuation carried out on 31 December 2019.

3 This is computed based on market value of the investment properties over the NAV before final income distribution as at 31 December 2020 and 31 December 2019. This is calculated in accordance with the REITs Guidelines.

4 The leases have unexpired lease periods of more than 50 years.

5 CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

4. INVESTMENT PROPERTIES (continued)

All land/strata titles have been transferred and registered in the name of the Trustee.

The following are recognised in profit or loss in respect of investment properties:

	2020 RM'000	2019 RM'000
Group and the Trust		
Gross revenue	261,399	342,276
Less: Property operating expenses	(127,898)	(140,156)
Net property income	133,501	202,120

(a) Operating lease payments receivable

The operating lease payments to be received are as follows:

	2020 RM'000	2019 RM'000
Group and the Trust		
Less than one year	168,973	190,913
One to two years	85,237	94,600
Two to three years	37,837	33,087
Three to four years	499	625
Four to five years	479	522
More than five years	6,051	7,140
Total undiscounted lease payments	299,076	326,887

(b) Fair value information

The fair value of investment properties of the Group and of the Trust are categorised as Level 3. The properties are valued by independent external valuers using the income capitalisation approach, also known as investment approach. This valuation approach takes into account of the gross revenue and outgoings to estimate the net income for the properties. Capitalisation rates are then applied to the net income of the investment properties to determine the market value of the investment properties.

The significant unobservable input is the reversionary capitalisation rate used in the approach adopted above. The estimated fair value would increase (decrease) if the capitalisation rate was lower (higher). Reversionary capitalisation rates for the investment properties range from 6.50% to 7.00% (FY2019: 6.50% to 7.25%).

(c) Valuation processes applied to the Group and the Trust for Level 3 fair value

The fair value of investment properties is determined by independent external valuers having appropriate recognised professional qualifications and recent experience in the location and category of the investment properties being valued. The external valuers provide fair value of the Group's and of the Trust's investment property portfolio every twelve months. In the prior financial year, the fair value was determined once every six months. The resultant fair value gain or loss arising from the change in valuation is assessed by the Manager after obtaining the valuation reports from the external valuers.

(d) Highest and best use

The Group's and the Trust's investment properties are currently valued at their highest and best use.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

5. INVESTMENT IN SUBSIDIARY

	2020 RM'000	Trust 2019 RM'000
CMMT MTN Berhad		
At cost		
Unquoted shares	*	*

* Denotes RM2

CMMT holds 100.0% equity interest in CMMT MTN Berhad, a special purpose vehicle incorporated and primarily operating in Malaysia. Its principal activity is to raise financing on behalf of and on-lending to CMMT through the issuance of rated/unrated secured Medium Term Notes under the Medium Term Notes Programme as set out in Note 10(b).

6. TRADE AND OTHER RECEIVABLES

	Group		Trust	
	2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Trade				
Trade receivables	27,868	10,931	27,868	10,931
Less: Allowance for impairment losses	(8,600)	(2,775)	(8,600)	(2,775)
	19,268	8,156	19,268	8,156
Other receivables	7,819	10,622	7,819	10,622
	27,087	18,778	27,087	18,778
Non-trade				
Deposits	1,084	1,071	1,084	1,071
Interest receivables	59	149	53	140
	1,143	1,220	1,137	1,211
Prepayments	817	1,061	771	934
	1,960	2,281	1,908	2,145
	29,047	21,059	28,995	20,923

Other receivables mainly comprise of accrued revenue yet to be billed.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

6. TRADE AND OTHER RECEIVABLES (continued)

The following table provides information about the exposure to credit risk and expected credit losses for trade receivables.

	Gross carrying amount RM'000	Allowance for impairment losses RM'000	Net balance RM'000
Group and the Trust			
2020			
Not past due	6,917	(1,027)	5,890
Past due 1 – 30 days	6,055	(589)	5,466
Past due 31 – 90 days	3,632	(1,133)	2,499
Past due more than 90 days	11,264	(5,851)	5,413
	<u>27,868</u>	<u>(8,600)</u>	<u>19,268</u>
2019			
Not past due	4,310	(164)	4,146
Past due 1 – 30 days	1,681	(179)	1,502
Past due 31 – 90 days	791	(307)	484
Past due more than 90 days	4,149	(2,125)	2,024
	<u>10,931</u>	<u>(2,775)</u>	<u>8,156</u>

The movement of impairment losses for trade receivables during the financial year is as follows:

	Note	2020 RM'000	2019 RM'000
Group and the Trust			
At 1 January		2,775	2,587
Amounts written off		(98)	(1,033)
Impairment losses (net)	13	5,923	1,221
At 31 December		8,600	2,775

The Manager of CMMT believes that no additional allowance for impairment losses is necessary in respect of past due receivables as these receivables are mainly arising from tenants that have good payment records and sufficient security deposits held as collateral.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

7. AMOUNT DUE FROM/(TO) SUBSIDIARY

The amount due from subsidiary of RM6,709,000 (FY2019: RM6,712,000) is non-trade in nature, unsecured, and is repayable on demand. Included in the amount due from subsidiary is an interest-bearing loan from CMMT of RM6,230,000 (FY2019: RM6,230,000) where the average interest rate of 2.83% (FY2019: 3.70%) per annum is based on the prevailing deposit rates of licensed banks.

The amount due to subsidiary of RM300,000,000 (FY2019: RM300,000,000) is pursuant to the REIT Trustee Financing Agreement (RTFA) entered into by the Trustee on behalf of CMMT and the subsidiary on 9 December 2019 where the funds raised from the unrated and secured MTN, as detailed in Note 10(b), were advanced to CMMT. The amount due to subsidiary is secured, subject to interest at 4.07% (FY2019: 4.07%) per annum which is payable semi-annually and the principal is repayable in 2023 (FY2019: repayable in 2023).

8. CASH AND CASH EQUIVALENTS

	Group		Trust	
	2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Deposits placed with licensed banks	58,827	55,030	52,595	48,800
Cash and bank balances	13,049	29,554	13,042	29,546
	71,876	84,584	65,637	78,346

Gurney Plaza maintains a separate designated revenue account while The Mines and 3 Damansara Property maintain separate designated revenue and operating accounts with licensed banks. This forms part of the financing covenants and the usage of funds in these designated revenue and operating accounts are not restricted as long as no event of default has occurred on the borrowings. The balance of the designated revenue and operating accounts at the end of the financial year that is included in the cash and cash equivalents is RM37,335,000 (FY2019: RM40,956,000).

Included in the Group's cash and cash equivalents are pledged deposits of RM6,230,000 (FY2019: RM6,230,000). This is in relation to a separate debt service reserves account and trustee reimbursement account assigned by the subsidiary to the security trustee pursuant to the unrated and secured MTN, as set out in Note 10(b). The deposits are maintained with licensed banks and the funds are restricted in use.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

9. UNITHOLDERS' CAPITAL

	Amount 2020 RM'000	Number of units 2020 '000	Amount 2019 RM'000	Number of units 2019 '000
Trust				
Issued and fully paid:				
At 1 January	2,189,028	2,051,753	2,181,132	2,044,176
Units issued as part satisfaction of the Manager's management fee	5,847	6,309	7,896	7,577
Units issued under Distribution Reinvestment Plan (net of issue costs)	3,571	5,784	–	–
At 31 December	2,198,446	2,063,846	2,189,028	2,051,753

The Distribution Reinvestment Plan (DRP) was established on 19 June 2020 to enable unitholders to reinvest the income distribution received into new units. During the financial year, CMMT paid its Interim Income Distribution of RM 20.8 million or 1.01 sen per unit for the period from 1 January 2020 to 30 June 2020, in which a total of 5,783,864 of new units was issued out of 14,697,431 units eligible under the DRP, this represents a take up rate of 39.4%. The new units were issued at cost of RM0.6883 per unit.

Unitholdings of the Manager and parties related to the Manager

As at 31 December 2020, the Manager has no direct unitholdings in CMMT. However, the Directors of the Manager and parties related to the Manager held units in CMMT and the details are as follows:

	Number of units '000	Percentage of unitholdings %	Market value ² RM'000
2020			
<i>Direct unitholdings of parties related to the Manager</i>			
CMMT Investment Limited	716,346	34.71	447,716
Menang Investment Limited	54,438	2.64	34,023
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2020</i>			
Ms Low Peck Chen	12	N.M.	8
Mr Lim Cho Pin Andrew Geoffrey ¹	47	N.M.	30
Mohd Yusof bin Hussain	60	N.M.	38
2019			
<i>Direct unitholdings of parties related to the Manager</i>			
CMMT Investment Limited	710,973	34.65	710,973
Menang Investment Limited	47,832	2.33	47,832
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2019</i>			
Ms Low Peck Chen	12	N.M.	12
Mr Lim Cho Pin Andrew Geoffrey ¹	47	N.M.	47

N.M. – Not meaningful

¹ Units held through nominees.

² The market value of the units for the respective years are computed based on the closing market price of RM0.625 per unit as at 31 December 2020 and RM1.00 per unit as at 31 December 2019.

CMMT Investment Limited and Menang Investment Limited are indirect wholly-owned subsidiaries of CL and are regarded as the intermediate holding companies of the Group and the Trust.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

10. BORROWINGS

	Group		Trust	
	2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Non-current				
Secured term loans				
– Fixed rate	848,680	848,680	848,680	848,680
– Floating rate	69,750	69,750	69,750	69,750
Secured revolving credit	52,377	26,687	52,377	26,687
Unrated and secured MTN	300,000	300,000	–	–
Less: Unamortised transaction costs	(1,754)	(2,578)	(968)	(1,606)
	1,269,053	1,242,539	969,839	943,511
Current				
Secured revolving credit	25,600	–	25,600	–
Unsecured revolving credit	115,160	131,610	115,160	131,610
	140,760	131,610	140,760	131,610
	1,409,813	1,374,149	1,110,599	1,075,121

(a) Secured term loans and revolving credit

CMMT had entered into three separate secured facility agreements with two licensed banks on 10 June 2010 (Secured Facility 1), 17 March 2011 (Secured Facility 2) and 26 June 2015 (Secured Facility 3).

Secured Facility 1 comprises fixed and floating rate term loan facilities of RM500.0 million and a revolving credit facility of RM61.0 million. Secured Facility 2 comprises fixed and floating rate term loan facilities of RM69.8 million and a revolving credit facility of RM20.0 million. Both Secured Facilities 1 and 2 will mature between 2022 and 2028.

Secured Facility 3, comprises fixed rate term loan facilities of RM348.7 million, a revolving credit facility of RM100.0 million and a bank guarantee facility of RM10.0 million. The term loans under the Secured Facility 3 will mature in 2022.

As at 31 December 2020, the principal amounts utilised under the Secured Facilities 1, 2 and 3 were RM549.0 million (FY2019: RM521.2 million), RM73.1 million (FY2019: RM75.2 million) and RM374.3 million (FY2019: RM348.7 million) respectively, of which total secured revolving credit utilised under these facilities was RM78.0 million (FY2019: RM26.7 million).

Following the re-fixing of interest for the term loans under Secured Facility 3 during the financial year, the average effective interest rate for the Secured Facilities 1, 2 and 3 was approximately 4.1% (FY2019: 4.5%) per annum.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

10. BORROWINGS (continued)

(b) Secured Medium Term Notes Programme

The Group has a secured Medium Term Notes Programme of up to RM3.0 billion in nominal value (MTN Programme) under CMMT MTN Berhad (the Issuer), pursuant to which rated/unrated notes in series or tranches may be issued from time to time in Ringgit Malaysia. The MTN Programme has a tenure of twenty years from the date of first issuance of MTN, which was on 20 December 2012. The net proceeds from the issue of the MTN (after deducting issue expenses) will be on-lent to CMMT, which in turn will utilise such proceeds to refinance its existing and/or future borrowings and/or to finance investments, capital expenditure, asset enhancement initiatives and/or working capital of CMMT. The Issuer will also be allowed to use the proceeds to refinance maturing MTN on the respective maturity dates. The security trustee of the MTN Programme is Malaysian Trustees Berhad.

On 20 December 2019, the Issuer issued a RM300.0 million three and a half-year unrated and secured MTN (3-TM) which will be maturing on 20 June 2023. The proceeds were used to redeem the outstanding RM300.0 million three years unrated and secured MTN which matured on 20 December 2019. 3-TM bears a coupon rate of 4.07% per annum for the first 2 years which is payable semi-annually. Upon expiration of the first 2 years, the Issuer may elect either floating rate or continue with another fixed rate.

(c) Unsecured revolving credit

As at 31 December 2020, the outstanding unsecured revolving credit was RM115.2 million (FY2019: RM131.6 million) at an average effective interest rate of approximately 3.4% (FY2019: 4.0%) per annum.

The secured borrowings are secured by charges on investment properties as disclosed in Note 4 with an amount of RM2,841,000,000 (FY2019: RM2,920,000,000).

11. DEFERRED TAX LIABILITIES

With effect from 1 January 2019, the applicable Real Property Gain Tax ("RPGT") rate under the Finance Act 2020 for disposal of real properties or shares in real properties companies which have been held for more than 5 years is 10%.

It is the business model of CMMT to hold investment properties to earn rental income and for long-term capital growth. Hence, there are no expected disposals of investment properties held for less than 5 years. In the prior financial year, CMMT has recognised a deferred tax expense of RM19,495,000 for the RPGT exposure on the net cumulative fair value gain of freehold investment properties that are expected to be realised through sale.

During the financial year, deferred tax liabilities of RM12,267,000 were reversed to profit or loss as a result of the fair value losses recognised in respect of the freehold investment properties.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

12. TRADE AND OTHER PAYABLES

	Group		Trust	
	2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Current				
Trade				
Trade payables	1,454	2,106	1,454	2,106
Amount due to related parties	6,151	7,586	6,151	7,586
	7,605	9,692	7,605	9,692
Non-trade				
Interest payables	4,318	5,445	3,950	5,044
Accruals	36,932	35,913	36,917	35,665
Other payables	649	1,159	649	1,159
Advances	5,406	6,643	5,406	6,643
	47,305	49,160	46,922	48,511
	54,910	58,852	54,527	58,203

Included in the amount due to related parties is an amount due to the Manager of RM6,084,000 (FY2019: RM7,365,000) of which RM2,755,000 (FY2019: RM3,687,000) is payable in units of CMMT as payment for the performance component of management fee for the period from 1 July 2020 to 31 December 2020 (FY2019: for the period from 1 July 2019 to 31 December 2019), Trustee's fee of RM67,000 (FY2019: RM34,000) and amount due to a related party of RM Nil (FY2019: RM187,000) for the project management fees for asset enhancement works. The relationship and transactions of the above are further disclosed in Note 25.

13. OTHER OPERATING EXPENSES

	Note	2020 RM'000	2019 RM'000
Group and the Trust			
Property management fee and reimbursement		21,944	24,726
Marketing expenses		6,073	8,528
Quit rent and assessment		11,595	11,822
General and administrative expenses		6,664	5,033
Impairment losses for trade receivables (net)	6	5,923	1,221
		52,199	51,330

The property management fee is payable to the property managers, namely (1) Knight Frank Property Management Sdn. Bhd. for all CMMT's properties for the full year under review except for Sungei Wang Plaza; and (2) Zaharin Nexcap Property Consultants Sdn. Bhd., the property manager for CMMT's interest in Sungei Wang Plaza. Property management reimbursement includes reimbursable staff costs and other reimbursements for managing the investment properties.

The property management fee for Gurney Plaza, The Mines, East Coast Mall and 3 Damansara Property is based on a monthly fee of RM75,000 (FY2019: RM75,000) as stipulated in the property management agreement dated 28 March 2019. Property management fee for CMMT's interest in Sungai Wang Plaza is based on a monthly fee of RM19,000 (FY2019: RM19,000) as stipulated in the property management agreement dated 13 March 2020.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

14. MANAGER'S MANAGEMENT FEE

	2020 RM'000	2019 RM'000
Group and the Trust		
Base management fee	11,903	12,000
Performance fee	6,341	9,601
	18,244	21,601

Pursuant to the Deed, the Manager is entitled to a base fee of up to 1.0% per annum of the total asset value and a performance fee of up to 5.0% per annum of net property income. For the financial year ended 31 December 2020, the Manager has accounted for a base fee of 0.29% (FY2019: 0.29%) per annum of the total asset value, payable quarterly in arrears, and a performance fee of 4.75% (FY2019: 4.75%) per annum of net property income, payable semi-annually in units after distribution to unitholders, except for the performance fee related to East Coast Mall which is payable in cash.

In addition to the above, the Manager is also entitled to an acquisition fee of up to 1.0% of the purchase price and a divestment fee of up to 0.5% of the sale price of any authorised investment/divestment.

During the financial year ended 31 December 2020, the Manager was paid 6,309,700 of units (FY2019: 7,576,600 units) in CMMT or equivalent to RM5,847,000 (FY2019: RM7,896,000), as part settlement of its management fee for the period from 1 July 2019 to 30 June 2020. The Manager disposed 3,634,200 and 2,675,500 of CMMT units (FY2019: 7,576,600 units) at cost to a related party, Menang Investment Limited, on 18 March 2020 and 30 November 2020 (FY2019: 8 November 2019) respectively.

There were no other fees or soft commission paid to the Manager during the financial year other than as disclosed above.

15. TRUSTEE'S FEE

Pursuant to the Deed, the Trustee is entitled to a fee of 0.02% per annum of the total asset value for the first RM2.0 billion and a 0.01% per annum of the total asset value thereafter, payable monthly in arrears.

With the agreement from Trustee, the Trustee's fee for the financial year ended 31 December 2020 was RM400,000 (FY2019: RM400,000).

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

16. FINANCE COSTS

	Group		Trust	
	2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Interest expense on secured term loans	39,214	41,781	39,214	41,781
Interest expense on unrated and secured MTN	12,243	12,848	–	–
Interest expense on RTFA with subsidiary	–	–	12,243	12,848
Interest expense on secured and unsecured revolving credits	6,022	6,296	6,022	6,296
Amortisation of transaction costs on borrowings	834	856	638	636
Others	166	208	362	428
	58,479	61,989	58,479	61,989

17. TAXATION

Pursuant to the amendment of Section 61A of the Income Tax Act, 1967, effective from the Year of Assessment 2007, the total income of a REIT will be exempted from income tax provided that the REIT distributes 90.0% or more of its total income for that year of assessment. If the REIT is unable to meet the 90.0% distribution criteria, the entire taxable income of the REIT for the year of assessment would be subject to income tax.

As CMMT will distribute more than 90.0% of its distributable income for the financial year ended 31 December 2020 to its unitholders, no provision for tax expense has been made for the current financial year.

	2020 RM'000	2019 RM'000
Group and the Trust		
Current tax expense	–	–
Deferred tax (reversal)/expense	(12,267)	19,495
Taxation for the financial year	(12,267)	19,495

Reconciliation of tax expense is as follows:

	2020 RM'000	2019 RM'000
Group and the Trust		
(Loss)/Profit before taxation	(96,771)	92,095
Income tax at Malaysian statutory tax rate of 24.0%	(23,225)	22,103
Effect of net fair value losses on investment properties not subject to tax	37,884	7,368
Effect of income not subject to tax	(16,886)	(30,917)
Effect of expenses not deductible for tax purposes	2,227	1,446
	–	–
Effect of net cumulative fair value changes on investment properties subject to Real Property Gain Tax	(12,267)	–
Effect of changes in Real Property Gain Tax rate	–	19,495
Taxation for the financial year	(12,267)	19,495

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

18. (LOSS)/EARNINGS PER UNIT

Basic and diluted (loss)/earnings per unit

The calculation of (loss)/earnings per unit is based on the weighted average number of units and profits for the financial year.

	2020 RM'000	2019 RM'000
Group and the Trust		
(Loss)/Profit for the financial year	(84,504)	72,600
Add: Manager's management fee	18,244	21,601
(Loss)/Profit for the financial year before Manager's management fee	(66,260)	94,201
	2020 '000	2019 '000
Issued units at the beginning of the financial year	2,051,753	2,044,176
Weighted average number of units issued during the financial year	4,423	2,470
Weighted average number of units at the end of the financial year	2,056,176	2,046,646
(Loss)/Earnings per unit (sen)		
– before Manager's management fee	(3.22)	4.60
– after Manager's management fee	(4.11)	3.55

Diluted earnings per unit equals to basic earnings per unit as there are no potential dilutive units in issue.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

19. DISTRIBUTIONS TO UNITHOLDERS

	2020 RM'000	2019 RM'000
Group and the Trust		
Distributions to unitholders are from the following sources:		
Gross rental income	210,288	266,902
Interest income	1,512	2,932
Car park income and other revenue	51,111	75,374
Less: Expenses	(201,173)	(217,213)
Less: Adjustment for rounding difference	92	(4)
Distributable income	61,830	127,991
Distribution per unit (sen) of which:		
– taxable distribution of income (sen)	2.60	5.54
– tax exempt distribution of income (sen)	0.40	0.71
	3.00	6.25

The Manager declared a final income distribution of approximately RM41,071,000 or 1.99 sen per unit on 22 January 2021, for the period from 1 July 2020 to 31 December 2020. In total, CMMT will be paying approximately RM61,830,000, which is more than 90% of its distributable income, to its unitholders for the financial year ended 31 December 2020.

In prior year, the Manager declared a final income distribution of approximately RM62,169,000 or 3.03 sen per unit on 22 January 2020, for the period from 1 July 2019 to 31 December 2019. This final income distribution was paid on 28 February 2020. In total, CMMT had paid approximately RM127,991,000, which is more than 90% of its distributable income, to its unitholders for the financial year ended 31 December 2019.

The declared final income distribution will be recognised in the immediate subsequent financial year.

Pursuant to the Section 109D(2) of the Income Tax Act, 1967, the applicable final withholding tax on distributions of income which is tax exempt at CMMT level is as follows:

Resident unitholders

- | | | |
|-----|----------------------|--------------------------------------|
| (a) | Corporate | Tax flow through, no withholding tax |
| (b) | Other than corporate | Withholding tax at 10% |

Non-resident unitholders

- | | | |
|-----|-------------------------|------------------------|
| (c) | Corporate | Withholding tax at 24% |
| (d) | Institutional investors | Withholding tax at 10% |
| (e) | Individuals | Withholding tax at 10% |

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

20. PORTFOLIO TURNOVER RATIO

There were neither acquisitions nor disposals of investments during and in the previous financial year. Hence, the Group portfolio turnover ratio (PTR) for both financial years was not computed.

The calculation of the PTR is based on the average of total acquisitions and total disposals of investments in CMMT for the financial year to the average net asset value during the financial year.

Since the basis of calculating the PTR can vary among the REITs, there is no sound basis for providing an accurate comparison of CMMT against other REITs.

21. MANAGEMENT EXPENSE RATIO

	2020	2019
Group		
Management expense ratio (MER) (%)	0.8	0.9

MER is calculated based on the total fees of CMMT, including Manager's management fee, Trustee's fee and other trust expenses, to the average net asset value during the financial year.

Comparison of the MER of CMMT with other REITs which may use different basis of calculation may not be an accurate comparison.

22. CAPITAL COMMITMENTS

Capital commitments in relation to capital expenditure of the existing portfolio of CMMT are as follows:

	2020 RM'000	2019 RM'000
Group and the Trust		
Contracted but not provided for	1,881	12,181

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

23. FINANCIAL INSTRUMENTS

23.1 Categories of financial instruments

The financial instruments of the Group and of the Trust are categorised as follows:

	Carrying amount Group		Carrying amount Trust	
	2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Financial assets categorised as amortised cost:				
Trade and other receivables	28,230	19,998	28,224	19,989
Amount due from subsidiary	—	—	6,709	6,712
Cash and cash equivalents	71,876	84,584	65,637	78,346
	100,106	104,582	100,570	105,047
Financial liabilities categorised as amortised cost:				
Borrowings	1,409,813	1,374,149	1,110,599	1,075,121
Tenants' deposits	83,551	89,422	83,551	89,422
Amount due to subsidiary	—	—	300,000	300,000
Trade and other payables	49,504	52,209	49,121	51,560
	1,542,868	1,515,780	1,543,271	1,516,103

23.2 Net gains and losses arising from financial instruments

	2020 RM'000	2019 RM'000
Group and the Trust		
Net (losses)/gains on:		
Financial assets at amortised cost		
– Impairment losses for trade receivables (net)	(5,923)	(1,221)
– Interest income	1,512	2,932
	(4,411)	1,711
Financial liabilities at amortised cost		
– Finance costs	(58,479)	(61,989)
– Realised foreign exchange loss	(1)	(2)
– Unrealised foreign exchange loss	—	*
	(58,480)	(61,991)

* less than RM1,000

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

23. FINANCIAL INSTRUMENTS (continued)

23.3 Financial risk management

Financial risk management is integral to the whole business of the Group and Trust. The Group and Trust adopt an integrated approach to manage the financial risks arising in the normal course of business.

The Group and the Trust have identified the following financial risk exposure from its use of financial instruments:

- Liquidity risk
- Credit risk
- Market risk

The Group and the Trust have implemented risk management policies and guidelines which set its tolerance of risk and its general risk management philosophy.

23.4 Liquidity risk

Liquidity risk is defined as the risk that the Group and the Trust will not be able to meet its financial obligations as they fall due.

The Group's and the Trust's exposures to liquidity risk arises primarily from various payables and borrowings. The Group and the Trust maintain sufficient liquid reserves in terms of cash and credit facilities to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due. In addition, the Manager diligently monitors and observes financing covenants to ensure compliance.

The health and sentiments of the debt markets in Malaysia directly affects the liquidity position of the Group and Trust as external sources of funding are needed to fund new acquisitions or asset enhancement initiatives besides the need to refinance the existing borrowings when they mature.

At the reporting date, RM140,760,000 (FY2019: RM131,610,000) of outstanding revolving credits will be subject to annual review within the next twelve months. The Group and the Trust will continue to manage their capital structure proactively by spreading out the debt maturities to a manageable size and maintaining an optimal gearing level.

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

23. FINANCIAL INSTRUMENTS (continued)

23.4 Liquidity risk (continued)

Maturity analysis

The table below summarises the maturity profile of the Group's and of the Trust's financial liabilities as at the end of the financial year based on undiscounted contractual payments:

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 – 1 year RM'000	1 – 2 years RM'000	2 – 5 years RM'000	More than 5 years RM'000
Group							
2020							
<i>Non-derivative financial liabilities</i>							
Bank borrowings (excluding unamortised transaction costs)	1,111,567	2.9 – 4.6	1,245,861	174,368	423,778	53,531	594,184
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.07	330,508	12,210	12,210	306,088	–
Tenants' deposits	83,551	–	83,551	50,295	16,387	16,740	129
Trade and other payables	49,504	–	42,431	42,431	–	–	–
	<u>1,544,622</u>		<u>1,702,351</u>	<u>279,304</u>	<u>452,375</u>	<u>376,359</u>	<u>594,313</u>
2019							
<i>Non-derivative financial liabilities</i>							
Bank borrowings (excluding unamortised transaction costs)	1,076,727	3.8 – 4.6	1,299,494	176,328	40,140	456,116	626,910
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.07	342,718	12,210	12,210	318,298	–
Tenants' deposits	89,422	–	89,422	53,930	20,803	14,560	129
Trade and other payables	52,209	–	43,077	43,077	–	–	–
	<u>1,518,358</u>		<u>1,774,711</u>	<u>285,545</u>	<u>73,153</u>	<u>788,974</u>	<u>627,039</u>

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

23 FINANCIAL INSTRUMENTS (continued)

23.4 Liquidity risk (continued)

Maturity analysis (continued)

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 – 1 year RM'000	1 – 2 years RM'000	2 – 5 years RM'000	More than 5 years RM'000
Trust							
2020							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	1,111,567	2.9 – 4.6	1,245,861	174,368	423,778	53,531	594,184
Tenants' deposits	83,551	–	83,551	50,295	16,387	16,740	129
Amount due to subsidiary	300,000	4.07	330,508	12,210	12,210	306,088	–
Trade and other payables	49,121	–	42,416	42,416	–	–	–
	<u>1,544,239</u>		<u>1,702,336</u>	<u>279,289</u>	<u>452,375</u>	<u>376,359</u>	<u>594,313</u>
2019							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	1,076,727	3.8 – 4.6	1,299,494	176,328	40,140	456,116	626,910
Tenants' deposits	89,422	–	89,422	53,930	20,803	14,560	129
Amount due to subsidiary	300,000	4.07	342,718	12,210	12,210	318,298	–
Trade and other payables	51,560	–	42,829	42,829	–	–	–
	<u>1,517,709</u>		<u>1,774,463</u>	<u>285,297</u>	<u>73,153</u>	<u>788,974</u>	<u>627,039</u>

Included in the carrying amount of trade and other payables are as follows:

For the Group:

- an amount of RM4,318,000 (FY2019: RM5,445,000) for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings and unrated and secured MTN; and
- an amount of RM2,755,000 (FY2019: RM3,687,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

For the Trust:

- an amount of RM3,950,000 (FY2019: RM5,044,000) for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings; and
- an amount of RM2,755,000 (FY2019: RM3,687,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

23. FINANCIAL INSTRUMENTS (continued)

23.5 Credit risk

Credit risk is defined as the risk of a financial loss to the Group and to the Trust if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group's and the Trust's exposures to credit risk arises primarily from its trade and other receivables.

Credit risk is controlled by credit verification procedures before lease agreements are entered into with tenants and ongoing balance monitoring to ensure minimum credit risk exposure. In addition, there is a stringent collection policy in place to ensure that credit risk is minimised. Other than the collection of security deposits, which typically amounts to an average of three months' rent in the form of cash or bankers' guarantee, the Group and Trust also have vigilant monitoring and debt collection procedures. Debt turnover of the Group as at 31 December 2020 was approximately 35 days (FY2019: 16 days).

For other financial assets, the Group and the Trust minimise credit risk by dealing with restricted counterparties that meet the appropriate credit criteria and have high credit standing.

The Manager establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main component of this allowance is a specific loss component that relates to the individually significant exposure. The allowance account in respect of trade and other receivables is used to record impairment losses unless the Manager is satisfied that no recovery of the amount owing is possible. At that point, the financial asset is considered irrecoverable and the amount charged to the allowance account is written off against the carrying amount of the impaired financial asset.

At the end of financial year, there was no significant concentration of credit risk.

Cash and bank balances are placed with financial institutions which are regulated.

23.6 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and other prices that will affect the Group's and the Trust's financial positions or cash flows.

23.6.1 Interest rate risk

The Group's and the Trust's investments in financial products and its fixed rate borrowings are exposed to a risk of change in the fair values of the instruments due to changes in interest rates. The Group's and the Trust's floating rate borrowings are exposed to a risk of change in cash flows due to changes in interest rate. Short term receivables and payables are not significantly exposed to interest rate risk. Of these instruments, the primary interest rate risk exposure of the Group and the Trust relates to interest-bearing borrowings.

In line with the Group's overall enterprise risk management framework, the Manager adopts a proactive interest rate management policy to manage the risk associated with changes in interest rates on the Group's and the Trust's loan facilities and also seeking to ensure a competitive level of ongoing cost of debt. Interest rate risk is managed on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rates.

To mitigate the Group's exposure to fluctuation in interest rates, the Manager has locked in a proportion of the Group's and the Trust's borrowings at fixed interest rates. As at 31 December 2020, the Group's and the Trust's borrowings at fixed rates are 81.4% (FY2019 : 83.4%) and 81.4% (FY2019 : 83.4%) respectively while the remaining balances are on floating rates.

The investments in financial products are mainly short term in nature and not held for trading or speculative purposes but are mainly placed in as deposits with licensed banks which yield better returns than cash at bank.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

23. FINANCIAL INSTRUMENTS (continued)

23.6 Market risk (continued)

23.6.1 Interest rate risk (continued)

Exposure to interest rate risk

The interest rate profile of the Group's and of the Trust's significant interest-bearing financial instruments, based on carrying amounts as at end of the financial year, is as follows:

		Group		Trust	
	Note	2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
Financial assets					
Fixed rate instruments					
Deposits placed with licensed banks	8	58,827	55,030	52,595	48,800
Amount due from subsidiary	7	—	—	6,230	6,230
		58,827	55,030	58,825	55,030
Financial liabilities					
Fixed rate instruments					
Secured term loans	10	848,680	848,680	848,680	848,680
Unrated and secured MTN	10	300,000	300,000	—	—
Amount due to subsidiary	7	—	—	300,000	300,000
		1,148,680	1,148,680	1,148,680	1,148,680
Floating rate instruments					
Secured term loans	10	69,750	69,750	69,750	69,750
Secured and unsecured revolving credit	10	193,137	158,297	193,137	158,297
		262,887	228,047	262,887	228,047
		1,411,567	1,376,727	1,411,567	1,376,727

Interest rate risk sensitivity analysis

Fair value sensitivity analysis for fixed rate instruments

The Group and the Trust do not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the financial year would not affect profit or loss.

Cash flow sensitivity analysis for variable rate instruments

An increase of 100 basis points (bp) in interest rate at the reporting date would have increased the finance costs by RM2,629,000 (FY2019: RM2,280,000) per annum. A decrease in 100 bp in interest rate would have an equal but opposite effect. This analysis assumes that all other variables remain constant.

23.6.2 Currency risk

As the assets of the Group are currently based in Malaysia, there is little or no foreign exchange exposure from operations. The Group borrows in Malaysian Ringgit from domestic banks and debt capital market hence creating a perfect currency match for the Group's and the Trust's assets and liabilities. At the end of the financial year, the Group and the Trust are not exposed to any significant foreign currency risk.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

23. FINANCIAL INSTRUMENTS (continued)

23.7 Fair value information

The carrying amounts of cash and cash equivalents, trade and other receivables, amount due from subsidiary and trade and other payables approximate their fair values due to the relatively short-term nature of these financial instruments.

The fair value of the floating rate borrowings approximates its carrying amount as it reprices to market interest rates for liabilities with similar risk profiles.

The fair value of the fixed rate borrowings at initial recognition approximates its carrying amount as its effective interest rate is considered to be the market rate.

The fair values of the non-derivative financial liabilities, together with the carrying amounts shown in the statements of financial position, are as follows:

	Carrying amount 2020 RM'000	Fair value 2020 RM'000	Carrying amount 2019 RM'000	Fair value 2019 RM'000
Group				
Tenants' deposits	83,551	82,259	89,422	87,352
Fixed rate secured term loans	848,680	857,370	848,680	849,637
Unrated and secured MTN	300,000	306,570	300,000	297,285
Trust				
Tenants' deposits	83,551	82,259	89,422	87,352
Fixed rate secured term loans	848,680	857,370	848,680	849,637
Amount due to subsidiary	300,000	306,570	300,000	297,285

The fair values of the non-derivative financial liabilities are categorised as Level 2.

The above fair values, which are determined for disclosure purposes, are calculated based on the present value of future cash flows discounted at the market rate of interest at the end of the financial year. Interest rates used to determine fair values are as follows:

	2020	2019
Tenants' deposits	1.9%	3.1%
Fixed rate secured term loans	3.2%	4.4%
Unrated and secured MTN	3.2%	4.4%
Amount due to subsidiary	3.2%	4.4%

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

24. CAPITAL MANAGEMENT

The Group's objectives when managing capital are to maintain a strong capital base so as to maintain investor, creditor and market confidence and to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure and acquisitions. The Manager continues to rigorously monitor the cash position and borrowings of the Group with the view of strengthening its capital structure and competitive position.

The Manager maintains an optimal gearing ratio, which is defined as total borrowings divided by total asset value, that complies with regulatory requirements and financing covenants. Under the SC's REITs Guidelines, the gearing ratio of the Group should not exceed 60.0% (FY2019: 50%) at the time the borrowings or financing facilities or deferred payment arrangements are incurred. The gearing limit for Malaysia real estate investment trusts was temporarily increased from 50% to 60% until 31 December 2022 as announced by Securities Commission on 12 August 2020. The gearing level of the Group stood at 35.7% (FY2019: 33.7%), the Group has complied with the SC's requirements during the financial year.

	Note	2020 RM'000	2019 RM'000
Group			
Total asset value (after final income distribution)		3,958,343	4,081,675
Total borrowings (excluding unamortised transaction costs)	10	1,411,567	1,376,727
Gearing ratio (%)		35.7	33.7

There was no change in the Group's approach to capital management during the financial year.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

25. RELATED PARTIES

Identity of and transactions with related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

During the financial year, other than those disclosed elsewhere in the financial statements, the following related party transactions were carried out in the normal course of business under normal commercial terms:

	Group		Trust	
	2020 RM'000	2019 RM'000	2020 RM'000	2019 RM'000
The Manager				
CapitaLand Malaysia Mall REIT Management Sdn. Bhd.				
– Management fee (Note 14)	18,244	21,601	18,244	21,601
The Trustee				
MTrustee Berhad				
– Trustee's fee (Note 15)	400	400	400	400
Related company of a material unitholder and of the Manager				
CapitaLand Retail Malaysia Sdn. Bhd.				
– Project management fee for asset enhancement works	420	298	420	298
Alliance Bank Malaysia Berhad				
– Rental income from leasing of space	–	13	–	13
U Mobile Sdn. Bhd.				
– Rental income from leasing of space	260	243	260	243

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

26. OPERATING SEGMENTS

The Group has two reportable segments, Retail and Office. For each of the segment, the Group's Chief Operating Decision Makers (CODM) review internal/management reports for the assessment of segment performance.

Segment revenue comprises mainly income generated from its tenants. Segment net property income represents the income earned by each segment after allocating property operating expenses. Segment performance is measured based on the segment net property income.

Segment result include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated expenses comprise mainly non-operating and trust expenses.

	Retail RM'000	Office RM'000	Total RM'000
Group			
Segment profit for the year ended 31 December 2020			
Gross revenue	255,921	5,478	261,399
Net property income	130,027	3,474	133,501
Interest income			1,512
Other non-operating income			4,958
Fair value losses on investment properties (net)			(157,850)
Unallocated expenses			(20,413)
Finance costs			(58,479)
Loss before taxation			(96,771)
Taxation			12,267
Loss for the financial year			(84,504)
Segment profit for the year ended 31 December 2019			
Gross revenue	335,558	6,718	342,276
Net property income	197,614	4,506	202,120
Interest income			2,932
Other non-operating income			3,325
Fair value losses on investment properties (net)			(30,701)
Unallocated expenses			(23,592)
Finance costs			(61,989)
Profit before taxation			92,095
Taxation			(19,495)
Profit for the financial year			72,600

No segment assets and liabilities information is prepared as the Group's CODM assess the segment performance based on the segment's net property income.

No geographical segment information is prepared as the Group's properties are all located in Malaysia.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2020

27. SIGNIFICANT EVENT DURING THE FINANCIAL YEAR

On 11 March 2020, the World Health Organisation declared the COVID-19 outbreak as a global pandemic. In response, the Malaysian Government had implemented several movement restriction orders – Movement Control Order (MCO), Conditional MCO (CMCO) and Recovery MCO (RMCO), from 18 March 2020 as part of the measures to contain the spread of the pandemic. These movement restrictions continue to remain in force as at 31 December 2020.

COVID-19 has significantly impacted many businesses including the retail sector. During the MCO, tenants who are not categorised as essential services (Affected Tenants) were not allowed to operate their businesses. To alleviate the burden of Affected Tenants, CMMT has committed up to RM35 million of rental relief to support Affected Tenants. In addition, CMMT has passed on the full 15% discount on electricity to mall tenants in response to the stimulus package announced by the Malaysian Government.

The effects of the pandemic remain fluid and the Manager will continue to monitor ongoing developments closely and take on a proactive approach in assessing the needs of Affected Tenants to strike a balance between rental reversions and occupancy to ensure portfolio stability.

MANAGER'S REPORT

CapitaLand Malaysia Mall REIT Management Sdn. Bhd., the Manager for CapitaLand Malaysia Mall Trust (CMMT or the Trust), has pleasure in presenting its report together with the audited financial statements of the Group and of the Trust for the financial year ended 31 December 2020.

CMMT is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 28 October 2020) (the Deed) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (the Manager) and MTrustee Berhad (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 25 November 2020. CMMT is regulated by the SC's Guidelines on Listed Real Estate Investment Trusts (REITs Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and regulations.

The principal activity of CMMT is to invest, on a long term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth.

The Manager is of the view that it has achieved the investment objective for the financial year ended 31 December 2020. There was no change in the strategies and policies employed during the financial year.

Directors

The Directors of the Manager who have held office during the financial year until the date of this report are as follows:

David Wong Chin Huat
Lim Cho Pin Andrew Geoffrey
Low Peck Chen
Tan Boon Peng
Tuan Haji Rosli bin Abdullah
Jonathan Yap Neng Tong (appointed on 6 July 2020)
Lui Chong Chee (appointed on 1 October 2020)
Mohd Yusof bin Hussian (appointed on 1 October 2020)
Ronald Tay Boon Hwee (resigned on 6 July 2020)
Dato' Mohammed bin Haji Che Hussein (resigned on 1 October 2020)
Ng Chih Kaye (resigned on 1 October 2020)

Directors' benefits

Neither at the end of the financial year, nor at any time during that year, did there subsist any arrangement to which the Manager was a party, whereby the Directors of the Manager might acquire benefits by means of the acquisition of units in or debentures of CMMT.

Since the end of the previous financial year, no Director of the Manager has received or become entitled to receive any benefit (other than a benefit included in the aggregated amount of remuneration received or due and receivable by the directors), by reason of a contract made by the Manager or a related corporation with any Director of the Manager or with a firm of which the Director of the Manager is a member of, or with a company in which the Director of the Manager has substantial financial interest.

MANAGER'S REPORT

Directors' interests

According to the register of Directors' shareholdings kept by the Manager under Section 59 of the Companies Act 2016 in Malaysia, the interests of Directors of the Manager in office at the end of the financial year in units in CMMT during the financial year were as follows:

	At 1.1.2020/ Date of appointment Unit	Acquired Unit	Sold Unit	At 31.12.2020 Unit
Low Peck Chen	12,000	81	–	12,081
Lim Cho Pin Andrew Geoffrey ¹	47,000	319	–	47,319
Mohd Yusof bin Hussian	60,000	374	–	60,374

1 Units held through nominees

The other Directors of the Manager in office at the end of the financial year did not have any interests in units in CMMT during the financial year.

Soft commission

There was no soft commission received by the Manager during the financial year from any broker or dealer by virtue of transactions conducted for CMMT.

Other information

- (a) Before the financial statements of the Group and of the Trust were made out, the Manager took reasonable steps:
- (i) to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and satisfied themselves that there were no known bad debts and that adequate allowance had been made for doubtful debts; and
 - (ii) to ensure that any current assets which were unlikely to be realised in the ordinary course of business have been written down to an amount which the current assets might be expected so to realise.
- (b) At the date of this report, the Manager is not aware of any circumstances:
- (i) that would render the amount written off for bad debts or the amount of the provision for doubtful debts in the Group and the Trust inadequate to any substantial extent, or
 - (ii) that would render the values attributed to the current assets in the financial statements of the Group and of the Trust misleading, or
 - (iii) which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Group and of the Trust misleading or inappropriate, or
 - (iv) not otherwise dealt with in this report or financial statements that would render any amount stated in the financial statements of the Group and of the Trust misleading.

MANAGER'S REPORT

Other information (continued)

- (c) As at the date of this report, there does not exist:
- (i) any charge on the assets of the Group and of the Trust that has arisen since the end of the financial year which secures the liabilities of any other person; and
 - (ii) any contingent liability of the Group or of the Trust that has arisen since the end of the financial year.
- (d) In the opinion of the Manager:
- (i) except for those already disclosed in the financial statements, the results of the operations of the Group and of the Trust during the financial year have not been substantially affected by any item, transaction or event of a material and unusual nature; and
 - (ii) no item, transaction or event of a material and unusual nature has arisen in the interval between the end of the financial year and the date of this report which is likely to affect substantially the results of the operations of the Group or of the Trust for the financial year in which this report is made; and
 - (iii) no contingent or other liability has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial year which will or may affect the ability of the Group or of the Trust to meet their obligations as and when they fall due.

Other significant events

Except for those already disclosed in the financial statements, there are no significant events during the financial year and up to the date of this report.

Changes in material litigation

The Manager is not aware of any pending litigation which is material since 31 December 2020 up to the date of this report.

Auditors

The auditors, KPMG PLT, have expressed their willingness to continue in office.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 10 February 2021.

David Wong Chin Huat
Chairman

Low Peck Chen
Chief Executive Officer

Date: 10 February 2021

STATEMENT BY THE MANAGER

The Manager acknowledges its responsibility for the preparation of the annual financial statements of CapitaLand Malaysia Mall Trust and its subsidiary (the Group). In the opinion of the Directors of the Manager, CapitaLand Malaysia Mall REIT Management Sdn. Bhd., the financial statements set out on pages 131 to 175 are drawn up in accordance with the provisions of the Deed dated 7 June 2010 (which was amended and restated on 28 October 2020), the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2020 and of their financial performance and cash flows for the financial year then ended.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 10 February 2021.

David Wong Chin Huat
Chairman

Low Peck Chen
Chief Executive Officer

Date: 10 February 2021

STATUTORY DECLARATION

I, **Soon Yeong Chyan**, the officer of CapitaLand Malaysia Mall REIT Management Sdn. Bhd., primarily responsible for the financial management of CapitaLand Malaysia Mall Trust, do solemnly and sincerely declare that the financial statements set out on pages 131 to 175, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the declaration to be true, and by virtue of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the abovenamed Soon Yeong Chyan, MIA CA12084, at Kuala Lumpur, Wilayah Persekutuan on 10 February 2021.

Soon Yeong Chyan

Before me:

TRUSTEE'S REPORT

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

We have acted as Trustee of CapitaLand Malaysia Mall Trust (CMMT) for the financial year ended 31 December 2020. In our opinion and to the best of our knowledge, CapitaLand Malaysia Mall REIT Management Sdn. Bhd., the Manager of CMMT, has managed CMMT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 7 June 2010 (which was amended and restated on 28 October 2020) (the Deed), the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have ensured that the procedures and processes employed by the Manager to value/price the units of CMMT are adequate and that such valuation/pricing is carried out in accordance with the Deed and other regulatory requirements.

We also confirm that the income distributions declared and paid during the financial year ended 31 December 2020 are in line with and are reflective of the objectives of CMMT.

For and on behalf of the Trustee,
MTrustee Berhad

Nurizan binti Jalil
Chief Executive Officer

Date: 10 February 2021

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of CapitaLand Malaysia Mall Trust (CMMT), which comprise the statements of financial position as at 31 December 2020 of the Group and of CMMT, and the statements of profit or loss and other comprehensive income, statements of changes in net asset value and statements of cash flows of the Group and of CMMT for the year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 131 to 175.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of CMMT as at 31 December 2020, and of their financial performance and their cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our auditors' report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of CMMT in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants (By-Laws) and the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of CMMT for the current year. These matters were addressed in the context of our audit of the financial statements of the Group and of CMMT as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of investment properties

Refer to Note 2(d) – Significant accounting policy: Investment properties and Note 4 – Investment properties.

The key audit matter

The Group owns a portfolio of investment properties comprising shopping malls and an office block located in Malaysia. Investment properties represent the single largest category of assets on the statements of financial position, at RM3,895,000,000 as at 31 December 2020.

These investment properties are stated at their fair values based on independent external valuations.

The valuation process involves significant judgement in determining the appropriate valuation methodology to be used, and in estimating the underlying assumptions to be applied. The valuations are highly sensitive to key assumptions applied in deriving at the capitalisation rates i.e. a small change in the assumptions can have a significant impact to the valuation.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

How the matter was addressed in our audit

We performed the following audit procedures, among others:

We assessed the Manager's processes for the selection of the external valuers, the determination of the scope of work of the valuers, and the review and acceptance of the valuations reported by the external valuers.

We considered the qualifications and competence of the external valuers vis-a-vis the expert's qualifications, membership of a professional body or industry association, and license to practice.

We considered the valuation methodologies used against those applied by other valuers for similar property types. We also considered other alternative valuation methods commonly used by external valuers. We tested the integrity of inputs of the projected cash flows used in the valuation to supporting leases agreements and other documents.

We challenged the capitalisation rates used in the valuation by comparing them against historical rates and available industry data, taking into consideration comparability and market factors. Where the rates were outside the expected range, we undertook further procedures to understand the effect of additional factors and, when necessary, held further discussions with the valuers.

We also considered the adequacy of the disclosures in the financial statements, in describing the inherent degree of subjectivity and key assumptions in the estimates. This includes the relationships between the key unobservable inputs and fair values, in conveying the uncertainties.

Information Other than the Financial Statements and Auditors' Report Thereon

CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (Manager) is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements of the Group and of CMMT and our auditors' report thereon.

Our opinion on the financial statements of the Group and of CMMT does not cover the annual report and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of CMMT, our responsibility is to read the annual report and, in doing so, consider whether the annual report is materially inconsistent with the financial statements of the Group and of CMMT or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of the annual report, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Manager for the Financial Statements

The Manager is responsible for the preparation of the financial statements of the Group and of CMMT that give a true and fair view in accordance with the provision of the Deed dated 7 June 2010 (which was amended and restated on 28 October 2020), the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Manager is also responsible for such internal control as the Manager determines is necessary to enable the preparation of financial statements of the Group and of CMMT that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of CMMT, the Manager is responsible for assessing the ability of the Group and of CMMT to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Manager either intends to liquidate the Group or CMMT or to cease operations, or has no realistic alternative but to do so.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of CMMT as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of CMMT, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Manager's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Manager.
- Conclude on the appropriateness of the Manager's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group or of CMMT to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements of the Group and of CMMT or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group or CMMT to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Group and of CMMT, including the disclosures, and whether the financial statements of the Group and of CMMT represent the underlying transactions and events in a manner that gives a true and fair view.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Manager regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Manager with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Manager, we determine those matters that were of most significance in the audit of the financial statements of the Group and of CMMT for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our auditors' report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

Other Matter

This report is made solely to the unitholders of CMMT and for no other purpose. We do not assume responsibility to any other person for the content of this report.

KPMG PLT

(LLP0010081-LCA & AF 0758)
Chartered Accountants

Ow Peng Li

Approval Number: 02666/09/2021 J
Chartered Accountant

Petaling Jaya,

Date: 10 February 2021

STATISTICS OF UNITHOLDERS

As at 29 January 2021

Issued and Fully Paid Units	2,063,846,364 units (voting rights: 1 vote per unit)
Public Spread	As at 29 January 2021, the public shareholding spread of CMMT was 62.65 ¹

¹ The figures were derived after excluding unitholdings held by CMMT Investment Limited, Menang Investment Limited and Directors of the Manager, pursuant to the definition of "public" under the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.

ANALYSIS BY SIZE OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Units
Less than 100	231	2.48	2,552	0.00
100 – 1,000	1,463	15.71	964,046	0.05
1,001 – 10,000	4,611	49.52	24,368,309	1.18
10,001 – 100,000	2,558	27.47	84,892,927	4.11
100,001 – less than 5% of approved fund size	445	4.78	538,774,068	26.11
5% and above the approved fund size	4	0.04	1,414,844,462	68.55
Total	9,312	100.00	2,063,846,364	100.00

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS

No	Name of Unitholder	Holdings	%
1	CMMT INVESTMENT LIMITED	716,346,062	34.71
2	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM BUMIPUTERA	244,467,200	11.85
3	KUMPULAN WANG PERSARAAN (DIPERBADANKAN)	230,097,200	11.15
4	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. EMPLOYEES PROVIDENT FUND BOARD	223,934,000	10.85
5	MENANG INVESTMENT LIMITED	54,437,568	2.64
6	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. EMPLOYEES PROVIDENT FUND BOARD (AFFIN-HWG)	46,893,700	2.27
7	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA 2 – WAWASAN	45,000,000	2.18
8	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA	42,117,000	2.04
9	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 1)	33,574,100	1.63
10	CARTABAN NOMINEES (ASING) SDN. BHD. GIC PRIVATE LIMITED FOR GOVERNMENT OF SINGAPORE (C)	28,961,100	1.40
11	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA 3	19,952,900	0.97

STATISTICS OF UNITHOLDERS

As at 29 January 2021

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS (continued)

No	Name of Unitholder	Holdings	%
12	AMANAHRAYA TRUSTEES BERHAD PUBLIC SMALLCAP FUND	14,150,000	0.69
13	AMANAHRAYA TRUSTEES BERHAD ASN UMBRELLA FOR ASN EQUITY 3	13,543,900	0.66
14	CITIGROUP NOMINEES (ASING) SDN. BHD. CBNY FOR DFA INTERNATIONAL REAL ESTATE SECURITIES PORTFOLIO OF DFA INVESTMENT DIMENSIONS GROUP INC	12,816,000	0.62
15	AMANAHRAYA TRUSTEES BERHAD AMANAH SAHAM BUMIPUTERA 2	11,465,000	0.56
16	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 3)	10,163,800	0.49
17	HSBC NOMINEES (TEMPATAN) SDN. BHD. HSBC (M) TRUSTEE BHD FOR ZURICH LIFE INSURANCE MALAYSIA BERHAD (LIFE PAR)	8,467,800	0.41
18	CARTABAN NOMINEES (TEMPATAN) SDN. BHD. PAMB FOR PRULINK EQUITY FUND	7,498,500	0.36
19	AREA STAR SDN. BHD.	7,400,600	0.36
20	CITIGROUP NOMINEES (TEMPATAN) SDN. BHD. KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (AHAM EQUITY FUND)	5,698,700	0.28
21	AMANAHRAYA TRUSTEES BERHAD ASN IMBANG (MIXED ASSET BALANCED) 1	5,479,800	0.27
22	CITIGROUP NOMINEES (ASING) SDN. BHD. EXEMPT AN FOR OCBC SECURITIES PRIVATE LIMITED (CLIENT A/C-NR)	5,093,056	0.25
23	LIM SUAN	4,611,000	0.22
24	AMANAHRAYA TRUSTEES BERHAD ASN UMBRELLA FOR ASN IMBANG (MIXED ASSET BALANCED) 2	4,117,800	0.20
25	AMANAHRAYA TRUSTEES BERHAD ASN EQUITY 2	3,350,000	0.16
26	PERMODALAN NASIONAL BERHAD	3,340,500	0.16
27	KENANGA NOMINEES (TEMPATAN) SDN. BHD. RAKUTEN TRADE SDN. BHD. FOR TONG SEECH WI	2,672,000	0.12
28	CGS-CIMB NOMINEES (TEMPATAN) SDN. BHD. PLEDGED SECURITIES ACCOUNT FOR YEOH KOK SAN (BSDM-CL)	2,572,100	0.12
29	CGS-CIMB NOMINEES (ASING) SDN. BHD. EXEMPT AN FOR CGS-CIMB SECURITIES (SINGAPORE) PTE. LTD. (RETAIL CLIENTS)	2,503,943	0.12
30	RHB NOMINEES (TEMPATAN) SDN. BHD. EXEMPT AN FOR PHILLIP SECURITIES PTE. LTD. (A/C CLIENTS)	2,308,254	0.11
Total		1,813,033,583	87.85

STATISTICS OF UNITHOLDERS

As at 29 January 2021

LIST OF DIRECTORS' INTEREST

Name	Designation	Nationality	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings
Mr David Wong Chin Huat	Chairman / Non-Executive Independent Director	Singaporean	–	–	–
Ms Low Peck Chen	Executive Non-Independent Director	Malaysian	12,081	–	12,081
Tuan Haji Rosli bin Abdullah	Non-Executive Independent Director	Malaysian	–	–	–
Mr Lui Chong Chee	Non-Executive Independent Director	Singaporean	–	–	–
En Mohd Yusof bin Hussian	Non-Executive Independent Director	Malaysian	60,374	–	60,374
Mr Tan Boon Peng	Non-Executive Independent Director	Malaysian	–	–	–
Mr Jonathan Yap Neng Tong	Non-Executive Non-Independent Director	Singaporean	–	–	–
Mr Lim Cho Pin Andrew Geoffrey	Non-Executive Non-Independent Director	Singaporean	–	47,319	47,319
Total			72,455	47,319	119,774

SUBSTANTIAL UNITHOLDERS

No.	Name	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings	%
1	CMMT Investment Limited	716,346,062	–	716,346,062	34.71
2	Employees Provident Fund Board	–	223,934,000	270,827,700	13.12
	Employees Provident FD BD (AFFIN HWG) Registered with: <i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>		46,893,700		
3	Amanah Saham Bumiputera Registered with: <i>AmanahRaya Trustees Berhad</i>	–	244,467,200	244,467,200	11.85
4	Kumpulan Wang Persaraan (Diperbadankan)	230,097,200	–	235,795,900	11.43
	Kumpulan Wang Persaraan (Diperbadankan) (AHAM Equity Fund) Registered with: <i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>	–	5,698,700		
Total		946,443,262	520,993,600	1,467,436,862	71.11

NOTICE OF ANNUAL GENERAL MEETING

CAPITALAND MALAYSIA MALL TRUST

[Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 28 October 2020) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (200801018055 (819351-H)) and MTrustee Berhad (198701004362 (163032-V))]

NOTICE IS HEREBY GIVEN that the Annual General Meeting ("**AGM**") of the holders of units ("**Units**") ("**Unitholders**") of CapitaLand Malaysia Mall Trust ("**CMMT**") will be held entirely on a fully virtual basis through live streaming via Remote Participation and Electronic Voting facilities ("**RPEV**") from the Broadcast Venue at 12th Floor, Menara Symphony, No 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia (the "**Broadcast Venue**") on Wednesday, 31 March 2021 at 10.00 a.m. to transact the following businesses:

ORDINARY BUSINESS

1. To receive the report of MTrustee Berhad, as trustee of CMMT (the "**Trustee**"), the report by CapitaLand Malaysia Mall REIT Management Sdn. Bhd., as manager of CMMT (the "**Manager**"), and the Audited Financial Statements of CMMT for the financial year ended 31 December 2020 and the Auditors' Report attached thereon.

SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following resolutions:

2. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO PARAGRAPH 6.59 OF THE MAIN MARKET LISTING REQUIREMENTS OF BURSA MALAYSIA SECURITIES BERHAD ("PROPOSED AUTHORITY 1")**

**Ordinary
Resolution 1**

"THAT pursuant to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad ("**Bursa Securities**"), provisions of the trust deed dated 7 June 2010 (as amended and restated on 28 October 2020) and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Manager to allot and issue new units in CMMT ("**New Units**") from time to time to such persons and for such purposes as the Manager may in its absolute discretion deem fit and in the best interest of CMMT and its Unitholders, provided that the aggregate number of New Units issued pursuant to this resolution, when aggregated with the number of units in CMMT issued during the preceding 12 months, must not exceed 20% of the total number of units issued of CMMT for the time being comprising of 2,063,846,364 Units:

AND THAT the Proposed Authority 1 shall be effective and continue to be in force from the date of receipt of all relevant authorities' approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- (a) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
- (b) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (c) the Proposed Authority 1 is revoked or varied by the Unitholders in a Unitholders' meeting,

NOTICE OF ANNUAL GENERAL MEETING

whichever occurs first ("**Validity Period**");

AND THAT the New Units to be issued pursuant to the Proposed Authority 1 shall, upon allotment and issuance, rank pari passu in all respects with the existing Units except that the New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment and issuance of such New Units;

AND THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CMMT, to give effect to the aforesaid Proposed Authority 1 with full powers to assent to any condition, variation, modification and/or amendment in any manner as the Manager and the Trustee may deem fit and in the best interest of CMMT and its Unitholders and/or as may be imposed by the relevant authorities, and to deal with all matters relating thereto;

AND FURTHER THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CMMT, to take all such steps and do all acts, deeds and things in any manner (including execute such documents as may be required) as they may deem necessary or expedient to implement, finalise, complete and give full effect to the Proposed Authority 1."

(Please see Explanatory Note 1)

3. **PROPOSED RENEWAL OF UNIT BUY-BACK AUTHORITY TO REPURCHASE UP TO TEN PERCENT (10%) OF THE TOTAL NUMBER OF UNITS ISSUED ("PROPOSED RENEWAL OF UNIT BUY-BACK MANDATE")**

**Ordinary
Resolution 2**

"THAT subject to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad ("**Listing Requirements**"), provisions of the trust deed dated 7 June 2010 (as amended and restated on 28 October 2020), and any prevailing laws, guidelines, rules and regulations issued by the relevant authorities, the Board of the Manager shall be authorised to repurchase the Units in CMMT for and on behalf of CMMT through Bursa Securities, subject to the following:

- (a) the aggregate number of Units in CMMT which may be repurchased shall not exceed ten percent (10%) of the total number of Units issued at the time of purchase and the compliance with the public unitholding spread requirements as stipulated under the Listing Requirements;
- (b) the maximum funds to be allocated by CMMT for the purpose of repurchasing the Units shall not exceed the aggregate of the retained profits of CMMT based on the latest audited financial statements of CMMT available at the time of purchase;
- (c) the authority conferred by this resolution shall be effective and continue to be in force from the date the Unitholders pass this resolution, whichever may be the later, until:
 - (i) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or

NOTICE OF ANNUAL GENERAL MEETING

- (ii) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (iii) the authority is revoked or varied by the Unitholders in a Unitholders' general meeting,

whichever occurs first;

THAT where the Manager has repurchased the Units, the Board shall cancel the Units so repurchased immediately.

AND THAT authority be and is hereby given to the Board of the Manager, for and on behalf of CMMT, to sign and execute all documents, and do all acts and things as may be required for or in connection with and to give effect to, and to implement the Proposed Renewal of Unit Buy-Back Mandate with full power to do all such acts as they may consider necessary or expedient in the best interest of CMMT and its Unitholders so as to give full effect to the same with further power to assent to any condition, modification, variation and/or amendment as may be required or imposed by the relevant authorities."

(Please see Explanatory Note 2)

4. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO THE DISTRIBUTION REINVESTMENT PLAN THAT PROVIDES THE UNITHOLDERS OF CMMT AN OPTION TO REINVEST THEIR CASH DISTRIBUTION INTO NEW UNITS ("PROPOSED AUTHORITY 2")**

**Ordinary
Resolution 3**

"THAT pursuant to the Distribution Reinvestment Plan ("DRP") as approved by the Unitholders at the deferred AGM of CMMT held on 19 June 2020, provisions of the trust deed dated 7 June 2010 (as amended and restated on 28 October 2020) and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Manager to allot and issue New Units ("**DRP New Units**") from time to time as may be required to be allotted and issued pursuant to the DRP, upon such terms and conditions and to such persons as the Manager may in its absolute discretion deem fit and in the best interest of CMMT and its Unitholders, **provided that** the issue price shall not be more than 10% discount to the volume weighted average market price ("**VWAMP**") of the Units for the five (5) market days immediately preceding the price-fixing date. The VWAMP shall be adjusted ex-distribution(s) before applying the aforementioned discount **AND THAT** such authority to allot and issue New Units shall continue to be in force until the conclusion of the next AGM of CMMT.

THAT the New Units shall, upon allotment and issue, rank equally in all respects with the existing Units in issue, save and except that the holders of the DRP New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment of the DRP New Units issued pursuant to the DRP.

NOTICE OF ANNUAL GENERAL MEETING

AND THAT authority be and is hereby given to the Board to do all such acts and things and enter into all such transactions, arrangements and agreements and to execute, sign and deliver for and on behalf of CMMT, all such documents and impose such terms and conditions or delegate all or any part of its powers as they may consider necessary or expedient in order to give full effect to the Proposed Authority 2 and DRP, with full power to assent to any condition, modification, variation and/or amendment including amendment, modification, suspension and termination of the DRP (irrespective of whether an election to exercise the distribution reinvestment has been made by the Unitholders), as the Board may, in their absolute discretion, deem fit and in the best interest of CMMT and its Unitholders and/or as may be imposed or agreed to by any relevant authorities."

(Please see Explanatory Note 3)

BY ORDER OF THE BOARD

CAPITALAND MALAYSIA MALL REIT MANAGEMENT SDN. BHD.

(Registration No. 200801018055 (819351-H))

as Manager of CapitaLand Malaysia Mall Trust

Khoo Ming Siang (SSM PC No.: 201908001873)(MAICSA No. 7034037)

Teo Mee Hui (SSM PC No.: 202008001081)(MAICSA No. 7050642)

Company Secretaries

Kuala Lumpur

Malaysia

26 February 2021

Enclosures :

- 1. Explanatory Notes**
- 2. Proxy Form**

cc : MTrustee Berhad

Securities Commission Malaysia

NOTICE OF ANNUAL GENERAL MEETING

Notes:

1. **IMPORTANT NOTICE**

The Broadcast Venue is strictly for the purpose of complying with the Securities Commission Guidance and FAQs on the Conduct of General Meetings for Listed Issuers which requires the Chairperson of the meeting to be present at the main venue of the meeting.

2. *Unitholders/proxies/Corporate Representatives WILL NOT BE ALLOWED TO BE PHYSICALLY PRESENT nor will they be admitted at the Broadcast Venue on the day of the meeting.*
3. *Unitholders are to participate, pose questions to the Board (via real time submission of typed texts) and vote remotely at the AGM via RPEV facilities which will be made available via the online portal of Boardroom Share Registrars Sdn. Bhd. ("Boardroom") at <https://web.lumiagm.com>. **Please read these Notes carefully and follow the Procedures in the Administrative Guide for the AGM in order to participate remotely.***
4. *Only Unitholders whose names appear in the Record of Depositors on 25 March 2021 are entitled to attend, speak and vote at the AGM.*
5. *A Unitholder may attend the AGM in person or appoint up to two proxies to attend the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint maximum of two proxies (whether a Unitholder or not).*
6. *On a poll, every Unitholder who is present in person or by proxy/proxies has one vote for every Unit held by him.*
7. *Where the Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two proxies for each securities account that has more than 10,000 Units standing to the credit for the said securities account.*
8. *Where a Unitholder appoints two proxies in accordance with such provision, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy.*
9. *Any appointment of a proxy shall be in writing in the **Proxy Form** attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an authorized officer or attorney duly authorised by a valid instrument.*
10. *A Unitholder who has appointed a proxy or attorney or authorised representative to attend, participate, speak and vote remotely at this AGM via RPEV facilities must request his/her proxy to register himself/herself for RPEV facilities at <https://boardroomlimited.my>. Please follow the procedures in the Administrative Guide for the AGM in order to participate remotely.*
11. *The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited at the Poll Administrator's office, Boardroom Share Registrars Sdn. Bhd. at Level G or 11th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia or at its website at <https://boardroomlimited.my> ("eProxy Lodgement") not less than 48 hours before the time appointed for holding the meeting or any adjournment thereof, in default of this provision, the Proxy Form shall not be treated as valid. Please refer to the Administrative Details for the AGM for the steps on the eProxy Lodgement.*

NOTICE OF ANNUAL GENERAL MEETING

Personal Data Privacy:

By submitting an instrument appointing a proxy(ies) and/or representative(s) to attend, speak and vote at the AGM and/or any adjournment thereof, a Unitholder (i) consents to the collection, use and disclosure of the Unitholder's personal data by the Manager and the Trustee (or their agents) for the purpose of processing and administering the proxies and representatives appointed for the AGM (including any adjournment thereof) and the preparation and compilation of the attendance lists, minutes and other documents relating to the AGM (including any adjournment thereof), and in order for the Manager and the Trustee (or their agents) to comply with any applicable laws, listing rules, regulations and/or guidelines (collectively, the Purposes), (ii) warrants that where the Unitholder discloses the personal data of the Unitholder's proxy(ies) and/or representative(s) to the Manager and the Trustee (or their agents), the Unitholder has obtained the prior consent of such proxy(ies) and/or representative(s) for the collection, use and disclosure by the Manager and the Trustee (or their agents) of the personal data of such proxy(ies) and/or representative(s) for the Purposes, and (iii) agrees that the Unitholder will indemnify the Manager and the Trustee in respect of any penalties, liabilities, claims, demands, losses and damages as a result of the Unitholder's breach of warranty.

Explanatory Notes:

1. Ordinary Resolution 1 – Proposed Authority 1

The Proposed Ordinary Resolution 1, if passed, would enable the Manager to allot and issue New Units from time to time provided that the aggregate number of the New Units to be issued during the Validity Period, when aggregated with the number of units issued during the preceding 12 months must not exceed 20% of the total number of units issued of CMMT for the time being comprising of 2,063,846,364 Units.

The Proposed Authority will allow the Manager the flexibility to allot and issue New Units to raise funds to finance future investments, acquisitions and capital expenditure to enhance the value of CMMT and/or to refinance existing debt as well as for working capital purposes, subject to the relevant laws and regulations. With the Proposed Authority, delays and further costs involved in convening separate general meetings to approve such issue of New Units to raise funds can be avoided.

Any allotment and issuance of New Units pursuant to the Proposed Authority will be subject to the relevant approvals of Securities Commission Malaysia and Bursa Malaysia Securities Berhad.

2. Ordinary Resolution 2 – Proposed Renewal of Unit Buy-Back Mandate

Unitholders are advised to refer to the Statement to Unitholders dated 26 February 2021, which is available on CMMT website at www.cmmt.com.my for further information.

3. Ordinary Resolution 3 – Proposed Authority 2

The Proposed Authority 2, if passed, will give authority to the Board of the Manager to allot and issue the DRP New Units pursuant to the DRP upon such terms and conditions and to such persons as the Manager may in its absolute discretion deem fit and in the best interest of CMMT and its Unitholders, and such authority shall expire at the conclusion of the next Annual General Meeting of CMMT.

CAPITALAND MALAYSIA MALL TRUST

[Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 28 October 2020) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (200801018055 (819351-H)) and MTrustee Berhad (198701004362 (163032-V))]

PROXY FORM

ANNUAL GENERAL MEETING

IMPORTANT:

Personal Data Privacy

By submitting an instrument appointing proxy(ies) and/or representative(s), the Unitholder accepts and agrees to the personal data privacy terms set out in the Notice of Annual General Meeting dated 26 February 2021.

I/We, _____ (Name(s) and NRIC no./Passport no./Company

Registration no.) of _____ (Address)

being a unitholder/unitholders of CapitaLand Malaysia Mall Trust ("CMMT"), hereby appoint:

Name :	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address :			

and/or (delete as appropriate)

Name :	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address :			

or, failing whom, the Chairman of the Annual General Meeting, as my/our proxy/proxies to attend and to vote for me/us on my/our behalf at the Annual General Meeting of CMMT ("AGM") to be held entirely on a fully virtual basis through live streaming via Remote Participation and Electronic Voting facilities ("RPEV") on Wednesday, 31 March 2021 at the 12th Floor, Menara Symphony, No 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia (the "Broadcast Venue") at 10.00 a.m., and at any adjournment thereof. I/We direct my/our proxy/proxies to vote for or against the resolutions to be proposed at the AGM as indicated hereunder. If no specific direction as to voting is given, the proxy/proxies will vote or abstain from voting at his/her/their discretion, as he/she/they may on any other matter arising at the AGM.

No.	Ordinary Resolution:	For*	Against*
SPECIAL BUSINESS			
1	Proposed Authority 1		
2	Proposed Renewal of Unit Buy-Back Mandate		
3	Proposed Authority 2		

* If you wish to exercise all your votes "For" or "Against", please tick [v] within the box provided. Alternatively, please indicate the number of votes as appropriate.

Dated this _____ day of _____ 2021

Total number of Units held

Signature(s) of unitholder(s) / Common Seal^

^ Where the Proxy Form is executed by a corporation, it shall be either under its Common Seal or under the hand of an attorney or an officer on behalf of the corporation duly authorised, and a certified true copy (by the Company Secretary) of the power of attorney or of the board resolution of that corporation appointing such officer, shall be deposited with the Poll Administrator together with the Proxy Form.

IMPORTANT: PLEASE READ NOTES TO PROXY FORM ON REVERSE PAGE

3rd fold here, glue along dotted line and fold flap

Affix
postage
stamp

BOARDROOM SHARE REGISTRARS SDN. BHD.

11th Floor, Menara Symphony
No. 5, Jalan Prof. Khoo Kay Kim
Seksyen 13, 46200 Petaling Jaya
Selangor Darul Ehsan, Malaysia

2nd fold here

IMPORTANT: PLEASE READ THE NOTES TO PROXY FORM BELOW

Notes to Proxy Form:

1. The Broadcast Venue is strictly for the purpose of complying with the Securities Commission Guidance and FAQs on the Conduct of General Meetings for Listed Issuers which requires the Chairperson of the meeting to be present at the main venue of the meeting.
2. Unitholders/proxies/Corporate Representatives WILL NOT BE ALLOWED TO BE PHYSICALLY PRESENT nor will they be admitted at the Broadcast Venue on the day of the meeting.
3. Unitholders are to participate, pose questions to the Board (via real time submission of typed texts) and vote remotely at the AGM via RPEV facilities which will be made available via the online portal of Boardroom Share Registrars Sdn. Bhd. ("Boardroom") at <https://web.lumiagm.com>. Please read these Notes carefully and follow the Procedures in the Administrative Guide for the AGM in order to participate remotely.
4. Only Unitholders whose names appear in the Record of Depositors on 25 March 2021 are entitled to attend, speak and vote at the AGM.
5. A Unitholder may attend the AGM in person or appoint up to two proxies to attend the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint maximum of two proxies (whether a Unitholder or not).
6. On a poll, every Unitholder who is present in person or by proxy/proxies has one vote for every Unit held by him.
7. Where the Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two proxies for each securities account that has more than 10,000 Units standing to the credit for the said securities account.

1st fold here

8. Where a Unitholder appoints two proxies in accordance with such provision, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy.
9. Any appointment of a proxy shall be in writing in the **Proxy Form** attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an authorized officer or attorney duly authorised by a valid instrument.
10. A Unitholder who has appointed a proxy or attorney or authorised representative to attend, participate, speak and vote remotely at this AGM via RPEV facilities must request his/her proxy to register himself/herself for RPEV facilities at <https://boardroomlimited.my>. Please follow the Procedures in the Administrative Guide for the AGM in order to participate remotely.
11. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited at the Poll Administrator office, Boardroom Share Registrars Sdn. Bhd. at Level G or 11th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia or at its website at <https://boardroomlimited.my> ("eProxy Lodgement") not less than 48 hours before the time appointed for holding the meeting or any adjournment thereof; in default of this provision, the Proxy Form shall not be treated as valid. Please refer to the Administrative Details for the AGM for the steps on the eProxy Lodgement.

General

The Manager shall be entitled to reject any Proxy Form which is incomplete, improperly completed, illegible or where the true intentions of the appointor are not ascertainable from the Proxy Form submitted. The Manager may reject any Proxy Form if the Unitholder, being the appointor, is not shown to have Units entered against his/her name in the Record of Depositors as at 25 March 2021.

CORPORATE INFORMATION

CAPITALAND MALAYSIA MALL TRUST

REGISTERED ADDRESS

MTrustee Berhad
(Registration Number:
198701004362 (163032-V))
B-2-9 (2nd Floor)
Pusat Perdagangan Kuchai
No. 2, Jalan 1/127
Off Jalan Kuchai Lama
58200 Kuala Lumpur
Telephone No.: +60 3 7983 1088
Facsimile No.: +60 3 7984 9612

Stock Exchange Listing

Main Market of Bursa Malaysia
Securities Berhad
Stock Name: CMMT
Stock Code: 5180

TRUSTEE

MTrustee Berhad
(Registration Number:
198701004362 (163032-V))
Business Address
Level 15, Menara AmFirst
No. 1, Jalan 19/3
46300 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7954 6862
Facsimile No.: +60 3 7954 3712

MANAGER

CapitaLand Malaysia Mall REIT Management Sdn. Bhd.
(Registration Number:
200801018055 (819351-H))
Manager's Registered Office / Principal Place of Business
Unit No. 1-27, Level 27
Naza Tower
No. 10, Persiaran KLCC
50088 Kuala Lumpur
Telephone No.: +60 3 2279 9888
Facsimile No.: +60 3 2279 9889

Website

www.cmmt.com.my

BOARD OF DIRECTORS OF THE MANAGER

Mr David Wong Chin Huat
Chairman and Non-Executive Independent Director

Ms Low Peck Chen
Chief Executive Officer and Executive Non-Independent Director

Tuan Haji Rosli bin Abdullah
Non-Executive Independent Director

Mr Tan Boon Peng
Non-Executive Independent Director

Mr Lui Chong Chee
Non-Executive Independent Director

Encik Mohd Yusof bin Hussian
Non-Executive Independent Director

Mr Jonathan Yap Neng Tong
Non-Executive Non-Independent Director

Mr Lim Cho Pin Andrew Geoffrey
Non-Executive Non-Independent Director

Executive Committee

Mr Jonathan Yap Neng Tong
(Chairman)
Mr Lim Cho Pin Andrew Geoffrey
Ms Low Peck Chen

Audit Committee

Tuan Haji Rosli bin Abdullah
(Chairman)
Mr Lui Chong Chee
Encik Mohd Yusof bin Hussian
Mr Lim Cho Pin Andrew Geoffrey

COMPANY SECRETARIES OF THE MANAGER

Khoo Ming Siang
(MAICSA 7034037)
Unit No. 1-27, Level 27
Naza Tower
No. 10, Persiaran KLCC
50088 Kuala Lumpur

Teo Mee Hui
(MAICSA 7050642)
10th Floor, Menara Hap Seng
No. 1 & 3, Jalan P. Ramlee
50250 Kuala Lumpur

AUDITORS

KPMG PLT
(Firm No: LLP0010081-LCA & AF 0758)
Chartered Accountants
Level 10, KPMG Tower
8, First Avenue, Bandar Utama
47800 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7721 3388
Facsimile No.: +60 3 7721 3399
Partner-in-Charge: Ms Ow Peng Li

UNIT REGISTRAR

Tricor Investor & Issuing House Services Sdn. Bhd.
(Registration Number:
197101000970 (11324-H))
Unit 32-01, Level 32, Tower A
Vertical Business Suite Avenue 3
Bangsar South No. 8 Jalan Kerinchi
59200 Kuala Lumpur
Telephone No.: +60 3 2783 9299
Facsimile No.: +60 3 2783 9222

PROPERTY MANAGERS

Knight Frank Property Management Sdn. Bhd.
(Registration Number:
201601040834 (1211775-H))
Suite 10.01, 10th Floor
Centrepont South, Mid Valley City
Lingkaran Syed Putra
59200 Kuala Lumpur
Telephone No.: +60 3 2289 9688
Facsimile No.: +60 3 2289 9788

Zaharin Nexcap Property Consultants Sdn. Bhd.

(Registration Number:
201401017278 (1093365-D))
Suite 23-5, Oval Tower Damansara
Menara Permata Damansara
No. 685, Jalan Damansara
60000 Kuala Lumpur
Telephone No.: +60 3 7733 2122
Facsimile No.: +60 3 7733 2103

PRINCIPAL BANKERS

Alliance Bank Malaysia Berhad
CIMB Bank Berhad
HSBC Bank Malaysia Berhad
Malayan Banking Berhad
Public Bank Berhad
RHB Bank Berhad
United Overseas Bank (Malaysia) Berhad



**CAPITALAND MALAYSIA MALL REIT
MANAGEMENT SDN. BHD.**

As Manager of CapitaLand Malaysia Mall Trust
Company Registration Number: 200801018055 (819351-H)

Unit No. 1-27, Level 27
Naza Tower
No. 10, Persiaran KLCC
50088 Kuala Lumpur
Tel: +60 3 2279 9888
Fax: +60 3 2279 9889
Email: ask-us@cmmt.com.my

www.cmmt.com.my